



A world of potential

Aitken Spence  *Hotels*

Aitken Spence Hotel Holdings PLC | Annual Report 2015/16

A world of potential

For over 30 years, Aitken Spence Hotels has been growing in value, setting the standards in the hospitality industry and winning recognition worldwide through our distinctive portfolio of hotels and resorts in Sri Lanka, Maldives, Oman, and India. Social, corporate and environmental responsibility remain hallmarks of our company, in all that we undertake to do.

Aitken Spence Hotels' focus on world class service, industry innovation and dependable value, sets us apart regionally in the leisure and hospitality sector. Our ethics of service is deeply important to us and we seek to offer outstanding destination experiences to every guest we serve.

As we look ahead to a world of potential, we continue to envision a future in which we implement farseeing strategies across all our business operations and drive sustainable value for all our stakeholders.

Aitken Spence Hotels own and manage 21 hotels and resorts in Sri Lanka, Maldives, Oman and India. Continuing to set precedence in creating benchmarks for the industry, the Group includes award winning properties such as the eco-friendly hotel – Heritance Kandalama, situated close to two UNESCO world heritage sites and the Desert Night Camp – rated one of the top ten desert retreats in the world.



View this Aitken Spence Hotel Holdings PLC
Annual Report online at
<http://www.aitkenspencehotels.com/about-us/investor-relations.html>



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Across the Region

Our commitment to excellence has made us outstanding in our industry...

Operating Geographies

INDIA

Turyaa Chennai, 143 roomed 5 star city hotel commenced operations during the 2nd half of the financial year

OMAN

Investments made in to
Oman through the acquisition
of Al Falaj Hotel in Muscat

MALDIVES

New hotel developments/
expansions and extensive
renovations are well
under way

SI LANKA

Driving growth by expanding our hotel portfolio through variety of business models

- Expansion and re-launch of Turyaa Kalutara as a 200 roomed property
- Commencement of operations of Heritage Negombo in April 2016
- Proposed opening of RIU Ahungalla in July 2016



In Sri Lanka

Heritance Kandalama
Heritance Ahungalla
Heritance Tea Factory
Heritance Ayurveda Maha Gedara
Heritance Negombo



In Maldives

Adaaran Club Rannalhi
Adaaran Select Hudhuran Fushi
Adaaran Select Meedhupparu
Adaaran Prestige Vadoo
Adaaran Prestige Water Villas



In Sri Lanka

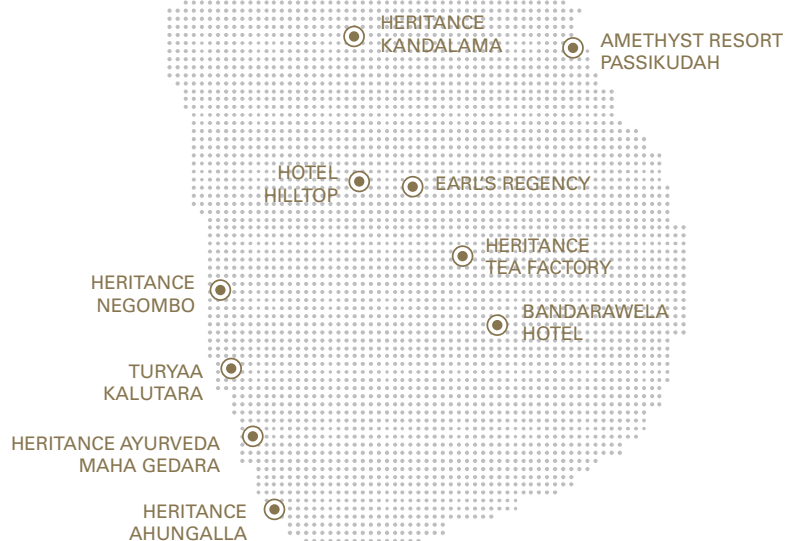
Turyaa Kalutara
Hotel Hilltop
Amethyst Resort Passikudah
Earl's Regency
Bandarawela Hotel

In India

Turyaa Chennai

In Oman

Al Falaj Hotel
Desert Nights Camp
Ruwi Hotel
Al Wadi Hotel
Sur Plaza Hotel



Looking at a world of potential

We look to the world of potential we see in the future with anticipation, working to create sustainable value for our stakeholders through the far-sighted strategies we implement across our business operations today.

Chairman's Statement



We will continue to look for opportunities to expand our regional presence and to enhance the many synergies that we can harness from a multi destination strategy. ”

Dear Stakeholder,

It is my pleasure to welcome you to the thirty ninth Annual General Meeting of Aitken Spence Hotel Holdings PLC and share with you a performance which once again reflects the consistency with which your Group has delivered. The year saw us focus on augmenting our platform with several strategic investments and positioning of our premier brand, for enhanced and sustained growth in the future.

The Group reported a net revenue of Rs. 13.1 billion during the year with net profit declining to Rs. 2.1 billion over the previous year due to several challenges in the operating environment (as enumerated in the ensuing Managing Director's review). Let me provide a brief overview of the industry and economic environment which provided a backdrop to your Company's performance.

Tourism Industry performance

Sri Lanka's tourist arrivals continued on its post war growth momentum with arrivals increasing by 17.8% to 1.8 million. The highest growth in arrivals once again came from China with a 67% rise, whilst arrivals from India grew by 30% and from the United Kingdom and Germany by 12% each. Western Europe continued to be the largest tourist origin for Sri Lanka with the number of arrivals increasing by 15.3%.



D.H.S. Jayawardena
Chairman



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Chairman's Statement

Sri Lanka's earnings from tourism increased substantially by 22.6% to US Dollars 2,431 million, supported by a continued increase in arrivals and spending by tourists. It is encouraging that the average spending per day by a tourist increased to US Dollars 164.1 in 2015 mainly due to higher arrivals of the higher spending tourists and the enhanced facilities offered in the country.

Across the world, as per the UNWTO World Tourism Barometer, international arrivals grew by 4.4% to reach a total of 1.18 billion in 2015. Number of travelers to international destinations grew by approximately 50 million more. Although the overall demand for travel remained strong, individual destinations had mixed performances due to strong exchange rate fluctuations, declining prices of oil and commodities which increased disposable incomes in importing countries but weakened demand in exporting nations. In addition, increased safety and security concerns also had a significant impact to reduce travel to some regions. UNWTO's projections for 2016 estimate a 4% growth in international arrivals, at slightly less than the last two years.

Expanding our trajectory

Construction of the newest addition to our premium brand portfolio - "Heritage Negombo", was completed during the year, and opened for operations in April 2016. This 139 roomed, state-of-the-art five star property fills a lacuna of a Heritage presence on Sri Lanka's western coast and brims with much potential as a beach property located in close proximity to the Katunayake International Airport.

Our property in Kalutara, which was previously known as "The Sands" was rebranded as "Turyaa Kalutara" and expanded during the year. A new wing which added 90 rooms to increase the Hotel's total room inventory to 200, was opened in November 2015. Combined with the newly refurbished and upgraded old wing and the addition of several new facilities and services, this five star resort now offers a wider choice for guests and is expected to attract a wider segment of local and overseas travelers and also benefit from economies of scale.

The RIU Resort, Ahungalla, the largest resort hotel in the country with a capacity of 501 rooms, which was under construction during the last financial year is nearing completion and would be operational in July 2016. We are

particularly happy and excited to partner Spanish Hotel developer and operator RIU on this landmark venture, for the plethora of benefits it will offer, not just for your Group but for the entire industry and the local economies. The RIU brand's global presence and marketing network with 108 hotels across the world, would boost the marketing of destination Sri Lanka, and thus support a sustainable growth in arrivals to the country. Moreover, RIU Ahungalla will also see the recommencement of charter flights to Sri Lanka in November 2016, enabling value addition across several diverse sectors of the economy such as aviation and transport. In addition, we are also much encouraged by its capacity to impact the local economies through employment generation and local sourcing and procurement practices in keeping with the sustainable model that Aitken Spence follows.

The year under review saw your Group make a strategic acquisition of Al Falaj Hotel in Muscat, Oman. This 150 room four star property, is one of the five resorts in Oman which Aitken Spence Hotels has been managing under its very successful model for management contracts, since its foray into the country in 2008. We have identified considerable potential for further growth of Oman's tourism sector, and Oman is today one of the few safe havens in the Middle Eastern region. The acquisition of ownership of this resort thus further underscores our buoyant outlook to capitalize on our expertise in the Oman market, for enhanced profitability in the years ahead.

"Turyaa Chennai", the five star city property in India which we acquired in 2014, obtained its operating licenses during the year and became fully operational during the last quarter of the financial year. However, delays in obtaining the licenses, adversely impacted the performance. We are encouraged by the online reviews thus far, and the Group foresees growth potential in this market in the medium to long term.

In my last year's message I shared the news that your Group was able to acquire two new islands in the Maldives, bringing the total number of islands held by Aitken Spence to six. The year under review saw us commence the construction of a resort on the island of Aarah in Raa Atoll, whilst construction on the other, the island of Raafushi, is likely to begin in the year ahead.

Governance

Corporate Governance is about engendering trust and about effective, transparent and accountable governance by the management including the Board - the highest governing body. At Aitken Spence Hotels, the Board sets the tone at the top by promoting professional standards and corporate values that cascade down to senior management and other employees of the Company. Your Company believes that the highest standards in governance is indispensable to creating long term value to its stakeholders and must be pursued uncompromisingly. The Group thus ensures that its mechanisms for good governance are constantly reviewed and benchmarked and strengthened to meet evolving requirements.

Industry Challenges

Since the conclusion of the war seven years ago, Sri Lanka regained its position as one of the most attractive destinations in the world and especially vis-à-vis other popular destinations such as Europe which now face security concerns. However, as we have repeatedly articulated, several issues continue to challenge the long term sustainability of the industry and inhibit its growth; despite the key natural advantages and opportunities that this nation has been endowed with, to be one of the most attractive destinations for travelers worldwide.

The post war boom has also seen a rapid rise in the inventory of hotels resulting in excess capacity in certain areas of the country. This in turn has led to unhealthy competition which is based on price per se, thereby challenging the long term profitability of the entire industry.

The impacts of intense price based competition are further exacerbated by the high costs of energy, infrastructure development and construction which inhibits return on investments. Thus is the urgent need for the government to play the role of catalyst by facilitating incentives for infrastructure development by the industry.

Moreover, effective regulation and better implementation of existing regulations are important to ensure a more level playing field for the legitimate players who are compelled to compete with the informal sector who may tend to circumvent the regulatory system due to a lack of monitoring and enforcing penalties.

The many challenges that we must meet necessitate that the industry collectively works towards harnessing the untapped potential of post war Sri Lanka. It is important that we increase demand for destination Sri Lanka and

avoid competing on price per se vis-a-vis other regional players who benefit from economies of scale and lower input costs.

Thus, is an urgent imperative that Sri Lanka markets itself as a destination more effectively with a strategic positioning to support its unique product offering. It is essential that such a destination marketing campaign is a strategic and cohesive integrated communications campaign spearheaded at a national level rather than left to individual stakeholders.

We hope that the pace of infrastructure development across the country will gather momentum in the year ahead. This we believe is essential to enhancing the product that Sri Lanka offers to leisure as well as MICE tourists, in order to attract more high yielding travelers to sustain profitability in the industry. The facilitation of speedy accessibility through the development of domestic air travel to key resort areas would facilitate long term growth of the industry.

The dearth of skilled Human Resources as well as the growing cost of Human Resources in the industry, also remain considerable challenges, which once again exacerbate the high operating costs. The rising demand would further add to the costs and scarcity of people, leading to a drop in service levels in the future.

Sri Lanka's key competitive advantage lies in its unique diversity of the natural environment as well as its multiple attractions of nature, history and culture within a small land mass. However, our natural resources are now in danger due to lack of policies and controls and the possibility of the proverbial "killing of the goose that lays the golden egg" instead of a long-term and sustainable approach. For instance overcrowding at national parks have not only become an eyesore, but also resulted in threats to its inhabitants. It is our fervent hope that authorities would introduce and implement strict regulations and implement a visitor quota to facilitate the long term sustainability of our natural resources as well as the tourism industry. It is also vital that policies and regulations are aimed at the long term and remain consistent across regimes, to ensure sustainability of resources as well as investor confidence. We are also optimistic that the new government's policies will have greater clarity and certainty in the year ahead.

It is also important that the industry relooks at the criteria for star categorization in order to be on par with and promote evolving requirements and trends, especially



Chairman's Statement

in the context of sustainability. For instance, certain requirements carried through from early years, we now know can be non green friendly or redundant, thus stalling the progress towards environment and community integrated models or the adoption of loftier goals.

Looking ahead

The post war boom in tourism in Sri Lanka has seen a rapid rise in hotel capacity with the entry of a range of new hotel properties and international as well as local brands. Despite this increase in room capacity and increased market competition, Aitken Spence Hotels looks forward to the challenges as we continue to enjoy a position of market leadership due to its brand equity.

The strategic initiatives we have made during the past two years, such as the expansion of our regional presence, expansion of capacities and focus on enhancements of our premier brand have augmented our platform as a springboard for future growth. A more unified positioning and enhancement of our premier brand will also support our efforts to attract the more price insensitive, experiential traveler.

We expect our strategy of being a regional player to continue to be a key competitive advantage not merely as a means of mitigating risks associated with a single destination but to benefit from the exponential growth in global tourism. We will continue to look for opportunities to expand our regional presence and to enhance the many synergies that we can harness from a multi destination strategy.

Buoyed by our new investments during the year, we will continue to strengthen the attributes which differentiate our product from all others in the market and leverage our legacy and heritage as a pioneering tourism service provider, to enable the Group reach its next tier of growth.

Acknowledgements

My sincere appreciation to my colleagues on the Board for their unstinted support and cooperation and the entire team of employees led by the senior management team whose dedication, talents and effort have been the cornerstone of your Company's success. I also extend my sincere gratitude to all our stakeholders, including our tour operator partners, our clients and shareholders for their continued support.

D.H.S. Jayawardena
Chairman

28th May, 2016





G4-04

Service remains our focus

Our ethics of service is deeply important to us and we seek to offer outstanding destination experiences to every guest we serve.

Managing Director's Review



Your Group continued to invest for sustainable growth into the future, true to its long term focus in business, as reflected in its 148 years of pioneering leadership in the industry.”

Dear Stakeholder,

It is my pleasure to share with you our performance outlook and strategies as we end a year with a modest performance but look to a new year with renewed vigour. The Group's performance especially its properties in the Maldivian sector were challenged by several external environmental factors. Your Group however, continued to invest for sustainable growth into the future, true to its long term focus in business, as reflected in its 148 years of pioneering leadership in the industry.

Economic Backdrop

The global economy continues to recover albeit at a slowing pace and with increasing uncertainty. Growth, although in line with estimates, has been revised downwards by 0.2% by the IMF since its January forecasts, to be 3.2% in 2016. The slower than expected growth is a result of a loss of the growth momentum in advanced economies, a rebalancing of China, a further decline in commodity prices, related slowdown in investment and trade, declining capital flows to emerging markets and developing economies. Decline in investment demand is worldwide but is particularly impacting commodity exporters who are impacted by the challenge on their terms of trade. In addition, geo-political tensions have also weighed significantly on global growth.



J.M.S. Brito
Managing Director



Managing Director's Review

The recovery is projected to strengthen 2017 and beyond driven primarily by emerging markets and developing economies as conditions in stressed economies start to normalize.

Sri Lanka's economy grew at 4.8% during 2015 compared with 4.9% in 2014. A slower growth in exports, due to reduced demand from traditional export markets impacted the export sector whilst a strengthening of the US economy prompted short term capital outflows. The impact of these developments was offset to some extent by lower international commodity prices. However, we are hopeful that the year ahead will see economic activity resume at a faster pace; and greater policy clarity and certainty will pave the way for increased investments by the private sector. The Central Bank projects the economy to grow by 5.8% in 2016 and to strengthen over the medium term into a higher growth trajectory of about 7%.

Group Performance

Group revenue increased marginally during the year albeit profitability declined by 39% over the previous year with a PAT of Rs. 2.1bn. It is most heartening that the Sri Lankan sector posted excellent performances with an overall growth in revenue and profitability. It is also noteworthy that the key contributors to profits once again were two of our flagship properties, Heritance Kandalama and Heritance Tea Factory. One of the key factors for the reduced growth in overall profitability of your Group however, was the decline in the contribution from Maldives - the highest contributor to profits in previous years.

A decline in arrivals due to several global environmental factors impacted our properties. For one, the Russian economic crisis and conflicts in Ukraine impacted arrivals from these two countries into Sri Lanka to decline by 14% over 2014. Secondly, the offer of attractive off season rates by destinations such as Thailand and Vietnam led to reduced interest in Sri Lanka amongst European travellers. Thirdly, the lack of strategic destination marketing by Sri Lanka, (the importance of which we have repeatedly articulated), led to a dampening of interest amongst European tour operators in promoting Sri Lanka. This is despite the fact that Sri Lanka is today one of the most attractive and safest destinations that is well insulated from concerns of safety and security that

plague many other regions. Hence is the need to create awareness of what destination Sri Lanka can offer through a cohesive and integrated marketing campaign by the nation.

Meeting the above challenges required us to adopt a tactical approach of promotional offers which resulted in lower margins, particularly for our beach resorts. Moreover, the Group was compelled to contribute towards marketing campaigns which were undertaken by European tour operators in order to sustain these markets, resulting in reducing of margins.

Sri Lanka

Our flagship properties, Heritance Kandalama and Heritance Tea Factory continued to outperform the industry as well as better the record profits they achieved last year, to reach the highest ever Revenue and PAT. Their performance, despite an increase in competition, underscores the uniqueness of the concepts and the product offering and their differentiation from all other products in the market hence.

Heritance Ahungalla, another of our flagship properties, achieved commendable results once again despite the impact of over capacity on the Southern coastline and the resulting price driven competition, which was further exacerbated by the increase in the number of informal sector small players in the neighbourhood. The Group will begin a refurbishment and an upgrade of this inimitable property during 2016, which will help to harness full potential of the resort.

Heritance Ayurveda Maha Gedara, our Ayurvedic wellness resort also performed well to record a 60% growth in PAT. The year under review also saw us launch an upgrade of the property's infrastructure as well as the service offering.

Turyaa Kalutara was relaunched with a new brand identity and an expanded product offering and capacity in November 2015. The original 110 rooms of the hotel were operational for nine months of the year whilst the property was closed for two months of the year for refurbishment and expansion prior to re-launch. The entire 200 rooms were fully operational during the last quarter of the year and we expect it to perform well in its first full year of operations as a newly branded entity, in the year ahead.

Heritage Negombo – the newest addition to our portfolio began operations in April 2016 and is well poised to capture the market for those who seek state-of-the-art lodgings based on a novel “city hotel on the beach” concept which combines proximity and convenience with a resort ambience.

The RIU Resort, Ahungalla, with a capacity of 501 rooms, which was under construction during the last financial year is nearing completion and would be operational in July 2016. The resort is a partnership venture with Spanish Hotel developer and operator RIU.

Overseas

Our properties in the Maldives have consistently exceeded our expectations and performed remarkably in the past few years. However, the year under review saw a decline in profitability from our four properties in the Atolls due to a decline in arrivals. This was mainly a result of the political turmoil and the negative publicity the country received in the European markets. Furthermore, the crisis in Russia and Ukraine also adversely impacted the leisure travellers from this region into the Maldives. In addition, our margins, were also impacted due to a reduction in average rates.

The performance of our five managed properties in Oman were also impacted by the crisis affecting the rest of the Middle East.

Turyaa Chennai, which began operations during the second half of the last financial year reported good reviews. However delays in obtaining the licenses, effected the performance. Given the potential we have identified in this fourth largest metropolitan city in India, with diversified business ranging from IT, BPO, Automobile, Ancillary manufacturing, Pharmaceuticals, Telecom, FMCG, Hospitals, Cinemas and Financial institutions, we expect an increase in demand in the year ahead driven by MICE and business traveller segments. It is also encouraging that improved purchasing power has resulted in increased spending amongst the Indian consumer.

Our Sustainable Model of Value Creation

The Group's sustainable model of value creation based on a Triple Bottom Line focus has been a key competitive advantage. Our flagship properties in particular, are an integral part of the communities whilst our focus on the planet extends beyond mere mitigation of impacts to value addition and proactive leadership in the respective localities, based on an understanding that the sustainability of the industry and all its stakeholders is

dependent upon the quality of the environment. During the year under review, Heritage Negombo became the second resort in our portfolio to receive LEED certification as further enumerated in the Management Discussion & Analysis that follows.

As we have mentioned previously, the dearth of skilled human resources to meet a rising demand remains a challenge for the industry. The Aitken Spence Hospitality Training School launched in Ahungalla in 2009, is one of our key win-win strategic initiatives towards meeting this challenge. The school provides training, to youth, on hospitality aspects such as housekeeping, F&B and front office operations. Upon the successful completion of the training course, students are equipped with a certificate and over 90% of them are absorbed by our hotels. The launch of RIU Ahungalla, is now seeing the recruitment of a large number of such qualified youth and the training of new comers. We also continued to train internal trainers to sustain the Learning & Development culture into the future.

Investing for the future.... for enhanced growth

Investments into technology will continue to be a key priority for the Group; as Digital technology will be a key driver of enhanced service delivery, marketing and of our sustainability strategy. The year under review saw our technological investments focus on online marketing and yield management.

We will also make investments to uplift the service offering and increase the range of unique value additions to enhance guest experience across our flagship properties. For example, a considerable number of repeat guests that Heritage Tea Factory is proud to host, requires that we innovate new experiences and introduce new value additions.

The Aitken Spence flagship properties remain inimitable and well differentiated from any other in the Sri Lankan market, for their unique concept, design and service standards and we will continue to leverage and strengthen this competitive advantage for future growth.

The leading hotel properties on the Maldivian Islands are also being challenged by intense competition which will be further exacerbated by 60 new islands and lagoons being made available for new developments. Your Group has commenced a refurbishment programme of all its four properties whilst the properties remain operational. We envisage the upgrading to strengthen our competitiveness and sustain the rates.



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Managing Director's Review

Despite the temporary decline in arrivals in Oman, we are confident that the impact of the crisis will ease as Oman remains a safe haven in the crises ridden Middle East. Our recent acquisition of Al Falaj reflects the buoyant outlook we have for the tourism industry in Oman. Aitken Spence as the pioneer Sri Lankan company to venture into hoteliering in Oman is well poised to create and harness the many synergies that can benefit our properties.

Whilst we will continue to seek to expand our regional footprint to mitigate risks, capture opportunities across other markets and harness synergies, we will also look for opportunities to complete our portfolio of product offerings in Sri Lanka. The Group is currently looking at developing its existing land banks in Sri Lanka. In Maldives the newly acquired resort island Aarah in Raa Atoll commenced construction and is scheduled to be operational for Winter 2017. We will also build on the partnerships we have with international tour operators to cross sell and leverage our strengths.

In Conclusion

My sincere appreciation to our Chairman and my colleagues on the Board for their guidance, constant support and cooperation. My heartfelt thanks goes out to our team of employees at our properties located across the country and across the seas, for their passion and commitment to delight and deliver. I also wish to convey my sincere appreciation to our numerous stakeholders, shareholders and customers for the loyalty and inspiration they give us to keep raising the bar on how we serve them.

J.M.S. Brito
Managing Director

28th May, 2016

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Group Performance Highlights

Performance for the Year ended 31st March	2016	2015	Change
Gross Revenue - Rs. '000	13,378,071	13,270,918	1%
Group Profit before Tax - Rs. '000	2,520,651	3,920,116	-36%
Group Profit after Tax - Rs. '000	2,087,762	3,435,622	-39%
Group Profit Attributable to Equity Holders of Parent - Rs. '000	1,403,766	2,234,804	-37%
Ordinary Dividend Proposed - Rs. '000	420,363	504,435	-17%
Dividend per Share - Rs.	1.25	1.50	-17%
Earnings per Share (EPS) - Rs. (*Diluted EPS)	4.13	6.60	-37%
Cost of Finance - Rs. '000	347,314	185,491	87%
Interest Cover - Number of Times	8.7	22.2	-61%
Return on Equity - %	7.87%	13.75%	-43%
Position as at the Year ended 31st March			
Total Assets - Rs. '000	38,448,214	32,788,267	17%
Long term interest bearing borrowings - Rs. '000	8,186,477	5,363,625	53%
Total Equity - Rs. '000	23,834,903	21,869,232	9%
Number of shares in issue - Number	336,290,010	336,290,010	0%
Net Assets per Share - Rs.	54.24	50.75	7%
Debt/Equity - %	35.3%	25.5%	39%
Debt/Total Assets - %	21.7%	16.9%	29%
Current Ratio	0.97:1	1.92 : 1	-50%
Market / Shareholder Information as at year ended 31st March			
Market Price per Share - Rs.	53	67	-21%
Market Capitalization - Rs. '000	17,823,371	22,531,431	-21%
Price Earnings Ratio - Number of Times	12.83	10.15	26%
Dividend Payout - %	30.27%	22.72%	33%
Dividend Yield - %	2.36%	2.24%	5%
Value Added for the year			
To Government - Rs. '000	643,199	801,195	-20%
To Employees - Rs. '000	2,122,117	1,828,866	16%
To Providers of Capital - Rs. '000	1,031,310	1,386,309	-26%
To Shareholders - Rs. '000	420,363	504,435	-17%
Retained for Reinvestment and Future Growth - Rs. '000	2,038,467	2,537,624	-20%
Total Value Added - Rs. '000	6,255,456	7,058,429	-11%
Total Economic Value Added - Rs '000	202,707	1,577,831	-87%
Sustainability indicators			
Total Energy Consumption GJ	267,869	292,691	8%
Energy Consumption Per Guest Night - MJ	393.71	433.67	9%
GHG Emissions Per Guest Night Kg eq (Scope 1 & 2)	34.31	35.28	3%
Water Consumption m ³	572,521	581,485	2%
Water Consumption Per Guest Night - Litres	841.48	861.56	2%
Waste to Landfill – Per Guest Night - Kg	1.55	2.16	28%
Lost work days due to work related injuries	27	77	65%
Average Training hours per Employee - Hours	10.07	10.30	-2%
Community Engagement - No. of Persons Impacted	14,573	9,202	58%

Stewardship

Board of Directors



Deshamanya D.H.S. Jayawardena - Chairman
Mr. J.M.S. Brito - Managing Director
Ms. D.S.T. Jayawardena
Mr. C.M.S. Jayawickrama
Mr. G.P.J. Goonewardene



Mr. R.E.V. Casie Chetty
Mr. R.N. Asirwatham
Mr. N.J. de Silva Deva Aditya
Mr. C.H. Gomez

Board of Directors

Deshamanya D.H.S. Jayawardena

Deshamanya Harry Jayawardena is one of Sri Lanka's most successful businessmen and heads many successful enterprises in very diverse fields of activity. He is the Founder Director and current Chairman/ Managing Director of the Stassen Group of Companies – a diversified group in the import and export trade, and the Chairman of Lanka Milk Foods (CWE) PLC. He is also the Chairman of the Distilleries Company of Sri Lanka PLC, Browns Beach Hotels PLC, Balangoda Plantations PLC, and Madulsima Plantations PLC. In addition to being the Chairman of Lanka Bell Ltd., Melstacorp Limited, Milford Exports (Ceylon) (Pvt) Ltd., Ambewela Livestock Company Ltd., Ambewela Products (Pvt) Ltd., Lanka Dairies (Pvt) Ltd., Periceyl (Pvt) Ltd., Texpro Industries Ltd., Ceylon Garden Coir (Pvt) Ltd. He is also the Chairman/ Managing Director/ Director of several other successful and reputable companies. He is a former Director of Hatton National Bank PLC, the largest listed bank in Sri Lanka. Mr. Jayawardena was the former Chairman of Ceylon Petroleum Corporation and Sri Lankan Airlines.

Mr. Jayawardena is presently the Honorary Consul for Denmark and on 9th February 2010, was knighted by Her Majesty the Queen of Denmark with the prestigious honour of "Knight Cross of Dannebrog".

He has also been awarded in November 2005, the title, "Deshamanya" in recognition of his services to the Motherland.

Mr. J.M.S. Brito

Mr. Rajan Brito has a LLB (University of London) and MBA (London City Business School) degrees and is a Fellow of both Institutes of Chartered Accountants of Sri Lanka and England and Wales. Together with this multi-disciplined knowledge, he also brings with him a wealth of 35 years of international experience working with a number of international organizations. Presently Mr. Brito is the Managing & Finance Director of Aitken Spence PLC. He is a former Chairman of DFCC Bank, Sri Lankan Airlines, The Employers' Federation of Ceylon and a former Director of Sri Lanka Insurance Corporation.

He currently serves on the Board of Sri Lankan Airlines.

Ms. D.S.T. Jayawardena

Ms. Stasshani Jayawardena is overall responsible for the leisure sector of the Group that includes hotels, destination management and overseas travel.

She joined Aitken Spence PLC, in January 2010, gaining experience in several of its key strategic business units and across the parent group companies. She was appointed to the Board of Aitken Spence PLC, in December 2013 and to the Board of Aitken Spence Hotel Holdings PLC, in July 2014. In January 2016 she was appointed as Chairperson and on 1st April 2016 as Joint Managing Director of Aitken Spence Hotel Managements (Private) Limited.

Ms. Jayawardena is a member of the Young Leaders Steering Committee and the Banking, Finance & Capital Markets Steering Committee of the Ceylon Chamber of Commerce. She is the Chairperson of Splendor Media, a leading advertising and communication company.

She is also a Director at Stassen Exports (Pvt) Ltd., Milford Exports (Ceylon) (Pvt) Ltd., Stassen Natural Foods (Pvt) Ltd., Ceylon Garden Coir (Pvt) Ltd., Milford Developers (Pvt) Ltd., Stassen Foods (Pvt) Ltd., C D B Exports (Pvt) Ltd., EcoCorp Asia (Pvt) Ltd., Amethyst Leisure Ltd. and Paradise Resort Passikudah (Pvt) Ltd.

A graduate of St. James' & Lucie Clayton College and Keele University in the United Kingdom. Ms. Jayawardena was the youngest intern to work under US Senator Hilary Rodham Clinton and the Former US President Bill Clinton in 2003. She is a member of EY Next Generation Club.

Ms. Jayawardena leads a team of young professionals that is endeavouring to develop a strategic development plan for future growth of Aitken Spence PLC.

Mr. C.M.S. Jayawickrama

Mr. Susith Jayawickrama a Fellow member of the Chartered Institute of Management Accountants UK, is the Joint Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd., the company managing all the Group Hotels in Sri Lanka and overseas. He serves on the Boards of all the hotel companies in the Group. He has extensive experience at senior management positions in the Group's hotel sector for more than two decades and has considerable exposure in the tourism industry in Sri Lanka and overseas. He was also the Past Vice President - Resort Hotels, of the Tourist Hotels Association of Sri Lanka (THASL).

Mr. G.P.J. Goonewardena

Mr. Gemunu Goonewardene is the Vice President/ Consultant responsible for Resource Planning & Development, Food & Beverage Services and facilities of the Maldives sector.

He is a Graduate of the Ceylon Hotel School and has concluded his Post Graduate studies at the Culinary Institute of America. He serves as an Honorary Consultant for the Postgraduate Diploma in Tourism, Economics & Hotel Managements leading to Masters programme, conducted by the University of Colombo.

Mr. Goonewardene is a member of the Tourist Hotels Classification Committee of Sri Lanka Tourism Development Authority for 2016/17, and was a member of the team which drafted the new Tourist Hotel Classification Criteria/ Guideline Standards for hotels.

With extensive exposure, having worked in U.S.A., Europe and Australia and counting more than 40 years of valuable experience, he has been an integral part and a key member of the Aitken Spence Hotels Group, from its inception and has contributed immensely towards planning, and development of its iconic properties, in Sri Lanka and Maldives.

Mr. R.E.V. Casie Chetty

Mr. Ranjan Casie Chetty is the Company Secretary of Aitken Spence PLC, and a Director of Aitken Spence Group Ltd., Aitken Spence Hotel Holdings PLC, and various other companies in the Aitken Spence Group. He is a Fellow of the Institute of Chartered Accountants of Sri Lanka, a Fellow of the Chartered Institute of Management Accountants of UK and a Fellow of the Certified Management Accountants of Sri Lanka. He is also a Member of the Chartered Management Institute of UK and has been awarded the Joint Diploma in Management Accounting Services. He has over 40 years post qualifying experience. During this period he has held very senior and responsible positions in many reputable private sector organisations. He continues to be actively involved in committees of Professional Institutes and Chambers of Commerce. He served as a Member of the Advisory Commission constituted under the Companies Act No. 17 of 1982. He was a former Chairman of the Sri Lanka Apparel Exporters Association.

Mr. R.N. Asirwatham

Mr. Rajan Asirwatham was the Senior Partner and Country Head of KPMG from 2001 to 2008. Further, he was the Chairman of the Steering Committee for the Sustainable Tourism Project funded by the World Bank for the Ministry of Tourism and was also a member of the Presidential Commission on Taxation, appointed by His Excellency the President of Sri Lanka.

Mr. Asirwatham is a Fellow member of the Institute of Chartered Accountants of Sri Lanka. He is also a Board member of the Post Graduate Institute of Medicine and a member of the council of the University of Colombo.

He also serves on the Boards of Vallibel One Limited, Ceylon Tea Services PLC, Royal Ceramics PLC, DialTex Industries (Pvt) Limited, Renuka Hotels (Pvt) Limited, CIC Holdings PLC, Mercantile Merchant Bank, Yaal Hotels (Pvt) Limited, Dankotuwa Porcelain PLC, Ceylon Agro Industries Ltd., Colombo City Holdings PLC, Browns Beach Hotels PLC and Peninsular Properties (Pvt) Ltd.

Mr. N.J. de Silva Deva Aditya

Mr. Niranjan Deva Aditya, is an Aeronautical Engineer, Scientist and Economist, is a Conservative Member of the European Parliament elected from the SE England. He is the Vice President of the Development Committee; ECR Co-ordinator, Chairman of the European Parliament's Delegation for Relations with the Korean Peninsula and Conservative Spokesman for Overseas' Development and Co-operation. He was the Co-Leader of the Parliamentary Delegation to the UN World Summit and General Assembly 2006, Chairman Working Group A of Development Committee overseeing Asia, Central Asia and Far East; Co Co-ordinator Assembly of 79 Parliaments of the EU-ACP 2004 and the President EU India Chamber of Commerce from 2005. In 2012 he stood for and came runner up, beating the Liberal candidate into 3rd place to be the President (Speaker) to the European Parliament.

He was the first Asian to be elected as a Conservative Member of the British Parliament, first Asian MP to serve in the British Government as PPS in the Scottish Office and first Asian born MP to be elected to the European Parliament. He was nominated as a candidate to succeed Kofi Annan as Secretary General to the UN in 2006. He is a Hon. Ambassador without portfolio for Sri Lanka; the first Asian to be appointed as Her Majesty's Deputy Lord Lieutenant for Greater London, representing The Queen on official occasions since 1985; awarded the honour "ViswaKirithi Sri Lanka Abhimani" by the Buddhist Clergy for his Services to Sri Lanka and given the Knighthood with Merit of the Sacred Constantine Military Order of St. George for his global work on poverty eradication. He is a Fellow of the Royal Society for Arts, Manufacture and Commerce (Est. 1765).

Mr. C.H. Gomez

Mr. Charles Gomez is a former Investment Banker with over 30 years of experience in the Finance industry. He has worked for several major financial institutions, and brings to the Company a wealth of experience in regard to international financial markets. Mr. Gomez is a partner of a financial services company based in Gibraltar and serves on Boards of foreign investment companies.

Our Leadership

Corporate Management Team



Mr. Mangala Wijesekera
Mr. Rohitha Rajaratne
Mr. B.H.R. Sariffo'deen
Mr. Tilak Gunawardana
Mr. Althaf M. Ali



Mr. Jeevaka Weerakone
Mr. Danesha Perera
Mr. Hussain Jayah
Mr. Srinith De Silva
Mrs. Irandi Wijegunawardane
Mr. Bhadiya Gunatilake

Corporate Management Team

Ms. D.S.T. Jayawardena

(Profile on page 28)

Mr. C.M.S. Jayawickrama

(Profile on page 28)

Mr. G.P.J. Goonewardena

(Profile on page 29)

Mr. Mangala Wijesekera

Mr. Mangala Wijesekera is the Chief Operating Officer/ Vice President, of Aitken Spence Hotels' Overseas Sector.

He counts over two decades of experience in the Hotel industry mainly in the Finance field. He has had extensive overseas and local training and work experience in General and Project Management.

He has a Bachelor's Degree in Mathematics from the University of Colombo and holds a MBA from the University of Southern Queensland, Australia. Prior to the present position he was Vice President, Finance and Administration for the Overseas Hotels and Projects of the Group.

Mr. Rohitha S Rajaratne

Mr. Rohitha Rajaratne is the Head of Engineering for the hotels in the Aitken Spence group.

He is a Chartered Mechanical Engineer by profession and counts over two decades of professional experience after graduating from the University of Moratuwa. He served in the Sri Lanka Navy for over a decade and has had extensive overseas training and work experience in Australia and New Zealand.

He has obtained a Postgraduate Marine Engineering qualification from Germany, holds a MBA from the University of Colombo and MSc. in Sustainable Engineering from University of KTH Sweden. He is a fellow Member of the Institute of Engineers – Sri Lanka, and also an accredited International Professional Engineer.

Mr. B.H.R. Sariffo'deen

Mr. Ramzan Sariffo'deen is the Vice President - Operations in charge of Hotels in the southern sector. He is a Professional Hotelier counting many years of managerial experience in Sri Lanka and overseas.

He was the President of the Ceylon Hotel School Graduates Association – CHSGA and the current immediate past president. He was the former president of the Cultural Triangle Hoteliers Association – CTHA and a Fellow of the Ceylon Hoteliers School Graduates Association (FCHSGA). He successfully completed his Masters in

Business Administration (MBA) at the University of Cardiff Metropolitan.

He was in the panel of judges of the Culinary Competition in the Maldives in the year 2014. He is also a Match Referee of the Sri Lanka Cricket Board and has officiated the Premier A Tournaments since year 2011.

Mr. Tilak Gunawardana

Mr. Tilak Gunawardana is the Vice President Finance of Aitken Spence Hotels. He has over two decades of experience in Auditing, Finance and General management acquired in Sri Lanka and overseas. Prior to joining the Group he worked in the senior management cadre of Ernst & Young and thereafter served as Vice President at Amba Research Lanka (Pvt) Ltd.

He is an Associate Member of the Institute of Chartered Accountants of Sri Lanka, the Society of Certified Management Accountants – Sri Lanka and a member of the Certified Public Accountants – New Jersey. He is also a member of the Financial Reporting Faculty of the Institute of Chartered Accountants of Sri Lanka and a member of the Fiscal & Monetary Affairs Sub Committee formed under the Tourist Hotels Association of Sri Lanka. (THASL)

Mr. Althaf M. Ali

Mr. Althaf Mohamed Ali, is the Vice President - Sales & Marketing of Aitken Spence Hotels.

He holds a Bachelor of Commerce Degree from the University of Madras and a Post Graduate Diploma in Hotel Management from the Oberoi School of Hotel Management. He has more than 20 years of experience in the hospitality industry at senior managerial positions with the Oberoi Hotels, Universal Resorts - Maldives and with Aitken Spence Hotels handling Operations and Marketing in Sri Lanka, Oman and Maldives. Prior to his present position he was CEO of the Oman Sector.

Mr. Jeevaka Weerakone

Mr. Jeevaka Weerakone, is the Vice President - Operations in charge of hotels in the northern sector. Before taking up this appointment he headed the Human Resources / Learning & Development Division for Hotels in the Aitken Spence Group and prior to this was the Executive General Manager of Heritance Kandalama. He is a professional hotelier counting more than twenty five years of experience in Sri Lanka and overseas.

He has completed his MBA and is a graduate of the Sri Lanka Institute of Tourism & Hotel Management (SLITHM) specializing in Food & Beverage Operations, and a Fellow of

the Ceylon Hotel School Graduates Association (FCHSGA). He is also a Consultant for ISO 9000 quality systems. He has served as an Executive Committee Member of the Regional Economic Development Agency (REDA) representing the tourism industry in the Central Province under the Central Provincial Council and also served as a committee member of the CHSGA in 2010.

Mr. Danesha Perera

Mr. Danesha Perera - Asst. Vice President - Supply Chain - Maldives Operation - Aitken Spence Hotel Managements (Pvt) Ltd. and Director of Aitken Spence Exports (Pvt) Ltd.

He is the Head of Corporate Merchandising Department (CMD) - Maldives, ASHM Exports Operation (ASE) and Hethersett Bottled Drinking Water Plant (HBWP).

He held the office as the President of the Institute of Supply & Materials Management Sri Lanka (ISMM) for 2011/12 and 2012/13. He is currently representing ISMM as a Past President.

He is a Fellow of the Institute of Supply & Materials Management.

Also he held office as a Vice President of the Organisation of Professional Association in Sri Lanka (OPA). Currently he is the Association Member who represents the Institute of Supply & Materials Management Sri Lanka at the Organisation of Professional Association of Sri Lanka as a Forum Member and Executive Council Member. Also he serves as a member of the Membership Committee at OPA.

He was presented with the "Garner Themion" prestigious international award by the International Federation of Supply Management (IFPSM) in 2012.

Mr. Hussain Jayah

Mr. Hussain Jayah is the Assistant Vice President / Head of Marketing & Sales at Aitken Spence Hotels. He comes with a wealth of experience, and counts over 35 years in the Travel, Hospitality and Aviation industry. In the hospitality arena, he has been with International hotel chains, such as The Colombo Hilton, and thereafter headed the Marketing and Sales Department of the Taj Group of Hotels in Sri Lanka.

Prior to joining Aitken Spence he held Managerial positions at Sri Lankan Airlines in the Promotions, Public Relations, Commercial Departments and was also posted to Saudi Arabia, Oman and Thailand as Country Manager. A former member of the Board of Management of the Sri Lanka Conventions Bureau, he also represented Sri Lankan Airlines in the Tourism Master Plan Committee of Sri Lanka, and currently holds the position of Vice President of the PATA Sri Lankan Chapter.

Mr. Srinith De Silva

Mr. Srinith De Silva is the Chief Executive Officer of the Oman Sector of Aitken Spence Hotels. He is a Graduate of the Victoria University, Melbourne and counts many years of experience in international hotel chains, such as Sheraton, Raffles and Stamford. He has more than 21 years of experience in the hospitality industry in senior managerial positions handling operations and marketing in Saudi Arabia, Australia, Sri Lanka and India.

Mrs. Irandi Wijegunawardane

Mrs. Irandi Wijegunawardane is the Assistant Vice President of Learning & Development. She has graduated from Sri Lanka Institute of Tourism and Hotel Management (SLITHM) in 1983 and counts for over 30 years of extensive experience in the Hospitality industry in Sri Lanka and overseas.

She has obtained a National Diploma in Training and Human Resources Development (NDTHRD) from IPM and holds a Commonwealth MBA from the Department of Management Studies of the OUSL in partnership with the Commonwealth of Learning (COL) in Vancouver, Canada. She is a qualified assessor for National Vocational Qualification under Tertiary and Vocational Educational Commission (TVEC)

Prior to joining the Group she worked in many prestigious hotels in Sri Lanka and overseas, was also a Senior Faculty member of SLITHM – Colombo and was the Principal of SLITHM – Kandy. She has been actively involved in numerous curriculum development projects to uplift the service standards of the industry.

She is also a fellow Member of the Ceylon Hotel School Graduates Association and is active member of the Association.

Mr. Bhadiya Gunatilake

Badhiya Gunatilake is the Corporate General Manager, Operations and at present the acting COO of the Adaaran Resorts in Maldives. He is a Graduate of Ceylon Hotel School. A Professional Hotelier with more than 19 years of experience in the hospitality industry, including senior managerial positions, handling hotel operations in Sri Lanka, Oman & Maldives.

Sri Lanka

Sri Lanka offers the adventurous traveller a diversity of experiences including splendid historic sites, amazing wildlife and miles of spectacular beaches.

Sri Lankan Hotels



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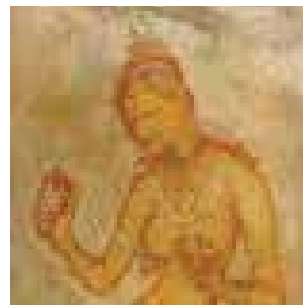
“A land like no other” for its diversity for any holiday maker - with many heritage sites, wildlife, lush landscape and mountainous scape and pristine beaches located within a mere couple of hours of each other! Since the end to a protracted domestic war in 2009, Sri Lanka is today one of the most attractive destinations in the world. A nation rich in history and culture, Sri Lanka is also home to several world heritage sites. ”



Heritance Ahungalla
Heritance Kandalama
Heritance Tea Factory
Heritance Ayurveda Maha Gedara
Heritance Negombo

Aitken Spence Hotels

Turyaa Kalutara
Hotel Hilltop
Amethyst Resort Passikudah
Earl's Regency
Bandarawela Hotel



Sri Lanka at a Glance

Sri Lanka offers the adventurous traveller a diversity of experiences including splendid historic sites, amazing wildlife and miles of spectacular beaches. Merchants and explorers from all over the world have been coming here for centuries in search of commercial opportunity, trading in gems, pearls, ivory, tortoiseshell and the spices for which Sri Lanka is famed; cinnamon, cloves, cardamom, pepper and nutmeg.

Marco Polo who visited the island in the last decade of the 13th century, described Ceylon as “the finest island of its size in all the world”. Today Sri Lanka is one of the world’s most popular destinations, drawing well over a million tourists in 2015, who continue to be delighted by its accessibility, the charm and friendliness of its people and the sheer diversity of experiences that the island has to offer.

sri lanka
W O N D E R O F A S I A

Heritage Ahungalla

Heritage Ahungalla is the perfect luxury base from which to go on a river safari along the Madu Ganga, visit the Kosgoda turtle hatchery or take in the culture and history of Galle and Sri Lanka's coastal villages.

Sri Lanka Hotels





About Heritance Ahungalla

Originally designed by legendary Sri Lankan architect Geoffrey Bawa, Heritance Ahungalla is a five-star luxury hotel with 152 rooms, located on 12 acres of beachfront on Sri Lanka's southwest coast. Heritance Ahungalla offers guests spacious and luxurious accommodation, award-winning cuisine, relaxing spa treatments and a range of outdoor activities in and around the locale.

In 2015 Heritance Ahungalla won the Travelife Gold Award for Hotels & Accommodation. Travelife is an international sustainability certification scheme for hotels and accommodations designed to improve environmental and social impacts and support local people, businesses and culture.

Heritance Ahungalla has also achieved the Green Globe benchmark for its environmental standards.



Sri Lanka Hotels - Heritance Ahungalla



Guest Review

“Private Beach, Sea facing pool and well maintained rooms”

Deepak K
21st May 2016

Travelled here to spend 3 days and the hype certainly lived upto the expectations. The rooms are well maintained and face the sea. Our room had a corridor that faced the sea and the wind blowing towards us. What I liked most was the pool which was amazing in the evenings. It faced the sea and gives a stunning sight towards sunset.

“Enjoyed it again... and will be too”

Dhanushka I
20th April 2016

Visited the hotel in Jan with my extended family members.

We were upgraded to a luxury room on the arrival and it was really nice. In the evening there was a magic show followed by some snacks for kids and they really enjoyed it. As usual buffet is really good with lot of choices. Pool, Beach and the surrounding offers a lot to enjoy the holidays...



Certifications



A heady mix of style and substance, Heritance Ahungalla is a refreshing beach property that offers the finest hospitality and premium services together with a magical destination. One of Geoffrey Bawa's earliest masterpieces, the property is a stylish and striking five star beach resort that blends in perfect harmony with the coastal splendour of Ahungalla.

The resort employs scores of people and sources supplies from the neighbouring villages as part of the ongoing investment drive to embrace sustainability. More than 65% of the total hotel staff has been recruited from

the local villages, many of them have not had previous hotel experience. Those from the local community, have risen up the ranks quickly, to enable Heritance Ahungalla to secure multiple awards for cuisine, service and environment practice.

Heritance Ahungalla emerged as the Most Outstanding Culinary Team in Sri Lanka after competing against both international and domestic star-class city and resort hotels at the 15th Culinary Art Competition organised by the Chefs Guild of Sri Lanka.



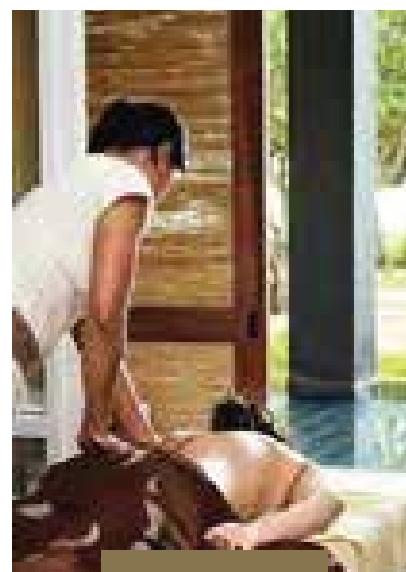
ACCOMMODATION

152 rooms with private balconies all facing the ocean. Rooms are equipped with energy-efficient air conditioning, free Wi-Fi and TV with satellite and local channels.



CUISINE

Heritance Ahungalla has won numerous awards for its fine cuisine. The hotel offers several dining options including the Jute Restaurant, the Upper Room and the Mustard Coffee Shop.



FACILITIES

2 swimming pools
Excursions
The Diviyan Spa
Conference facilities



Find out more about
Heritance Ahungalla online at
<http://www.heritancehotels.com/ahungalla/>

Heritage Kandalama

Heritage Kandalama is shaped like the outspread wings of a bird, following the line of the cliff from which it seems to emerge. The hotel is a staggering 1km from end to end and rises up seven floors, yet appears to be a perfectly natural extension of the mountainside.

Sri Lanka Hotels

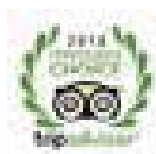




About Heritance Kandalama

Heritance Kandalama is another architectural masterpiece by Geoffrey Bawa, overlooking the rock fortress of Sigiriya. The hotel's stylish bedrooms and suites offer wonderful views over the Kandalama lake and it is recognized for fine dining and a range of activities and excursions to help guests learn more about the local wildlife and community and Sri Lanka's amazing heritage.

Heritance Kandalama has won numerous awards for its architecture, cuisine, service and environmental standards. It is the first Green Globe 21 certified hotel in Asia and the first LEED Certified Hotel in the region. Heritance Kandalama has also won the Gold Award for Built Environment at the Green Apple Awards.



Sri Lanka Hotels - Heritance Kandalama



Guest Review

“Best place ever”

Conrad S
14th May 2016

Wow from the time we enter to the hotel the service they gave was amazing. It was really easy for us in every way at our stay in Kandalama. The food, the surrounding everything is perfect and well cleaned. We were really in love with the place. very attractive.. This is our second stay and still we feel that we should come again. A big shout out for the staff members for doing their job amazingly..I guess u all have the best knowledge in customer service.awesome place to visit

“Wonderful stay”

Reshane F
8th May 2016

Our stay was not short of brilliant. Starting from when we arrived the staff helped us with our rooms and not forgetting the lovely suite which we were ushered into! The room and view was breathtaking. Quality and variety of food was also stunning. Nature and tranquillity was a definitive experience .Would definitely stay again at Heritance Kandalama . The staff was very helpfully in making sure our stay was perfect.



Certifications



The magical Heritance Kandalama peers out from within its lush green surroundings to welcome vistas that encompass the Sigiriya Rock Fortress, and the pristine Kandalama Lake. Nestled in its habitat, Heritance Kandalama is an award winning property that is a benchmark green-friendly effort and the acclaimed architectural vision of Geoffrey Bawa.

Blending perfectly with the natural environment, whilst preserving the aura of ancient hermit caves in it's environs, 152 roomed, 5 star resort Heritance Kandalama virtually leans against a thickly wooded rocky outcrop at the foot of the northern slopes of Sri Lanka's central hills. Perched just above the Kandalama tank, it overlooks an expanse of water that stretches the eye to the magnificent view of the fifth century A. D. Sigiriya rock

fortress and the first century BC Dambulla Rock Temple, two of Sri Lanka's most prominent UNESCO World Heritage Sites. Heritance Kandalama, continues to be a globally accepted case study on sustainable tourism.

Set against a backdrop of breathtaking panoramic views of the tranquil Kandalama tank and the distant Ritigala mountain range, Heritance Kandalama's scenic new Conference Centre, 'Kathikawa', is steadily becoming a sought-after alternative for meetings, incentives conferences and events (MICE). The facility has all of the standard requirements of an international conference and exposition venue has effectively positioned the resort as a high-end MICE destination particularly for the Indian and far-Eastern markets.



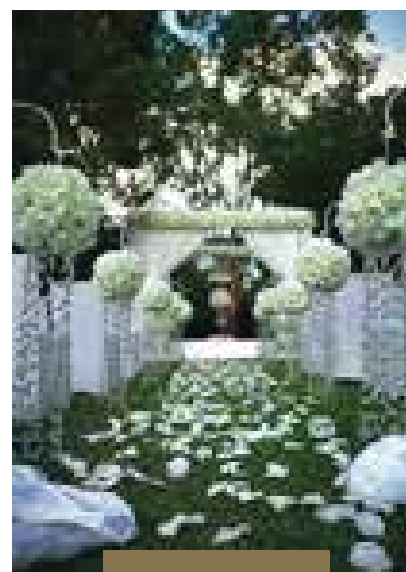
ACCOMMODATION

Heritance Kandalama has 152 rooms showcasing the genius of famed Sri Lankan architect Geoffrey Bawa. Split between two wings, all rooms overlook the Kandalama tank and forest.



CUISINE

Heritance Kandalama offers a range of fine dining options including the Kanchana Restaurant, the Kaludiya Fusion Room and the Kachan café.



FACILITIES

3 swimming pools
Six Senses Spa
Excursions
Conference facilities



Find out more about
Heritance Kandalama online at
<http://www.heritancehotels.com/kandalama/>

Heritage Tea Factory

Now you can stay in a converted tea factory, pluck your own tea and take it home with you as a souvenir! At 2km above sea level, the views over lush green tea plantations are truly unforgettable. Welcome to Heritage Tea Factory, where the kettle is always on.

Sri Lanka Hotels





About Heritance Tea Factory

Heritance Tea Factory has 54 rooms and is sited high in a mountain range considered to be the birthplace of the world's best tea. The original tea factory was constructed in the days of the British Raj.

The main restaurant offers guests the experience of dining in a 1930s narrow-gauge railway carriage.

Heritance Tea Factory has won more than 20 awards for its architecture, heritage and environmental policies. This hotel has also won the Gold Award for Architectural Heritage at the prestigious Green Apple Awards.



Sri Lanka Hotels - Heritance Tea Factory



Guest Review

“True Heritage and Class”

Rajesh V
23rd May 2016

Well how do we describe the most amazing experience that we have had on our stay at The Heritance Tea Hotel. Beautiful placed among the tea gardens. And Yes the factory turned into a fantastic hotel. Very friendly hotel. Can visit again and again.

“Beautiful building”

Roger2043
May 2016

My husband and I spent one night here whilst touring Sri Lanka. What a beautiful restored building. We stopped in a 2nd floor room and the view was amazing. We found the staff to be very helpful and friendly and the food was amazing. We loved our stay here and wished it was longer. Thank you all for making our holiday memorable.



Certifications



Encapsulated by its heritage of tea, Heritance Tea Factory infuses the spirit of a cuppa – warm, hospitable, soothing – to its every feature. A beautifully converted and restored tea factory, that is the epitome of luxurious upcountry living.

Heritance Tea Factory sits 6,800 feet above sea level, only six degrees from the equator. In the mountain range, which gave the world Pure Ceylon Tea. Unused since 1972, the Hethersett factory and estate was converted through sheer vision and innovation to be the only tea factory in the world that is a hotel. The 54 roomed, 4 star resort, is a reminder of the past in perfect blend with innovations of the present.

In 2014 Heritance Tea Factory was awarded the first organic certification in Sri Lanka by the Sri Lanka Standards Institute (SLSI) for the cultivation and processing of tea. After eight years of refining the processes used to cultivate and process organic black tea, green tea and herbal tea, the hotel emerged pioneers in achieving the organic certification. The mission to achieve 100% organic status was first realised in the year 2005 when the hotel discontinued the use of all forms of chemical fertilizer, pesticides or weedicides in the tea plantation. Artificial material was replaced with greener substitutes such as compost manure that is produced at the Hotel's in-house composting project. The growth of gotukola as an under layer in the tea plantation was encouraged to prevent the growth of weeds and aid in nourishing the soil.



ACCOMMODATION

The resort has 54 rooms on four floors, converted from the former withering lofts. The full-length windows ensure that the rooms are flooded with natural sunlight, while providing spectacular views of the surrounding tea plantations.



CUISINE

Heritance Tea Factory offers a range of local and international cuisine at TCK 6685 Restaurant, the Hethersett Bar and the Goatfell Bar.



FACILITIES

Outdoor activities and excursions
Misty Mountain Spa
Conference facilities



Find out more about
Heritance Tea Factory online at
<http://www.heritancehotels.com/teafactory/>



Heritage Ayurveda Maha Gedara

Heritage Ayurveda Maha Gedara is a specialist ayurveda hotel offering professional ayurveda treatments in a serene and relaxing environment. The Heritage Ayurveda Maha Gedara experience will soothe mind, body and soul.

Sri Lanka Hotels





About Heritance Ayurveda Maha Gedara

Heritance Ayurveda Maha Gedara has 64 rooms on three floors with private balconies overlooking the pool and sea. The hotel is sited on the island's southwest coast, near the village of Beruwala. Guests can relax in a tranquil atmosphere and enjoy ayurvedic treatment and therapies carried out by trained therapists and highly qualified ayurvedic doctors.

Sri Lanka Hotels - Heritance Ayurveda Maha Gedara



Guest Review

“Just relaxing”

Peintnerhelga
18th Feb 2016

The hotel is highly recommended !! The people are incredibly nice. The staff in all departments strives and competent. The food is varied and very good. The rooms are very nice though you are no longer the youngest. Cleanliness is top. The entire property is right on the beach and the total package is super. It is an absolute oasis and has a very high recreational value.

“Great stay!”

robgulpers
17th Nov 2015

Recommandation for ayurvedic treatment. Anyone who,s looking for Total relaxation and great service, Will surely enjoy this place . Nice atmosphere, good food and superb treatments. Ayurvedic treatment.



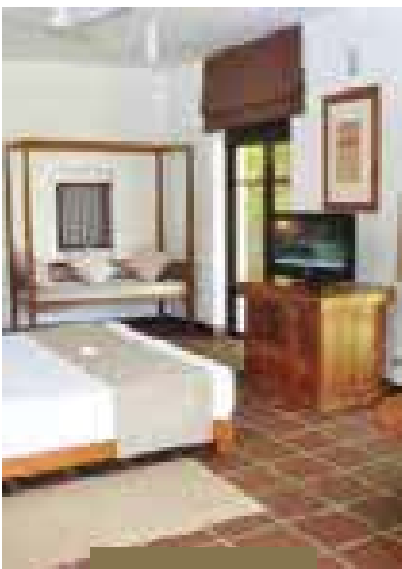
Certifications



An ayurvedic treatment destination, Heritance Ayurveda Maha Gedara is an iconic beach property nestled in manicured gardens and enveloped in calm serenity. Guests are offered the ultimate in spiritual, physical and mental harmony through custom-designed healing rituals that are enriched by extraordinary cuisine and outstanding hospitality.

Located on the sun-laden beach of Beruwela, Heritance Ayurveda Maha Gedara is a 64 roomed, "wellness" resort, offering a range of spa and ayurveda experiences. The resort is a sustainable product that promotes responsible tourism. Steeped in an ambience of quietness and enveloped by the scent of frangipani, the resort is a place that revitalises and rejuvenates.

“The Art and Craft Centre at the resort is our special gift to the traditional craftsmen and women of Sri Lanka. The Centre aims to uplift indigenous arts and crafts by providing a platform whereby award-winning artisan craftsmen can demonstrate their skills.”



ACCOMMODATION

The style at Heritance Ayurveda Maha Gedara is one of natural elegance, with tiled floors, wooden furniture and slatted blinds. Most of the rooms open onto private gardens and are air-conditioned with hot/cold water and rain showers.



CUISINE

Ayurveda Maha Gedara offers a healthy cuisine highlighting taste, medicinal value and presentation. The principles of the Heritance Ayurveda Maha Gedara cuisine emphasise healthy, flavourful food and our chefs have devised menus to suit every dosha.



FACILITIES

Ayurveda Centre
Outdoor activities and
excursions.



Find out more about
Heritance Ayurveda Maha Gedara online at
<http://www.heritancehotels.com/ayurvedamahagedara/>

Heritage Negombo

Heritage Negombo is a contemporary experience of refreshing culture, effortless luxury and inspiring locations. It is a way of life that embraces nature and tradition. You will love the imagination and inventiveness around every corner.

Sri Lanka Hotels





About Heritance Negombo

The ambience at Heritance Negombo is luxurious and chic. The former Browns Beach Hotel was demolished to build up the new 139 roomed five star beach property, Heritance Negombo which commenced operations in April 2016. The hotel is located on 6.5 acres of beach front in Negombo - a resort town with sandy beaches, busy fish markets and a thriving strip offering nightlife, entertainment and food.

“

Aitken Spence Hotels welcomed into its premier hotel portfolio Heritance Negombo in April 2016. The hotel complete with all the trappings of beach resort, promises to create a truly unique ‘Heritance’ guest experience.

”

Sri Lanka Hotels - Heritance Negombo



Guest Review

“One of the best hotels to relax and enjoy the day.. ”

Tharindu W
23rd May 2016

Customer service from check-in to check-out is superb superb and superb!! You will feel that you are with some of your family.. Rooms also very clean and tidy.. WiFi have every corner of the hotel.. No need to run lobby for WiFi :-)

One of the most beautiful beaches situated in front of the hotel.. Food also fantastic! Overall this hotel I recommend for families, couples and all the people who like to relax and enjoy 100%..

“Fabulous getaway”

Rizmy
23rd April 2016

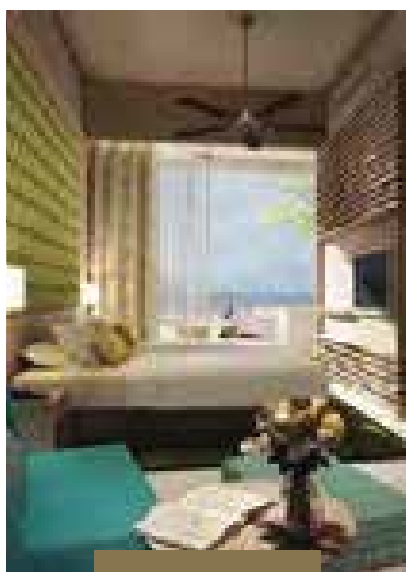
A fabulous experience with the family. Every aspect of a family holiday taken into consideration from kids pool fun & safety, to comfortable rooms to great food ranging from a general international buffet to satisfying a connoisseur’s spirits in every sitting. Absolutely courteous staff and on the ball Resident Manager available at all times. Highly recommended and a ‘MUST’ visit again destination. Certainly, more than a home away from home !!



Certifications



Located just 20 minutes from the air port, 40 minutes from Colombo and 30 seconds away from the Indian ocean, Heritance Negombo, the newest addition to the Group's portfolio is a resort hotel within a city. Its contemporary design combined with wide sandy beaches and chic living spaces by the shore, is the ideal getaway for you to experience the allure of the island's west coast in relaxing luxury.



ACCOMMODATION

All rooms and suites are comfortably and luxuriously equipped with an emphasis on style and comfort throughout. Rooms are air-conditioned with free Wi-Fi, iPod docking stations and USB compatible TV.



CUISINE

Enjoy indoor and al fresco dining at the Blue Tan restaurant while the See Bar and Lounge offers signature cocktails and other beverages.



FACILITIES

Banquet facilities
Lagoon pool
Rooftop spa
Outdoor activities and excursions
Gym



Find out more about
Heritance Negombo online at
<http://www.heritancehotels.com/negombo/>

Turyaa Kalutara

Within its coconut-palm fringed precincts, Turyaaa Kalutara is caressed by waves that lap the shore, tide after gentle tide.

Sri Lanka Hotels



About Turyaa Kalutara

Sprawled on six acres of ocean-front land, Turyaa Kalutara is a five star hotel with 200 rooms complete with private balconies. Conveniently located just 37 km from the cosmopolitan capital of Colombo, Turyaa Kalutara is a luxurious seaside sanctuary on the south coast.

turyaa
KALUTARA

Aitken Spence Hotels

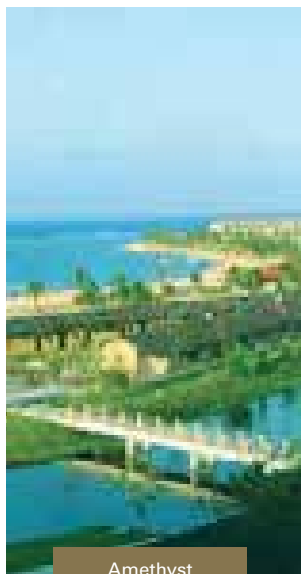
Enjoy world class service and inimitable hospitality with Aitken Spence Hotels in Sri Lanka, your home away from home.

Sri Lanka Hotels



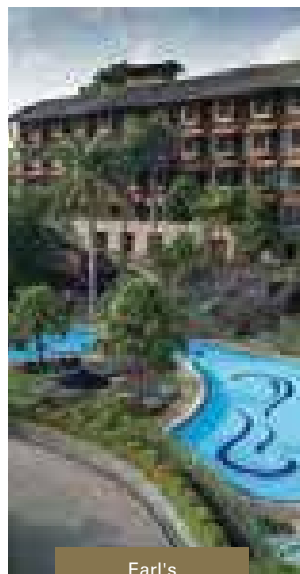
Hotel Hilltop

Hotel Hilltop is a charming 73 roomed hotel situated in the lush hills, overlooking the historic city of Kandy. The hotel offers exceptional amenities and superior service, in true Kandyan style.



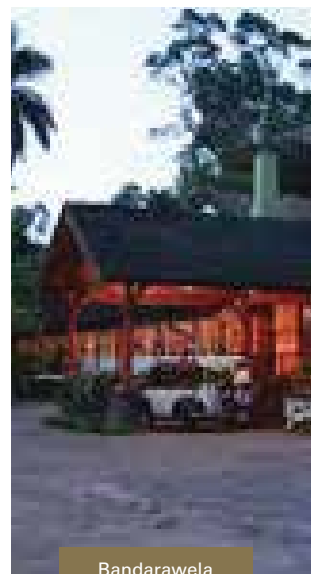
Amethyst Resort

Amethyst Resort Passikudah has 39 rooms and is located by the stunning Passikudah bay, in close proximity to Batticaloa.



Earl's Regency

Earl's Regency is a five star 134 roomed getaway located in the heart of the island's cultural capital, Kandy. Surrounded by history and royal tradition, Earl's Regency offers a luxurious base from which to explore the Central hills.



Bandarawela Hotel

Bandarawela Hotel is a charming colonial hotel of 34 rooms, nestled amidst the misty mountains of Bandarawela - a hilly town known for its lush tea plantations, cool weather and scenic mountain landscapes.

Maldives

As Proust once said, “The real voyage of discovery consists not in seeking new landscapes, but in having new eyes.” The Maldivian Islands are famous for their pristine turquoise waters, brilliant coral reefs and blinding white beaches....exotic, captivating and unforgettable.

Maldives Hotels



“

With dazzling white sands, swaying palm trees and crystal blue waters, this is the quintessential picture-perfect holiday – with an added sprinkling of something special. Far-flung and exotic, it's the ultimate luxury beach escape.

”



Maldives at a Glance

The Maldivian Islands are famous for their pristine turquoise waters, brilliant coral reefs and blinding white beaches.... exotic, captivating and unforgettable.

With luxuriously warm seas and powder white beaches, the Maldives are a picture-perfect holiday destination. The island's unspoiled beaches are possibly the best in the world. Shores are fringed by swaying palm trees and sparkling waters with tropical fish, dolphins and five species of sea turtles.

Aitken Spence hotels in the Maldives currently offers travellers the exquisite experience of the 4 island resorts: Vadoo, Meedhupparu, Rannalhi, and Hudhuran Fushi, recognized as among the best in Maldives.

The acquisition of the 2 new island resorts Aarah and Raafushi have brought the group's portfolio to 6 resorts and plans are underway for the development of them. All our hotels offer luxurious accommodation, superb cuisine and unmatched tranquility for the perfect beach getaway.



Adaaran Prestige Vadoo
Adaaran Prestige Water Villas
Adaaran Select Meedhupparu
Adaaran Club Rannalhi
Adaaran Select Hudhuran Fushi



Adaaran Prestige Vadoo

Sun, sand and surf are the best things about a holiday in the Maldives and the picturesque island of Vadoo does not disappoint, offering expanses of pristine white beach and shining turquoise water under blue tropical skies.

Maldives Hotels





ADAARAN
Prestige
VADOO
MALDIVES

About Adaaran Prestige Vadoo

Adaaran Prestige Vadoo is a luxury resort with its own fabulous coral reef teeming with vibrant aquatic flora and fauna. 50 elegantly appointed villas are set amongst landscaped gardens with a magnificent swimming pool and exclusive spa facilities, making this resort a particular favourite for honeymooners who enjoy the exotic and romantic ambience of this luxurious hideaway.



Maldives Hotels - Adaaran Prestige Vadoo



Guest Review

“A Dream Come True !!!”

Ananya1986
11th May 2016

This was a surprise bday trip for my husband and this vacation was a dream come true for us !! Nothing can justify the beauty of the place , the color of the water it is exactly as what you see in the pictures! We took the Sunrise Water Villa was beautiful and I loved the fact that it faced the beach. A special thank you to Faisal our personal butler who ensured all our needs were taken care of, kept in mind all the small details just made that we were happy and smiling all the time, Ahmed who made sure food was perfect and the young chap Lahirooo who took us on a unforgettable snorkeling trip - I got to see the sea turtle which was unbelievable !! Thank you aLL !!!

“Most beautiful place on earth”

namratab15
5th march 2016

This was the best holiday I had ever had. This resort has all the amenities you need to relax and destress and have the best vacation of your life. The staff is skilled, warm and friendly. Our butler Vaishakh was very helpful and helped us plan our vacation activities well. There is a lot to do at this resort - snorkeling, scuba diving, other water sports, fishing during sunrise or sunset, island and city tours or simply beach bumming. I would highly recommend this place to anyone who is planning to visit Maldives.

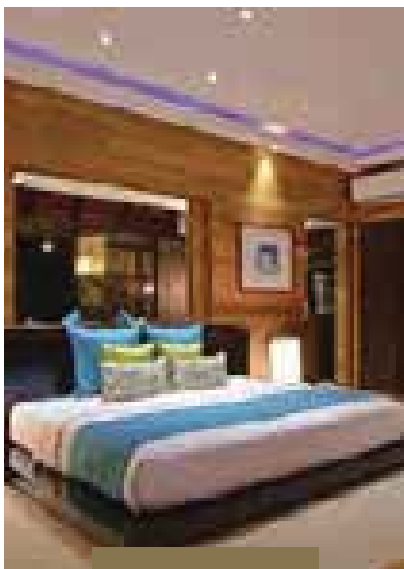


Certifications



Time ceases to exist at Adaaran Prestige Vadoo where a sun kissed exotic coral reef teeming with vibrant aquatic flora and fauna beckons the sun-worshipping traveller. The tropical escape offers the most luxurious amenities and facilities to enrich a captivating experience.

"Vadoo" sits on 4.5 acres in an island surrounded by a breathtaking reef. Just 15 minutes by speedboat from the Airport and the City of Male, the resort is a haven of exclusivity. Fifty luxurious water villas including six Japanese style water bungalows and a Japanese themed restaurant sets Adaaran Prestige Vadoo apart from the rest.



ACCOMMODATION

Adaaran Prestige Vadoo offers Sunrise Water Villas, Sunset Water Villas and Honeymoon Villas; all featuring wooden floors, sun decks and plunge pools with stunning views of the Indian Ocean.



CUISINE

Sample outstanding cuisine at the Farivalhu Restaurant or Japanese seafood at the Kithajima Restaurant. Our main bar has a distinct three sided wooden deck on which drinks can be enjoyed while the Beach bar offers a prime beach location on golden sands.



FACILITIES

Snorkelling, scuba diving
Spa
Swimming pool
Gym
Beach volleyball
Excursions



Find out more about
Adaaran Prestige Vadoo online at
<http://www.adaaran.com/prestigevadoo/>

Adaaran Prestige Water Villas

Elegant wooden interiors with crystal clear water just outside. Adaaran Prestige Water Villas are known for luxurious accommodation with private sun decks to enjoy breathtaking views of the horizon.

Maldives Hotels





ADAARAN
Prestige
WATER VILLAS
MALDIVES

About Adaaran Prestige Water Villas

Adaaran Prestige Water Villas in Maldives are located in Raa Atoll, 136 km to the north of the capital, Male. A sea plane journey takes 45 minutes. The location also makes it an ideal venue for water sports. An officially certified diving school offers programs for divers at any level, from beginner to expert.



Maldives Hotels - Adaaran Prestige Water Villas



Guest Review

“Exceptional Water Villas”

Geoffrey K
14th May 2016

We went there for 7 nights for our honeymoon. The service was just exceptional, i had been in contact a few months before with a manager there to arrange some surprises for my wife and they did ever so well and everything was just perfect. Well recommended and plan to go back for our one year wedding anniversary!

“Fantabulistic !!!!!!!”

RDGautam
30th March 2016

This review is coming quite late. We were at this resort in May 2015 and I must admit this is simply wow .The entire resort looks amazing and you feel elated ! The shark show in the evening is pretty cool and you get to see so many amazing sharks .The service is quite good and they went out of the way to make and serve vegetarian food to me .

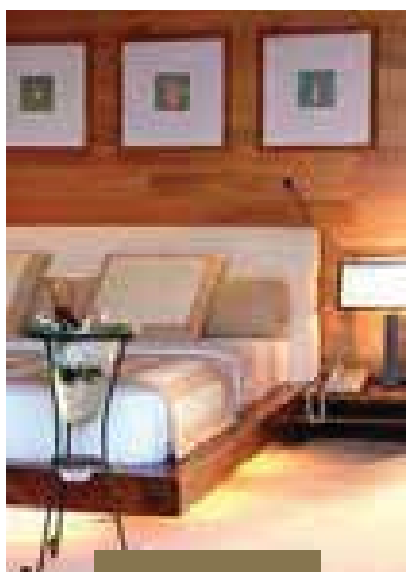


Certifications



Adaaran Prestige Water Villas offers paradise on earth. The private beaches of Adaaran Prestige Water Villas are complemented by a serene blue lagoon and shallow coral reef. The property offers sophisticated comforts and personalised details to envelop guests in the splendour of the Maldives.

Adaaran Prestige Water Villas is the destination of choice for a blissful holiday spent basking under the tropical sun, soaking up the beauty and comfort of warm tantalizing beaches. The five star resort is a unique blend of luxury and tranquillity, offering every aspect of a fulfilling experience.



ACCOMMODATION

This resort offers luxurious, spacious wooden interiors that open up to glass-bottomed sun decks over the ocean. The villas have their own private jacuzzis as well. Rooms have air-conditioning and TV, WiFi, minibar and espresso machines.



CUISINE

Experience a truly holistic dining experience at our Signature fine dining restaurant offering a range of options from succulent seafood fresh out of the dhonis to signature European delicacies.



FACILITIES

Snorkelling and scuba diving
Wind-surfing
Excursions



Find out more about
Adaaran Prestige Water Villas online at
<http://www.adaaran.com/prestigewatervillas/>

Adaaran Club Rannalhi

Bask in the golden sun and laze in the warm ocean waters as you experience the tranquil tropical luxury of this exotic island getaway.

Maldives Hotels





ADAARAN
Club
RANNALHI
MALDIVES

About Adaaran Club Rannalhi

Adaaran Club Rannalhi sits at the tip of the South Male atoll. Its unique location offers access to pristine beaches, excellent scuba diving with access to the capital city of Male. Bask in the golden sun and laze in the warm ocean waters as you experience the tranquil tropical luxury of this exotic island getaway.



Maldives Hotels - Adaaran Club Rannalhi



Guest Review

“100% Heaven”

Anggung S
13th April 2016

Everything is absolutely perfect! Good place for couple and family. The beach is very clean, sometime we swim with fish and stingray. Drinks are unlimited, the staff were good good good. This resort is very recommended. Just good and good. Wanna go back soon!

“A Magical start to the New Year”

Tom H
29th Jan 2016

My wife and I had the most wonderful start to the year here!!! The island is idyllic; the beach is beautiful, the snorkelling amazing, and the staff were fantastic. The bungalow we stayed in 418 is one of the newer ones and, being set out on its own, offers extra privacy – perfect for a relaxing break. We were also particularly grateful to Ahmed Jacob (our house keeper) for looking after us so well and surprising my wife with a happy birthday Maldives-style!



Certifications



At the tip of the South Male atoll, Adaaran Club Rannalhi is a relaxed destination, with excellent scuba diving and easy access to the capital city of Male. The sumptuous cuisine, well appointed accommodation and waters full of beautiful marine life makes Adaaran Club Rannalhi a resort like no other.

The 130 roomed, 4 star resort boasts of water villas and was one of the first resorts in the Maldives to popularise the concept of over water accommodation. Located in an island of lush green vegetation, the resort boasts of a beautiful beach and a reef that is home to exotic tropical fish. The resort offers 35 water villas and 95 beach villas.



ACCOMMODATION

Adaaran Club Rannalhi has 34 spacious and secluded Water Bungalows located over water with private sun decks offering panoramic seascapes and direct access to the ocean. The 34 standard rooms have balconies or terraces with views of either the ocean or gardens.



CUISINE

From the freshest picks of the ocean to colourful tropical cocktails, Adaaran Club Rannalhi cuisine features a diverse buffet from around the world as well as local favourites, while the Nika Lounge Bar is a great place to unwind, with panoramic views of the ocean.



FACILITIES

Snorkelling
Deep sea fishing
Water-skiing
Spa
Beach volleyball
Excursions



Find out more about
Adaaran Club Rannalhi online at
<http://www.adaaran.com/clubrannalhi/>

Adaaran Select Hudhuran Fushi

Experience an unforgettable holiday in the tropics at Adaaran Select Hudhuran Fushi. Blessed with thriving vegetation and pristine waters, the Island of White Gold lies in peaceful seclusion in the North Male Atoll.

Maldives Hotels





ADAARAN
Select
HUDHURAN FUSHI
MALDIVES

About Adaaran Select Hudhuran Fushi

Adaaran Select Hudhuran Fushi is known as the Island of White Gold, located in the peaceful seclusion of the North Male Atoll. Set in 83 acres of lush tropical beach property near Kani Beach on Lohifushi Island, the resort's design helps it blend into its surroundings.



Maldives Hotels - Adaaran Select Hudhuran Fushi



Guest Review

“Best memories for life/The most beautiful second honeymoon”

Ridhiemaa
27th April 2016

Its just been a week since i have returned from my second honeymoon which i celebrated at The Adaaran Select Hudhuranfushi Ocean Villa. This place is a paradise. We made so many friends there. The Resort staff is very kind and helpful. An Absolutely wonderful location, beautiful sunsets. Food comprises of delicacies from across the globe. The Couple spa was very rejuvenating and calming. The resort has several daily entertainment for the guests like live band, karaoke, local folk dance, etc. The Snorkeling excursions were addictive to us and we did it almost daily. We saw very few kids. The place is apt for lovers, couples, etc. We strongly recommend this to all.

“Undoubtedly Paradise”

Shihalini R
24th April 2016

Hudhuranfushi island is undoubtedly one of those picturesque islands in the Maldives. Quite larger than expected, they have the touch of Maldivian culture in the island with thatched roofs and natural beaches. The staff was fantastic and attended to any requests you had. Never felt that I was being trouble. Nice spa too. Took a look at the ocean villas it was beyond imagination.. Will book it for our next trip. All the best guys! Keep up the good work.



Certifications



Located in the peaceful seclusion of the North Male Atoll, Adaaran Hudhuran Fushi is blessed with thriving vegetation and pristine waters – a true paradise hidden away in 83 acres of lush tropical beauty. The resort is designed to preserve the hushed calmness of a tranquil village basking in the bright sunshine.

The resort's close proximity to Male makes it one of the most sought after holiday spots in Maldives. The newly refurbished resort boasts of 215 villas including 37 prestige water villas and is the 2nd largest resort of the Adaaran group. The 4 star resort also known as the surf island, conducts surfing holidays in summer. The resort ocean villas have dedicated bar and lounge facilities and the resort offers a number of over water restaurants.



ACCOMMODATION

The resort has distinct styles in elegant accommodation; the Beach Villas offering splendid views of the horizon and the Garden Rooms with views of the landscaped gardens. The Prestige Ocean Villas located over water, are furnished in colourful, contemporary themes.



CUISINE

Guests can enjoy fine dining at the Sunset Bar and Restaurant, the resort's signature café, while the Banyan Restaurant offers a wide menu ranging from traditional Maldivian to Western. Later, the Lohis Bar and Hiyala Bar are great locations to wind down and enjoy the sunset over a cocktail...



FACILITIES

Snorkelling and scuba diving
Deep sea fishing
Wind-surfing
Spa
Night fishing
Excursions



Find out more about
Adaaran Select Hudhuran Fushi online at
<http://www.adaaran.com/selecthudhuranfushi/>

Oman

The promise of Oman as a powerful emerging tourism destination for the Middle Eastern region, positions it with great market potential.

Oman Hotels



“

When you think of Oman, think of starry skies, romantic sunsets, and desert bonfires. An inspirational reminder of a seemingly bygone era, our hotels in Oman offer a look into the past but with modern amenities and services. Aitken Spence has five hotels in Oman, situated in the most picturesque towns: Muscat, Sohar, and Sur.

”



Oman at a Glance

Oman is a land of starry skies, romantic sunsets, and desert bonfires. An inspirational reminder of a seemingly bygone era, the Aitken Spence hotels in Oman offer a visit to the past with contemporary comfort and services. Aitken Spence has five hotels in Oman, situated in the most picturesque towns of Muscat, Sohar and Sur.

Travellers to Oman are offered a vast selection of unusual holiday activities: camping in the mountains, sand skiing in the desert, mountain climbing, scuba diving, desert safaris and opportunity to enjoy the annual festivals of traditional folklore and tribal dancing.



Al Falaj Hotel - Muscat
Desert Nights Camp - Al Wasil
Ruwi Hotel - Muscat
Al Wadi Hotel - Sohar
Sur Plaza Hotel - Sur

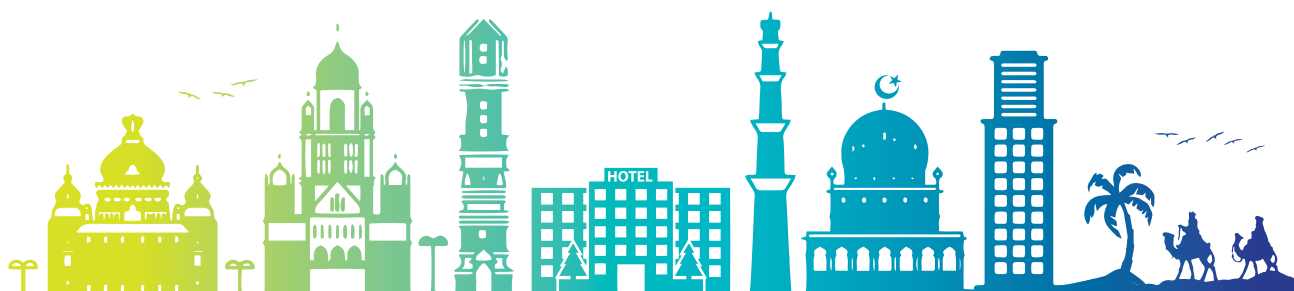


Al Falaj Hotel - Muscat

Explore the capital city of Muscat boasting a rich heritage going back thousands of years. Evidence of community activity in the area around Muscat dates back to the 6th millennium BCE in Ras al-Hamra.

Oman Hotels





About Al Falaj Hotel - Muscat

Al Falaj Hotel is a 150 roomed 4 star hotel conveniently located in the heart of Muscat with easy access to both the business district and local tourist attractions. The hotel is a pleasant 35 km drive from the Muscat International Airport and is the finest business hotel Oman has to offer.

Al Falaj Hotel is owned and managed by Aitken Spence Hotels and offers exotic cuisine, outstanding conference facilities, courteous staff and a choice of recreational activities to guests.

Oman Hotels - Al Falaj Hotel, Muscat



Guest Review

“Value for Money”

DebaMishra
27th April 2016

I have been coming to this hotel for the past 7 years on business trips. It is more of a home for me. I find it clean, decent and quite comfortable. Good amenities like Gym, Pool, Bar etc. The breakfast spread is pretty decent.

“Cozy”

Mdrussellusmc
14th March 2016

This hotel is cozy with very comfortable beds and yes they are small like other reviews suggest but quite with a friendly vibe with good overall clean hotel. The staff is very friendly, considerate, helpful which is a major plus for me. Smooth check in and check out process. Service is great and great WiFi service. I will definitely stay at this hotel again. They have a swimming pool, massage service, several places to eat and a gift shop.



Al Falaj Hotel, Muscat is conveniently located in the heart of the city with easy access to both the business district as well as to tourist attractions. A pleasant 25 km drive from the Seeb International Airport, the Hotel is an ideal meeting point for business or pleasure.

Al Falaj Hotel offers you the opportunity to see the real Muscat with a central location, and easy access to the beach. The hotel grounds are pleasant with tennis and squash courts, as well as two outdoor pools to cool off during hot afternoons. Special lessons for swimming, tennis and karate are also provided.

The wellness centre gives you the opportunity to work out and relax. The Health club has two separate and fully equipped gymnasiums with extensive separated facilities for ladies & gents each including a sauna and a steam room.

Al Falaj offers its guests exotic cuisine, premium conference facilities, and a choice of recreational activities that will help you unwind.



ACCOMMODATION

Contemporary elegance and style are signatures of the bedrooms and 4 suites. Rooms are equipped with air conditioning, free Wi-Fi, TV/DVD, en suite baths, minibar.



CUISINE

Al Falaj Hotel restaurants and bars provide guests with a wide variety of cuisines and the opportunity to indulge their preference. Our restaurants include the Tokyo Taro Japanese Restaurant, the Lounge and the Souq Café.



FACILITIES

Health club
Swimming pool
Prayer room
Excursions
Conference facilities



Find out more about
Al Falaj Hotel online at
<http://www.aitkenspencehotels.com/alfalaj/>

Desert Nights Camp - Al Wasil

Drift into magical nights and feast on traditional Omani fare in the flickering glow of the campfire with the spectacular craggy mountains in the distance, the endless dunes and crystalline wadis...

Oman Hotels



About Desert Nights Camp - Al Wasil

The Desert Nights Camp in Oman is two hours away from Muscat. The camp is sprawled across 10-acres of silken sands, secluded 11km within the vast isolation of the Omani desert. 30 sumptuous Bedouin style tents with en suite baths offer a world of unparalleled luxury and comfort.

Oman Hotels

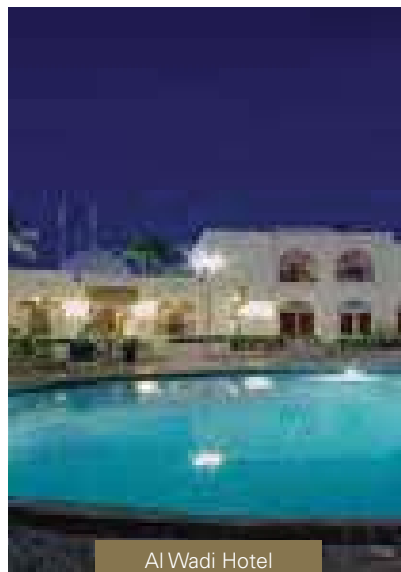
"Oman's diverse terrain of mountains, desserts and seascapes are an outdoor enthusiast's dream come true"

Oman Hotels



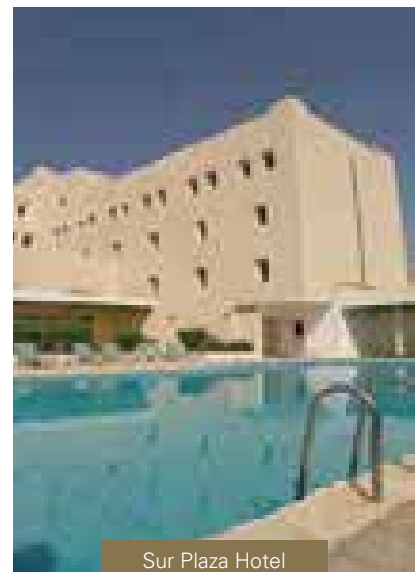
Ruwi Hotel
- Muscat

The 3-star Ruwi Hotel, Muscat offers 100 well furnished and spacious guest rooms and duplex suites. The archetypal fortress-style hotel is located in the heart of the city centre overlooking the capital's main business and banking district.



Al Wadi Hotel
- Sohar

Al Wadi Hotel is located in Sohar, the ancient maritime capital of Oman. Ideal for business and leisure travellers alike, Al Wadi hotel has 79 standard rooms, bars and restaurants, recreational facilities and a conference room.



Sur Plaza Hotel
- Sur

Enjoy age-old Omani hospitality at the Sur Plaza Hotel in Sur, reputed for its old fishing village and traditional dhows. 220 km from Muscat, this comfortable 3-star hotel offers business and holiday travellers a superlative service with a touch of tradition.

India

India has a colourful history that took them through the Moghul era, the British, and everything in between. The resulting 'modern India' paints a picture which is largely influenced by its past.

India Hotels



“

A spiritual and intoxicating country, India is home to millions of people, mountainous, desert and coastal landscapes, and some of the world's largest and culturally diverse cities. Somewhat of an enigma, this is a nation that is constantly changing and embracing the modern world, yet maintaining the cultures, customs and beliefs of old. It's frenetic, brash, vibrant and brilliant, and on just one trip you may only scratch the surface of this incredible country but it will leave you coming back for more.

”



India at a Glance

From Himalayan peaks to captivating beaches on the Indian Ocean coastline, golden deserts to cool green hills, serene backwaters and rich wildlife to pilgrimage sites, architectural splendours and a history that reaches back 5 millennia; India captures the heart of every tourist!. Traveling through the diverse 29 states of India, a tourist will discover a variety of festivals, colourful fairs, lively markets, diverse flavours and exotic cuisine and vibrant lifestyles, with the common thread of traditional Indian hospitality. This world's 2nd most populated nation provides an exhilarating experience that is - colourful and colliding, spiritual and soothing.

Incredible India

Turyaa Chennai

Traveling - it leaves you speechless, then turns you into a storyteller.

Ibn Battuta

India Hotels





turyaa
CHENNAI

About Turyaa Chennai

India is a vast country with a rich and glittering history going back for over 5 millennia. Chennai, on the Coromandel Coast off the Bay of Bengal, is now the cultural, economic and educational hub of South India.

Conveniently located in the IT corridor of Chennai and a short drive away from the heart of the city, Turyaa is one of the best new hotels in Chennai, an ideal amalgamation of business and leisure. Whilst primarily a business hotel, Turyaa Chennai transforms into an idyllic sanctuary in the evening, with a poolside rooftop that opens out to the bustling city.



India Hotels - Turyaa Chennai



Guest Review

“Personalised customer friendly hotel”

345rejic
14th April 2016

The Turyaa team makes one feel extremely welcome and their rooms are practical, spacious and comfortable. The SVAR restaurant team is very astute to meet every customers personal likes and do go the extra mile to make you feel special. The location is perfect on the OMR road and despite being relatively new their staff are a very well organised operations and do not miss the smallest of details when it comes to customer friendliness.

“Fantastic Hotel and Staff”

Neha T
31st March 2016

This was my first stay at Turyaa. Its an amazing experience and always want to make my stay at Turyaa whenever I'll be there in Chennai. New and clean rooms. Very courteous staff. Its a homely experience staying at this hotel. Food is delicious and it becomes more delicious when mixed with staff courtesy. I must say you should have an experience of staying at Turyaa on your visit to Chennai.

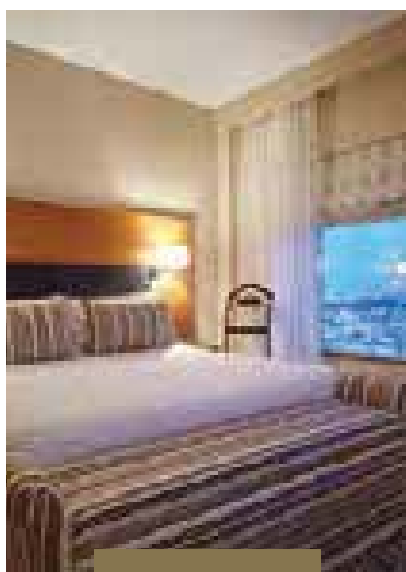


Being situated only 20 minutes away from the Chennai International Airport is definitely an advantage to any traveller and discerning guest looking for comfortable accommodation. For those interested in some adventure and history, Turyaa's neighbouring UNESCO world heritage site, Mahabalipuram, is home to rock carved temples shaped like chariots and cave sanctuaries, depicting glorious scenes from Hindu mythology. By the 7th century it was a port city of South Indian dynasty of the Pallavas. It has a group of sanctuaries, which was carved out of rock along the Coromandel coast in the 7th and 8th centuries.

Turyaa Chennai is all about enterprise and entertainment right in the heart of the city of Chennai; the commercial, cultural, economic and educational centre of South India.

Besides being the closest Hotel to the City Centre, it is also built to cater to the needs of a discerning, tech savvy, business clientele & Leisure travellers.

State-of-the art, astute in its 24 hour concierge services that begin from the point of airport transfer, Turyaa Chennai offers all its guests a hassle free and all-encompassing staying experience that facilitates them stay ahead of the game. The conveniences at the Hotel extend beyond the 24 hour Reception, 24 hour In-room dining, 24 hour Coffee shop and Currency exchange services; it also ventures to indulge its guests in pleasurable moments of lobby and restaurant music reveries, and rooftop siestas to rejuvenate during business breaks.



ACCOMMODATION

Turyaa Chennai has 112 Deluxe rooms, 24 Junior suites, 3 Premier suites and the Sundara suite. Rooms are air conditioned with TVs and other facilities.



CUISINE

Enjoy fine dining at the Svar restaurant and authentic Oriental feasts at the Dao Chinese restaurant or clink glasses at the Twist Bar. Guests can also visit the Mista deli and Coffee shop or enjoy a fusion cuisine experience at the Samasa Garden Restaurant,



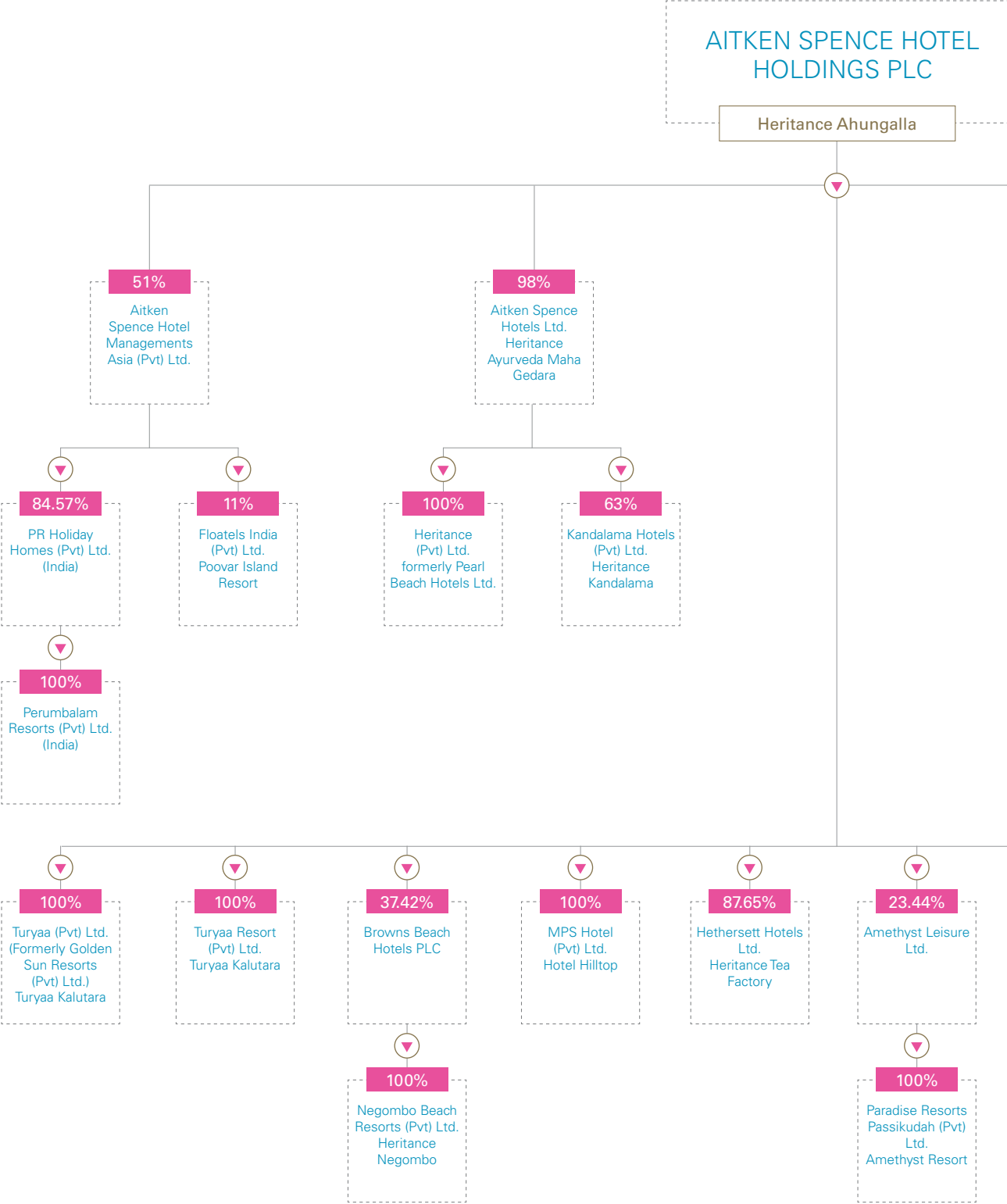
FACILITIES

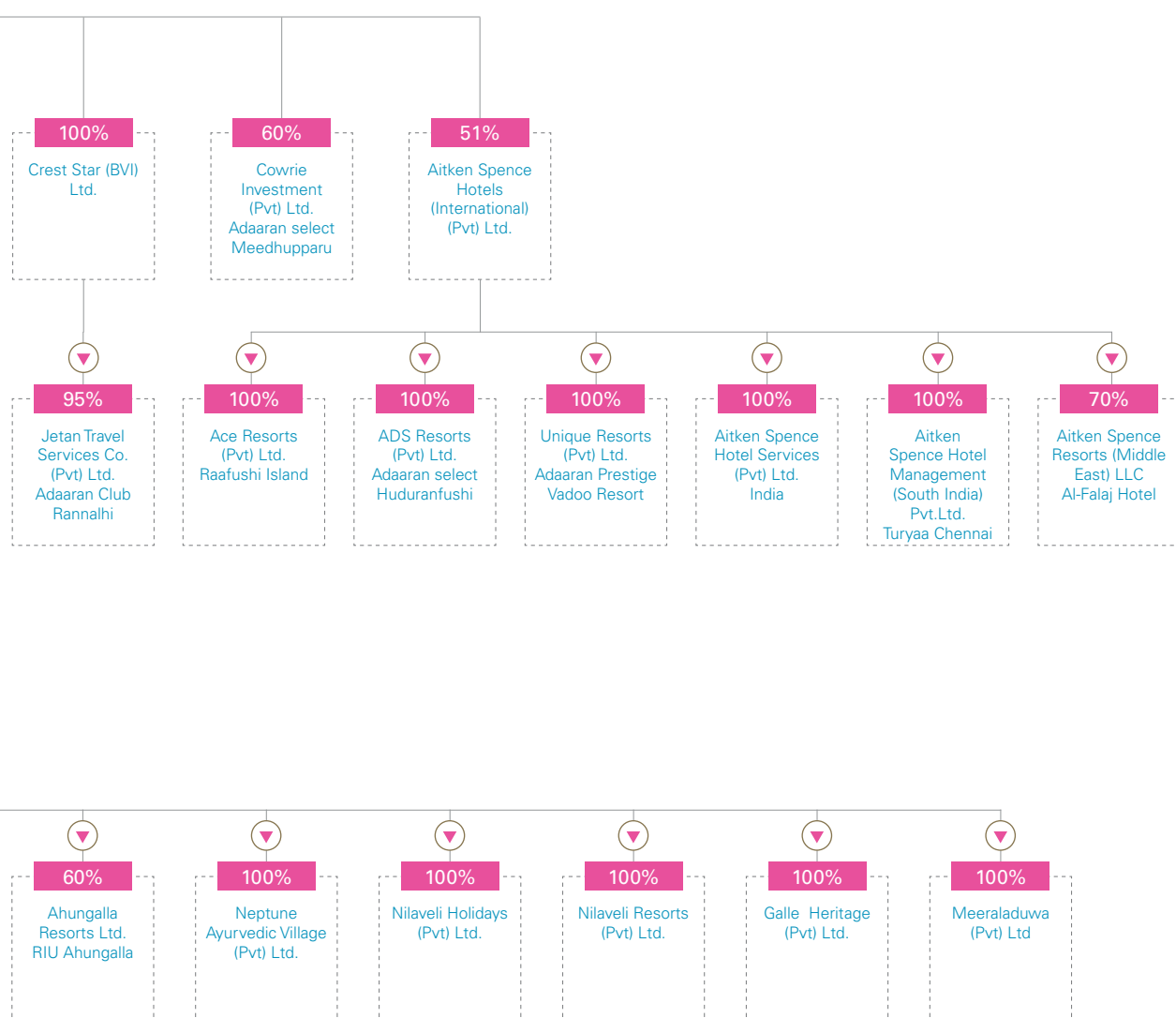
Gym
Swimming pool
Aayu spa
Conference and banquet facilities



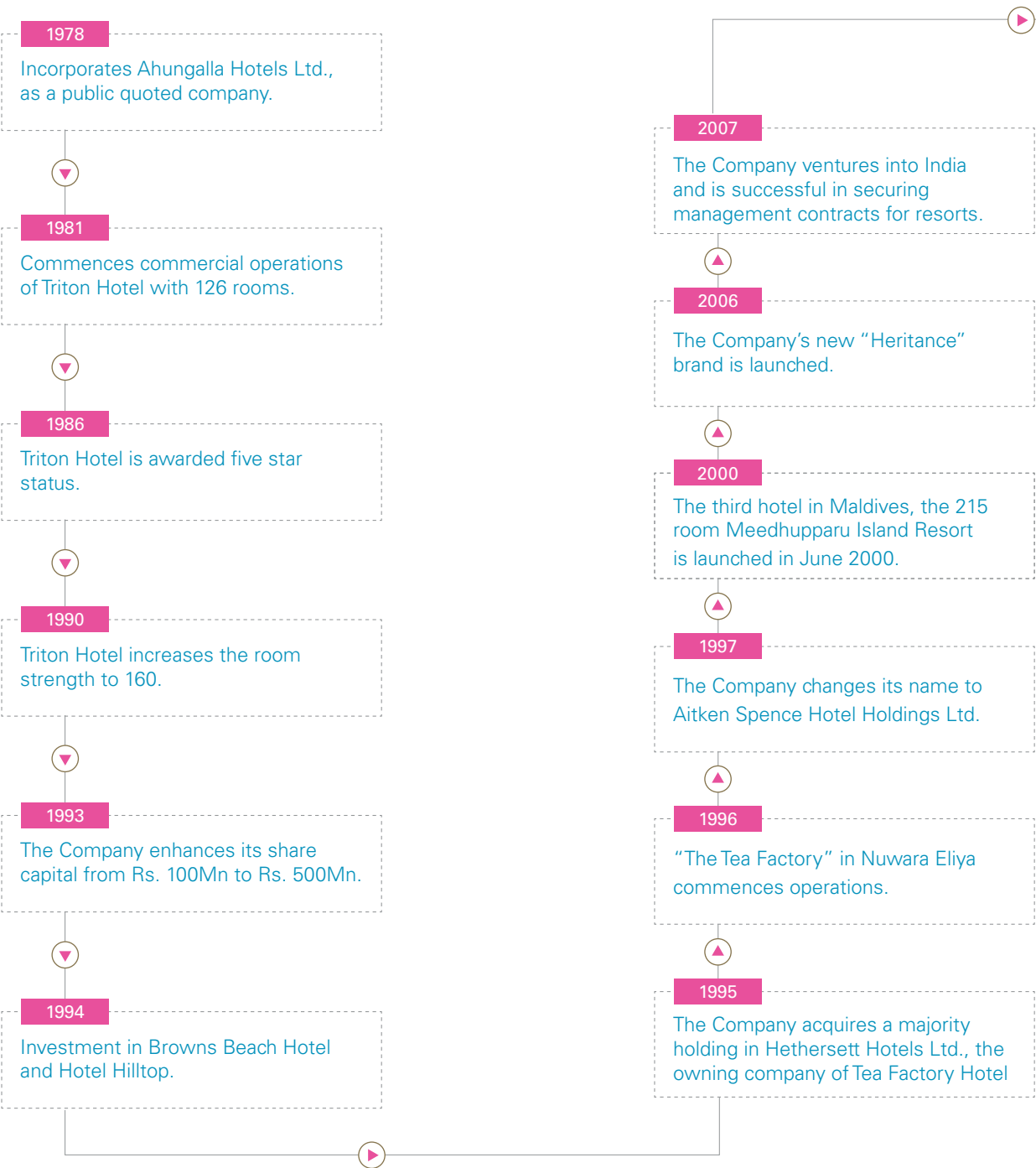
Find out more about
Turyaa Chennai online at
<http://turyaahotels.com/chennai/>

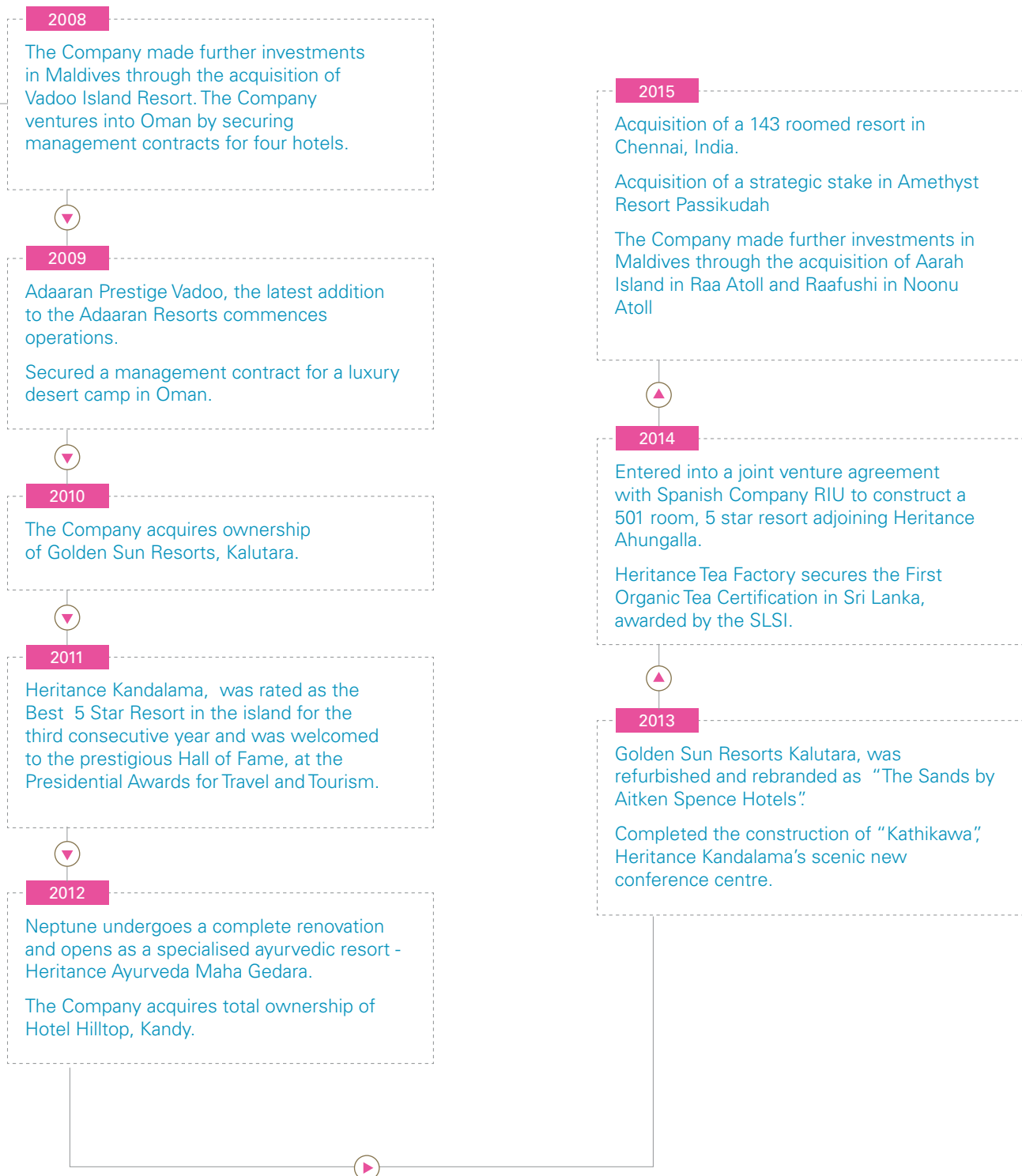
Group Structure





Milestones





Milestones

With a heritage that dates back 148 years ... Aitken Spence has been Sri Lanka's leading hotel Company it continues on a growth trajectory, creating new milestones and expanding horizons.

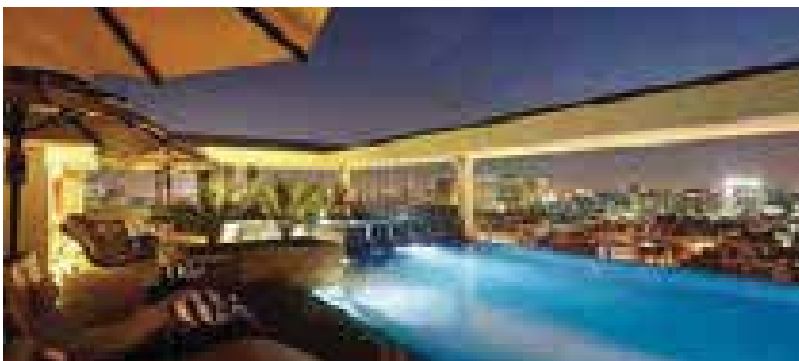


APRIL 2015

The group acquired its sixth island in Maldives, Raafushi in the Noonu Atoll.

+

pg 59 <<



OCTOBER 2015

Located in the IT Corridor of Chennai and just a short drive away from the heart of the city the Group launched Turyaa Chennai, the first property in India under its ownership.

+

pg 86 <<



NOVEMBER 2015

The 200 roomed Turyaa Kalutara commenced operations. Great food, fun, lively and vibrant will be the hallmarks of this property located just 37 km away from the city of Colombo.

+

pg 56 <<



FEBRUARY 2016

The group acquires Al Falaj Hotel in Oman making it the group's first acquisition/investment in the sultanate

+

pg 78 <<

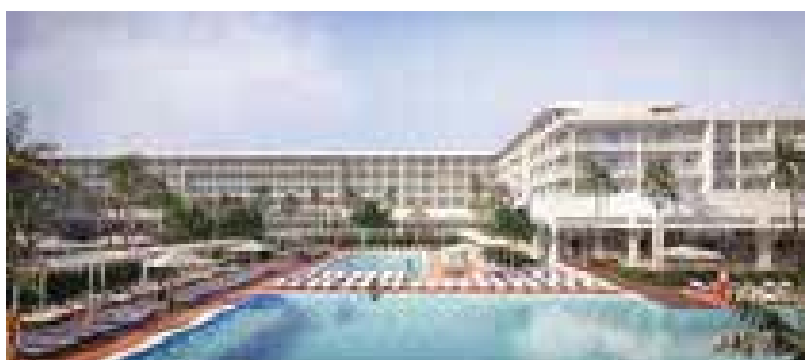


APRIL 2016

Aitken Spence Hotels unveils Heritance Negombo. Located in close proximity to the City and the International Airport, making it a popular hotel for travellers keen to be near the city and explore its attractions

+

pg 52 <<



2015 - 16

ONGOING PROJECTS 1

Construction work of the 501 roomed RIU resort in Ahungalla, a joint venture with RIU Hotels Spain continued with the property expected to be operational in July 2016

+

pg 113 <<



2015 - 16

ONGOING PROJECTS 2

Construction commenced on the island of Aarah in Raa Atoll in the Maldives

+

pg 59 <<

G4-02 G4-09 G4-18 G4-19 G4-28

A world of potential

Our commitment to excellence has made us outstanding in our industry...

Integrated Management Discussion & Analysis

“

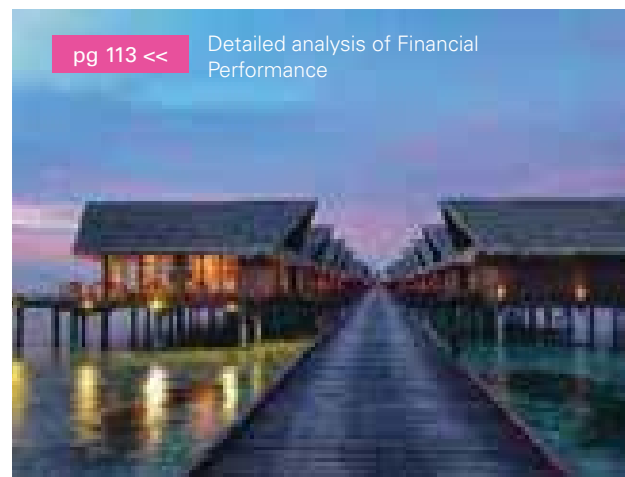
As we stand well poised to harness the opportunities in the environment, our leadership position in Sri Lanka's tourism industry and our strength as a regional player, are factors which add to our buoyant outlook.”

Introduction

This year's Annual Report is the Group's fifth Integrated Report which continues to build on the format of its first integrated report of 2012.

Report Boundary and Scope

The details contained herein, report on the financial year from 1st April 2015 to 31st March 2016. The financial results reported are those of Aitken Spence Hotel Holdings PLC, its subsidiaries and the interest in equity accounted investees. The complete list of hotels within the Group is provided on page 13 under the heading "Across the Region". The MD&A reports on operations which fall directly under our control as a Group and as individual properties.



G4-06



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Review of Group's Sustainability
Strategy

In preparing this report we have drawn on concepts, guidance and methodology given in the International Integrated Reporting Council's framework and Sri Lanka Accounting Standards (SLFRS/LKAS) applicable for financial periods beginning on or after 1st January 2012. The accounting policies adopted are described in detail in the Financial Statements. Further, we are in compliance with the laws and regulations of the Companies Act No. 07 of 2007 and subsequent amendments and Listing Rules of the Colombo Stock Exchange (CSE).

The Social and Environmental sustainability reporting is based on the universally applicable and comparable framework for Sustainability Reporting developed by the Global Reporting Initiative (GRI) and its G4 guidelines. It also reports on the Group's initiatives towards meeting the Ten Principles of the United Nations Global Compact (UNGC).

This Integrated Annual Report contains certain forward looking statements which relate to the future performance and results of the operations of the Group.

These statements by their nature involve risk and uncertainty as they relate to events and depend on circumstances that may occur in the future. Factors that could cause actual results to differ materially from those in the forward-looking statements include, but are not limited to, global and national economic conditions, changes in industry environment, interest rates, credit and the associated risk of lending, inventory levels, gross and operating margins achieved and competitive and regulatory factors.

About The Group

Aitken Spence Hotels Holdings PLC operates a chain of 21 distinct properties in Sri Lanka, Maldives, India and Oman. It is one of the largest resort operations in Sri Lanka and largest international resort chain in the Maldives in terms of capacity. The portfolio of hotels and resorts offers a range of choices for varying needs and budgets including niche market hotels, award winning resorts and layover hotels, whilst maintaining the same exceptional standards of hospitality.

The hotels in Sri Lanka cover all of the country's key attractions - of beach, the cultural triangle, the East Coast, Central Hills and most recently the West Coast. The Group lays claim to many years of experience and expertise in the local and regional hospitality industry and is renowned for its proficiency in hotel design, building, management and a commitment to excellence. The international award winning properties have thus set industry benchmarks for service quality, culinary standards and sustainable tourism.

Aitken Spence Hotels Holdings PLC is a subsidiary of Aitken Spence PLC, one of Sri Lanka's leading diversified conglomerates with a history that spans 148 years since its inception in 1868. Its portfolio includes Hotels, Travel, Maritime Services and Logistics Solutions.

Integrated Management Discussion & Analysis

Corporate Strategies

Aitken Spence Hotels has identified nine strategic imperatives as important for the Group to reach its next tier in sustainable value creation and to move towards its mission to “achieve excellence in all our activities, establish high growth businesses in Sri Lanka and across new frontiers, and become a globally competitive market leader in the region.” The strategies have been formulated taking into account the Group’s strengths and

weaknesses; its Triple Bottom Line approach, stakeholder needs, opportunities, trends and prognosis in the global and local industry and economic landscapes and other challenges. These strategies are also those most likely to influence key stakeholders and our relationship with them. The stakeholders of the Group and our ways of engaging with them are presented below, following the strategic imperatives.

Key Strategic Imperatives for Sustainable Growth

Strategy	Strategies In Action In 2015/16	Plans For 2016/17
Strengthen our regional presence.	Acquired a new island in the Maldives to add to our portfolio. Commenced operations in a 5 star city property Turyaa Chennai, India. Refurbished and re-launched The Sands, Kalutara as Turyaa Kalutara with an additional 90 rooms. Acquired the managed property Al Falaj, Muscat and made inroads in to investing in the Sultanate of Oman.	Construct resorts on the newly acquired islands Aarah and Raafushi in Maldives. Develop a comprehensive branding strategy to incorporate and maximise the efficiencies in the group’s portfolio of properties.
Source new partners in order to expand our product offering and market linkages.	Construction continued of the 501 room 5 star property in Ahungalla, a joint venture with RIU Hotels Spain. The Group envisages the new property to facilitate the commencement of charter flights to Sri Lanka.	The new property RIU Ahungalla is expected to be in operation by July 2016. Establish linkages and partnerships and collaborative efforts to market the destination.
Expand our presence across Sri Lanka in order to complete our portfolio of product offerings.	Construction of Heritance Negombo was completed and made operational in April 2016.	The Group is actively looking at opportunities within Sri Lanka, with a focus on developing existing land banks.
Harness the synergies and marketing opportunities as a regional player to benefit each destination.	Strengthening of Group Sales & Marketing function in order to enhance our value proposition.	Build on the measures set in place in 2015 and expand partnerships with tour operators to cross sell and leverage on our strengths.
Reinforce and expand brand attributes.	We are currently engaged in a brand enhancement exercise to target the different segments of the market.	Sustain and leverage the developed brand proposition based on the results of the brand exercise.

Strategy	Strategies In Action In 2015/16	Plans For 2016/17
Leverage on technology as a competitive advantage.	Introduced “Duetto” – a revenue management system to a selected set of properties in order to improve yield management. Implementation of “Reviewpro” - an online reputation management system has enabled the group to monitor qualitative KPI's in order to enhance its operational capabilities and identify areas of improvement.	Maximise revenue generation from online channels. The group hopes to invest in an online loyalty and customer relationship management (CRM) software in order to enhance the current processes.
Taking initiatives to meet industry skills gap and dearth of trained HR.	Aitken Spence School of Hospitality continued to train youth. Continued to train internal trainers to sustain the Learning & Development culture into the future.	The Group continues to monitor any training gaps which may arise and will provide continuous training to enable employees to perform on par with standards and expectations.
Retaining talent.	Continuous enhancement of training. Establish strategic HR outfits in Maldives and Oman. Fine tune Learning & Development and explore need to change Performance evaluation to emphasise other competencies.	Enhance the facilities provided. Increase managerial level training.
Continue our Triple Bottom Line focused model with a focus on sustaining communities and the environment.	Received LEED Gold certification for Heritance Negombo. Became the first hotel chain in Sri Lanka to receive and maintain ISO 50001:2011 certification. In the process of obtaining Travellife Certification for our Adaaran properties in addition to maintaining Travelife certification in our Heritance Properties	Adopt a differentiated and branded sustainability initiative which is in sync with the Group's values, passion and objectives on a focused effort to make a significant impact. Investment in renewable energy options. Obtain Travelife Certification across our portfolio. Introduction of sustainability KPIs. Carbon offset management programme.



Aitken Spence Hotels welcomed into its premier hotel portfolio Heritance Negombo in April 2016. The Hotel complete with all the trappings of a beach resort, promises to create a truly unique ‘Heritance’ guest experience. Conveniently located in close proximity to the Colombo International Airport, makes it a popular location for the business traveller and transit guest.



G4-24 G4-25 G4-26 G4-27 G4-PR05

Integrated Management Discussion & Analysis

Stakeholder Engagement and Inclusion

The scope and extent of our business leads to impacts on a multitude of stakeholders, both internal and external. Engaging meaningfully with these stakeholders enables us to identify our priorities within the wider socioeconomic context. By understanding the concerns and needs of our stakeholders, we are in a better position

to align our business value proposition with their goals thereby creating mutual and lasting value.

We outline below the engagement mechanisms in place with each stakeholder group through multiple channels and the priority issues identified for both the Stakeholder and the Company.

COMMUNITY



Reason for Engagement

- To ensure harmonious co-existence and the social licence to operate

Methods of Engagement

- Dialogue with community representatives
- Seminars and gatherings to share best practices
- Participation in community events
- Supporting community groups through social and financial donations

Priorities

- Rural development and community welfare
- Integration with the community
- Job creation and community-based sourcing

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ENVIRONMENT



Reason for Engagement

- To ensure protection of the environment and resources for future generations and business operations

Methods of Engagement

- Dialogue with policy makers and regulators
- Reports on compliance with standards and regulations
- Meetings with experts, environmental NGO's and lobby groups

Priorities

- Resource and process efficiency, waste management
- Climate change
- Manage and mitigate impacts
- Compliance

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GUEST EXPERIENCE



Reason for Engagement

- To ensure business continuity and create sustainability consciousness

Methods of Engagement

- Customer feedback forms
- Guest satisfaction surveys
- Tent cards creating awareness on how they can manage their environmental footprint

Priorities

- Product excellence and delivering brand promise
- Value for money
- Eco-friendliness and sustainability
- Quality standards and Innovation
- Safety and security

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SUPPLY CHAIN



Reason for Engagement

- To ensure that the Group maintains pre-determined standards of service and to transpose our sustainability ethic along the supply chain

Methods of Engagement

- Seminars and workshops to sensitise them on standards expected towards sustainable action
- Direct dialogue and site visits
- Contracts and agreements
- Supplier performance reviews

Priorities

- Material and Service quality and availability
- Fair pricing and profitability
- Ethical conduct and sustainability
- Efficiency and professionalism

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EMPLOYEES



Reason for Engagement

- Employees play a key role in the implementation of operational strategies of hotels and maintaining the requisite standards

Methods of Engagement

- Open door culture
- Performance reviews
- Employee satisfaction survey
- Grievance handling mechanism
- Newsletters and intranet
- Employee events & suggestion schemes

Priorities

- Remuneration and benefits
- Training and development
- Performance and career progression
- Health and safety at work
- Diversity and equal opportunity
- Work life balance

pg 122 <<

INVESTOR RELATIONSHIP



Reason for Engagement

- Investors and the Investment community as well as banks and financial institutions are critical to obtain the financial resources needed to ensure the continuity of our business

Methods of Engagement

- Annual General Meeting
- Investor feedback form
- Annual report and quarterly reports
- Media, including web and social media
- Direct dialogue

Priorities

- Performance of the Company
- Dividends and capital gains
- Governance and transparency
- Sustainability

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REGULATORS



Reason for Engagement

- To build trust and constructive partnerships through compliance and proactive action, to obtain the permits to operate

Methods of Engagement

- Reports and submissions, including compliance documentation
- Direct dialogue and meetings with policymakers and regulators
- Participation in events and forums

Priorities

- Compliance
- Policy and regulatory development
- Business ethics and corporate citizenship
- Anti-corruption
- Job creation and economic value addition

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INDUSTRY ASSOCIATES



Reason for Engagement

- To become a meaningful partner in the growth of the tourism industry as a whole, thereby ensuring business continuity

Methods of Engagement

- Participation in industry forums and lobby groups
- Membership in industry bodies and business chambers

Priorities

- Partnership and collaboration
- Business ethics and fair competition
- Industry goals and standards
- Collective industry readiness and responses to potential risks

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Integrated Management Discussion & Analysis

Group Statement of Value Added

Statement of Value Added	%	2015/16 Rs. '000	%	2014/15 Rs. '000	%	2013/14 Rs. '000	%	2012/13 Rs. '000	%	2011/12 Rs. '000
Total Revenue		13,378,071		13,270,918		12,947,076		12,035,870		9,614,828
Purchase of Goods & Services		(7,177,398)		(6,877,703)		(6,442,670)		(6,013,939)		(5,070,489)
Other Income		6,200,673		6,393,215		6,504,406		6,021,931		4,544,339
Share of Profit/ (Loss) of Equity Accounted Investees		219,813		679,604		661,034		209,652		279,489
		(165,030)		(14,390)		34,891		70,248		48,016
Total Value Added		6,255,456		7,058,429		7,200,331		6,301,831		4,871,844
Distributed as follows:										
To Government (Income tax & turnover tax)	10	643,199	11	801,195	14	976,610	15	934,170	16	768,594
To Employees (Salaries & other costs)	34	2,122,117	26	1,828,866	24	1,753,081	26	1,648,248	27	1,331,432
To Lenders of Capital (Interest on loan capital & minority interest)	17	1,031,310	20	1,386,309	19	1,368,333	19	1,201,456	19	912,414
To shareholders (Dividends)	7	420,363	7	504,435	7	504,435	5	336,290	5	235,403
Retained for Reinvestment & Future Growth (Depreciation & retained profits)	32	2,038,467	36	2,537,624	36	2,597,872	35	2,181,667	33	1,624,001
		6,255,456		7,058,429		7,200,331		6,301,831		4,871,844

Value creation by an enterprise occurs in the context of its operating environment. This Management Discussion of the Company's strategies and performance hence begins with a review and preview of relevant aspects of the local and global economic environment.

G4-08

Macro Framework And Industry Outlook

Global economic backdrop

According to the International Monetary Fund (IMF), global economic activity remained subdued in 2015, with the decline in growth in emerging markets and developing economies, amidst the modest recovery in advanced economies. The performance of a number of advanced economies and their emerging market counterparts diverged as output gaps narrowed in certain advanced economies while emerging markets encountered new challenges during the year. These were mainly a result of rebalancing of economic activities in key emerging markets and low levels of commodity prices. The persistent decline in oil prices helped maintain inflation at subdued levels in most economies although oil exporting countries experienced shrinking fiscal and external spaces. Weak growth prospects, worsening terms of trade and spillover effects of the monetary policy tightening by the Federal Reserve of the United States (US) caused depreciation pressures on several currencies during the year.

Global economic outlook

Global growth is expected to remain dampened, weighed down by the performance of large emerging market economies. Accordingly, global growth is estimated at 3.2% in 2016 and 3.5% in 2017. Despite challenges posed by the global environment, the Federal Reserve expects

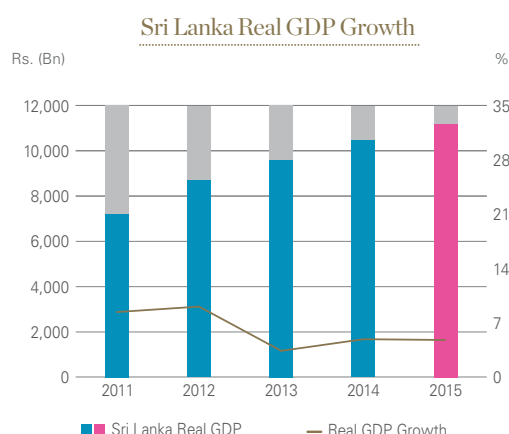
the US economy to continue expanding at a moderate pace as a result of the increase in household spending and strengthening of the labour market. The robust economic recovery of the United Kingdom (UK) has been driven by the accommodative monetary policy of the Bank of England and the resultant expansion of private domestic demand, helping to offset the contractionary impact of fiscal consolidation. However, there are concerns that the positive outlook of the UK economy may be impacted by the uncertainty surrounding the referendum on EU membership scheduled for mid-2016. The growth prospects of advanced economies are weighed down by the downgraded economic outlook for Japan where inflation expectations remained weak. In addition, lower than expected levels of inflation could weigh negatively on the performance of the Euro zone in 2016. While recent reductions in key interest rates and expansion of bond purchases by the European Central Bank may help tackle the deteriorating inflation outlook, political developments, such as volatilities associated with terrorism, and the surge of refugees from the Middle East and Africa, may cap the growth outlook for the region. Among emerging market economies, rebalancing of China's growth strategy, from one driven by investment to one driven by domestic consumption, is expected to have far reaching implications. In the short run, this transformation is expected to generate spillover effects through trade and financial channels.

		Projections	
	2015	2016	2017
World output	3.1	3.2	3.5
Advanced economies	1.9	1.9	2.0
USA	2.4	2.4	2.5
Euro	1.6	1.5	1.6
UK	2.2	1.9	2.2
Japan	0.5	0.5	-0.1
CIS	-2.8	-1.1	1.3
Russia	-3.7	-1.8	0.8
China	6.9	6.5	6.2
India	7.3	7.5	7.5
ASEAN (Association of South East Asian Nations)	4.7	4.8	5.1
Emerging & Developing Asia	6.6	6.4	6.2
Emerging & Developing economies	4.0	4.1	4.6
World Trade Volumes (goods & services)	2.8	3.1	3.8
Imports by Advanced economies	4.3	3.4	4.1
Imports by Emerging & Developing economies	0.5	3.0	3.7
Oil Prices (U.S. Dollar) (average price of intermediate crude oil)	-47.2	-31.6	17.9
London Interbank Offer Rate (LIBOR) (on US Dollar deposits)	0.5	0.9	1.5



Integrated Management Discussion & Analysis

Sri Lankan economy



Sri Lanka's economy grew at 4.8% during 2015 compared with 4.9% in 2014. A slower growth in exports, due to reduced demand from traditional export markets impacted the export sector whilst a strengthening of the US economy prompted short term capital outflows. The impact of these developments was offset to some extent by lower international commodity prices. Moreover, domestic consumption rebounded as incomes grew, particularly among public sector workers. Private consumption expenditure also grew during the

year, mainly due to the low interest rate environment and increased real wages. However, investment activities, as measured by gross capital formation, decelerated during 2015.

The Services sector, which accounts for 56.6% of GDP, grew by 5.3%, supported by the growth in financial services (by 15.8%), real estate activities (by 9.6%), transport activities (5.5%) and wholesale and retail trade (4.7%). Despite the minor slowdown in construction (-0.9%) and mining and quarrying (-0.9%) activities, industry activities, which account for 26.2% of GDP, grew by 3%, mainly supported by the growth in manufacturing activities (4.7%).

The growth in the Agriculture sector, by 5.5% compared with 4.9% in 2014 is largely attributable to the significant expansion in rice production (by 23.3%), as a result of the bumper harvest recorded during the year and the substantial contribution from the cultivation of vegetables (which grew by 24.9%) despite the contraction in fishing (-2.7%), rubber (-10.1%) and tea (-2.6%). Moreover, cultivation of fruits, animal production and growing of oleaginous fruits (coconut, king coconut, oil palm) also significantly contributed to this growth.

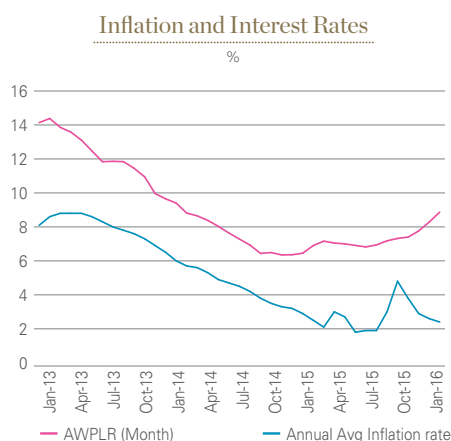
(%) change in GDP growth												
98 - 06 avg	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2021
4.3	6.8	6.0	3.5	8.0	8.4	9.1	3.4	4.9	4.8	5.0*	5.0 *	5.0 *

Source, Central Bank of Sri Lanka; *IMF forecasts

Inflation – remained moderate

Inflation declined further in 2015 mainly reflecting the downward adjustments to administratively determined domestic prices, including fuel and key consumer items. Inflation, which remained in single digits continuously for over a period of seven years due to favourable domestic supply conditions, subdued global commodity prices and the effect of demand management policies of the Central Bank, moved to negative territory for a brief period during July - September 2015. Headline inflation, as measured by the year-on-year change in the Colombo Consumers'

Price Index (CCPI), increased from 2.1% recorded at end December 2014 to 2.8% by end December 2015. However, annual average inflation moderated to 0.9% in 2015 compared to 3.3% recorded in 2014. Meanwhile, along with some upward movement observed due to price pressures in the non-food items of the CCPI basket, core inflation, which measures the demand driven component of inflation, indicated an upward trend in 2015. Accordingly, year-on-year core inflation was 4.5% at end December 2015 compared to 3.2% recorded at end December 2014, while annual average core inflation



was at 3.1% compared to 3.5% recorded in 2014. In the meantime, as per the newly introduced National Consumer Price Index (NCPI), which covers all provinces in the country, year-on-year headline inflation was 4.2% in December 2015 and annual average inflation was recorded at 3.8%.

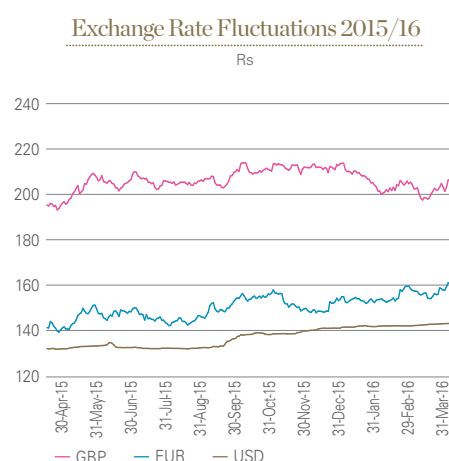
Interest Rates - relaxed stance gives way to gradual tightening

In an environment of continued low inflation, the Central Bank continued to maintain its relaxed monetary policy stance (which it has followed since December 2012) during the year as well, but initiated a gradual tightening of monetary policy towards end 2015 to pre-empt the emergence of excessive demand pressures on inflation arising from high credit and money expansion.

Considering the space created by the sharp decline in inflation as well as the favourable outlook for inflation, the Central Bank reduced its main policy interest rates, namely, the Standing Deposit Facility Rate (SDFR) and the Standing Lending Facility Rate (SLFR), by 50 basis points to 6.00% and 7.50%, respectively, in April 2015. This downward adjustment was also expected to provide greater stability to market interest rates by signalling the continuation of the accommodative monetary policy stance, thereby supporting continued flow of credit to the economy. As credit and monetary aggregates continued to grow at a higher pace than projected, while excess liquidity in the domestic money market remained persistently high, the Central Bank commenced tightening monetary policy towards end 2015. Accordingly, it raised the Statutory Reserve Ratio (SRR) applicable on all Rupee deposit liabilities of commercial banks by 1.50% to 7.50% to be effective from the reserve period commencing 16 January 2016. This measure signalled the end of the relaxation cycle of monetary policy and the Average Rated Call Money Rate (AWCMR,) which had settled close to the lower boundary

of the policy rate corridor began an upward movement to end 2015 at 6.40% in comparison to 6.21% in end 2014. The Sri Lanka Inter Bank Offered Rate (SLIBOR) also moved in line with the movements in AWCMR. Accordingly, by end 2015, overnight and 12-months SLIBOR were recorded at 6.40% and 7.66% respectively; compared to 6.10% and 7.15%, respectively at end 2014. The Average Weighted Fixed Deposit Rate (AWFDR), which is based on interest rates for all time deposits held with commercial banks, increased by 24 basis points to 7.57% by end 2015 from 7.33% at end 2014. The Average Rated Deposit Rates of Commercial Banks remained at the same level as in December 2014, at 6.20% whilst the Average Weighted Prime Lending Rate rose to 7.53% in 2015 compared with 6.26% in 2014.

Exchange Rates - Change in policy prompts depreciation



The Sri Lankan Rupee, which depreciated by 2.42% against the US dollar during the first eight months, depreciated at a higher rate during the last four months of the year following the Central Bank's decision to allow greater flexibility in the determination of the exchange rate from early September 2015. During the year, the Sri Lankan rupee depreciated by 9.03% against the US Dollar. Greater flexibility in the exchange rate helped stabilise trade and current account deficits towards the end of 2015 although short term capital outflows continued into 2016 as well. The change in the exchange rate policy in early September was focused on curtailing import demand, maintaining gross official reserves at a healthy level and improving external competitiveness amidst the significant depreciation of several international currencies, including the Chinese Yuan and the Indian Rupee. In addition, other policy measures, such as the imposition of a maximum Loan to Value ratio and a minimum cash margin requirement of 100% against Letters of Credit for the importation of motor vehicles,

Integrated Management Discussion & Analysis

introduced in 2015, were also targeted at curtailing the excessive demand for imports. These policy measures, which were complemented by the tightening of monetary policy in early 2016, are expected to strengthen the external sector in 2016.

Outlook

Sri Lanka's economic environment was lacklustre in 2015, owing to the pre-occupation with two elections and the subsequent expected periods of transition. However, we are hopeful that the year ahead will see economic activity resume at a faster pace and greater policy clarity and certainty will pave the way for increased investments by the private sector. The Central Bank projects the economy to grow by 5.6% in 2015 and to strengthen over the medium term into a higher growth trajectory of about 7%. The IMF projects Sri Lanka's GDP to grow by 5% in 2016 and 2017 as well as 2021 compared with its estimates of 4.9% growth for 2015.

Improvement in investor sentiments; the new policy initiatives of the government to spur growth across all major sectors of the economy and increase private sector participation through the creation of an investor friendly environment, are factors which are expected to contribute to the growth trajectory of the economy over the medium term. Moreover, the implementation of policy measures to encourage small and large scale entrepreneurs to participate in the global economy and the resultant positioning of Sri Lanka in the global value chain, are expected to bolster the contribution of the Industry, Agriculture and Service sectors to this growth momentum. The gradual recovery of the global economy is also expected to provide the required impetus to maintain Sri Lanka's external demand at favourable levels. At the same time, a rise in income levels, expected from this improved external demand, will support Sri Lanka's graduation to the upper middle income status, bringing forth new challenges, typical of by the 'middle income trap.' Furthermore, appropriate monetary and fiscal policy measures are expected to create an environment conducive for investment. Accordingly, inflation is estimated to be at moderate at around 4%. Meanwhile, fiscal policy will continue to focus on strengthening the fiscal consolidation process.

The growth potential of Sri Lanka is expected to be enhanced through the adoption of advanced technology and the subsequent digitisation of the economy, attraction of new investment initiatives, including those of global tech giants, and the effective utilisation of socio-economic infrastructure facilities

Positive developments in the domestic and global economies, coupled with recent policy initiatives, are expected to result in a favourable outlook for the external sector over the medium term. The decline in the current account deficit is expected to be largely driven by the improvement in trade in merchandise goods and services. Although import expenditure is expected to decline in 2016, as a result of the low level of international oil prices and the decline in motor vehicle imports as a result of the greater flexibility in the determination of exchange rates, it is expected to rise thereafter with the anticipated increase in crude oil prices in international markets and the growth in imports of investment goods required to facilitate the new growth trajectory. Exports, which recorded a decline in 2015, are expected to regain their upward momentum over the medium term with the expected recovery of global demand and the improvement in external competitiveness, induced by productivity improvements.

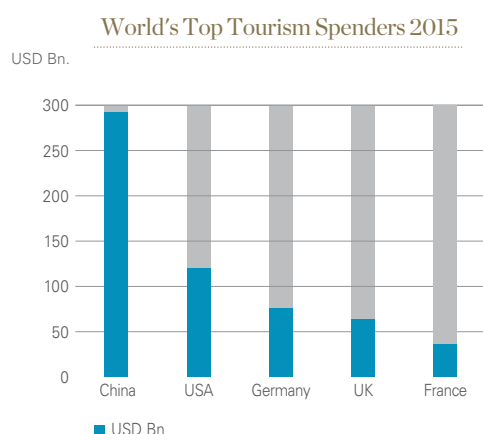
Industry Landscape & Outlook

Global tourism industry



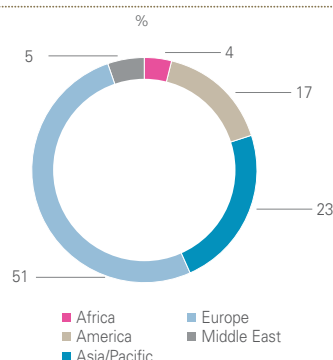
International tourist arrivals grew by 4.4% and international tourism receipts around the world grew by 3.6% in line with international arrivals. For the fourth consecutive year international tourism grew faster than world merchandise trade, raising tourism's share in world's exports to 7% in 2015. The total exports value from international tourism amounted to US Dollars 1.4 trillion. This growth in spending, despite a weak and slow recovery of the global economy reflects the sector's relevance in stimulating economic growth, boosting exports and creating jobs for an increasing number of economies worldwide.

The United States, China, Spain and France continued to be the top destinations both in international tourism receipts as well as arrivals.



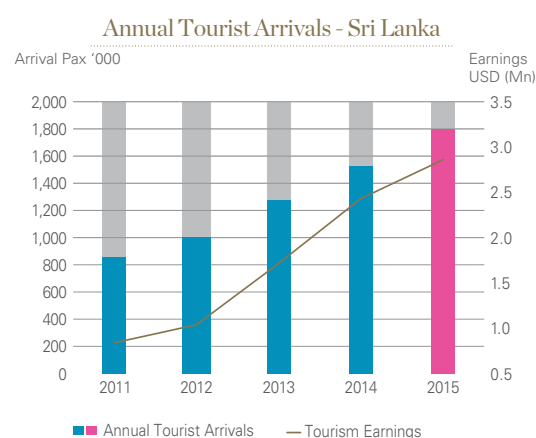
China and the U.S.A. led the outbound travel last year fuelled by the strong currencies and economies. China continues to lead global outbound travel after double digit in tourism expenditure every year since 2004, benefiting Asian destinations as well as the U.S. and several European destinations. Spending by Chinese travellers increased 25% in 2015 to reach US Dollars 292 billion as total outbound travellers rose by 10% to 128 million.

Composition of International Tourist Arrivals 2015



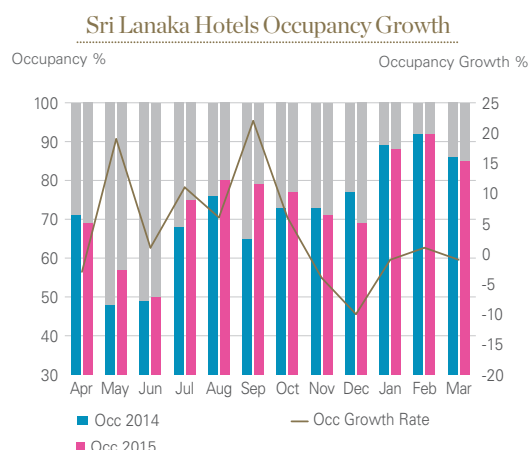
Sri Lanka's tourism industry

Sri Lanka's tourism industry, being one of the fastest growing industries of the post conflict economy, achieved several milestones during 2015. Tourist arrivals reached 1,798,380, almost the revised target of 1.8 million arrivals which the government had set for the year. A significant increase in investment in the tourism industry, tourism related infrastructure development, introduction of new tourist attractions and strategic promotional campaigns conducted by the private sector and the government helped achieve the highest ever arrivals with tourist arrivals from all major regions, except Eastern Europe, seeing an increase.



Western Europe continued to be the largest source of origin for Sri Lanka with the number of tourist arrivals increasing by 15.3% to 552,442. However, its share as a share of total arrivals continued on the declining trend which began in 2012, falling to 30.7% of total arrivals in 2015 from 37.1% in 2012. This decline reflects the growth in tourist arrivals from non-traditional sources. The share of tourist arrivals from East Asia continued on the increasing trend since 2010, mainly led by China which dominates the region with economic growth. In terms of individual country basis, India remained as the leading country of tourist origins whilst China surpassed the United Kingdom to be the second highest source of origin. China also recorded the highest growth in arrivals of 67.6%.

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Highest sources of arrivals in 2015

	2015	2014	Growth
India	316,247	242,734	30.3%
China	214,783	128,160	67.6%
United Kingdom	161,845	144,165	12.3%
Germany	115,868	102,977	
Maldives	90,617	86,359	
France	86,126	78,883	
Regions:			
Western Europe	552,442	479,007	15.3%
Eastern Europe	148,458	154,153	

Sri Lanka's earnings from tourism increased by a significant 22.6% to US Dollars 2,981 Million supported by the continued increase in tourist arrivals as well as spending by tourists. The average spending by a tourist per day increased to US dollars 164.1 in 2015, from US Dollars 160.8 in 2014, primarily due to higher arrivals of high-spending tourists and enhanced facilities offered. Meanwhile, the average period of stay of a tourist was recorded at 10.1 days in 2015. The diversification of the tourism industry into niche markets and the development of non-traditional areas also contributed towards the growth of the sector. The growth momentum is expected to continue in the coming years, bolstered by the many tourism promotion activities and the expansion of capacity in the hotel industry. Meanwhile, outflows on account of travel also grew, albeit at a lower rate than inflows, with the renewed interest of Sri Lankan residents in foreign travel for leisure, education and health purposes.

Investment in the tourism sector expanded further in 2015. International hotel chains including Shangri-La, Hyatt, Movenpick, Sheraton, RIU, and ITC continued their construction work during the year. Moreover, investment proposals for 35 new hotel projects which would add 2,242 new hotel rooms at an investments of US dollars 889 million was approved during the year, resulting in a substantial 109% growth in investment over 2014 (which was at US dollars 425 Million).

In addition, 20 new hotel projects commenced operations during the year, thus increasing Sri Lanka's room capacity to 19,377 during 2015. Since the end to the war, Sri Lanka's Northern and Eastern provinces have been brimming with potential for tourism to begin and accordingly we have seen a flow of investment into these regions with some projects completed over the year and now operational whilst many projects due to begin construction or operation.

It is most encouraging that year 2015 saw a country specific strategic marketing plan developed by the Sri Lanka Tourism Promotion Bureau (SLTPB), in consultation with the industry stakeholders, focusing on 20 key markets that would promote the unique island treasures of nature, culture and adventure, which will entice people to visit and re-visit Sri Lanka. In 2015, the SLTPB participated in over 50 travel fairs and road shows held overseas, creating many opportunities for the local travel industry to develop new business contacts and also strengthen their existing trade links. Further, the Visiting Journalist Program (VJP) of the SLTPB was aimed at creating awareness on Sri Lanka by bringing in high profile journalists from key global markets. In addition, the SLTPB successfully conducted 35 local events, creating a platform for tourists to experience Sri Lanka. Cultural and Religious Parades, Sancharaka Udawa, Colombo Fashion Week, Hotel Show, Live Trinco Festival and Guinness World Record attempt to host world's largest tea party, were amongst them.

Maldives tourism industry



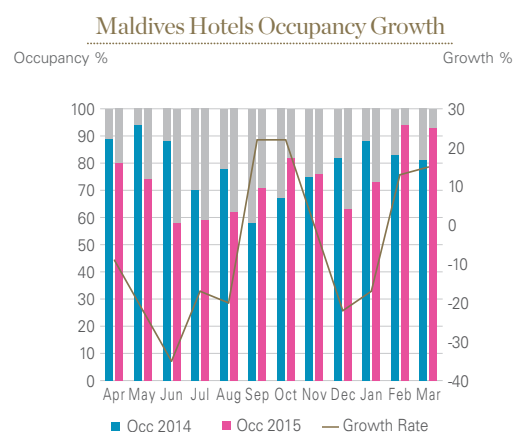
Tourist arrivals to the Maldives grew by 2.4% to 1.2 million in 2015, slightly short of the government's target of 1.4 million. Arrivals during the period of January – March 2016 saw an increase of 4.3% over the same period last year.

The direct contribution of Travel & Tourism to Maldives' GDP in 2015 amounted to 52.4% and is expected to increase by 2.2% in 2016; and by 3.6% per annum to account for 49.4% of GDP by 2026. This primarily reflects the economic activity generated by industries such as hotels, travel agents, airlines and other passenger transportation services (excluding commuter services). But it also includes, for example, the activities of the restaurant and leisure industries directly supported by the tourism industry.

Despite the increase in arrivals, government revenue from tourism was 8.2% below estimates in March partly due to arrivals being 1.9% less than estimates.

The number of Chinese visitors decreased by 10.8% during the first three months of 2015 compared to the corresponding period last year whilst annual growth in Chinese arrivals declined for the first time by 1.1% in 2015. However, China retained its slot as the largest source market with 79,312 visitors so far this year, representing a market share of 23%. In a phenomenon that caught many industry experts by surprise, the number of Chinese tourists visiting the Maldives had tripled from about 100,000 in 2010 to more than 350,000 in 2014.

Arrivals from Russia and France saw a significant decline in 2015, by 33.2% and 17% respectively, while Russian arrivals picked up during the first three months of 2016 by 2.3%.



Total arrivals from Europe – the Maldives' traditional market, accounted for 52.3% of visitors from January to March this year. Germany followed China, to be the second largest individual market with an 8.8% share of the market, followed by the United Kingdom (8.5%), Italy (7.9%), France (4.8%) and India (4.1%). The arrivals from UK reports a considerable increase of 17% during the first three months of 2016 whilst arrivals from Germany and Italy grew by 7.7% and 4.5%, respectively.

Tourist arrivals from India meanwhile increased by 20% in the first three months of the year, reaching 14,171 visitors.

The occupancy rate at resorts declined in 2015 to 76.2% from 81.6% in 2014 due to tourists spending less time, with the average duration of stay declining from 6.1 to 5.7 days.

However, it is noteworthy that the decline in resort occupancy rate, after declining by 4.8% in January 2016, picked up in February and March by 2% and 2.1% respectively.

The government has launched a 'Visit Maldives Year 2016' campaign with a target of increasing arrivals to 1.5 million in 2016 which is expected to boost arrivals.

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Oman tourism industry

According to IMF statistics, Oman's GDP grew by 4.1 in 2015 and is estimated to increase by 1.8% in 2016. And as per the World Tourism Council, the direct contribution to GDP from the country's travel and tourism industry is estimated to have grown by a significant 5.9% in 2016. Leisure travel spending (inbound and domestic) generated 73.2% of direct Travel & Tourism GDP in 2015 (Oman Riyal 836.5mn) compared with 26.8% for business travel spending (Oman Riyal 306.6mn). Business travel spending is expected to grow by 3.8% in 2016 to Oman Riyal 318.4mn, and rise by 3.5% pa to Oman Riyal 449.9mn in 2026.

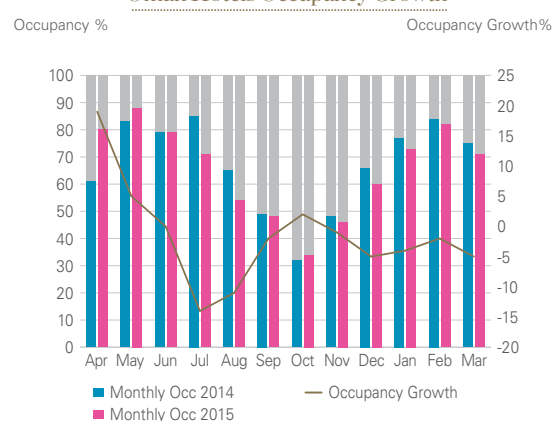
Percentage Change in Oman's Real GDP

Actual		Projections				
97 - 06 Avg	2014	2015	2016	2020	2021	
2.5%	2.9%	4.1%	1.8%	1.7%	2.1%	

Source: IMF, April 2016



Oman Hotels Occupancy Growth



Leisure travel spending is expected to grow by 7.7% in 2016 and by 6.7% pa to Oman Riyal 1,723.8mn in 2026. Domestic travel spending generated 40.5% of Direct Travel & Tourism GDP in 2015 compared with 59.5% for visitor exports (i.e. foreign visitor spending or international tourism receipts).

Domestic travel spending is expected to grow by 8.4% in 2016 to Oman Riyal 502.3mn, and rise by 3.3% pa to Oman Riyal 692.5mn in 2026. Visitor exports are expected to grow by 5.4% in 2016 and by 7.5% in 2026.

Contribution of Travel & Tourism in Oman

	% of Total 2015	% Growth 2016	% of Total 2026
Direct contribution to GDP	2.5	6.6	3.4
Total contribution to GDP	5.7	6.0	7.7
Direct contribution to Employment	2.7	5.1	3.9
Total contribution to Employment	5.7	4.4	7.9

Source: World Travel & Tourism Council

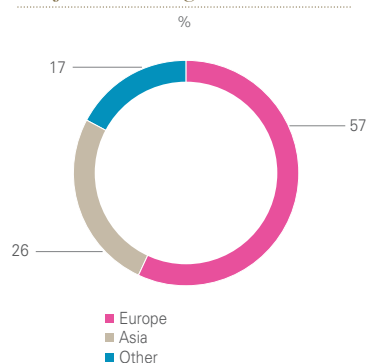
India tourism industry



Money spent by foreign visitors to a country (or visitor exports) is a key component of the direct contribution of Travel & Tourism. In 2015, India generated Indian Rupees 1,249.3bn in visitor exports. In 2016, this is expected to grow by 5.3%, and the country is expected to attract 8,252,000 international tourist arrivals.

By 2026, international tourist arrivals are forecast to total 16,603,000 generating expenditure of Indian Rupees 2,625.6 bn. an increase of 7.2% pa.

Major Generating Markets - India



Percentage Change in India's Real GDP

Actual		Projections				
97 - 06 Avg	2014	2015	2016	2020	2021	
7.1%	7.2%	7.3%	7.5%	7.5%	7.5%	

Source: IMF, April 2016

The direct contribution of Travel & Tourism to GDP in 2015 was INR 2,668.3 billion (2.0% of GDP). This is forecast to rise by 7.1% to Indian Rupees 2,858.7bn in 2016 and primarily reflects the economic activity generated by industries such as hotels, travel agents, airlines and other passenger transportation services (excluding commuter services). But it also includes, for example, the activities of the restaurant and leisure industries directly supported by tourism.

The direct contribution of Travel & Tourism to GDP is expected to grow by 7.9% pa to Indian Rupees 6,115.5bn (2.4% of GDP) by 2026.

Contribution of Travel & Tourism in India

	% of Total 2015	% Growth 2016	% of Total 2026
Direct contribution to GDP	2.0	7.1	2.4
Total contribution to GDP	6.3	7.3	7.2
Direct contribution to Employment	5.5	3.2	5.8
Total contribution to Employment	8.7	3.0	9.0

Source: World Travel & Tourism Council

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Integrated Management Discussion & Analysis

Group Performance in 2015/16

Highlights:

- Heritance Negombo – a state of the art “city hotel on the beach” with 139 rooms became the most recent addition to the Group portfolio,
- The Sands Kalutara was rebranded as Turyaa Kalutara, with the addition of 90 new rooms and the refurbishment of the existing room inventory, increasing its total room capacity to 200.
- Turyaa Chennai commenced operations in the second half of the year.
- The company acquired Al Falaj Hotel in Muscat, Oman one of the properties which the Group has been managing since 2008.
- The group acquired the lease to its sixth island in Maldives, Raafushi in the Noonu atoll with the preliminary design work commencing during the year.
- We commenced construction of a property on the island of Aarah in the Raa atoll, one of the two islands which the Group acquired.
- Heritance Negombo became the second hotel in our portfolio to receive LEED certification and the first one to receive LEED Gold.
- The construction work on the 501 roomed RIU Resort Ahungalla, our joint venture with “RIU” a Spanish Hotel developer, is nearing completion with its opening scheduled for July 2016 and charter flights to Sri Lanka are scheduled to commence in November.

- Runners up in the Leisure & Connected Services Category at the ACCA Sri Lanka Sustainability Reporting Awards 2015
- Heritance Kandalama and Heritance Ahungalla were adjudged winners at the Culinary Awards held by the Chefs Guild of Sri Lanka
- Heritance Ayurveda Maha Gedara received the Bronze Award at the National Green Awards held by the Central Environment Authority
- Adaaran Select Hudhuran Fushi was adjudged the Leading Surf Resort at the Maldives Travel Awards held by MATATO
- Trip Advisor Certificate of Excellence for Adaaran Club Rannalhi

Memberships in Associations

- Sri Lanka Tourism Development Authority
- Maldives Association of Tourism Industry
- The Pacific Asia Travel Association
- The Ceylon Chamber of Commerce
- The Hoteliers’ Association of Sri Lanka
- The Employers’ Federation of Ceylon
- The Field Ornithological Group of Sri Lanka
- The Environmental Management System Users and Promoters Association
- Business and Bio Diversity Platform – Heritance Kandalama
- Sri Lanka Bureau of Foreign Employment
- Institute of Supply and Materials Management
- Exporters’ Association of Sri Lanka
- Lanka Fruit & Vegetables Producers, Processors & Exporters Association

Accolades

We are heartened by the numerous awards and accolades we received during the year in recognition of various facets and efforts of the Group and endorsing our commitment to excellence.

- Silver Award winner in the Hotel Companies Category at the Institute of Chartered Accountants of Sri Lanka Annual Report Awards 2015

Endorsements

- UN Global Compact
- The Women’s Empowerment Principles
- Global Reporting Initiative (GRI) G4
- Travelife

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Financial Performance

An overview of the Group structure:

Aitken Spence Hotel Holdings represents the consolidated financial statements of the holding company, its subsidiaries and the share of profits of equity accounted investees (Please refer Group portfolio

on page 90-91). Our Group is one of the largest hotel operators in Sri Lanka with a portfolio of over 2,200 rooms spread across South Asia and the Middle East. Please refer table below for the total rooms in operation (owned and managed).

	2014/15	2015/16			2016 & Beyond
	Total Operational	Owned	Managed	Total Operational	Under Development
Sri Lanka	812	694	348	1,042	501
Maldives	630	617		617	410
India	-	140		140	
Oman	476	150	326	476	
Total	1,918	1,601	674	2,275	911

The Group hopes to expand its operating room inventory substantially in the coming years with total room inventory expected to exceed 3,000 rooms. Projects under development are tabulated below.

Destination	Project	Rooms	Status
Sri Lanka	RIU Ahungalla - 5 star beach hotel in Sri Lanka	501	Construction work is on-going with the hotel expected to be in operation by July 2016.
Maldives	Aarah in Raat Atoll - A 5 star resort in the Maldives	160	Island was acquired in 2014. Construction has commenced and the property expected to be operational in 2017.
	Raa Fushi in Noonu Atoll - A 4 star resort in the Maldives	250	Island acquired in April 2015 and planning/design work is on-going.
		911	



RIU Ahungalla, the Group's Joint Venture with RIU Hotels Spain



Integrated Management Discussion & Analysis

Summary of Key Income Statement Items

Rs. Millions	F/Y 2015/16	F/Y 2014/15	Change	Explanatory Notes
Net Revenue	13,168	12,954	2%	Growth in Sri Lankan sector revenue by 10% & South Asian and Middle East sector revenue decreased by 2%.
Other operating income	70	418	-83%	Rs. 351 Mn is reported as the insurance claim received in lieu of the fire damage at Adaaran Select Hudhuran Fushi in FY 2014/15.
Staff costs	(2,122)	(1,829)	16%	Increased staff cadre due to expansion and salary revisions across all staff grades.
Depreciation & Amortisation	(1,055)	(807)	31%	Increased depreciation due to increased investment in new projects/capex.
Other operating expenses - Direct	(2,546)	(2,521)	1%	In line with revenue increase.
Other operating expenses - Indirect	(4,632)	(4,356)	6%	Mainly attributable to increase in operational cost in line with commencement of operations in Turyaa Chennai and Turyaa Kalutara/ expansion.
Finance income	150	262	-42%	Due to investment of funds in new hotel projects.
Finance expense	(347)	(185)	87%	In line with increased borrowings obtained for the utilisation/funding of new hotel projects.
Share of profit/(Loss) of equity accounted investees net of tax	(165)	(14)	1047%	Due to group's share of pre-operational expenses at Browns Beach Hotels PLC, provision for impairment at Amethyst Leisure Ltd. & exchange loss recognised on foreign currency denominated debt at Ahungalla Resorts (Pvt) Ltd.
Taxation	(433)	(484)	11%	Due to decrease in taxable profits.

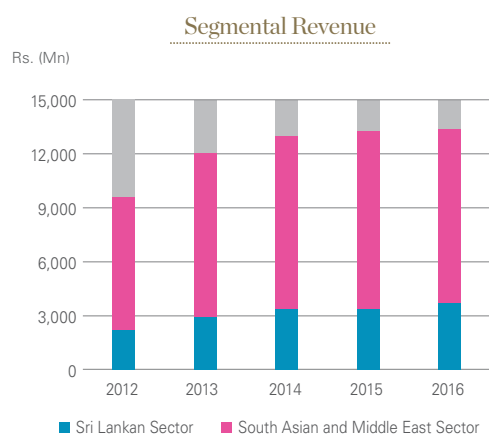
Revenue

The Group recorded consolidated net revenue of Rs. 13,168 million during the financial year which is a marginal growth of 2% against the Rs. 12,954 million achieved during the corresponding year. The contribution from the Sri Lankan Sector increased to 28% of the total revenue in 2015 from 25% in the preceding year with the sector achieving a revenue growth of 10%. The Sri Lankan sector experienced healthy year on year revenue growth across all its properties with Heritance Kandalama and Heritance Tea Factory reporting record revenues. The southern coastal properties also reported

a considerable increase in revenue driven by higher volumes, albeit at lower average rates. The 90 room new wing of The Sands Kalutara was launched in November 2015 along with an upgrade to its existing room inventory as Turyaa Kalutara.

The South Asian and Middle East sector, headed by the Group's Maldivian resorts continued to be the main contributor to Group revenue accounting for 72% of the total revenue. However, sector revenue declined by 2% due to majority of the group's properties in the Maldives experiencing reductions in room occupancy on the back of a turbulent year for the destination.

However, the Group believes that the above downturn in market conditions is only short term and that the destination will recover in the coming years.

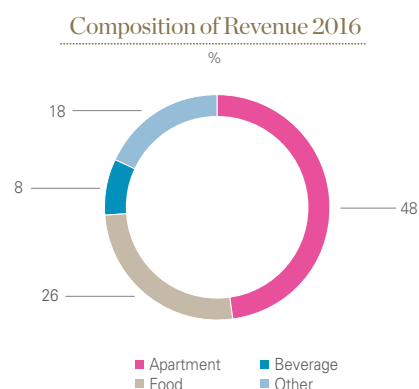


Moreover, the Group also believes that the contribution from the sector will further increase in the medium term, with increased contributions expected from Group's investments in India and Oman as well as the properties being developed in the Maldives.

The Sri Lankan sector achieved an annual average occupancy of 74% in 2016, which is a growth of 3% over 2015 while occupancy at the Group's Maldivian resorts experienced a decline in annual occupancy of 5% to report an annual occupancy of 75% during the year.

Group revenue grew by a 5 year compounded annual growth rate (CAGR) of 11% (FY12-FY16) since the end of the civil war in Sri Lanka, with the local resorts growing at a rate of 15% and the South Asian and Middle East sector reporting a growth of 9% during the same period.

The composition of Group revenue is presented as below



Income and Expenditure Distribution

Group profit from operations for the financial year ended 31st March 2016 was Rs 2,883 million a decrease of 25% from the preceding financial year.

The pressure exerted on Group profits, prompted a concerted effort to implement numerous cost saving initiatives across all sectors enabling the Group to maintain a gross profit margin at 81% despite a moderate growth in the top line. The Group's operating profit margin declined to 22% from the 30% reported in 2015, mainly due to a 31% increase in depreciation and amortisation arising from new investments made during 2015 and the preceding year. The Group expects margins to increase in the medium term as the assets acquired by the investments generate increased returns. Staff cost increased by 16% during the year, in line with annual projections and new recruitments absorbed with the increase in room inventory.

Group Expenses and Profit from Operations as a Percentage of Net Revenue

	2016		2015		Annual Change
	Rs '000	%	Rs '000	%	
Net Revenue	13,168		12,954		2%
Staff Costs	2,122	16%	1,829	14%	16%
Depreciation & Amortisation	1,055	8%	807	6%	31%
Other Operating Expenses - Direct	2,546	19%	2,521	19%	1%
Other Operating Expenses - Indirect	4,632	35%	4,356	34%	6%
Gross Profit	10,622	81%	10,433	81%	2%
Profit From Operations	2,883	22%	3,858	30%	-25%

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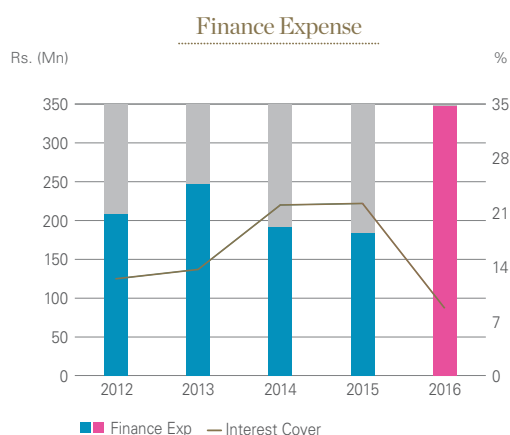
The Group's other income for the financial year decreased by 83% to Rs. 70 million from Rs. 418 million in 2015; which included insurance receivable of Rs. 351 million in lieu of business interruption caused by a fire at the Maldivian resort Adaaran Select Hudhuran Fushi; and a Rs. 45 million gain realized on the change of Group status from "subsidiary" to "joint venture" in Ahungalla Resorts (Pvt) Ltd.

Earnings before Interest and Tax

An increase in overheads (as discussed above), coupled with the marginal growth in turnover, resulted in a contraction of the Earnings Before Interest and Tax (EBIT) to Rs. 3,033 million and a decline in the EBIT margin to 23% from 32% in 2015. The Group is confident that the operating margins will improve in the medium term as it realizes the returns from the new investments made during the recent years and the Maldivian resorts recover with the Maldivian political environment regaining stability.

Finance Expenses

The finance expenses of the Group increased to Rs 347 million during the year an increase of 87% from the preceding year. The group acquired additional debt finance to fulfil the funding requirements for its new projects initiated during the year with interest bearing borrowings increasing by 36% to Rs. 10,012 million as at 31st March 2016. Net loan receipts during the year was Rs. 2,167 million with a settlement Rs. 2,189 million.

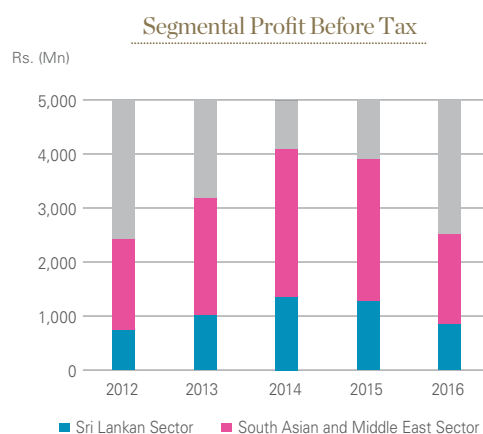


With a number of expansion/refurbishment projects in the pipeline, the group is keenly monitoring the developments in the macro environment to source any additional funding requirements especially through the entry into strategic partnerships.

With the increase in finance expenses the interest cover dipped to 8.7 times in 2016 from 22.2 times reported in the preceding year. Given the sound fundamentals and the projected incremental future cash flows, the Group is confident that it is in a strong position to service the increased debt.

Net Profit

The Group recorded a post-tax profit of Rs. 2,088 million during the year under review, which is a 39% drop from the profits achieved in 2015. The cost saving initiatives implemented by the Group enabled to offset some of the pressures on direct and variable operational costs; however, the inevitable increase in finance cost arising from the aggressive expansion strategy pursued by the group caused the net profit margin to drop to 16% in a challenging operational environment especially in the Maldivian sector which is still the highest contributor to Group profits.



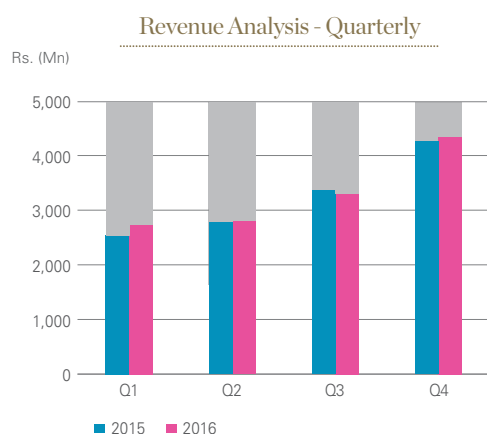
The main contributor to Group profits during the year was the South Asian and Middle East sector with a pre-tax profit of Rs. 1,683 million while the Sri Lankan sector contributed Rs. 838 million. The Group profits for the year in review included Rs. 150 million as finance income derived from the short term investments made of funds generated by operations, a drop from 2015

which is directly attributable to the utilisation of internally generated funds on the investments made during the year.

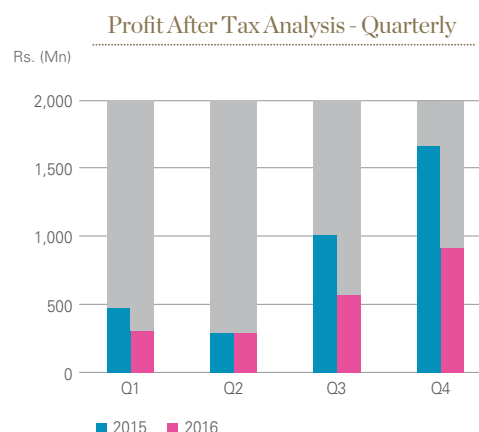
A figure of Rs. 165 million was accrued as loss arising from equity accounted investees net of tax from the Group's investment in Browns Beach Hotel PLC, Amethyst Leisure Ltd. and its joint venture with RIU Hotels, Ahungalla Resorts (Pvt) Ltd. This is an increase of Rs. 150 million from 2015 and is mainly due to the Group's share of un-capitalised pre-operational expenses at Browns Beach Hotels PLC for the construction of the brand new property Heritance Negombo, losses which arose from the provision for impairment at Amethyst Leisure Ltd. and the pre operational expenses incurred at Ahungalla Resorts (Pvt) Ltd. mainly on account of the loss recognised on the movement in exchange rates on foreign currency denominated debt. The Group strongly believes the projects initiated will generate strong returns in the medium term once hotel operations commence in late 2016.

The decrease in income tax expense is primarily due to the reduction in the Group's pre-tax profits.

Quarterly Performance



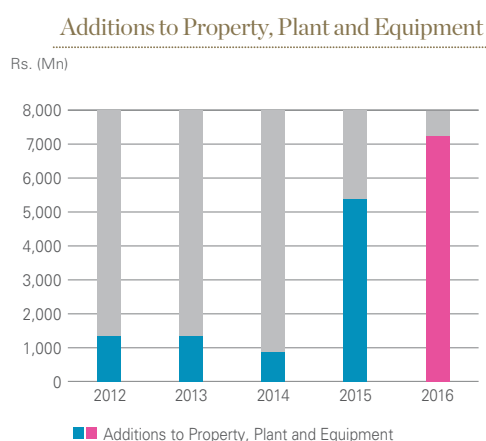
Consolidated quarterly performance, as illustrated in graph above, depicts an increase in revenue from summer to winter which is in keeping with the industry norm. The year on year quarterly revenue increase/ (decrease) ranged between (2%) to 7% with the highest growth being reported in the first quarter.



Financial Position

The Group's balance sheet in the year under review continued to reflect the strength and stability of its core business practices over the years.

Additions to Property, Plant and Equipment during the year amounted to Rs. 7,198 million, up by 34% from Rs. 5,381 million incurred in 2015. As discussed previously the Group has been following an aggressive expansion policy during the past 2 years and the expenditure incurred in 2016 mainly include expenditure in lieu of expansion work carried out at Turyaa Kalutara; on the acquisition of Al Falaj Hotel in Oman and the cost of additional investments made at Turyaa Chennai.



In addition to the above, the Group, keeping to its course of expansion, made two other strategic investments. Rs. 2,050 million was invested by the Group as its equity investment component during the year in Ahungalla Resorts (Pvt) Ltd. which is the Joint Venture with RIU Hotels, Spain for the construction of a 501 roomed five star resort in Ahungalla with the property expected to be operational by July 2016. The Group also acquired

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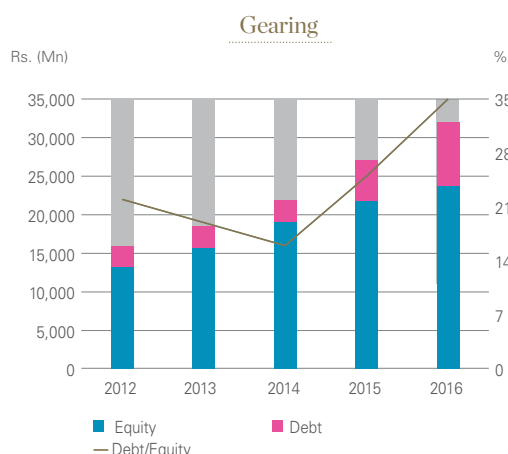
the lease rights to a new island, Raafushi in the Noonu atoll of Maldives. The newest island acquired will increase the total islands under the group portfolio to six with the initial construction work currently been carried out on the island of Aarah, for which the lease rights were acquired in the preceding year.

Summary of Key Balance Sheet Items

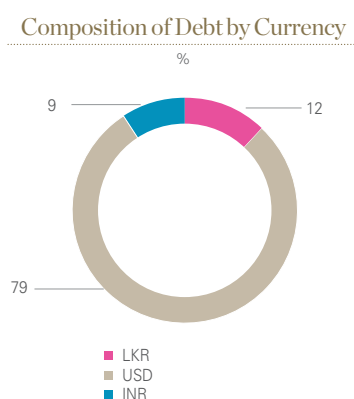
Rs. Millions	31st March 2016	31st March 2015	Change	Explanatory Notes
Assets				
Property, plant and equipment, Leasehold property & Prepaid operating leases	26,919	19,376	39%	Mainly due to acquisitions in Oman and refurbishment/upgrades carried out in Turyaa Chennai and Turyaa Kalutara
Investment in equity accounted investees	4,982	3,098	61%	Mainly on account of the equity investment made in Aitken Spence Resorts (Pvt) Ltd.
Other non current assets	731	302	142%	Goodwill on acquisition of Al Falaj, Oman
Inventory	303	285	7%	As per operational requirements
Cash and cash equivalents & Term deposits	3,110	7,304	-57%	Utilisation of funds due to increase in investment
Other current assets including trade and other receivables	2,403	2,423	-1%	
Total Assets	38,448	32,788	17%	
Shareholders Equity	18,406	17,231	7%	
Non Controlling interests	5,429	4,638	17%	
Long term debt	10,013	7,365	36%	Increase in long term debt for funding the ongoing projects and acquisitions.
Short term debt	837	385	117%	In line with short term operational requirements
Other non current liabilities	412	344	20%	
Other current liabilities (Including trade and other payables)	3,352	2,824	19%	Increase in advances & Accrued payables
Total Liabilities	38,448	32,788	17%	

Gearing and Composition of Debt

Reflecting the increase in debt finance, gearing levels of the Group increased to 35% from 25% reported 2015. However the Group is confident of its ability to sustain this increase comfortably, with increased cash inflows projected in the medium term once the properties being developed become fully operational.



Resorts funded with USD loans mitigated the impacts through creation of a "natural hedge" where Dollar denominated revenues were offset by creating Dollar denominated liabilities. The upward revision in interest rates during the financial year increased the cost of Rupee financing, particularly in the Sri Lankan sector.



Shareholders' Equity

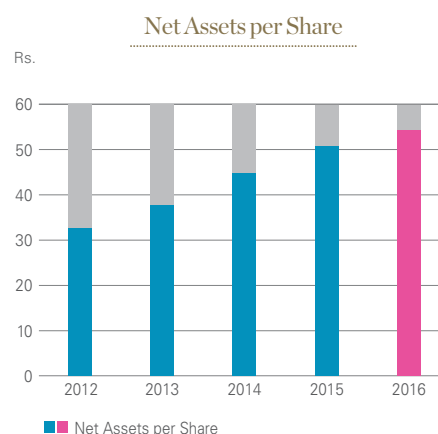
Shareholders' funds as at 31st March 2016 increased by 9% against the preceding year and stood at Rs. 23,835 million as against Rs. 21,869 million on 31st March 2015; mainly on account of earnings during the year. The Group reported a return on equity (ROE) of 7.87% during the year under review, which reflects a reduction from the 13.75% reported in 2015

Share Performance

Company shares closed trading at Rs. 53.00 at financial year end declining by 21% from 31st March, 2015 whilst the highest and lowest price of the share traded during the year was Rs. 83.90 and Rs. 50.00 respectively. The market capitalisation at the last traded price for the financial year was Rs. 17,823 million.

The Earnings per Share (EPS) for 2016 decreased to Rs. 4.13 from Rs. 6.60 reported in the preceding year while Price Earnings Ratio (PER) increased to 12.83 times from 10.15 times in 2015.

Net Assets per share of the Group increased to Rs. 54.24 from Rs. 50.75 reported in 2015.

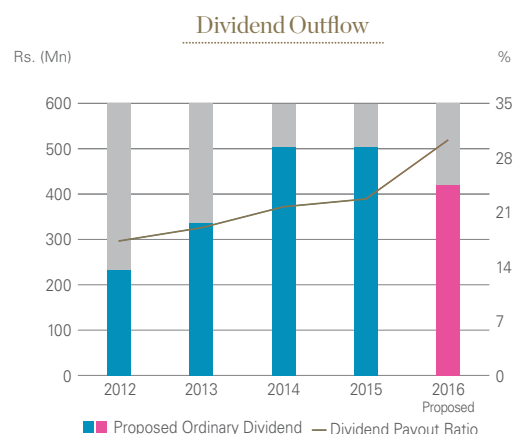


G4-EC1

Integrated Management Discussion & Analysis

Dividends

The dividend policy of the Company seeks to ensure a dividend pay-out which correlates to the Group profits, whilst retaining sufficient funds for future investments and ensuring that shareholder returns are sustainable in the short, medium and long term. Accordingly, a first and final dividend of Rs. 1.25 per share payable on the 12th July 2016 was recommended by the Board of Directors. The proposed dividend will amount to a total outflow of Rs. 420 million recording a dividend pay-out ratio of 30% for the year.



Economic Value Added (EVA)

The Economic Value Added is a measure of the total economic value created over and above the average cost of funding of the Company (Weighted Average Cost of Capital - WACC). It is the profit generated in excess of the rate of return required by the investors.

The Company's WACC is a function of the Group's average cost of borrowing, required rate of return on equity and the cost of preference share capital. The economic value added by the Group for the past five years is tabulated below.

	2015/16 Rs. '000	2014/15 Rs. '000	2013/14 Rs. '000	2012/13 Rs. '000	2011/12 Rs. '000
Net Profit Attributable to Shareholders	2,087,762	3,435,622	3,517,015	2,739,987	2,081,471
Add:					
Depreciation and Amortisation	1,055,064	807,255	761,373	732,803	481,428
Non Cash & Non operational adjustments	135,776	(18,408)	(34,864)	(44,337)	(120,000)
Total Interest on debt	347,314	185,491	192,252	246,623	208,919
Adjusted Profit after Tax	3,625,916	4,409,960	4,435,776	3,675,076	2,651,818
Total Investment Capital					
Total Equity	23,834,903	21,869,232	19,167,842	15,829,440	13,358,930
Add:					
Total Long Term Debt	8,186,477	5,363,625	2,913,898	2,790,090	2,790,308
Total Short Term Debt	2,663,196	2,386,745	1,090,808	1,113,831	1,366,365
Cumulative Depreciation	8,031,791	6,789,099	5,987,351	4,849,064	3,974,930
Adjusted Investment Capital	42,716,367	36,408,701	29,159,899	24,582,425	21,490,533
Economic Value Added					
Weighted Average Cost of Capital	8.01%	7.78%	8.90%	8.50%	7.60%
Cost of Average Investment	3,423,209	2,832,129	2,596,610	1,958,100	1,500,113
Economic Value Added	202,707	1,577,831	1,839,166	1,716,976	1,151,705

G4-20 G4-21



“Sustainability can’t be like some sort of a moral sacrifice or political dilemma or a philanthropical cause. It has to be a design challenge.”

Bjarke Ingels

Material Aspects

Energy, Water, Bio Diversity, Emissions, Effluents and Waste, Occupational Health and Safety, Local Communities and Product and Service responsibility were identified as key material aspects for all our owned operations. The boundary and scope of these aspects have not changed over the previous reporting cycle unless specifically mentioned.

Formulating the Group’s Sustainability strategy

The Aitken Spence Group has in place a sustainability framework, from which all its Companies, including Aitken Spence Hotel Holdings PLC, incorporates Sustainability as part of the “design” of its business, future plans, its properties and operations. Aitken Spence Hotels derives its sustainability stewardship and structure from this framework and expands and fine tunes as per needs of the particular industry we are in. This sustainability vision for the Group is integrated into the Group’s commercial objectives, each year. The Companies continuously look for ways to enhance the integration, in the context of evolving needs and growing global demand amongst consumers who are able to appreciate the value of eco-tourism and sustainable tourism. Global tourism trends indicate that an increasing number of consumers choose destinations and resort properties that practice sustainable tourism and opportunity to reduce and offset their individual Carbon footprint.

While sustainable thinking has been a core driver of the Group for many years, a formal structure came into being in 2008 with the appointment of a sustainability team by the Group’s Holding Company. The team is led by the Managing Director and takes a top down approach, cascading strategies and policies from the

G4-10 G4-11 G4-LA2 G4-LA4 G4-LA10 G4-LA13

Integrated Management Discussion & Analysis

Holding Company to the top management of the Hotels, which are then implemented in consultative collaboration across the hotel properties.

A sustainability focus is today intrinsic to our business and extends to an evaluation of social and environmental impacts at the stage of financial feasibility.

The sustainability objectives of Aitken Spence Hotels focus on four critical areas - economic value addition to the nation, community development through the integration of practices that are sustainable with the intention to alleviate poverty (a key UNGC objective that falls under the Millennium Development Goals), employee development and enrichment, and environmental management and stewardship.

The sustainability agenda at each of the Group's resorts is governed by environmental and social sustainability policies. The year under review saw us add an Animal Welfare Policy and the range of policies, which are part of the Group's integrated sustainability policy are as follows:

- Community Relations Policy
- Environmental Policy
- Energy Policy
- Child Protection Policy
- Animal Welfare Policy
- Supplier Relations Policy and the following HR policies:
- Equity & Diversity Policy
- Grievance Handling Policy
- Health & Safety Policy

“
You can design and create, and build
the most wonderful place in the world.
But it takes people to make the dream
a reality.”

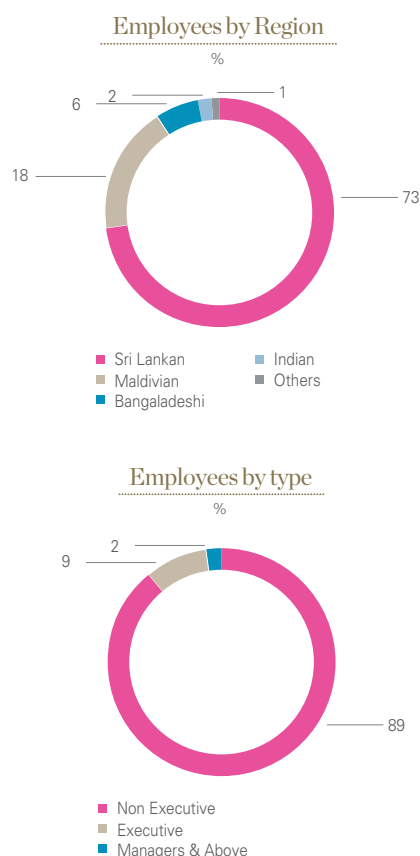
Walt Disney

We at Aitken Spence Hotels have truly embraced this belief. In the highly competitive market of the hospitality industry, the passion, commitment and talents of our people have been the key differentiator and the corner stone of the success of our brand. Aitken Spence is renowned for its architecturally unique and appealing properties. However, our brands Heritance and Adaaran today have become well established household names because of how our brand values are lived, communicated and translated into action, to delight our guests and exceed their expectations.

Our expertise in hotel management developed over the years has been a result of selecting, recognising and moulding high performers and offering all our employees learning and development opportunities and mentoring, to help become the best in the industry. Our people today are thus, our strongest asset. A key strength of our employee proposition is the opportunities we provide for overseas exposure at the Group's properties in Oman, Maldives and India. Our 2,566 Associates across the globe today are thus our strongest asset. A key strength of our employee proposition is the opportunities we provide our 1420 associates employed in our Sri Lankan properties to obtain overseas exposure in the Group's Oman, Maldives and Indian properties. Our permanent employees thus have the opportunity to gain overseas exposure in the hospitality industry within our Group, to enrich themselves, and on their return, to enrich the Hospitality industry in the country. We offer equal pay for equal jobs irrespective of gender. 49% of our Associates are covered by collective bargaining agreements.

G4-09 G4-LA09

The composition of the total workforce as at 31st March 2016



Industry Challenges

As previously articulated and mentioned elsewhere in this report including the Chairman's Statement, the leisure industry in particular is hampered by a dearth of skilled labour and spiralling wage costs amidst a rising demand. Ensuring the long term sustainability of the industry's profitability thus requires urgent strategic measures to address these challenges as an increase in properties and the expansion of the industry in post war Sri Lanka will only exacerbate this challenge. Although our retention rates compare well with industry averages, we are cognizant of the importance of addressing this for the future, and the HR initiatives are all geared towards this end.

The Aitken Spence School of Hospitality launched in 2009, is one of our key win-win strategic initiatives towards meeting this challenge. The school provides training, free of charge to youth, on hospitality aspects such as housekeeping, F&B and front office operations. Upon the successful completion of the training course, students are equipped with a certificate and over 90% of them are absorbed by our hotels.

The launch of RIU Ahungalla requires the recruitment of a large number of such qualified youth as well as the training of new comers.



The Aitken Spence School of Hospitality – Ahungalla

In addition, the Group's HR management has identified the following priorities to support retention of talent and a culture of excellence: training and development; the offer of unhindered career progression for those with talent and dedication; the creation of a positive work culture and promoting a healthy work life balance. We have achieved well above the industry standards in terms of skills development, retention and career progression.

Investing in the future of the company and our people..... through Learning & Development

A key element of our talent management focus is training to ensure the development, continuous learning and career enhancement of our Associates. The Company's training calendar focuses on technical as well as soft skills and encourages holistic growth to facilitate excellence. Training needs are identified during the annual performance evaluation and career development review processes, conducted for and with every employee. The calendar includes training courses conducted by internal and external experts, as well as programmes conducted internationally. We also continued to train internal trainers to sustain the Learning & Development culture into the future.

In addition to the learning and development initiatives the Company's HR efforts also focused on responding to the changing nature of the workforce, addressing

Average Training Hours by Category	2015/16	2014/15
Executive	3.9	3.2
Supervisor/Clerical	11.8	13.5
Staff	13.1	14.0

Integrated Management Discussion & Analysis

Generation Y issues; as well as the regular benchmarking of remuneration and benefits.

We are also particularly proud that the Group, whilst being known as a hotbed for talent development, is also recognized as an employer that espouses long-term employment, - a rare and unique attribute in today's world where loyalty is scarce. It is a key competitive advantage for us in an industry where retention rates

are known to be a challenge. For us, the loyalty also means that the values of our brand become intrinsic to our people enabling the Group to sustain its brand equity and the commitment and passion to serve guests for the long haul. This probably explains why we have been an industry leader for over many decades.



The story of the Tharbrews - exemplifying the Spence culture which encourages upward mobility and rewards dedication

Mr. Kaludura Sarath Thabrew joined Heritance Ahungalla as a Garden labourer in 1986 at the age of 23, with no formal education. Hailing from the village of Godagama, Kosgoda, Sarath travelled a less than 4 km distance from his home to the hotel daily, to provide for his family and with the aspiration of seeing his son educated.

Sarath's dedication and commitment was rewarded as he was promoted several times, within the hotel in 1997 as a Grade II Garden Labourer in 1997; as Head Gardner in 2007 and as Garden Supervisor in 2010. A multi talented multitasker, Sarath also used his acting talents to play the role of an animator to hotel guests, and over the years also became actively involved in the CSR activities of the hotel.

In 2016, Mr. Jayampath Thabrew, his son, joined the Heritance Family as an Engineer, at Heritance Kandalama. Jayampath, a Marine Engineering graduate from the Ocean University of Sri Lanka, is no stranger to the Heritance Family, having grown up experiencing his father's life intertwined with Heritance for more than 30 years.

As Mr. Sarath Thabrew approaches retirement, we are happy to welcome Mr. Jayampath Thabrew to continue a legacy of loyalty and commitment which typifies our culture valuing dedication, commitment and hard work supporting the upward mobility of all our people.

G4-LA06

Human Rights at the Workplace

As a signatory to the United Nations Global Compact (UNGC), we have made a commitment to protect human rights at the workplace. Accordingly, the Company's policies, practices and procedures were assessed vis-a-vis the Human Rights Protection Matrix of the UNGC and the Business Leaders Initiative on Human Rights. A network of support givers for human rights at the workplace has been appointed across all SBU's by our Holding Company and a Peer Forum was launched among the Human Rights Support Givers to enable increased awareness of human rights at the workplace. We nominated 7 support givers to this network with representation from across different levels of management and operational divisions. The support givers work with the human resource partners of the sector to ensure human rights at the workplace are protected.

Occupational Health & Safety

The Health and Safety, of both our employees and our guests, is a key concern at all times. The hotels adhere to the Aitken Spence Occupational Health and Safety (OHS) Standards, ensuring adherence to the standards by conducting regular audits and routine training sessions to refresh staff awareness levels. In keeping with Group policy, OHS Teams, made up of representatives of all departments and functions have been appointed at each property and they are charged with leading the OHS initiatives at hotels, empowered through regular training sessions conducted by internal and external experts.



First Aid training program conducted at our Hotels

Special attention is given to minimizing potential fire risks at our properties – fire drills and evacuation drills are conducted twice a year while clear signage and maps are made available for guests to enable evacuation in case of an emergency. Fire extinguishers are checked and maintained in working condition and are made available at all key points of the properties. First Aid training is given to all Hotel Staff.

09 workplace related accidents have been reported this year, while a collective 27 work days were lost due to

work related accidents and illnesses, including cuts in the kitchen department. The Group has not faced any regulatory or court imposed fines, settlements or awards related to violations in product safety.

Employees in the tourism sector are a group which is more vulnerable to certain life threatening diseases such as HIV/AIDS. We ensure that our staff as well as their families and the wider community are educated on prevention and risk control, while counselling and treatment are provided for serious diseases where relevant.

In addition, Heritance Ayurveda Maha Gedara for example conducts regular meetings and briefings with local drivers and tour guides to encourage safe working practices and ensure a high quality of service to guests.

Win-Win relationships with our Communities

The Group's sustainable model of value creation based on a Triple Bottom Line focus has been a key competitive advantage. Our properties are an integral part of the communities whilst our focus on the planet extends beyond mere mitigation of impacts to it extends to value addition and proactive leadership in the respective localities, based on an understanding that the sustainability of the industry and all its stakeholders are dependent upon the quality and health of the environment.

Being an integral part of the local communities

In fact, one of our flagship properties, Heritance Kandalama, is referred to by most villagers and those living in the surrounding communities as "ape (our) Kandalama"; aptly conveying the feeling of pride and a sense of ownership of the property; which for us cannot be measured in monetary terms. Since construction, and then the launch of operations in 1994, the hotel has created new opportunities and expanded horizons for the entire community in the locality. Every household is



Community Engagement at our Hotels

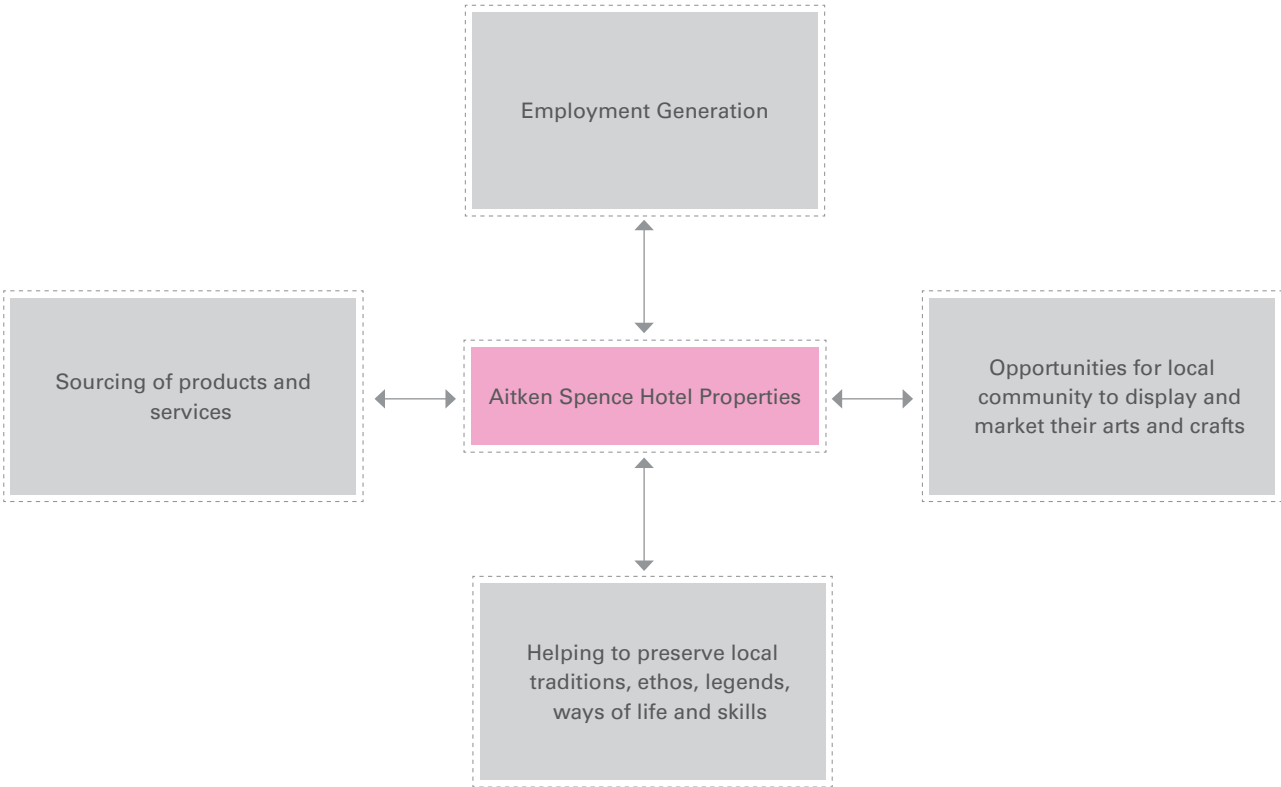
Integrated Management Discussion & Analysis

intertwined with the hotel; as a family member may be employed at the hotel; or be a supplier of produce or a service to the hotel.

The communities in which we operate are the key stakeholders of our resorts in many different ways. Heritance Kandalama maintains relationships with over 30 schools within a 30km - 40km radius of the hotel

and creates awareness amongst their students, of environmental sustainability. The long term objective therein is to inculcate environmental conscientiousness in these students; this would also help any of them who might wish to join the hotel later on to understand and maintain its culture.

Our model for engaging with the communities in which we operate can be illustrated thus:



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Recruitment from the localities

Amongst the hotels with a high proportion of managers from the local communities are the following

Hotel	% of Managers from the Local Community
Hotel Hilltop	75
Heritance Ayurveda Maha Gedara	50
Heritance Tea Factory	45
Turyaa Kalutara	26
Heritance Ahungalla	20
Heritance Kandalama	17

Sourcing from local suppliers

Moreover, the Company also follows a policy of giving priority to local suppliers when sourcing goods and services.

Hotel	% of Procurement Expenditure for Local Suppliers
Hotel Hilltop	45
Turyaa, Kalutara	45
Heritance Kandalama	30
Heritance Ahungalla	30
Amethyst Resort	30
Heritance Ayurveda Maha Gedara	26
Heritance Tea Factory	10
Maldives Resorts	2

Incorporating Animal Welfare into our social agenda

The year under review saw your Group also draft and incorporate an Animal Welfare policy into its business and operational practices (shared in box below). Learning from experts and those passionate about animal welfare, we gained new awareness on the effects of elephant rides to the elephant. Your Company hence made a decision to stop the offer of elephant rides and this is despite the fact that it can be a draw back in the allure of Heritance Ahungalla as a destination for weddings amongst overseas guests. A wedding procession on elephant back was a part of the product offering at the Hotel since Sri Lanka began to promote the concept of destination weddings. We are yet to fully prohibit rides at Heritance Kandalama and have begun to discourage them as the first step thus far. The mahout at Heritance Kandalama is a person from the community who depends solely on elephant rides for his livelihood. If an

immediate stop is enforced on this practice the mahout will simply relocate along with the elephant with little consideration to the elephant's well-being. As a win-win solution we are at present developing and promoting new experiences for our guests to interact with elephants in ways that are not harmful to the animal's welfare and once we are able to properly implement the same we expect to be in a position to stop offering elephant rides altogether in the future, and the mahout will be able to benefit from new opportunities creating a more rewarding and mutually beneficial experience for the elephant, guest as well as others involved.



“Our strategic investments are always aligned with the Group's core values as well as their potential to create long-term value for the Group”

Integrated Management Discussion & Analysis

Animal Welfare Policy of Aitken Spence Hotel Holdings PLC

At Aitken Spence Hotels, we recognise our responsibility towards animal welfare when offering interaction and experiences with animals and in utilising tourism infrastructure that may have impacts on tamed animals.

We respect the fundamental standards proposed by the Global Welfare Guidance for Animals in Tourism developed by the Association of British Travel Agents and endorsed by leading animal welfare organisations and are committed to uphold minimum standards of welfare for animals to ensure that all animals encountered and possibly impacted through the activities of Aitken Spence Hotels are treated humanely and with respect, and to protect animals from exploitation, neglect and cruelty.

We aspire to uphold the Five Freedoms which are;

- Freedom from hunger and thirst: absence of prolonged hunger or thirst
- Freedom from discomfort: suitable living environment that provides opportunities to rest, comfort while resting, ease of movement
- Freedom from pain, injury or disease: Absence of injuries, disease or potential to cause harm, provide preventive and curative healthcare
- Freedom to express normal behaviour: Good human – animal relationship, positive emotional state and expression of natural behaviours, living space that encourages natural behaviour
- Freedom from fear and distress: Absence of general fear/ distress/ apathy, ability to seek refuge or privacy, absence of procedures that are harmful to the animal

In doing so, are committed to;

- Educate our suppliers where necessary, encourage higher standards of welfare, and promote awareness of the importance of animal conservation
- Include compliance with this policy in supplier contracts and influence suppliers to meet minimum standards of animals welfare set forth by the Global Welfare Guidance for Animals in Tourism
- Educate our guests on the standards of welfare we mean to uphold and encourage good practices as guests to ensure good standards of welfare and protection of animals
- Educate suppliers, colleagues, associates and other relevant parties on the Five Freedoms and the minimum standards for animal welfare through routine training and educational programmes
- Encourage reporting practices to allow associates, guests and interested parties to inform the hotel of practices that violate this policy
- Encourage continual improvement in the practices of our hotels to raise standards of animal welfare

G4-PR9

Product Responsibility & commitment to quality

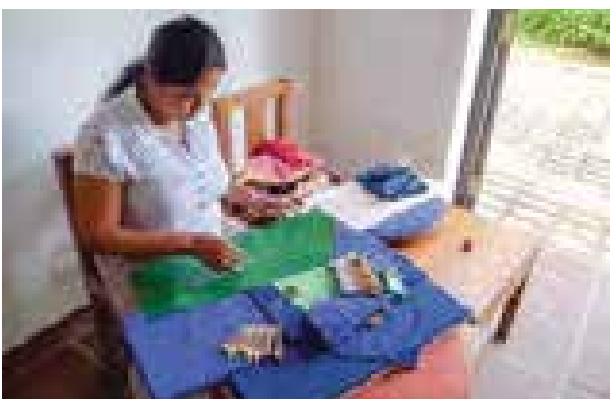
Our commitment to excellence in what we do and how we do, urge us to comply with international benchmarks and best practices.

The international standards we have complied with, on a range of product and service delivery criteria include the following:

- ISO 14001 Environmental Standards
- ISO 50001 for Energy Management Systems
- Travelife certification for the entire Heritage chain
- LEED certification for two of our properties
- ISO 22000/HACCP Food Safety Standards. These standards also include stringent guidelines on food and water testing

In addition all our Group resorts maintain good housekeeping practices such as the Japanese 5S system, continuous Improvement Practices such as Kaizen and Lean Management and our own 7R Waste to Resource programs.

Helping to sustain local culture and heritage



Lace Making at the Arts and Crafts Centre at Heritage Ayurveda Maha Gedara

Our wellness resort - Heritage Ayurveda Maha Gedara houses a resort crafts workshop, launched in 2011 with the objective of sustaining and promoting uniquely Sri Lankan crafts and skills and of providing them a link to markets overseas.

The Centre aims to uplift indigenous arts and crafts by providing a platform for award-winning artisans and craftsmen and women to demonstrate their skills, knowledge and creativity in craft making. The craftsmanship being demonstrated include Palm weaving, Dumbara weaving, Lace making, Wood carving and Mask painting. Guests are also given the opportunity of trying out the making of these crafts under the guidance of the skilled craftsmen. The Arts and crafts produced at the centre are available for purchase by guests, with all profits being credited to the craftsmen and women to promote their creations and livelihood.

The centre also houses a museum which displays examples of many other indigenous crafts such as lacquerware, brassware, coconut shell carving and batik painting.

G4-EN03 G4-EN06 G4-EN07

Integrated Management Discussion & Analysis

Environmental Performance

“

We abuse land because we regard it as a commodity belonging to us. When we see land as a community to which we belong, we may begin to use it with love and respect. ”

Aldo Leopold

Aitken Spence Hotels, as one of the pioneers in green focused tourism, has over the years adopted a two pronged approach; of minimising our environmental foot print on the one hand, and proactively seeking ways in which we can add value to enhance and sustain the natural capital on the other hand. The Group continues to make significant investments towards these efforts. Our green focus also has made excellent business sense and contribute to improved margins. Firstly by reducing our costs of energy and other utilities. Secondly, by attracting an increasing number of environmentally conscious travellers. Clean air, clean water and bio-diversity are constantly threatened by increasing populations, and spreading industrialization. However, with improving awareness of the dire consequences, and global warming looming before us, it is evident that stakeholders will increasingly demand accountability on environmental impacts.

Aitken Spence environmental performance strategies for its properties focus on the following key areas:

- Energy Management
- Water Management
- Waste Reduction
- Reduction of chemical usage
- Bio Diversity

More international endorsements for our Triple Bottom Line efforts

The latest addition to our Resorts- Heritance Negombo, became the second hotel in the chain to obtain LEED certification and the first to obtain a LEED GOLD.

Heritance Kandalama, in the year 2000 was the first hotel in the region to obtain LEED certification.

This endorsement follows the achievement of “Travelife, Gold” the sustainability and social responsibility certification by all Heritance properties in the previous year, and

Heritance was also the first resort hotel chain in Sri Lanka to receive ISO 50001 EnMS certification in 2013 .

Other Environmental certifications include the ISO 14001:2004.



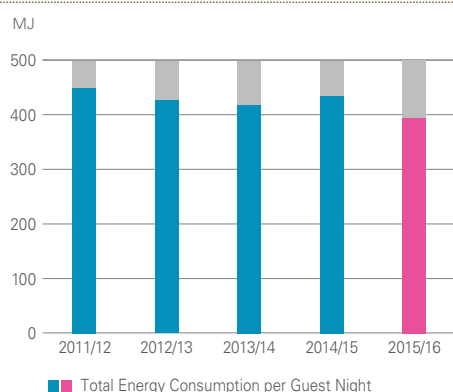
Energy Management:

The need for conservation of energy and sources of renewable energy in the world has been made more urgent today than ever. Closer to home, in our business, Energy costs (comprising electricity and fuel) account for 17% of our operating costs and reducing energy consumption is hence a Triple Bottom Line objective.

During the year, the total energy consumption by our properties in Sri Lanka and the Maldives reduced to 267,870 GJ from 292,692 GJ in 2014/15 with a decrease in megajoules (MJ) per guest night (GN) to 391.80 MJ from 422.83 MJ in previous cycle. The highest amount of energy consumption (69.21 %) is attributed to Maldives

G4-EN08

Total Energy Consumption per Guest Night (SL & MV)



due to on-site power generation. Fuel (Diesel, Petroleum, LPG) and Grid Electricity represented 80% and 16.4% respectively while Renewable energy consumption amounted to 3.33% of total Energy Consumption.

The decrease in energy intensity during the year, which is on track with our energy efficiency targets, proves that our operations have become more energy efficient.

In keeping with our target of renewable energy use future plans for grid connected solar PV systems are currently in the final stages of planning.

An overarching energy conservation policy applies to our entire portfolio, incorporating standard operating practices which include the following:

- Key card control and master switch turn off to ensure that no power is wasted when the room is unoccupied in 90% of the rooms.
- Lights on outside locations timer controlled to ensure they are switched off at a given time.
- The use of low energy consuming LED or plasma bulbs at our new properties and replacement of Halogen bulbs with these at our older properties.
- Monitoring of fuel consumption by stand alone generators are monitored on a daily basis.

Water Management

Water conservation is an important area of focus in our sustainability strategy with the medium to long term in mind, and we continue to improve the efficiency of our operations in water usage and to understand water conditions of the localities in which we operate.

In water stressed locations such as the Maldives, desalination is the only means of fresh water provision.



The usage of LED lights at Turyaa Kalutara

At our Hotel properties, 100% of the waste water generated and close to 90% of the total water withdrawn is treated and recycled. An assumption is made that 10% of the total withdrawn water is lost due to evaporation.

Total water consumption at our Sri Lankan and Maldivian properties decreased by 5.09% to 980,218 m³ during the year compared with 2014/ 15. Water intensity also decreased to 1.44 m³ per Guest Night in 2015/16.

Reducing laundry has been a key area through which we reduce water consumption. Through friendly messages on how one can be environment friendly and make a contribution to reducing carbon footprint, the Housekeeping and Guest relations associates have been successful at encouraging guests to reduce their laundry requirements. The housekeeping team participates in the monitoring of its performance.

Total Water withdrawal by source

Year	Ground Water m ³	Sea Water m ³
2011/12	215,597	586,409
2012/13	287,736	662,282
2013/14	284,661	702,019
2014/15	280,626	752,148
2015/16	300,723	679,495

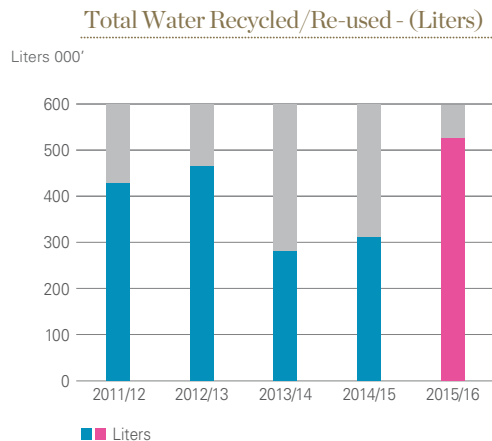
Waste & Effluent Management

We have progressed enough in our management of waste that we no longer use the term "waste" when referring to whatever is left over or generated; as what we waste is almost nothing as they are converted to a resource.

Solid waste generated at our Sri Lankan properties during the year amounted to 415.06 tonnes, which represents 1.55 kg per GN and in line with our 7R program.

G4-EN10 G4-EN19

Integrated Management Discussion & Analysis



The volume of water recycled and reused during this period of reporting was 525,192 m³ which amounted to 68% increase over the previous period.

All our hotels are equipped with secondary treatment plants to treat their wastewater and the totality is used for washing of vehicles, flushing of back of house sanitary facilities and irrigation of lawns and gardens.

In August 2015, the Group's Adaaran chain of hotels in the Maldives was among the first out of 98 (of the total of 114 resort operators) to sign the "Male 3R Declaration" of the government of Maldives, to manage waste, promote sustainable tourism and protect marine and coastal ecosystems.

Our properties have already gone beyond, in adopting its own expanded version of the 3R's in the Maldivian Islands and moreover, we also gave leadership to promoting the same by conducting programme to introduce and train other resorts in Maldives who are interested in expanding their environmental sustainability efforts.

Every little step takes us closer ...

Some of the steps taken to reduce waste, in 2015/16

- As a step towards reducing our plastic bottle consumption, Heritance Ayurveda Maha Gedara began to serve guests filtered water in a Guruleththuwa a traditional handmade clay water pitcher.
- An external consultant provides water quality assurance to our hotels on a monthly basis, and our

Associates have been given in depth training on quality measures and assurance.

- Reduced paper consumption further by using a paperless system to inform of product and service availability.
- The Group continues to work with CEA approved companies and with members of the community to prevent additional waste streams leading to landfill.



The Bio Gas plant at Heritance Ayurveda Maha Gedara

Launching the Aitken Spence Carbon Offset Management Program

The Group, as part of its proposed Carbon Offset Management Program, will also provide guests the opportunity to partner our lofty goals. Guests at our hotels will be offered an opportunity to offset their carbon emissions during their stay by making a set voluntary contribution as a carbon-offsetting cost and the money will be credited to the Group's Carbon Offset Management Program. The program will utilize these funds to collaborate with certified offsetting projects which are located in underdeveloped areas nearest to our operations.

G4-EN23

Waste Details Sri Lankan and Maldivian Hotels	Measurement	2015/16	2014/15	2013/14	Remarks
Waste type					
Paper	Kg	12,927	14,921	12,099	Segregated and sold/sent for recycling
Cardboard	Kg	17,990	32,172	29,517	Segregated and sold/sent for recycling
Plastic	Kg	12,069	13,840	12,358	Segregated and sold/sent for recycling
Polythene	Kg	4,800	5,015	3,168	Segregated and sold/sent for recycling, Supplier education on reducing packaging material planned
CFL Bulbs	Units/Kg	873	324/1021	360/773	Sent for recycling, Energy efficient LED lighting replacement program
Lead Acid Batteries	Units/Kg	572	6/595	6/706	Segregated and sold/Stored for later recycling
Alkaline Batteries	Units/Kg	485/223	485/223	20/186	Segregated and sold/Stored for later recycling
Tires	Units/Kg	-	36/856	16/1,116	Sent for Retreading/Sold to recycle
Scrap Metal	Kg	22,291	17,945	18,225	Segregated and sold
Glass	Kg	10,551/ 31,041	23,275	25,416	Segregated and sold/sent for recycling
Soiled Cotton	Kg	620	744	580	Sent to Thilafushi
Food Waste	Kg	2,306,754	2,456,781	1,108,355	Composted, Used in Bio Gas Generators, Sold/Given to piggery
Waste Oil	L	5,590	Previously not reported	Previously not reported	Sold to Soap manufacturer
E- Waste	Units/Kg	4/268.25	4/268	2/328	Sold/sent for recycling

Integrated Management Discussion & Analysis

The 7 R's approach pioneered by Aitken Spence

Aitken Spence Hotels Group has spearheaded the implementation of a 7R approach towards waste management. This internally developed method encourages reuse before recycling and is aimed at reaching zero waste to land fill status. The hotels segregate waste by type, and thereafter different waste is dealt with the most effective and suitable manner. For example food waste is either used for compost or handed over to pig farms as animal feed or converted to Bio-Gas. Water used in our bathrooms are aerated and used for gardening and other outdoor activities; kitchen waste is treated to trap the oils and fats and used for fertilizer whilst human waste is sundried and converted to fertilizer.

1. **Reject** - all non-biodegradable material, such as packaging material and plastics wherever possible.
2. **Reduce** - the use of resources, especially those based on non-biodegradable material that cannot be rejected. Use technologies such as Cleaner Production (CP) and Green Productivity (GP).

Includes reducing Energy usage – “Switching Off” policy
 Water usage – “Closing Taps” policy

3. **Reuse** - every possible resource especially those that cannot be rejected or reduced such as paper, plastic packaging material, construction material etc.

Eg: Durables against Disposables

4. **Reclaim** - what cannot be totally reused.

5. **Replace** - what cannot be rejected, reduced or reused with more environmentally friendly options.

Eg: Oil based paints with water based.

Plastic with other biodegradable options. Cycle or walk without burning fossil fuels.

6. **Repair** - what is broken and reuse them.

Eg: Broken furniture, machinery and other equipment can be repaired and reused without extracting new resources. .

7. **Recycle** - every material, so that nothing goes to waste.

Eg: Waste water, cooking oil, engine oil, metal cans, plastic containers, PET bottles etc.

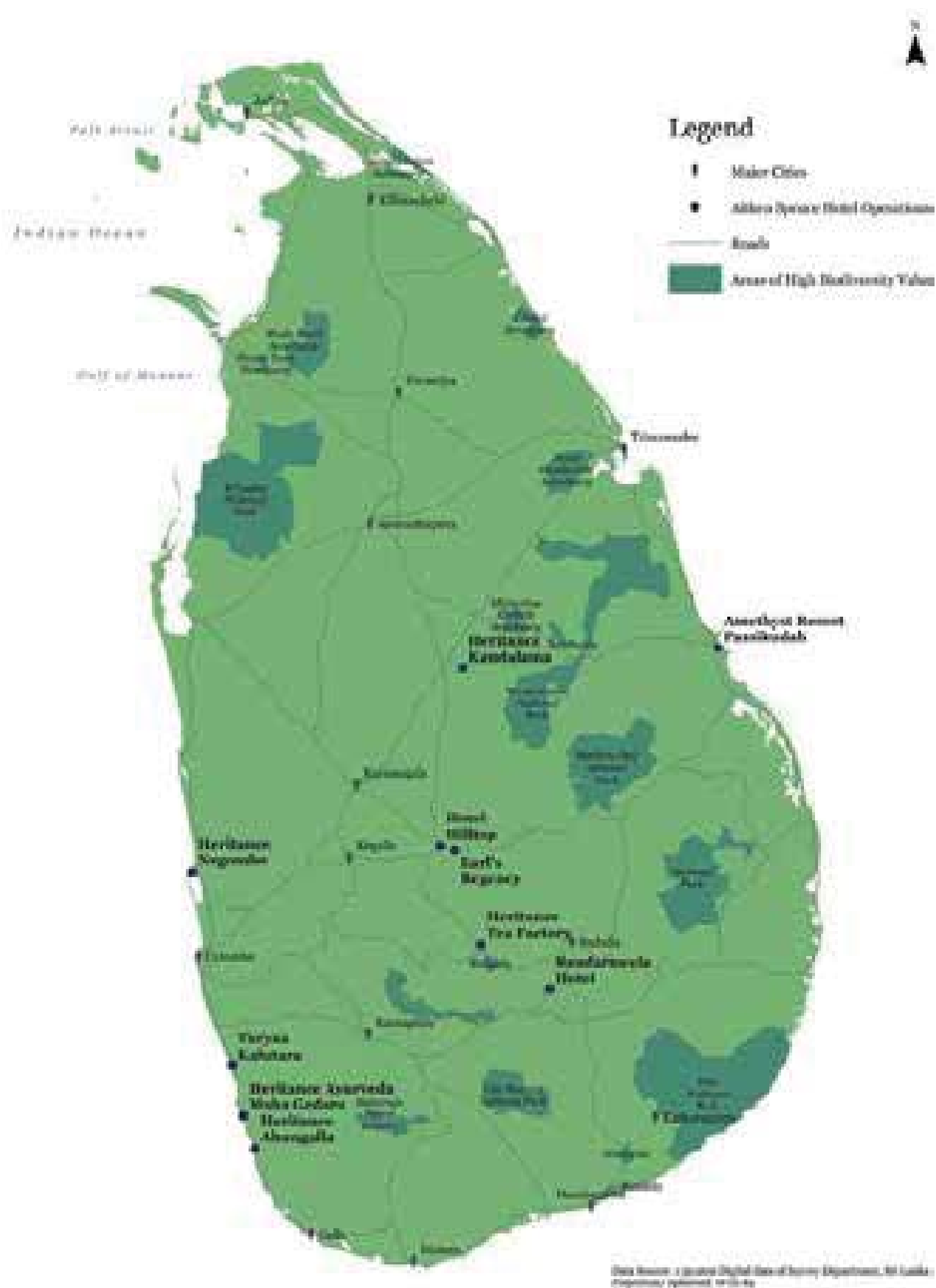
In short all materials that cannot be rejected, reduced, reused, reclaimed, replaced, or repaired.

Bio Diversity

Just as much as we value how socially integrated our hotels are with the local community, we also follow an integrated model with regard to the environment. Although none of the Group's Sri Lankan operations are located within very close proximity to national reserves or protected areas., the Group takes necessary precautions to ensure that areas of high biodiversity are protected and preserved as is the case with Heritance Kandalama which acts as a preservation agent in conserving the biodiversity and eco-systems in the area. Heritance Kandalama has seamlessly integrated itself

into a natural preservation of 198 acres of conservation forest in its perimeter and this ensures that the bio-diversity is protected. This 198 acre land also is home to an Eco Park launched by the Hotel. In addition, the Hotel also conserves 58 acres of forest area, flora and fauna within the hotel. The hotel was built on a platform in order to let the water trails run free. Thus protecting the origins of 11 natural streams that provide irrigation water to 34 dry zone reservoirs. Paddy fields that had been abandoned for almost 12 years are now being cultivated after the hotel improved and maintained irrigation in the area.

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Integrated Management Discussion & Analysis

The Eco Park at Heritance Kandalama

The Eco Park at Heritance Kandalama is a first of its kind in Sri Lanka which showcases the Hotel's Planet focus and some of its many environmental sustainability initiatives in order to generate public awareness of the vital importance sustaining the environment.

The park, which commenced at the Hotel's plant nursery in 1996 spans the many acres of land belonging to Heritance Kandalama and is a 10 minute walk away from the hotel lobby.

It is today a popular place of interest for excursions by school children, guests from adjoining hotels, other travellers and members of the community. An Environmental Animator employed by the hotel explains and interprets practices to visitors to provide a stimulating learning experience. The initiatives which are being demonstrated include the process of recycling, and how the Hotel practices the 7 R's; Bee keeping, paper making out of elephant dung, animal rehabilitation, plant nursery, the Hotel's sewage treatment and water re-cycling plants, wet and solid waste separation center, herbal garden, eco library and open air sports facilities.

The Plant Nursery won Heritance Kandalama the PATA Green Leaf Gold Award for Environmental Education in 2000. Today, the nursery also distributes plants for "Tree Growing Campaigns" to community organizations across the island.

The year under review saw 8,935 non hotel guests visit the park, compared with 7,379 in 2014. Since 2004 (which is when the park began to keep formal records of visitors) 2.5 million visitors have visited the Eco Park and benefited from its experience and education on environmental sustainability.

The Park also consists of a wild life rehabilitation & care center which rehabilitates injured animals, birds and reptiles and reintroduces them into the wild. Self-taught naturalist Sarath Velarathana, a person with natural flair and passion for his work, heads the Eco Park which performs a valuable role in community education on environmental sustainability.

The year under review saw 19 Mammals, 14 Birds and 187 Reptiles being cured and released back to the wild.





Reef Cleaning at Adaaran Club Rannalhi

It is an endorsement of the hotel's design sensitivity that the animals that lived in the area before its construction still roam free. The impressive biodiversity indicators reported from Heritance Kandalama are 128 species of native flora, 183 species of birds, 19 species of reptiles and amphibians, 17 species of mammals and 64 species of butterflies and dragon flies. The hotel supports the natural environment, ensuring that the least possible disturbance is caused and has four types of primates using the green spaces of the hotel. Of these, two are endemic – the Macaque Monkey and Purple Faced Leaf Monkey, the other two being the Gray Langur and Slender Loris. The large open areas and the green cover over the building welcome even the most timid birds. Among those sighted at the hotel has been the very rare Ceylon Shama (long tail Jungle Robin). Sanctuaries and policies against the invasion/interference with natural habitats have ensured the protection of biodiversity and ecosystems. No alien fauna and flora has been introduced and there is no negative impact on the Kandalama tank due to the operations of the hotel.

Outlook

Post war Sri Lanka's tourism industry has been on a strong growth trajectory, with all factors projecting continuing growth, and at a higher pace. However, achieving significant increases in arrivals and the number of high yielding tourists to Sri Lanka remain paramount for the medium to long term growth and sustainability of the industry. Towards this end, an urgent imperative is a focused and strategic destination marketing campaign integrated across all media to augment the efforts of our tour operators in those nations; the cost of not doing so in the past few years, has been considerable. We thus hope that the new administration will reignite some of the past strategies that served the industry well.

The Group's portfolio of resorts in the Maldives saw a decline in profitability mainly due to the drop in arrivals as a result of the political turmoil and the negative publicity the country received in the European markets. However the group is confident impact on its operations in the destination is short-term and with the stabilisation of the political environment increased returns could be expected in the coming years.

Looking ahead at next year, it is likely that arrivals and revenues which originate from Europe may contract due to the general perception of the safety concerns that were raised with the bombings in Paris and Brussels take hold. The group will thus continue to look to diversify our markets whilst also focusing on rapidly growing markets, such as China, India and the Middle East. Your Company's regional presence with properties in Maldives, Oman and India makes it well poised to harness the potential in these countries.

Aitken Spence growth strategy will look to expand its regional as well as Sri Lankan presence. The group's associate property Heritance Negombo was launched in April 2016 and the 501 room RIU Ahungalla will commence operations in mid-2016 and the newly acquired properties, Turyaa Chennai in India and Al Falaj in Oman will be operational for their first full year during the 2016/17 financial year and along with the Turyaa Kalutara which was refurbished and relaunched with an additional 90 rooms is expected to be the major contributors to the projected revenue increases. The new islands acquired in the Maldives Aarah in Raa atoll and Raafushi in Noonu atoll will continue construction work and will play a pivotal role in the group's growth strategy. The Group is also actively exploring opportunities within Sri Lanka, with a focus on developing existing land banks, such as in Galle and Trincomalee.

As we stand well poised to harness the opportunities in the environment, our leadership position in Sri Lanka's tourism industry and our strength as a regional player, are factors which add to our buoyant outlook, to increase sustainable value creation to all our stakeholders with in keeping with our Vision and a Triple Bottom Line focus.

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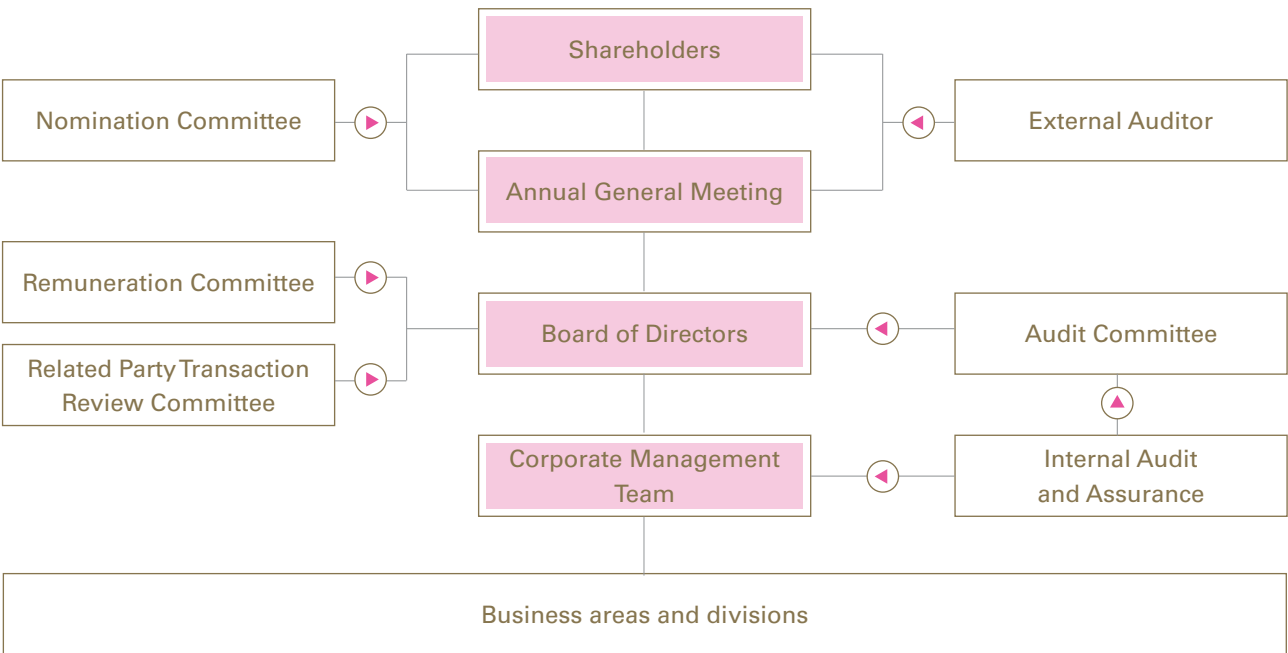
A prosperous society & nation

Corporate Governance

In the corporate governance report Aitken Spence Hotel Holdings PLC presents how applicable rules are implemented in efficient control systems to achieve long-term growth and contribute to improve corporate performance and corporate image in creating long term stakeholder value. Good corporate governance is not only about following applicable rules, it is also about doing what is right. The challenge is to find the right balance between risk and control within an established control system which will ultimately add value to all stakeholder groups of the Company and its subsidiaries.

The Company operates within an integrated Governance framework formulated after taking into consideration the code of best practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka and the Listing Rules of the Colombo Stock Exchange and the codes of relevant professional institutions. The integrated Governance framework formulated is outlined in the diagram below and set out in the report that follows:

Governance Structure



At the end of the financial year 2015/16, Aitken Spence Hotel Holdings PLC had 3,356 shareholders (3,217 at financial year end 2014/15). Of the total share capital, 98.66% was owned by National Institutions and Individual Investors, 1.34% by Non National Institutions and Individual Investors.

Aitken Spence PLC is the largest shareholder, holding 71.21% of the share capital. The twenty largest shareholders accounted for 91.27% of the share capital in the company. More information on Aitken Spence Hotel Holdings PLC shareholders can be found on pages 277 and 280.

Annual General Meeting

The Annual General Meeting (AGM) is Aitken Spence Hotel Holdings PLC's supreme decision-making body in which all shareholders are entitled to take part. The shareholders may exercise their voting rights in a number of important issues, such as the election of Board members and auditors, approval of financial statements and the adoption of the proposed distribution of profits. All shareholders registered in the shareholders' register who have given due notification to the company of their intention to attend, may join the meeting and vote for their total shareholdings. Aitken Spence Hotel Holdings PLC encourages all shareholders to attend the AGM and shareholders who cannot participate personally may be represented by proxy holders.

The 38th AGM of Aitken Spence Hotel Holdings PLC was held on June 30, 2015 at the Auditorium of the Institute of Chartered Accountants of Sri Lanka and 77.26% of the shares were represented.

Decisions taken at the AGM 2015 included:

Approval of Annual Report of the Board of Directors on the affairs of the Company and the Financial Statements for the year ended 31st March 2015 and the Report of the Auditors thereon.

Approval of a Final Dividend of Rs.1.50 for f/y 2014/15.

Appointment of Messrs KPMG, Chartered Accountants, as the External Auditor of the Company for f/y 2015/16 and authorisation of the Directors to approve their remuneration.

Authorisation of the Board of Directors to determine contribution to charity for f/y 2015/16.

Deshamanya D.H.S. Jayawardena, Chairman of the Group, was re-elected to the Board as the Chairman upon his re-election as a Director of the Company by passing the following resolution.

"That the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. D.H.S. Jayawardena who has attained the age of 72 years and that he be re-elected a Director of the Company."

Mr. R. N. Asirwatham a member of the Board since September 2009 was re-elected to the Board as a Director by passing the following resolution.

"That the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. R.N. Asirwatham who has attained the age of 72 years and that he be re-elected a Director of the Company."

Mr. C.M.S Jayawickrama, a member of the Board since April 2005 was re-elected to the Board and appointed as a Director.

Mr. G.P.J. Goonewardena, a member of the Board since September 2006 was re-elected to the Board and appointed as a Director.

Ms. D.S.T. Jayawardena, a member of the Board since July 2014 was elected to the Board and appointed as a Director.

Nomination Committee

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its parent company Aitken Spence PLC. Therefore the Nomination Committee of Aitken Spence PLC acts as the Nomination Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Nomination Committee. More information on Nomination Committee can be found on pages 158-159 of this Annual Report.

Board Of Directors

The Board of Directors comprises of Nine Directors including the Chairman and the Managing Director as at the end of financial year 2015/16. The Board has three Directors who are Independent Non-Executive Directors. The Company believes that the present composition of the Board, which has at its disposal, a vast reservoir of knowledge and experience in all areas of the Company's operations such as Hoteliering, Marketing, Finance, Legal, Commerce and Entrepreneurship enables optimum efficiency and effectiveness. The names and the profiles of the Directors are given on pages 28 to 29 of this Annual Report. Mr. S. M. Hapugoda who was a director resigned from the directorate w.e.f. 30th June 2015.

Corporate Governance

Audit Committee

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its parent company Aitken Spence PLC. The Audit Committee of Aitken Spence PLC thus acts as the Audit Committee of Aitken Spence Hotel Holdings PLC which has complied with the policies and procedures set out by the Group Audit Committee. More information on the Audit Committee can be found on pages 154-155 of this Annual Report.

Remuneration Committee

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its parent company Aitken Spence PLC. Therefore the Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Remuneration Committee. More information on the Remuneration Committee can be found on pages 156 -157 of this Annual Report.

Related Party Transaction Review Committee

A Related Party Transactions Review Committee was set up during this financial year by the Group in compliance with the Listing Rules of Colombo Stock Exchange. Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its parent company Aitken Spence PLC. Therefore the Related Party Transactions Review Committee of Aitken Spence PLC acts as the Related Party Transactions Review Committee of Aitken Spence Hotel Holdings PLC as well.

External Auditor

The task of the external auditor is to examine Aitken Spence Hotel Holdings PLC annual accounts and accounting practices of the Company and Group. At the AGM 2015 the audit firm KPMG, Chartered Accountants, was re-elected as external auditor until the AGM 2016.

Internal Audit And Assurance

The Board of Directors is responsible to see that Aitken Spence Hotel Holdings PLC has adequate internal control systems in place for financial reporting. Read more on page 150.

Corporate Management Team

The Corporate Management Team consists of eleven members with a vast reservoir of knowledge and experience in all areas of the Company's operations such as Hoteliering, Engineering, Marketing, Finance, Legal, Commerce and Entrepreneurship and enables optimum efficiency and effectiveness.

The Corporate Management Team is responsible for implementation and carrying out strategic development plans made at Board level. They work as the steering committee through which overall company goals are communicated to sub divisions. The names and the profiles of the Corporate Management Team are given on pages 32 - 33 of this Annual Report.

Statement of Compliance

The disclosures below reflect conformance to the Code of Best Practice on Corporate Governance which comprises of seven (7) fundamental principles.

These are namely:

- A. Directors
- B. Directors' Remuneration
- C. Relations with Shareholders
- D. Accountability and Audit
- E. Institutional Investors
- F. Other Investors
- G. Sustainability Reporting

The structures in place and the conformance to the requirement and expectations are tabulated below under the said seven fundamental principles.

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SECTION 1 of the Code deals with the Company and it mainly covers the governance aspects with regard to company Directors, their Remuneration, Relations with Shareholders, Accountability and Audit. (See pages 141 to 151)

SECTION 2 of the Code deals with the Shareholders and discusses how a good corporate citizen discharges its responsibilities towards both Institutional Investors and Other Investors. (See pages 151 to 153)

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
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SECTION 1. COMPANY

A. DIRECTORS

A.1/7.10.1(a), 7.10.2(a) and 7.10.3(c-d) - The Board

The Board of Directors comprises of Nine Directors including the Chairman and the Managing Director as at the end of financial year 2015/16. The Board has three Directors who are Independent Non Executive Directors. The Company believes that the present composition of the Board, which has at its disposal, a vast reservoir of knowledge and experience in all areas of the Company's operations such as Hoteliering, Marketing, Finance, Legal, Commerce and Entrepreneurship enables optimum efficiency and effectiveness. The names and the profiles of the Directors are given on pages 28 to 29 of this Annual Report. Mr. S. M. Hapugoda who was a director resigned from the directorate w.e.f. 30th June 2015.

Board Meetings	A.1.1	Complied	Board Meetings were held Six times during the financial year and presided over by the Chairman.
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Board of Directors

1. Deshamanya
D.H.S. Jayawardena
2. Mr. J.M.S. Brito
3. Ms. D.S.T. Jayawardena
4. Mr. C.M.S. Jayawickrama
5. Mr. G.P.J. Goonewardene
6. Mr. R.E.V. Casie Chetty
7. Mr. S.M. Hapugoda
(Resigned w.e.f. 30.06.15)
8. Mr. N.J. de Silva Deva Aditya
9. Mr. C.H. Gomez
10. Mr. R.N. Asirwatham

The Board meetings are scheduled in advance to enable the Directors to plan their commitments in order to facilitate attendance. Any instances of non-attendance at the meetings were due to personal commitments or illness.

Apart from taking decisions at the Board meetings, the Board also takes decisions *via* Circular Resolutions. The Directors are provided with the Agenda and Board papers in advance giving them adequate time to study the contents prior to the meetings. The Board meetings are arranged in advance and all Directors are informed of the meetings. When decisions are taken *via* circular resolutions, all relevant information is sent together with the circular resolution to enable the Directors to clearly comprehend the purpose for which a resolution is being circulated prior to obtaining their consent.

Attendance at these meetings are indicated in the table on page 153.

Corporate Governance

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
Responsibilities of the Board	A.1.2	Complied	The Board of Directors are responsible for the formulation of business strategies with regard to short, medium and long term goals and objectives of the Company and its subsidiaries after taking into consideration the Group's strength, competencies and risks while giving independent opinions on issues of strategy, performance, key appointments, standards of business conduct and all other relevant matters which are considered by the Board. Implementing and monitoring of such strategies. Reviewing and ratifying systems in operation relating to risk management, internal control, codes of conduct and strict compliance with the laws, statutes and regulations. In this process, compliance with all applicable laws and regulations both national and international and adherence to the Company's ethical standards and corporate values are of utmost importance in order to ensure that the interests of all stakeholders are taken into consideration in the corporate decision-making process. Reviewing, approving and monitoring all capital expenditure, acquisitions and divestitures recommended by Senior Management. Ensuring that effective information and audit systems are in place. Ensuring that due attention is given to annual and interim financial statements prior to publication by ensuring the adoption of appropriate accounting policies and complying with relevant statutes and accounting regulations. Determining the quantum of the final dividend for approval by the shareholders at the AGM. Approving and monitoring financial and other reporting.
Compliance with laws and access to independent professional advice	A.1.3	Complied	The Board of Directors in discharging its duties seeks independent professional advice from external parties when necessary at the Company's expense to ensure that the Company complies with the applicable laws and regulations of the country, regulations of authorities, professional institutes and trade associations.
Company Secretary	A.1.4	Complied	The Company Secretaries advise the Board on matters relating to the Companies Act, the Colombo Stock Exchange and other applicable rules and regulations and ensures that appropriate, timely and accurate information is submitted to the Board and its committees. The Company Secretaries play the role of a facilitator ensuring that a healthy relationship is maintained between directors, auditors and Board sub-committee members to strengthen accountability and investor confidence.

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Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
Independent judgment of the Directors	A.1.5	Complied	Each Director exercises independent judgment in all matters considered by the Board and acts free from any undue influence and bias from other parties. Matters considered include making decisions on issues relating to strategy, implementation of such strategies, financial and operational review, resource allocation and standards of conduct and business ethics.
Dedicating adequate time and effort	A.1.6	Complied	The Board of Directors devotes adequate time to fulfill their duties as Directors of the Company. The Board has delegated the day to day operations of the Company to the Management Committee. The Management Committee comprises of the Managing Director, the Executive Directors and a specialist team of Senior Managers of the Company. The Board papers are received by the Directors, ahead of Board Meetings, enabling the Directors to review the papers and obtain clarifications prior to the meetings.
Training for new and existing Directors	A.1.7	Complied	Directors are provided with opportunities to attend workshops, seminars and professional training programmes. Directors are briefed on changes in laws and regulations, tax laws and accounting standards from time to time either during Board meetings or at specially convened sessions.

A.2. Chairman and the Chief Executive Officer

There is clear distinction of responsibilities between the Chairman and the Managing Director. The functions performed by the Chairman and the Managing Director are distinct and separate, which ensure the balance of power and authority within the organisation, so that no person has unfettered powers of decision making. The Chairman controls and preserves order at Board meetings and provides the Board with strategic direction and guidance. The Managing Director is responsible for the performance of the day-to-day operation of the Company with the support of the Corporate Management Team. The Managing Director also acts as the Chief Executive Officer of the Company.

Clear division of responsibilities of the Chairman and the CEO	A.2.1	Complied	The roles of the Chairman and the Managing Director are distinct and separate, which ensures a balance of power within the organisation, so that no individual has unfettered powers of decision making.
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A.3 Chairman's Role

The Chairman of the Company who is one of the most successful and experienced business leaders in this country is responsible for guiding the Board in formulating the appropriate business strategies and giving direction to the Group. He is responsible for preserving good corporate governance in the Company.

Role of Chairman	A.3.1	Complied	The Chairman provides leadership and strategic direction to the Board and ensures that the Board effectively performs its functions, adheres to procedures and the relevant statutes. The Chairman encourages effective participation of all the Directors in decision making, seeks and ascertains the views of the Directors and thereby ensures that the Board functions in an efficient manner which is beneficial to the stakeholders and the Company.
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Corporate Governance

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
A.4 Financial Acumen			
Financial Acumen	A.4	Complied	The Board includes four Senior Professional Accountants, one of whom is the Managing Director. They possess the necessary experience and expertise.
A.5 Board Balance			
Presence of Non-Executive Directors	A.5.1 7.10.1 (a) 7.10.2 (a) 7.10.3 (a)	Complied	The Board comprises of the Chairman, Managing Director and four Executive Directors and three Non-Executive Independent Directors. In the Company, the Chairman and the Managing Director are not the same person. The Non-Executive Directors' brief resumes are provided on page 29 this Annual Report.
Independence of Non-Executive Directors	A.5.2, A.5.3 & A.5.5 7.10.2 (a-b) & 7.10.3 (a-b)	Complied	As indicated in the table on page 153 the Board comprises of three Non-Executive Directors namely, Mr. N. J. de Silva Deva Aditya, Mr. C.H. Gomez and Mr. R.N. Asirwatham. Mr. N. J. de Silva Deva Aditya although a Director of the Company and the Director of Institutions that hold over 15% of the shares of the parent company, is however determined as an Independent Director after taking into consideration all the relevant circumstances including the fact that he resides overseas. Furthermore, the Institutions in which he is a Director do not directly or indirectly get involved in the day to day management of either the Company or its subsidiaries and as such are independent of management and free of business relationships. Mr. R.N. Asirwatham and Mr. C.H. Gomez were appointed to the Board as Non-Executive Independent Directors.
Annual Declaration of Non-Executive Directors	A.5.4 7.10.2 (b)	Complied	Each Non-Executive Director submits a signed declaration annually with regard to his independence/non-independence against the specific criteria.
Requirement to appoint a 'Senior Independent Director'	A.5.6, A.5.7 & A.5.8	Not applicable	This is not relevant to the company as the Chairman and the Managing Director roles are segregated.
Chairman conducting meetings with the Non-Executive Directors	A.5.9	Complied	The Chairman meets with only the Independent Non-Executive Directors as and when necessary.
Recording of concerns in the Board minutes	A.5.10	Complied	Any concerns raised by the Directors which cannot be resolved unanimously are recorded in Board minutes, if applicable.

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Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
A.6 Supply of Information			
Obligation of the Management to provide appropriate and timely information	A.6.1	Complied	The Group has a modern Management Information System in place. All the Board Members receive information on the operation and performance of the Group on a monthly basis. In addition, the Company has a centralised accounting process which is monitored by the respective Group Companies.
Adequate time for circulation of respective Board documents	A.6.2	Complied	The Board is provided with timely and appropriate information by the management by way of board papers and proposals. The Board members have access to additional information at all times. The Board minutes, agenda and papers are circulated, giving adequate time for individual Directors to study same, thus enabling the active and effective participation of each Board member.
A.7 Appointments to the Board			
Nomination Committee and the assessment of composition of the Board	A.7.1 & A.7.2	Complied	The Nomination Committee which is a sub-committee of the Parent Company's Board consists of three Independent Non-Executive Directors of the Parent Company in addition to the Chairman and the Managing Director of the Company. The names of the members of the Committee are listed on page 294 of this Annual Report. The function of the Nomination Committee is to recommend to the Board of Directors the suitability of appointments and the re-appointments of Directors to the Company and to its Subsidiaries and to regularly review the structure, size, composition and competencies of the Board and make recommendations to the Board.
Disclosure to Shareholders	A.7.3	Complied	Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange with a brief resume of such Director containing the nature of his/her expertise, other directorships held, memberships in Board Committees and the nature of the appointment. Although the Chairman, Deshamanaya D.H.S. Jayawardena and Ms. D.S.T Jayawardena are related to each other, however, act in the best interest of the Group in their spirit, intention, purpose and attitude in their decision making.
A.8 Re-Election			
Re-election of Directors including Chairman	A.8.1 & A.8.2	Complied	All Directors over the age of seventy years and all those who are retiring by rotation in terms of the Articles of Association of the Company, submit themselves for re-election at the AGM to be held on 30/06/2016 to be elected by the shareholders of the Company as per the Articles of Association. The Nominations Committee has declared to the Board that the contributions made by the Directors offering themselves for re-election at the AGM in 2016 are effective and affirms the Company's continuous support of their re-election.



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Corporate Governance

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
A.9 Appraisal of Board performance			
Appraisals of the Board and the sub-committees	A.9.1,A.9.2 & A.9.3	Complied	Assessment of the performance of the Board, its Committees and individual Directors forms an integral part and takes place annually on a self-appraisal basis within the terms of reference to its/their key responsibilities outlined on the Nomination Committee Report (see pages 158 to 159).
A.10 Disclosure of information in respect of Directors			
Directors' disclosures	A.10.1 7.10.3 (c-d)	Complied	The names of the Directors of the Board, their background leadership expertise, skills and their profiles are disclosed on pages 28 to 29 of this report. Directors' interest in contracts is disclosed on pages 265 to 271 of this annual report. The number of board meetings attended by the Directors is given on page 153 of this report. Names of the Chairman and the members of the Board Committees are provided on page 294 of this annual report.
A.11 Appraisal of Chief Executive officer			
Setting of the annual targets and the appraisal of the CEO/MD	A.11.1 & A.11.2	Complied	The Board in consultation with the Managing Director reviews and approves the operational and financial budgets and monitors the performance. The evaluation of performance is conducted half yearly and at the end of the financial year to ascertain whether the targets set by the Board have been achieved and if not, whether the failure to meet such targets was reasonable in the circumstances.
B DIRECTORS REMUNERATION			
B.1/7.10.5 Remuneration Procedure			
Establishment of a remuneration committee and its composition	B.1.1,B.1.2 & B.1.3 7.10.5 (a) & 7.10.5 (b)	Complied	The Board has delegated powers to the Remuneration Committee which is a sub-committee of the Parent Company's Board to formulate and review remuneration packages of Executive Directors and Executive Employees according to their responsibilities and performance. The evaluation of performance is conducted half yearly and at the end of the financial year. The Group Remuneration Committee consists of three Non-Executive Independent Directors of the Parent Company one of whom functions as the Chairman of the Remuneration Committee. The names of the members of the Committee are listed on page 294 of this Annual Report.

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
Determination of the remuneration of the Non-Executive Directors	B.1.4	Complied	The board determines the fees and expenses payable to Non-Executive Directors as per the Articles of Association of the Company.
Consultation with the Chairman and the CEO/MD	B.1.5	Complied	The Remuneration Committee consults the Chairman and the Managing Director regarding the remuneration proposals to Executive Directors and the senior management. No Director is involved in determining his own remuneration.
B.2 Level and Make up of Remuneration			
Level and makeup of the Remuneration of Directors and comparison of remuneration with other companies	B.2.1, B.2.2 & B.2.3	Complied	The Remuneration Committee is responsible for evaluating the performance of the Managing Director, Executive Directors and the individual and collective performance of the Directors and the Senior Management. The Committee structures remuneration packages to attract, retain and motivate Directors, the Senior Management and Executives. The remuneration packages are based on cost of living, inflation rates, comparative industry norms and the contribution of the individual to the Group and the respective subsidiary to which such individual is attached.
Performance based Remuneration	B.2.4	Complied	The Remuneration Committee reviews the performance of the Executive Directors and senior management and the performance bonus is based upon the achievement of goals and targets by the individual and the respective subsidiary to which such individual is attached.
Executive share options	B.2.5	Not applicable	During the year under review there were no share option schemes in operation.
Designing the Remuneration	B.2.6	Complied	The procedure followed in deciding of remuneration of employees is set out in the Remuneration Committee report which is given on pages 156 to 157.
Early Termination of Directors	B.2.7 & B.2.8	Complied	Determined by the Articles of Association of the Company.
Remuneration of Non-Executive Directors	B.2.9	Complied	Non-Executive Directors receive a fee for their participation in meetings.
B.3 /7.10.5 (c) Disclosure of Remuneration			
Disclosure of Remuneration	B.3.1	Complied	Please refer note 9 and 42.2 to the financial statements for the details of remuneration paid to Board of Directors and Key Management Personnel.
C. RELATIONS WITH SHAREHOLDERS			
C.1 Constructive use of the Annual General Meeting			
Use of Proxy	C.1.1	Complied	A Form of Proxy is forwarded to the shareholders along with the Annual Report and it is ensured that all proxy votes are counted.

Corporate Governance

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
Separate resolution for substantially separate issues	C.1.2	Complied	Separate resolutions are proposed for all substantially separate issues to provide shareholders with the opportunity to deal with each significant matter separately. This mechanism promotes better stewardship while assuring transparency in all activities of the Company.
Chairman of Board Committee to be present	C.1.3	Complied	At the Annual General Meeting the relevant Chairmen of the respective Committees are present to answer queries and provide clarification to shareholders where necessary.
Adequate notice of Annual General Meeting and summary of Procedure	C.1.4 & C.1.5	Complied	The notice and the agenda for the Annual General Meeting together with the Annual Report of the Company are dispatched to the shareholders at least 15 working days prior to the Annual General Meeting as per the Companies Act No. 07 of 2007.
C.2 Communication with Shareholders			
Effective communication with shareholders	C.2.1, C.2.2 & C.2.3	Complied	The Company encourages effective communication with the shareholders and answers queries and concerns of shareholders through the Company Secretaries and/or communications team.
Contact person in relation to shareholders matters.	C.2.4 & C.2.6	Complied	Persons to contact in relation to shareholders is the Company Secretary and in the absence of him/her, the Managing Director.
Process to make Directors aware of the issues and concerns of Shareholders and disclosing same	C.2.5	Complied	The Company Secretary shall maintain a record of all correspondence received and will deliver as soon as practicable such correspondence to the Board or individual director/s as applicable. The Board or individual director/s, as applicable, will generate an appropriate response to all validly received shareholder correspondence and will direct the Company Secretary to send the response to the particular shareholder.
The process responding to shareholder matters	C.2.7	Complied	Refer to comments given for Section C.2.5
C.3 Major and Material Transaction			
Disclosures of major transactions	C.3.1	Complied	During the financial year there were no major transactions, which materially altered the Company's net asset base or the consolidated Group's net asset base.

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
D. ACCOUNTABILITY AND AUDIT			
D.1 Financial Reporting			
Board responsibility to present the financial statements	D.1.1	Complied	The Board of Directors confirm that the financial statements of the Company and its subsidiaries have been prepared in accordance with the Companies Act No. 07 of 2007, the Sri Lanka Financial Reporting Standards/Sri Lanka Accounting Standards and the Listing Rules of the Colombo Stock Exchange. The Company has duly complied with all the relevant Laws and reporting requirements of Regulatory Authorities. The consolidated financial statements and the financial statements of the Company were audited by Messrs KPMG, Chartered Accountants.
Annual report of the Directors	D.1.2	Complied	The "Annual Report of the Board of Directors" which is given on pages 160 to 164 covers all areas of this section.
Statement by the Directors and the Auditors	D.1.3	Complied	The Independent Auditors Report on the financial statements is presented on page 179 of this Annual Report. The Statement of Directors' Responsibilities for Financial Statements is available from pages 165.
Management discussion and analysis	D.1.4	Complied	The Integrated Management Discussion and Analysis is given on pages 96 to 137.
Declaration by the Board as to whether the business is a going concern	D.1.5	Complied	The relevant declaration is presented in the Annual Report of the Board of Directors on page 162 of this Annual Report.
Requirement for an Extraordinary General Meeting in a situation of serious loss of capital	D.1.6	Not applicable	This is not applicable to the Company but should the situation arise an Extraordinary General Meeting would be called upon and the shareholders would be notified.
Disclosure of related party transactions	D.1.7	Complied	A Related Party Transactions Review Committee which is a sub-committee of the parent company was set up during this financial year. They also functioned as the Related Party Transactions Review Committee of Aitken Spence Hotel Holdings PLC, in compliance with the Listing Rules of the Colombo Stock Exchange. The Directors disclose their interest in transactions in companies as and when basis. However, they make disclosures of their interest in transactions with the Company in compliance with the requirements of the Companies Act and other relevant statutory requirements. The Company maintains an interest register as stipulated in the Companies Act. All related party transactions as defined in Sri Lanka Accounting Standard -24 (LKAS 24) on "Related Party Transactions" is disclosed in note No 42 to the Financial Statements on pages 265 to 271.

Corporate Governance

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
D.2 Internal Control			
Directors to review Internal Controls	D.2.1	Complied	The Board is responsible for formulating and implementing appropriate systems of risk management and internal control for the Group and in turn assessing its effectiveness. The Group's internal audit division assists the Board of Directors and the Audit Committee in carrying out the above task. Any internal control system has its inherent limitations. The Board is aware of the inherent limitations and has taken appropriate steps to minimise same.
Requirement to review the need for an Internal Audit function	D.2.2	Not applicable	The Group has an internal audit division to assist in the maintenance of a sound system of internal control for purposes of protecting stakeholder investment and assets.
Audit Committee to carry out reviews of the process and effectiveness of risk management and Internal Controls and document to the Board	D.2.3	Complied	The Internal Audit Division of the Group carries out regular reviews on the internal control system including internal control over financial reporting. The Audit Committee monitors, reviews and evaluates the effectiveness of the risk management and internal control system including the internal controls over financial reporting.
Responsibilities of Directors in maintaining a sound system of Internal Control	D.2.4	Complied	The Directors' responsibility for maintaining a sound system of internal control is given in the Statement of Directors' Responsibilities on page 165.
D.3/7.10.6 Audit Committee			
Composition of the Audit Committee and the Duties	D.3.1 & D.3.2 7.10.6 (a) & 7.10.6 (b)	Complied	The Audit Committee which is a sub-committee of the Parent Company's Board, functions as the Audit Committee of Aitken Spence Hotel Holdings PLC. The Audit Committee comprises of four Non-Executive Independent Directors from the Parent Company one of whom acts as the Chairman of the Committee. The names of the members of the Committee are listed on page 294 of the Annual Report.

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
			The Audit Committee's main purpose is to assist the Board in the effective discharge of its responsibilities on financial reporting, risk management and corporate control. It assists the Board in monitoring compliance with applicable laws and other regulatory requirements. The Audit Committee plays a key role in reviewing the effectiveness of the internal control system. It also ensures the balance among objectivity, independence and value for money of the services provided by the Company's Auditors with special attention for the provision of non-audit services by the Auditor.
Terms of Reference for Audit Committee	D.3.3	Complied	The Audit Committee assists the Board in discharging its duty in ensuring that the Group's internal controls and conduct of business are in accordance with the best practices appropriate to the Company. The Audit Committee evaluates the performance of the external auditors and makes its recommendation to the Board of Directors on their re-appointment or removal which is subject to the approval of the shareholders at the Annual General Meeting.
Disclosures of names of the members of the Audit Committee	D.3.4 7.10.6 (C)	Complied	Names of the members of the Audit Committee are listed on page 294 of this Annual Report. The report of the Audit Committee is available on pages 154 to 155.
D.4 Code of Business Conduct and Ethics			
Disclosure on a presence of code of business conduct and ethics	D.4.1	Complied	The Company has developed a code of ethics which is circulated to Directors and all employees. The Board ensures that the Directors and the employees strictly comply with the Code of Business Conduct and Ethics. The violation of the code of ethics is an offence which is subject to disciplinary action.
Affirmation of the code of conduct and ethics	D.4.2	Complied	Please refer Chairman's Statement on Pages 14 to 18 of the Annual Report.
D.5 Corporate Governance Disclosures			
Disclosures of Corporate Governance	D.5.1	Complied	The Company aims to achieve greater year-on-year growth and value creation, improve stakeholder satisfaction and relationships in all its business activities whilst adhering to highest standards of corporate governance as is evident in this report from pages 138 to 153.
SECTION 2. SHAREHOLDERS			
E. INSTITUTIONAL INVESTORS			
E.1 Shareholder voting			
Communication with Shareholders	E.1.1	Complied	The company conducts regular discussions with Institutional Investors. Existing and prospective investors are given a balanced report that enable them to make well-informed decisions in their dealings with the Company.

Corporate Governance

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
E.2 Evaluation of Governance Disclosures			
Due weight by Institutional Investors	E.2	Complied	The Institutional Investors are at liberty to give due weight on matters relating to the Board structure and composition, when they consider resolutions relating to Board structure and composition.
F. OTHER INVESTORS			
F.1 Investing and Divesting Decision			
Investing and Divesting Decision	F.1	Complied	The Company has no restriction with regard to investors carrying out adequate analysis and obtaining independent advice regarding their investment in the company and encourages any shareholder to do so.
F.2 Shareholder Voting			
Individual shareholders voting	F.2	Complied	All shareholders are encouraged to be present, actively participate and vote at general meetings. The Annual General Meeting provides an opportunity for shareholders to seek and obtain clarifications and information on the performance of the Company and to meet with the Directors after the meeting.
G. SUSTAINABILITY REPORTING			
G.1 Principles of Sustainability Reporting			
Principle 1 - Reporting of Economic Sustainability	G.1.1	Complied	Refer pages 102 to 120 of the 'Integrated Management Discussion & Analysis' for this requirement.
Principle 2 - Reporting on the Environment	G.1.2	Complied	Refer pages 121 to 127 of the 'Integrated Management Discussion & Analysis' for this requirement.
Principle 3 - Reporting on Labour Practices	G.1.3	Complied	Refer pages 122 to 125 of the 'Integrated Management Discussion & Analysis' for this requirement.
Principle 4 - Reporting on Society	G.1.4	Complied	Refer pages 125 to 130 of the 'Integrated Management Discussion & Analysis' for this requirement.
Principle 5 - Reporting on Product Responsibility	G.1.5	Complied	Refer page 100 of the 'Integrated Management Discussion & Analysis' for this requirement.

Corporate Governance Principle	Reference to SEC & ICASL Code CSE Listing Rules	Compliance	Details of Compliance
Principle 6 - Reporting on Stakeholder identification, engagement and effective communication	G.1.6	Complied	Refer pages 100 and 101 of the 'Integrated Management Discussion & Analysis' for this requirement.
Principle 7 - Sustainable reporting to be formalised as part of the reporting process and to take place regularly	G.1.7	Complied	Refer pages 121 to 127 of the 'Integrated Management Discussion & Analysis' for this requirement.

Name of Directors	Attendance at Board Meetings						
	2-Apr-15	22-May-15	30-Jun-15	27-Aug-15	19-Nov-15	11-Feb-16	Total
Chairman							
Deshamanya D.H.S. Jayawardena	✓	✓	✓	✓	✓	✓	6
Managing Director							
Mr. J.M.S. Brito	✓	✓	✓	✓	✓	✓	6
Executive/Non-Independent Directors							
Ms.D.S.T. Jayawardena	✓	✓	✓	✓	✓	✓	6
C.M.S. Jayawickrama	✓	✓	✓	-	✓	-	4
G.P.J. Goonewardene	✓	✓	✓	*	✓	-	4
R.E.V. Casie Chetty	✓	✓	✓	✓	✓	✓	6
S.M. Hapugoda - Resigned w.e.f 30.06.2015	✓	-	-	N/A	N/A	N/A	1
Non Executive/Independent Directors							
N.J. de Silva Deva Aditya	✓	✓	✓	✓	*	✓	5
C.H. Gomez	*	-	✓	-	✓	✓	3
R.N. Asirwatham	✓	✓	✓	✓	✓	✓	6

✓ = Present * = Excused

Audit Committee Report

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its parent company Aitken Spence PLC. The Audit Committee of Aitken Spence PLC thus acts as the Audit Committee of Aitken Spence Hotel Holdings PLC which has complied with the policies and procedures set out by the Group Audit Committee.

In its exertion, the Audit Committee has sought to balance independent oversight of the Group's businesses with the support and guidance to the Board of Directors to fulfill their obligations and responsibilities in relation to financial reporting processes, adequacy and effectiveness of internal control systems, external audit, and the Group's process for monitoring compliance with laws and regulations. The Committee believes that there are many reasons for the Audit Committee to be confident that it has carried out its duties successfully and to a high standard during the year, thereby helping to enrich the value of the Group.

Composition of the Committee and Meetings

The Audit Committee comprised of four Independent Non-Executive Directors and is chaired by an Independent Non-Executive Director.

Group Audit Committee Members	
Chairman	Mr. R.N. Asirwatham
Members	Mr. G.C. Wickremasinghe Mr. C.H. Gomez Mr. N.J. de Silva Deva Aditya/Mr. A. L. Gooneratne (Alternate Director for Mr. N. J. de Silva Deva Aditya)
Secretary	Mr. R.E.V. Casie Chetty

The Audit Committee functioned throughout the financial year and held six formal meetings. The attendance of the audit committee meetings held during the year under review was as follows.

Name of Member	Dates of Meetings					
	11.05.2015	29.06.2015	11.08.2015	20.11.2015	12.02.2016	30.03.2016
Mr. R.N. Asirwatham	✓	✓	✓	✓	✓	✓
Mr. G.C. Wickremasinghe	✓	✓	*	✓	✓	✓
Mr. C.H. Gomez	*	✓	*	✓	✓	*
Mr. N. J. de S Deva Aditya/ Mr. A.L.Gooneratne (Alternate to Mr.Deva Aditya)	✓	✓	✓	✓	*	✓

✓ = Present * = Excused

Attendance by Invitation

The Managing Director, Chief Financial Officer, Chief Corporate Officer, Chief Internal Auditor, other Senior Officers of the Group and the Partner of KPMG responsible for the Group's audit attended the meetings by invitation as and when required.

A comprehensive description of the Audit Committee's activities during the year under review is set out in the table below:

Responsibility	Activity
Risk Management and Internal Control	• Scrutinized the adequacy and effectiveness of the Group's internal controls and risk management activities and suggested recommendations to the Board. • Ensured that the Group adheres to and complies with all relevant laws, rules and regulations of the country, international laws, codes of ethics and standards of conduct required by regulatory authorities, professional bodies and trade associations.
Financial Reporting and Financial Control	• Reviewed the Group's quarterly and Annual Financial Statements, adequacy of disclosures, uniformity and appropriateness of the accounting policies adopted, major judgemental areas and ensured that they were in compliance with the Companies Act No. 7 of 2007, applicable Sri Lanka Accounting Standards and requirements of other regulatory bodies as applicable for the Group and suggested recommendations in line with those requirements. • Reviewed the operational and other management information reports submitted by the Group's management to the Audit Committee and made recommendations for improvements.
External Audit	• Assessed the performance and effectiveness of the external auditors, their independence and professional capabilities and made recommendations to the Board. • Reviewed the audit plan presented by the external auditors, provided advice and support regarding the execution of the plan. • Discussed the audited financial statements with external auditors and ensured that they were in conformity with the Sri Lanka Accounting Standards and other regulatory requirements. • Reviewed and discussed the management letter of the external auditors for the Group and instructed the management to take appropriate and follow up action on matters highlighted therein. • Reviewed the fees & out of pocket expenses proposed by external auditors and suggested recommendations to the Board.
Internal Audit	• Reviewed and evaluated the independence and effectiveness of the Group's Internal Audit Department, their resource requirements and made recommendations for any required changes. • Reviewed and approved the Annual Internal Audit Plan together with the Information Technology (IT) Security Plan and Strategic Risk Plan and made appropriate recommendations for improvements. • Reviewed and discussed the periodic reports submitted by the internal audit department with management responses, on financial and operational audits, IT Security and risk assessments carried out in line with approved annual internal audit plan. • The Audit Committee continued to ensure the co-ordination between Group internal audit and external auditors.

Re-Appointment of Auditors

The Audit Committee having evaluated the performance of the external auditors, decided to recommend to the Board the re-appointment of Messes KPMG, Chartered Accountants as the auditors of the Company for the current year, subject to approval of the shareholders at the forthcoming Annual General Meeting.



R.N. Asirwatham
Chairman
Audit Committee
Colombo

28th May 2016

Remuneration Committee Report

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its parent company Aitken Spence PLC. Therefore the Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Remuneration Committee.

Group Remuneration Committee Members	
Chairman	Mr. G.C. Wickremasinghe ¹
Members	Mr. V.M. Fernando ¹ (Retired w.e.f. 30.06.2015) Mr. R.N. Asirwatham ¹
Secretary	Mr. R.E.V. Casie Chetty
By Invitation	Deshamanya D.H.S. Jayawardena ² Mr. J.M.S. Brito ³ Ms. D.S.T. Jayawardena ⁴

Composition of the Committee

The Committee currently comprises of two Independent Non-Executive Directors and is chaired by an Independent Non-Executive Director. Mr. V.M. Fernando who was an Independent Non-Executive Director served as a member of the Remuneration Committee until his retirement from the Board of Directors on 30th June, 2015. The members of the Committee have wide experience and knowledge of finance, business and industry.

The Committee formally met once during the year under review where all members were present. The attendance of the Remuneration Committee meeting held during the year under review was as follows;

Name of the Member	Meeting 27.06.2015
Mr. G.C. Wickremasinghe	✓
Mr. V.M. Fernando	✓
Mr. R.N. Asirwatham	✓
By Invitation	
Deshamanya D.H.S. Jayawardena	✓
Mr. J.M.S. Brito	✓
Ms. D. S. T. Jayawardena	✓

✓ = Present

Independence of the Committee

The members of the Committee are independent of management and are completely free from any business, personal or other relationships that may interfere with the exercise of their independent judgment.

Key Objective

Reviewing the current policy on Remuneration Packages of the individual Directors and Senior Management and suggesting recommendations to the Board.

Responsibilities

The committee is responsible to the Board for;

- Determining the policy of the remuneration package of the Directors and the management team.
- Evaluating performance of the Managing Director, Executive Directors, and the individual and collective performance of Directors and Senior Management of the Strategic Business Units.
- Deciding on overall individual packages, including compensation on termination of employment.
- Ensuring that duties are executed within the recognised principles of good governance.

Key Functions of the Committee

The Group remuneration policy which was reviewed by the committee remained unchanged during the year under review.

The Remuneration Committee operates with the key objective of attracting the most suitable talent and retaining them in the group in order to enhance the performance of the Strategic Business Units. Performance of employees is evaluated using a well-structured performance evaluation mechanism that is accepted by all employees which also ensures that equity is maintained among employees. The Remuneration Committee approved promotions and the revision of individual remuneration packages after evaluating performance of the Group, Strategic Business Units and the contribution of employees to their respective Strategic Business Unit. Cost of living, inflation and comparative industry norms are also given due consideration in determining the remuneration packages.

No Director was involved in deciding his/ her remuneration package.

The Remuneration Committee's decisions were made adhering to the above policies and practices, which ensured that sound and measured judgments, were adopted at all times.



G.C. Wickremasinghe
Chairman
Remuneration Committee

Colombo
28th May 2016

- 1 Independent Non-Executive Director
- 2 Chairman of Aitken Spence PLC/Aitken Spence Hotel Holdings PLC
- 3 Managing Director of Aitken Spence Hotel Holdings PLC
- 4 Director of Aitken Spence PLC/Aitken Spence Hotel Holdings PLC

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Nomination Committee Report

Aitken Spence Hotel Holdings PLC is the tourism sector business unit of the Aitken Spence Group under its parent company Aitken Spence PLC. Therefore the Nomination Committee of Aitken Spence PLC acts as the Nomination Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Nomination Committee.

Group Nomination Committee Members	
Chairman	Mr. G.C. Wickremasinghe ¹
Members	Deshamanya D.H.S. Jayawardena ² Mr. J.M.S. Brito ³ Mr. V.M. Fernando ¹ (Retired w.e.f. 30.06.2015) Mr. R.N. Asirwatham ¹
Secretary	Mr. R.E.V. Casie Chetty

Composition of the Committee

The Committee comprises of Mr. G.C. Wickremasinghe, Chairman of the committee along with two executive Directors, namely the Chairman and the Managing and Finance Director of Aitken Spence PLC and an Independent Non-Executive Director. They served as members throughout the year under review. Mr. V.M. Fernando served as a member of the committee until his retirement from the Board on 30th June, 2015.

The Chairman of the Committee is an Independent Non-Executive Director. The members of the Committee possess wide experience, financial and business acumen.

The Committee formally met once during the year under review where all members were present. The attendance of the Nomination Committee meeting held during the year under review was as follows;

Name of Member	Meeting 29.06.2015
Mr. G. C. Wickremasinghe	✓
Deshamanya D.H.S. Jayawardena	✓
Mr. J. M. S. Brito	✓
Mr. V. M. Fernando	✓
Mr. R.N. Asirwatham	✓

✓ = Present

Terms of Reference of the Committee

- Broaden, balance and diversify the effectiveness and composition of the Board.
- Identify and recommend suitable candidates as Directors to the Board considering the succession plan and requirements of the Board and the Group.
- Review the structure, size and composition of the Board.
- Oversee the performance of the Board, Committees and Individual Directors and evaluate their performance.
- Ensure the Board consists of persons possessing a large reservoir of knowledge, experience and entrepreneurial skills to advance the effectiveness of the Board.
- Review the Charter for the appointment and the re-appointment of Directors to the Board and suggest amendments wherever necessary.

Key functions performed during the year under review

During the year under review the Committee ensured the consideration and promotion of diversity and effectiveness in the Board. The Nomination Committee reviewed and recommended changes to the Board where necessary. Further, the committee evaluated and recommended suitable internal and external candidates to higher levels of management.

Methodology of the Committee

The Committee worked closely with the Board and made recommendations on matters that are referred to it for consideration.

The year ahead

The Committee will continue to review and make recommendations that are fair, free from any bias and not influenced by personal and business relationships. This enables the Committee to make sound and measured judgments in attracting the best talent to the Group while retaining the services of talented employees by providing them fair and equal opportunities for promotion within the Group.



G.C. Wickremasinghe
Chairman
Nomination Committee

Colombo
28th May 2016

- 1 Independent Non-Executive Director
- 2 Chairman of Aitken Spence PLC/Aitken Spence Hotel Holdings PLC
- 3 Managing Director of Aitken Spence Hotel Holdings PLC



Annual Report of the Board of Directors

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, the Colombo Stock Exchange Listing Rules and the best accounting practices. The Board of Directors of Aitken Spence Hotel Holdings PLC, has pleasure in presenting the Annual Report and the audited financial statements for the year ended 31st March 2016 which were approved by the Board of Directors on 28th of May 2016.

1. Principal Activities

The principal activity of the companies in the Group is hoteliering and there has been no change in the nature of such activity during the year.

2. Review of Operations

A review of operational and financial performance, the future plans of the Company and the Group are described in greater detail in the Chairman's Statement, Managing Director's Review and the Integrated Management Discussion and Analysis of the Annual Report. These reports together with the audited financial statements of the Company and the Group reflect the respective state of affairs of the Company and the Group.

3. Accounting Policies and Changes During the Year

The Company and the Group prepared the financial statements in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs). The significant accounting policies adopted in the preparation of the financial statements of the Company and the Group are given in pages 188 to 204. The Board of Directors wishes to confirm that there were no changes to the accounting policies used by the Company and the Group.

4. Synopsis of the Income Statement of the Company and the Group

4.1. Group Revenue and Profits

Revenue generated by the Company during the year amounted to Rs.815 million. (2015 - Rs.776 million). The Group revenue was Rs.13,378 million (2015 - Rs.13,271 million) which is a growth of 0.81% compared to the previous year. An analysis of Group revenue based on geographical and business segments is disclosed in notes 4 & 5 to the financial statements on page 205 and 207.

Group

For the year ended 31st March	2016 Rs. '000	2015 Rs. '000
Net Profit before Tax	2,520,651	3,920,116
Provision for taxation including deferred tax	(432,889)	(484,494)
Net profit after tax	2,087,762	3,435,622
Other comprehensive income	756,009	138,795
Total comprehensive income for the year	2,843,771	3,574,417
Total comprehensive income attributable to non-controlling interest	(1,030,525)	(1,201,829)
Total comprehensive income attributable to equity shareholders	1,813,246	2,372,588
Transaction directly recognised in the equity statement	(119,384)	(376)
Balance brought forward from the previous year	13,676,628	11,823,701
Amount available for appropriations	15,370,490	14,195,913
Final dividend for 2014/15 (2013/14)	(519,285)	(519,285)
Total reserves and earnings	14,851,205	13,676,628
Stated Capital	3,554,587	3,554,587
Balance Attributable to Equity holders of the Company at the end of the period	18,405,792	17,231,215

The profit after tax of the Group was Rs.2,088 million (2015 - Rs.3,436 million). The Group's profit attributable to the equity shareholders of the Parent Company for the year was Rs.1,404 million (2015 - Rs.2,235 million). The segmental profits are disclosed in note 4 to the financial statements on page 205.

4.2. Donations

During the year, donations amounting to Rs. 70,000/- were made by the Company, while the donations made by the Group during the year amounted to Rs. 371,581/-.

4.3 Taxation

A detailed statement of the income tax rates applicable to the individual companies in the Group and a reconciliation of the accounting profits with the taxable profits are given in note 11 to the financial statements.

As per the provisions of part II of the Finance Act No. 10 of 2015, the Group and the Company paid Super Gain Tax of Rs. 137 million and Rs. 35 million respectively. According to the Act, the Super Gain Tax shall be deemed to be expenditure in the financial statements relating to the year of assessment which commenced on 1st April 2013. The Act supersedes the requirements of the Sri Lanka Accounting Standards; hence the expense of Super Gain Tax is accounted in accordance with the requirements of the said Act as recommended by the Statement of Alternative Treatment (SoAT) on Accounting for Super Gain Tax issued by the Institute of Chartered Accountants of Sri Lanka, dated 24th November 2015. As recommended by the SoAT, this expenditure has been recorded as an adjustment to the opening retained earnings reported in the Statement of Changes in Equity as at 1st April 2015.

It is the policy of the Group to provide for deferred taxation on all known timing differences on the liability method.

The deferred tax balances of the Group are given in notes 21 and 31 to the financial statements.

4.4 Dividends

The Directors recommend for the year, a dividend payment of 90 cents per share on the cumulative preference shares and Rs.1.25 per share on the ordinary shares. The entirety of the preference

dividend and cents 34 per share of the ordinary dividend is paid out of taxable dividends received on which 10% withholding tax has already been deducted. The balance cents 91 per share of the ordinary dividend is subject to withholding tax of 10%. The Directors are confident that the Company would meet the solvency test requirement under Section 56 (2) of the Companies Act No. 07 of 2007 immediately after the payment of the final dividend.

5. Synopsis of the Statement of Financial Position of the Company and the Group

5.1 Stated Capital and Reserves

As at 31st March 2016 the Company had issued 336,290,010 ordinary shares and the stated capital of the Company was Rs.3,555 million. The Company's reserves as at 31st March 2016 were Rs.5,706 million (2015 - Rs.5,549 million) whereas the total Group's reserves as at 31st March 2016 were Rs.14,851 million (2015 - Rs.13,677 million). The movement in these reserves is shown in the Statement of Changes in Equity - Group on page 184.

5.2. Property, Plant and Equipment

The carrying value of property plant and equipment for the Company and the Group as at 31st March 2016 amounted to Rs.1,371 million and Rs.23,101 million respectively. The total expenditure on the acquisition of property, plant and equipment during the year in respect of new assets by the Company and the Group amounted to Rs.14 million and Rs.2,043 million respectively.

5.3 Market Value of Freehold Properties

Land recognised as property, plant and equipment in the financial statements in the group is recorded at either fair value or revalued amounts. Revaluation of land is performed with sufficient regularity so that the carrying value of the land does not differ materially to its market value. Revaluation was performed by professionally qualified independent valuers having appropriate experience in valuing properties in the locality of the land being revalued. If the fair value of land does not change other than by an insignificant amount at each reporting date the Group revalues such land every five years.

Details of the revalued land revaluation surplus, and the original cost are given in note 14.3.1 to the financial statements. The Group records all other assets at cost and check for any impairment of these assets when the Group identifies any trigger for impairment.

Annual Report of the Board of Directors

5.4 Contingent Liabilities

The details of contingent liabilities are disclosed in note 37 to the financial statements on page 250.

6. Events Occurring After the Reporting Date

No event of material significance that requires adjustments to the financial statements has arisen other than that disclosed in note 44 to the financial statements on page 271.

7. Going Concern

The Board of Directors is satisfied that the Company and the Group have adequate resources to continue their operations without any disruption in the foreseeable future. The Company's and the Group's financial statements are prepared on a going concern basis.

8. Information on the Board of Directors and the Board Sub-Committees

8.1 Board of Directors

The Board of Directors of the Company comprised of:

Deshamanya D.H.S. Jayawardena - Chairman
 Mr. J.M.S. Brito - Managing Director
 Ms. D.S.T. Jayawardena
 Mr. C.M.S. Jayawickrama
 Mr. S.M. Hapugoda (Resigned w.e.f. 30th June 2015)
 Mr. G.P.J. Goonewardena
 Mr. R.E.V Casie Chetty
 Mr. R.N. Asirwatham
 Mr. N.J. de Silva Deva Aditya
 Mr. C.H. Gomez

All Directors of the Company held office during the entire year, with the exception of Mr. S.M. Hapugoda who was resigned w.e.f. 30th June 2015.

The profiles of the Directors are given on pages 28 to 29 of the Annual Report.

8.2 Board Sub-Committees

The following Directors of the Parent Company namely Aitken Spence PLC serve as members of the Audit, Remuneration, Nomination and Related Party Transaction Review Committees which are sub-committees of the Parent Company's Board.

Audit Committee

Mr. R.N. Asirwatham (Chairman)
 Mr. G.C. Wickremasinghe
 Mr. C.H. Gomez
 Mr. N.J. de Silva Deva Aditya/Mr. A.L. Gooneratne
 (Alternate Director to Mr. N.J. de Silva Deva Aditya)

Remuneration Committee

Mr. G.C. Wickremasinghe (Chairman)
 Mr. V.M. Fernando (Retired w.e.f. 30.06.2015)
 Mr. R.N. Asirwatham

Nomination Committee

Mr. G.C. Wickremasinghe (Chairman)
 Deshamanya D.H.S. Jayawardena
 Mr. J.M.S. Brito
 Mr. V.M. Fernando (Retired w.e.f. 30.06.2015)
 Mr. R.N. Asirwatham

Related Party Transaction Review Committee

Mr. R.N. Asirwatham (Chairman)
 Mr. G.C. Wickremasinghe
 Mr. C.H. Gomez
 Mr. N.J. de Silva Deva Aditya/Mr. A.L. Gooneratne
 (Alternate Director to Mr. N.J. de Silva Deva Aditya)

8.3 Recommendation for re-election

Mr. N.J. de Silva Deva Aditya retires in terms of Article 83 of the Articles of Association of the Company and offers himself for re-election at the forthcoming Annual General Meeting.

Mr. C.H. Gomez retires in terms of Article 83 of the Articles of Association of the Company and offers himself for re-election at the forthcoming Annual General Meeting.

Deshamanya D.H.S. Jayawardena attained the age of 70 years on 17th August 2012 and in accordance with Section 210(2) of the Companies Act No. 07 of 2007, vacates office at the forthcoming Annual General Meeting. A notice of a resolution has been received from a shareholder that the age limit of 70 years referred to in Section 210(1) of the said Companies Act shall not apply to Deshamanya D.H.S. Jayawardena who has attained the age of 73 years and that he be re-elected as a Director at the Annual General Meeting.

Mr. R.N. Asirwatham attained the age of 70 years on 26th August 2012 and in accordance with Section 210(2) of the Companies Act No. 07 of 2007, vacates office at the forthcoming Annual General Meeting. A notice of a resolution has been received from a shareholder that the age limit of 70 years referred to in Section 210(1) of the said Companies Act shall not apply to Mr. R.N. Asirwatham who has attained the age of 73 years and that he be re-elected as a Director at the Annual General Meeting.

8.4 Directors' Shareholding and their Interests

The Directors' shareholdings and their interests are provided on pages 265 to 271 and 280 of the Annual Report.

8.5 Interest Register

An Interest Register is maintained by the Company as per the Companies Act No. 07 of 2007.

8.6 Directors' Remuneration

The Directors' remuneration and fees in respect of the Company and the Group for the financial year ended 31st March 2016 are disclosed on page 208 of the financial statements.

8.7 Related Party Transactions

Related party transactions of the Group are disclosed on pages 265 to 271 of the Annual Report. These interests have been duly declared by the Directors.

8.8 Subsidiary Board of Directors

The names of Directors of the subsidiary companies who held office as at 31st March 2016 and Directors who ceased to hold office during the accounting period are indicated on pages 283 to 285 of this Annual Report.

9. Human Resources

Our Human Resources strategies and practices have translated into the creation of a dynamic and competent human resource team with sound succession planning and a remarkably low attrition rate. Our employment strategies are reviewed periodically by the relevant committees and the Board of Directors.

10. Corporate Governance

The Group has not engaged in any activity, which contravenes the national and international laws. The Group rigidly adheres to relevant national and international laws and the regulations of Professional Institutes and Associations, Industrial

Associations, Chambers of Commerce and Regulatory Bodies. The Group complies with the Listing Rules of the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka. The Group applies very high standards to protect and nurture the environment in which it operates and ensures strict adherence to all environment laws and practices.

The Company has no restrictions with regard to shareholders carrying out analysis or obtaining independent advice of a non-price sensitive nature regarding their investment in the Company and has made all endeavours to ensure the equitable treatment of shareholders. The Company's corporate governance practices are set out on pages 138 to 153 of this Annual Report.

11. Risk Management

The Directors have established and adhere to a comprehensive risk management framework at both Strategic Business Units and Group levels to ensure the achievements of their corporate objectives. The categories of risks faced by the Group are identified, the significance they pose are evaluated and mitigating strategies are adopted by the Group. The Board of Directors reviews the Risk Management Process through the Audit Committee. The Risk Management Report of the Group is on pages 166 to 176 of this report.

12. Internal Controls

The Board of Directors ensures that the Group has an effective internal control system which ensures that the assets of the Company and the Group are safeguarded and appropriate systems are in place to minimise and detect fraud, errors and other irregularities. The system ensures that the Group adopts procedures which result in financial and operational effectiveness and efficiency.

The Statement of Directors' Responsibilities on page 165 and the Audit Committee Report set out on pages 154 to 155 of this report provide further information in respect of the above.

13. Statutory Payments

The Directors to the best of their knowledge and belief are satisfied that all statutory financial obligations to the Government and to the employees have been either duly paid or adequately

Annual Report of the Board of Directors

provided for in the financial statements. A confirmation of same is included in the Statement of Directors' Responsibilities on page 165 of this Annual Report.

14. Corporate Sustainability

The Board of Directors guides and supports the Group's sustainability strategy. It welcomes the implementation of the structured and dynamic integrated sustainability framework. Awards and recognition received during the year and previous years are a testament to our commitment as we continue to benchmark our practices against global standards and best practices in a myriad of aspects that affect or potentially affect delivery of growth. More details of the Group's sustainability efforts are included in the Integrated Management Discussion and Analysis of this report.

15. Shareholder Information

There were 3,356 shareholders as at 31st March 2016. The distribution schedule of the number of shareholders and their share holdings are detailed on page 277 of this Annual Report. The names of the twenty largest shareholders, together with their shareholdings as at 31st March 2016 are given on page 280 of this Annual Report. The percentage of the shares held by the public as at 31st March 2016 was 25.40%.

Information relating to earnings per share and the net assets per share for the Company and the Group, the dividend per share and the market price per share are given on page 25 and 278 of this Annual Report.

16. Auditors

The independent auditors' report on the financial statements is given on page 179 of this Annual Report. The retiring auditors Messrs KPMG, Chartered Accountants have stated their willingness to continue in office and a resolution to re-appoint them as auditors and grant authority to the Board to determine their remuneration will be proposed at the Annual General Meeting.

The fees payable to the Company auditors Messrs KPMG, Chartered Accountants was Rs.730,000/-.

In addition to the above Rs.502,523/- was payable by the Company for permitted non audit related services including tax advisory services. Messrs KPMG, Chartered Accountants the auditors of the Company are also the auditors of certain subsidiaries and associate companies of the Group. The list of the subsidiaries and associate companies audited by them are included on pages 283 to 285 of the Annual Report.

The amount payable by the Group to Messrs KPMG, Chartered Accountants as audit fees was Rs.5,896,800/- while a further Rs.598,392/- was payable for permitted non audit related services including tax advisory services.

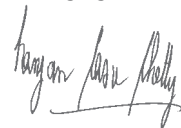
In addition to the above Rs.1,672,811/- was payable to other auditors for carrying out audits in subsidiaries and associates where the audits were conducted by them. The amount payable to such other auditors for non audit related services including tax advisory services was Rs.4,027,746/. As far as the Directors are aware the auditors neither have any other relationship with the Company nor any of its subsidiaries and associates that would have an impact on their independence.



D.H.S. Jayawardena
Chairman



J.M.S. Brito
Managing Director



R.E.V. Casie Chetty
Director

Aitken Spence Corporate Finance (Private) Limited.
Secretaries

Colombo
28th May 2016

Statement of Directors' Responsibilities

The Companies Act No. 07 of 2007 requires the Directors of the Company to be responsible for the preparation and presentation of the financial statements and other statutory reports. The responsibilities of the Directors, in relation to the financial statements of Aitken Spence Hotel Holdings PLC and the Consolidated Financial Statements of the Group are set out in this report.

The Directors confirm that the financial statements and other statutory reports of the Company and its Subsidiaries for the year ended 31st March 2016 incorporated in this report have been prepared in accordance with the Companies Act No. 07 of 2007, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and the Listing Rules of the Colombo Stock Exchange.

The Directors have taken appropriate steps to ensure that the Companies within the Group maintain adequate and accurate records which reflect the true financial position of each such Company and hence the Group. The Directors have taken appropriate and reasonable steps to safeguard the assets of the Company and the Group. The Directors have instituted appropriate systems of internal control in order to minimise and detect fraud, errors and other irregularities. The Directors in maintaining a sound system of internal control and in protecting the assets of the Company, have further adopted risk management strategies to identify and evaluate the risks which the Company could be exposed and its impact to the Company.

The Directors having considered the Group's business plans, and a review of its current and future operations, are of the view that the Company and the Group have adequate resources to continue in operation. The Directors have adopted the going concern basis in preparing the financial statements.

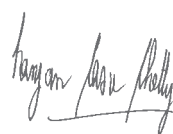
The financial statements presented in this Annual Report for the year ended 31st March 2016, have been prepared based on the Sri Lanka Accounting Standards (SLFRSs/ LKASs) which came into effect from 1st January 2012. The Directors have selected the appropriate accounting policies and such policies adopted by the Group are disclosed and explained in the financial statements.

The Board of Directors confirm that the Company and the Group's Consolidated Statements of Financial Position as at 31st March 2016 and the Comprehensive Income Statements for the Company and the Group for the financial year ended 31st March 2016 reflect a true and fair view of the Company and the Group.

The Directors have provided the Auditors with every opportunity to carry out any reviews and tests that they consider appropriate and necessary for the performance of their responsibilities. The responsibility of the Independent Auditors in relation to the financial statements is set out in the Independent Auditors Report.

The Directors confirm that to the best of their knowledge all payments to employees, regulatory and statutory authorities due and payable by the Company and its Subsidiaries have been either duly paid or adequately provided for in the financial statements. The Directors further confirm that they promote the highest ethical, environmental and safety standards within the Group. The Directors also ensure that the relevant national laws, international laws and codes of regulatory authorities, professional institutes and trade associations have been complied with by the Group.

By order of the Board,



R.E.V. Casie Chetty
Director

Aitken Spence Corporate Finance (Private) Limited.
Secretaries

Colombo
28th May 2016

Risk Management

Risk is uncertainty or can be stated as probable occurrence of an undesirable event. Risk management comprises of identifying the types of risk exposure within the company, measuring those potential risks and developing of strategies to mitigate risk. Risk management is an essential element of our corporate governance structure and strategy development process, and the risk management system of Aitken Spence Hotel Holdings PLC, is structured to identify and control the risks specific to the industry in which it operates as well as general risks applicable to all entities. Therefore, appropriate systems, policies and procedures are in place in all areas of operations and they are periodically reviewed to ensure adequacy and adherence.

At Aitken Spence Hotel Holdings, risk management is an integrated discipline. We recognize the pivotal role it plays in balancing strategic planning with business execution and compliance. This facilitates informed decision-making and a conscious evaluation of opportunities and risks.

Our integrated approach identified the importance of risk management by

- Cultivating a proactive risk management culture
- Embedding risk management activity across our business
- Developing comprehensive and accurate risk content
- Robust risk management process and framework

Proactive Risk Management Culture

Having in place an effective system of internal controls and risk management is essential to being a Responsible Business. Therefore, the Board aims to embed proactive risk management capability and culture throughout the business. In achieving this, the Board is supported by the Audit Committee and Management Committee.

At Aitken Spence Hotels, sustainability and risk management are interrelated with the focus firmly on minimising risk and seizing opportunities in a socially and environmentally responsible manner.

Aitken Spence Hotel Holdings has developed and follows a comprehensive risk management framework to evaluate new opportunities to diversify and to build competitive advantage over competitors. In formulating this framework the Board of Directors and Senior Management have identified and taken into consideration the Group's key business objectives, goals and strategies. Risk Management Process is a continuous cycle as risks will change on a regular basis, hence Risk Management process comprises with different steps, such as identification, evaluation, response and subsequent monitoring of risks.

Risk Identification

Identification of all possible risks is the initial part of the risk management process. A methodological process is vital to ensure that all relevant internal and external risks are identified. The risks impacting the group could change over time and therefore an important part of the monitoring and controlling mechanism is to identify new risks which have emerged.

In order to mitigate the risk, it is imperative that the risk be identified. With the globalisation and the advancements in technology posing unidentified risks to the market, the necessity to have an effective risk management process has increased. The group's consistent application of its risk management framework has allowed for the successful identification of risk.



Aitken Spence Hotels Holdings' major risks are categorized in terms of three facets as follows:

Strategic risk

Uncertainties and untapped opportunities embedded in group strategic intent and how well they are executed. As such, they are key matters for the board and affect on the whole business.

Financial risk

Risks faced by the Group relate to the availability of funds to meet business needs and ability to deliver adequate return to the group.

Risks of losses arising from the adverse movements in market prices, risks that the Company may not have sufficient funds to meet financial obligations and failure of a customer to meet its contractual obligations.

Operational risk

Risks directly affect to business operations with a potential impact on financial position and business performance or the external activities which affect day to day activities of the group.

Risk Profile and Key Risks

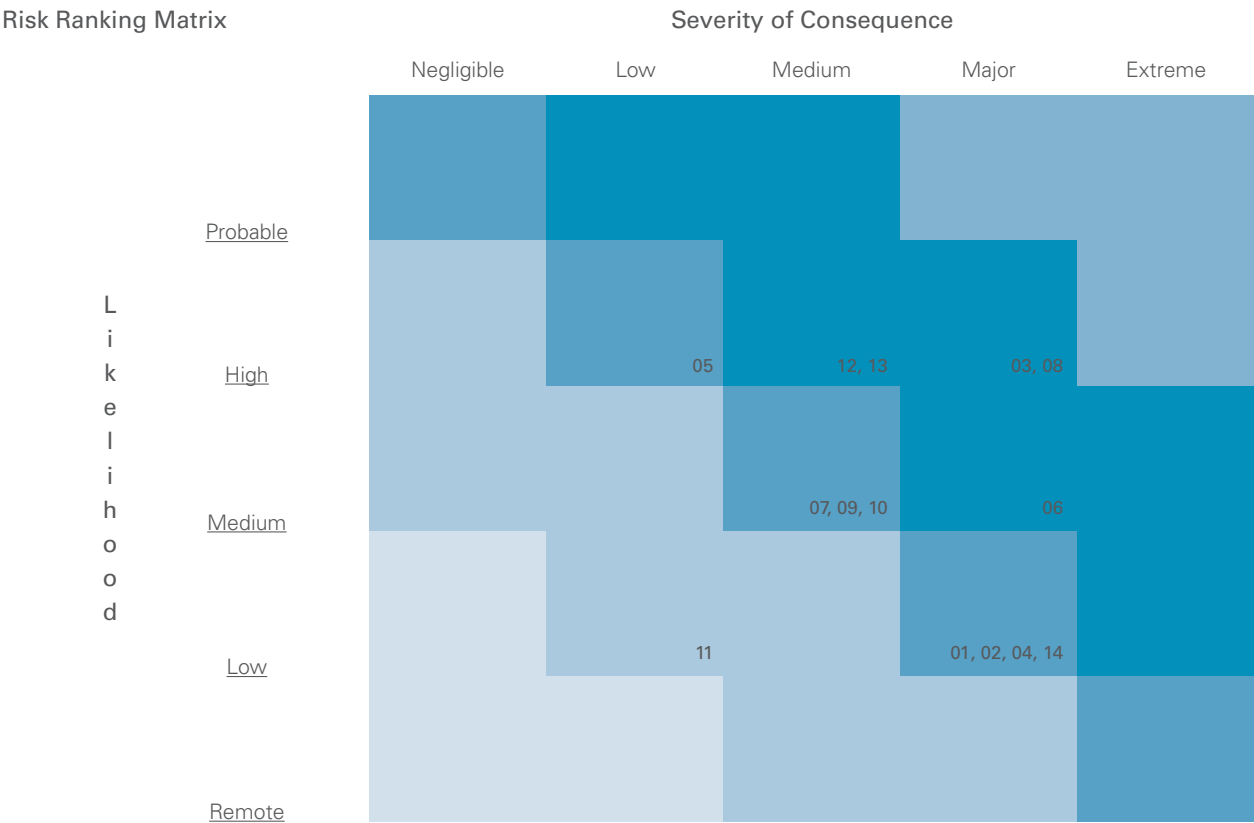
Aitken Spence Hotel Holdings PLC uses a risk management ranking methodology to identify the key risks specific to our company. To understand the impact to the group, the identified risks are assessed by analysing the inherent risks faced by the group. The prioritisation process assists in deciding which risk is to be treated as a priority in formulating the risk strategy.

All the prioritised risks will be rated based on the likelihood of occurrence and impact it will have. The risk rating matrix will be used in order to facilitate the risk ranking process. The level of risk absorbed by the business will depend on the group's risk appetite.

The above process assists the management to formulate effective responses with regard to decisions relating to risk. Once risks are identified, the root cause can be evaluated. This will enable the organisation to identify the drivers of risk and thereby make it easier to design a risk matrix that can address the risk at its source.

Risk Management

Our key risks, in terms of residual severity of consequence and likelihood, are displayed as follows:



Extreme: Initiate mitigation activities immediately to reduce risk. If such activities cannot sufficiently reduce risk level, consider discontinuation of the applicable business operation to avoid the risk.

Major: Initiate mitigation activities at next available opportunity to reduce risk. If such activities cannot sufficiently reduce risk level, Board of Directors approval is required to confirm acceptance of this level of risk.

Medium: Level of risk is acceptable within tolerances of the risk management policy. Additional risk mitigation activities may be considered if benefits significantly exceed cost.

Low: Monitor risk according to risk management policy requirements, but no additional activities required.

Negligible: Consider discontinuing any related mitigation activities so resources can be directed to higher-value activities, provided such discontinuance does not adversely affect any other risk areas.

Develop Risk Response Strategy
Based on the risks identified, their drivers or root causes and their susceptibility to measurement, the Management decides on the appropriate risk response. There are four categories of risk responses – avoid, accept, mitigate and transfer. Aitken Spence Hotel Holdings PLC first decides whether to accept or reject a risk based on an assessment of whether the risk is desirable or undesirable. A desirable risk is one that is

inherent in the entity's business model or normal future operations and is one in which the company believes it can monitor and manage effectively. An undesirable risk is one that is off-strategy, offers unattractive rewards or cannot be monitored or managed effectively. If an entity chooses to accept a risk it can accept it at its present level; reduce its severity and/or its likelihood of occurrence.

Risk Reporting

Depending on the risk response selected, the Management identifies any gaps in Risk Management capabilities and improves those capabilities as necessary to implement the risk response. Over time, the effectiveness of risk mitigation activities will be monitored.

Implementation of Strategy

Before risk can be treated it is necessary to identify the options available, to assess the relative merits of each, and to select the most appropriate. Risk treatment plans should then be developed and implemented. Aitken Spence Hotel Holdings PLC needs to consider a cost benefit analysis for proposed treatment options to ensure that the treatment is realistic in economic terms, where benefits gained in implementing the strategy outweighs the cost of implementation.

Monitoring of Controls

Monitoring and control are enabling activities which are essential so that continuous improvement can be achieved and to ensure the prevalence and relevance of the Tourism Risk Management Process. Risk doesn't remain static, so it's essential that Tourism Risk Management is an on-going process with regular monitoring and reviewing of hazards, elements at risk, process, outcome and efficiency of the risk treatment measures. Regular reviews will be carried out in order to ensure that there are sound internal controls and procedures in place to manage and mitigate risks. The Internal Audit Department of the parent company is responsible for providing assurances on the effectiveness of internal controls within the group and reports directly to the Audit Committee of Aitken Spence Hotel Holdings PLC which ensures separation of duties and assists in good governance. The ultimate responsibility for the group's internal controls and reviewing its effectiveness rests with the Board of Directors. External Auditors are also engaged in carrying-out special assignments wherever appropriate to ensure transparency and compliance.

Review Risk Management Process

The group continuously monitors its risk management procedures and will make improvements to the existing model, taking into account the dynamic business environment it operates in. Throughout the year, Aitken Spence Hotel Holdings PLC has set up standard processes to identify, evaluate and manage all risks which would have a significant impact on the company's strategic goals and performance. These processes have been designed with reference to ICASL guidelines and industry bench marking. The Audit Committee has also confirmed that the company's risk management process is exercised across various hotels in the Group. Indicated below are the risks deemed to have the most significant impacts on the group's financial and operational performance and the relevant risk management strategies initiated, categorised according to risk type and rating.

Risk Factors

In this section, we describe the material foreseeable risks that could have a material effect on the Company's business operations, cash flow, financial condition, turnover, profits, assets, liquidity and capital reserves. We provide information on the nature of the risk, an indication of the potential impact and actions taken to mitigate risk exposure.

G4-02 G4-14 G4-46 G4-47 G4-SO03 G4-SO04

Risk Management

STRATEGIC RISK		
01 . Business Risk	Impact	Risk Management Strategies
Failure to implement strategic plans, Revenue improvement & cost saving initiatives and under take profitable investments	Reduced revenue, cash flow and profitability.	Integrating risk awareness directly into strategic decision making by holding Regular meetings of Board of Directors and members of the management committee in order to formalize future strategies and plans and to revise and update plans, taking in to consideration the changing circumstances of the group.
The inability of the Company to achieve its business objectives	Hinder future growth.	A sophisticated and streamlined management information system, using the latest Property Management and Enterprise Resource Planning Software, and the preparation of detailed operational and capital expenditure budgets enables the group to assess actual performance against planned and take remedial action wherever necessary.
	Damaged confidence of investors	Focus on strategic resiliency by consider how strategic decisions can affect resiliency, incorporate resiliency into all decision making, and always be on the lookout for more strategically resilient alternatives in order to build greater corporate agility. All members of the Board attend regular workshops, seminars and professional training programs in order to update their skills and knowledge. Thorough due diligence and project feasibility studies are conducted for all major investments and obtaining professional advice from outside sources when necessary. The Group Monitors its main competitors in order lower the response time needed to counter any new strategies implemented by them. Implementation of cost control procedures and innovative cost saving initiatives particularly with regard to energy costs.

02 . Socio-Economic , Political & Environmental Risk	Impact	Risk Management Strategies
Major events affecting either economic or political stability on a global and local level represent an exposure to the Company	Lowering the competitiveness of the group's product offering on the national and international market.	The group works closely with lobby groups, relevant authorities and trade associations to ensure the best interests of the tourism industry are fulfilled at all times.
	Reduction in revenue and Increase in cost thereby reducing cash flow and profitability.	The group is not reliant on any single geographical region for its returns and has forayed in to other regions in Asia such as Maldives, India and Oman, significantly reducing the adverse impact from this risk. (Risk Diversification)
	Possible restrictions on movement of capital / repatriation of profits between countries.	Making prudent investments in various countries such as Maldives, India and securing hotel management contracts in India and Oman ensures that the group is not reliant on any single geographical region for its revenues and cash flow.
	Control over the ownership of assets	The group continues to monitor Macroeconomic situation within countries it operates and make necessary adjustments, including cost optimization programmes where suitable and developing revenue management tools and guidelines to assist hotels to monitor local developments in supply and demand and to inform decisions on pricing, promotions channels and room inventory.
Risks from natural or man made disasters	Loss of assets resulting in significant losses to the group	Appropriate contingency plans and disaster management systems are adopted to safeguard the assets of the company.
		Transferring risks to third parties through insurance policies. The adequacy of insurance covers are regularly reviewed and adjusted when necessary.
03 . Competitive Risk	Impact	Risk Management Strategies
Risks from competitive actions from existing market participants and new entrants	Reduced market share and rates reducing revenue, cash flow and profitability	The group's service excellence, committed and award winning staff, uniqueness of properties, innovative product and service developments and the strength of its 3 brands enables the group to counter threats from new and existing players.
	Increased promotional expenditure	Leveraging the group's long-term relationship with major tour operators, and the strength of the sister company in the travel industry (Aitken Spence Travels Ltd.) gives the group a significant advantage over its competitors.
	The Positive correlation between cost of Resources and competition	Maintaining a positive relationship with employees with a better remuneration and performance appraisal scheme.

Risk Management

OPERATIONAL RISK		
04. Reputation Risk	Impact	Risk Management Strategies
Risks to the group's reputation and Brand image	Decline in the customer base and difficulties in securing future management contracts resulting in reduced market share, revenues, cash flow and profitability.	The group employs a well defined hygiene quality assurance system to ensure the highest quality of service. At operational level, systems are in place to promptly address any issues / complaints brought about by the clients and to take proactive steps to mitigate similar occurrences in the future. Ensuring all statutory and legal obligations are met in all transactions.
	Deterioration of corporate image.	Regular training sessions are held to train and educate staff on quality standards and new developments in the hospitality industry ensuring the quality of the group's product offering and to maintain our trusted reputation.
	The group may have to face litigation which can be costly.	Deployment of an effective compliance system, The group is committed to best environmental practices to ensure strict compliance with local regulations and maintains harmonious relationships with the localities in which the hotel operates. Relevant loyalty programmes and intellectual property mechanisms are in placed to ensure trade mark protections. The Board ensures that the company strictly complies with all relevant laws and codes of best practices and is not involved in any unethical business practices. A code of ethics booklet is given to all executives of the company and they confirm their acceptance of the same.
05 . Fraud Risk	Impact	Risk Management Strategies
Risks from break down of internal controls, processes and procedures	Wastage of management time and resources.	Regular reviews of the effectiveness of internal controls by the corporate internal audit department supplemented by regular management audits carried out by internal teams with in the group ensure the robustness of internal controls. The Company uses comprehensive general & specific reporting and monitoring systems to identify, assess and manage risks.
	Possible loss of data.	Making each employee accountable for ethical behaviour, high standards for business conduct and adherence to laws. Ensures that transactions occur in a reliable way. Staff rotation & special verification audits across the group.
	Increased possibility of fraud and misuse.	External auditors are also engaged to carry out special reviews wherever necessary.
	Disruptions to the normal course of operations.	The Company uses comprehensive general & specific reporting and monitoring systems to identify, assess and manage risks.

05 . Fraud Risk	Impact	Risk Management Strategies
	Lack of ability to track performance against budgets, forecasts and schedules	Ensuring that only trained, trustworthy, knowledgeable and competent personnel perform tasks prevents errors, irregularities and fraud.
	Illegal transactions include theft or misappropriation of assets by employees	
06 . Debtors	Impact	Risk Management Strategies
Risk of default by debtors	Reduced cash flow and profitability	Thorough credit policies and stringent controls to check credit worthiness prior to granting credit. Comprehensive systems are in place to monitor and review debtors. The group conducts excellent working capital practices and take legal or industrial action where appropriate. The Group has implemented a thorough credit appraisal procedure prior to granting a credit facility.
Project Implementation Risk	Unbudgeted spend/ cost over runs and delays in project implementation may have a significant impact on the estimated profit margins.	Project timelines decided should be realistic and achievable after consulting all required stake holders. Communicating the strategic planning messages and associated data to middle and first line managers helps them educate their personnel. Well informed employees are most likely to commit to and support the plan. Standardized processes have been set up to cover project consultancy, project award and material procurement. Dedicated teams monitor the project progress against the defined timelines and check whether the achievements comply with the group sustainability credentials.
07 . Operations Risk	Impact	Risk Management Strategies
Health and Safety Risk	Affect group reputation and brand image.	Increase food and hygiene standards through obtaining ISO 22000 and HACCP certifications. The groups centralized security division constantly review and monitor security status of individual resorts. Conducting quality audits and risk management reviews, guest satisfaction surveys, intelligence gathering
Risk of increasing energy cost	Significant impact on profit margins due to fluctuations in fuel/ energy prices.	Biomass gasification has been introduced as a renewable energy source, in Heritance Tea Factory & Heritance Kandalama properties in order to minimize the increasing energy cost and improve the group's sustainability credentials. Implement an energy purchase strategy, offer utility bill management, and continually monitor the market to advise Hotels on purchase opportunities.

Risk Management

08 . Employee Risk	Impact	Risk Management Strategies
Risk from not being able to attract and retain skilled and experienced staff	Reduced productivity	Significant resources are invested in strengthening our human capital through the deployment of the latest Human Resource Information Systems, regular staff training & development, succession planning and fostering a performance-based culture.
	Reduced quality of service resulting in reduced market share and Group's image	Maintaining cordial relationships with labour unions and adopting interest based negotiations for win-win solutions. Rewards and Recognition (e.g.: Employee of the month)
Risk of organized labour activities and Trade Union actions	Adverse impact on service levels, expected quality standards, operational efficiency and group reputation	Maintain cordial relationship with Trade Unions and adopting interest-based negotiations for win-win solutions. Development of a Multi-skilled work force through structured and focused training programmes. Standardization of policies, procedures and practices in order to achieve ease of work.
	Loss of revenue	Practice an open door policy where employees are free to express their concerns openly.
09 . Technology Risk	Impact	Risk Management Strategies
Risks relating to Information Technology and security	Loss of revenue and business opportunities due to outdated software resulting in reduction in cash flow and profitability.	The group has implemented the latest in Property Management and Reservation software, along with the group-wide Enterprise Resource Planning software, facilitating faster, more accurate information for decision making. Regular review of systems and upgrades where appropriate.
	Loss of key confidential information to competitors resulting in reduced market share	Implementation of a comprehensive IT policy within the group, supported by adequate systems and controls, ensure the safety and security of data. Contingency plans are in place to mitigate any short term loss on IT services.
	Loss of data and transactions	All employees are bound by the code of conduct to safeguard the group's information, irrespective of its physical form.
	Increasing No. of Online Travel Agents (OTAs)	Aitken Spence Hotel Holdings PLC allocating significant proportion of its marketing budget for non-traditional tools such as online search engines and loyalty programmes and mobile apps. Aitken Spence Hotel Holdings PLC continues to aim to be fully compliant with payment card industry-Data security standards using tools and services from a leading specialist third party provider with respect to payment card processing. A dedicated central IT team in place to support all IT related aspects of the group.

10 . Legal Risk	Impact	Risk Management Strategies
Risk of legal action due to non performance of legal and statutory requirements	High cost of legal and penalty fees resulting in reduced profitability. Adverse impact to the group's reputation and Brand image.	A comprehensive internal control system in place supplemented by regular audit from the corporate internal audit department in collaboration with the corporate legal division. Ensuring all statutory and legal obligations are met in all transactions.
FINANCIAL RISK		
11 . Credit Risk	Impact	Risk Management Strategies
Risks from high operational gearing	Significantly reduced cash flow and profitability during low occupancy periods.	Increased flexibility of the groups operational cost structure through seasonal recruitments, using rental agreements as opposed to outright purchase and outsourcing non-core operations. Sound capital structure and availability of adequate funding options in the group. Actively monitor and review debtors Entering in to guaranteed performance contracts with travel agents and tour operators. All the assigned rates, credit limits, settlement procedures, termination and penalties imposed for delayed payments are incorporated in to the agreements.
12 . Foreign Exchange Risk	Impact	Risk Management Strategies
Risks from adverse exchange rate fluctuations	Reduced cash flow and profitability	Negotiation of room rates in stronger currencies. Strong counter party backing and use of sophisticated financial instruments where appropriate. Matching outflows with inflows of the same currency to the extent that is permitted by the prevailing laws. The treasury division of the parent company monitors exchange rates on a daily basis and advises the company on the best rates to obtain for foreign currency conversions. Considering the possibility of contracting in local currency with Local Travel Agents instead of foreign currency in order to transfer the possible exchange rate risk. Apply a bottom-up approach to identifying consolidated foreign currency exposures. Determine in what currencies each foreign subsidiary collects receivables and makes payments. Develop a strategy to manage consolidated exposure.
13 . Interest Rate Risk	Impact	Risk Management Strategies
Risk arising due to the volatility of fair value or future cash flows of a financial instrument fluctuating because of changes in market interest rates	Reduced cash flow and profitability	Entering in to loans with interest rate caps mitigated this risk and other instruments to minimize the volatility of cash flows. Working closely with the parent company treasury department to negotiate favourable terms and conditions for loan facilities obtained.

Risk Management

14 . Liquidity Risk	Impact	Risk Management Strategies
Risk of not being able to meet financial commitments as and when they fall due	Penalty charges and unfavourable terms when obtaining future loans resulting in reduced profitability.	Preparation of regular cash flow forecasts in line with projected occupancy fluctuations in order to assess the liquidity position of the group in the short term. Strong capital structure of the group with sustainable growth in operating earnings. Making optimum use of cash inflows with the help of the corporate treasury division, ensuring the group-wide interest exposure is kept to a minimum Regular review of actual performance against planned to ensure achievement of budgeted targets.

Benchmark of Value...

Financial Information

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FINANCIAL CALENDAR

Events / Information	2016
Thirty Ninth Annual General Meeting	30th June
First and Final Dividend for 2015/16	12th July
Ex - Dividend	1st July
Interim Statement for the three months ended 30th June	1st week of August
Interim Statement for the six months ended 30th September	1st week of November
	2017
Interim Statement for the nine months ended 31st December	1st week of February

Independent Auditors' Report



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300,
Sri Lanka.

Tel : +94 - 11 542 6426
Fax : +94 - 11 244 5872
+94 - 11 244 6058
+94 - 11 254 1249
+94 - 11 230 7345
Internet : www.lk.kpmg.com

TO THE SHAREHOLDERS OF AITKEN SPENCE HOTEL HOLDINGS PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Aitken Spence Hotel Holdings PLC Company, ("the Company"), and the consolidated financial statements of the Company and its subsidiaries ("Group"), which comprise the statement of financial position as at March 31, 2016, and the Income Statement, statement of profit and loss and other comprehensive income, statement of changes in equity and, cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information set out on pages 180 to 271 of the Annual Report.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility,

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the

reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at March 31, 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- a) The basis of opinion and scope and limitations of the audit are as stated above
- b) In our opinion:
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - The financial statements of the Company give a true and fair view of its financial position as at March 31, 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.
 - The financial statements of the Company and the Group comply with the requirements of sections 151 and 153 of the Companies Act No. 07 of 2007.

CHARTERED ACCOUNTANTS

Colombo
28th May, 2016

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA	P.Y.S. Perera FCA	C.P. Jayatilake FCA
T.J.S. Rajakarier FCA	W.W.J.C. Perera FCA	Ms. S. Joseph FCA
Ms. S.M.B. Jayasekara ACA	W.K.D.C. Abeyratne FCA	S.T.D.L. Perera FCA
G.A.U. Karunaratne FCA	R.M.D.B. Rajapakse FCA	Ms. B.K.D.T.N. Rodrigo FCA
R.H. Rajan ACA		

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA



Income Statement

For the year ended 31 st March	Notes	Group		Company	
		2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Revenue	5	13,378,071	13,270,918	814,923	776,340
Revenue taxes		(210,310)	(316,701)	(18,168)	(17,217)
Net revenue		13,167,761	12,954,217	796,755	759,123
Other income	6	69,841	417,806	614,907	1,201,330
Staff costs		(2,122,117)	(1,828,866)	(158,113)	(143,666)
Depreciation		(983,567)	(740,443)	(95,860)	(95,798)
Amortisation		(71,497)	(66,812)	(174)	(269)
Other operating expenses - direct	7	(2,545,794)	(2,521,374)	(191,885)	(175,976)
Other operating expenses - indirect	8	(4,631,604)	(4,356,329)	(279,808)	(298,809)
Profit from operations	9	2,883,023	3,858,199	685,822	1,245,935
Finance income		149,972	261,798	41,204	84,382
Finance expense		(347,314)	(185,491)	(2,737)	(13,702)
Net finance income / (expense)	10	(197,342)	76,307	38,467	70,680
		2,685,681	3,934,506	724,289	1,316,615
Share of profit /(loss) of equity accounted investees (net of tax)	19	(165,030)	(14,390)	-	-
Profit before taxation		2,520,651	3,920,116	724,289	1,316,615
Income tax expense	11	(432,889)	(484,494)	(11,814)	(12,955)
Profit for the year		2,087,762	3,435,622	712,475	1,303,660
Attributable to:					
Equity holders of the parent company		1,403,766	2,234,804	712,475	1,303,660
Non - controlling interests		683,996	1,200,818	-	-
		2,087,762	3,435,622	712,475	1,303,660
Earnings per ordinary share - Basic / Diluted (Rs)	12	4.13	6.60	2.07	3.83

Figures in brackets indicate deductions

The notes on pages 188 to 271 form an integral part of these financial statements.

Statement of Profit or Loss and Other Comprehensive Income

For the year ended 31 st March	Group		Company	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Profit for the year	2,087,762	3,435,622	712,475	1,303,660
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	-	90,961	-	-
Share of other comprehensive income of equity accounted investees	(177)	234	-	-
Actuarial gains/ (losses) on defined benefit obligations	(2,896)	(9,858)	(899)	(3,876)
Income tax on actuarial gains / (losses) arising from retirement benefit obligations	371	924	108	465
	(2,702)	82,261	(791)	(3,411)
Items that are or may be reclassified to profit or Loss				
Foreign currency translation differences of foreign operations	736,507	(22,306)	-	-
Net change in fair value of available for sale financial assets	22,204	78,840	-	-
	758,711	56,534	-	-
Other comprehensive income for the year net of tax	756,009	138,795	(791)	(3,411)
Total comprehensive income for the year net of tax	2,843,771	3,574,417	711,684	1,300,249
Attributable to:				
Equity holders of the parent company	1,813,246	2,372,588	711,684	1,300,249
Non - controlling interests	1,030,525	1,201,829	-	-
	2,843,771	3,574,417	711,684	1,300,249

Figures in brackets indicate deductions

The notes on pages 188 to 271 form an integral part of these financial statements.



Statement of Financial Position

As at	Notes	Group		Company	
		31.03.2016 Rs.'000	31.03.2015 Rs.'000	31.03.2016 Rs.'000	31.03.2015 Rs.'000
ASSETS					
Non-Current Assets					
Property, plant and equipment	14	23,101,360	16,402,491	1,370,811	1,453,271
Leasehold properties	15	2,006,728	1,906,527	-	-
Prepaid operating leases	16	1,811,071	1,067,063	-	-
Intangible assets	17	380,166	2,842	14	188
Investment in subsidiaries	18	-	-	4,234,420	3,045,142
Investment in equity accounted investees	19	4,982,212	3,098,474	4,024,336	1,974,415
Other financial assets	20	202,395	180,191	-	-
Deferred tax assets	21	147,969	119,017	5,349	2,855
		32,631,901	22,776,605	9,634,930	6,475,871
Current Assets					
Inventories	22	303,420	284,541	18,633	19,185
Trade and other receivables	23	1,267,940	1,143,190	128,863	108,533
Amounts due from ultimate holding company	24	33,823	133,850	14,436	25,005
Amounts due from parent's group entities	25	374,290	725,808	359,106	1,427,457
Deposits and prepayments		689,950	415,936	5,173	4,490
Prepaid operating lease	16	32,746	-	-	-
Current tax receivable		4,640	4,623	-	2,386
Other financial assets	26	2,151,263	5,689,970	-	1,436,031
Cash and cash equivalents	26.1	958,241	1,613,744	114,113	55,274
		5,816,313	10,011,662	640,324	3,078,361
TOTAL ASSETS		38,448,214	32,788,267	10,275,254	9,554,232
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Company					
Stated capital	27	3,554,587	3,554,587	3,554,587	3,554,587
Reserves	28	3,646,200	3,233,366	662,139	662,139
Retained earnings		11,205,005	10,443,262	5,044,092	4,886,797
		18,405,792	17,231,215	9,260,818	9,103,523
Non -controlling interests		5,429,111	4,638,017	-	-
Total Equity		23,834,903	21,869,232	9,260,818	9,103,523

As at	Notes	Group		Company	
		31.03.2016	31.03.2015	31.03.2016	31.03.2015
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
Non-Current Liabilities					
Interest - bearing borrowings	29	8,186,477	5,363,625	-	-
Government grants	30	299	455	-	-
Deferred tax liabilities	31	237,166	243,817	-	-
Employee benefits	32	174,333	99,924	32,935	33,351
		8,598,275	5,707,821	32,935	33,351
Current Liabilities					
Trade payables		417,712	286,332	33,418	22,739
Other provisions and payables	33	2,351,448	1,939,152	101,790	87,921
Amounts due to ultimate holding company		155,804	37,518	24,326	24,058
Amounts due to parent's group entities	34	97,581	92,315	801,338	265,002
Interest bearing borrowings	29	1,826,509	2,001,690	-	16,442
Current tax payable		329,295	469,152	4,381	-
Short term bank borrowings		836,687	385,055	16,248	1,196
		6,015,036	5,211,214	981,501	417,358
TOTAL LIABILITIES		14,613,311	10,919,035	1,014,436	450,709
TOTAL EQUITY AND LIABILITIES		38,448,214	32,788,267	10,275,254	9,554,232

The above Statements of Financial Position are to be read in conjunction with notes to the Financial Statements on pages 188 to 271.

I certify that the financial statements for the year ended 31st March 2016 are in compliance with the requirements of the Companies Act No. 07 of 2007.



J.T. P Gunawardana
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Approved and signed for and on behalf of the Board.



D.H.S Jayawardena
Chairman



J.M.S Brito
Managing Director

28th May 2016
Colombo
Sri Lanka



Statement of Changes In Equity

.....Attributable to Equity Holders of the Parent.....									
	Stated Capital	General Reserves	Foreign Currency Translation Reserve	Available for Sale Reserve	Revaluation Reserve	Retained Earnings	Total	Non Controlling Interests	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Group									
Balance as at 01st April 2014	3,554,587	20,840	800,126	(21,365)	2,584,381	8,439,719	15,378,288	3,789,554	19,167,842
Profit for the year	-	-	-	-	-	2,234,804	2,234,804	1,200,818	3,435,622
Other comprehensive income	-	-	4,403	48,671	90,961	(6,251)	137,784	1,011	138,795
Total comprehensive income for the year	-	-	4,403	48,671	90,961	2,228,553	2,372,588	1,201,829	3,574,417
Effect of acquisitions disposal and change to percentage holdings in subsidiaries	-	-	-	-	-	(20)	(20)	1,225	1,205
Share issue expenses	-	-	-	-	-	(2,445)	(2,445)	-	(2,445)
Transfers	-	2,089	-	-	(296,740)	296,740	2,089	-	2,089
Dividends - 2013/14 (Note 13)	-	-	-	-	-	(519,285)	(519,285)	-	(519,285)
Dividends of Subsidiaries to non controlling interest	-	-	-	-	-	-	-	(354,591)	(354,591)
Balance as at 31st March, 2015 - (as previously reported)	3,554,587	22,929	804,529	27,306	2,378,602	10,443,262	17,231,215	4,638,017	21,869,232
Super gain tax (Note 11.11)	-	-	-	-	-	(108,272)	(108,272)	(28,729)	(137,001)
Balance as at 01st April 2015	3,554,587	22,929	804,529	27,306	2,378,602	10,334,990	17,122,943	4,609,288	21,732,231
Profit for the year	-	-	-	-	-	1,403,766	1,403,766	683,996	2,087,762
Other comprehensive income	-	-	401,510	11,324	-	(3,354)	409,480	346,529	756,009
Total comprehensive income for the year	-	-	401,510	11,324	-	1,400,412	1,813,246	1,030,525	2,843,771
Effect of acquisition of subsidiaries during the year	-	-	-	-	-	-	-	17,094	17,094
Share issue expenses	-	-	-	-	-	(11,112)	(11,112)	(9,738)	(20,850)
Dividends - 2014/15 (Note 13)	-	-	-	-	-	(519,285)	(519,285)	-	(519,285)
Dividends of Subsidiaries to non controlling interest	-	-	-	-	-	-	-	(218,058)	(218,058)
Balance as at 31st March, 2016	3,554,587	22,929	1,206,039	38,630	2,378,602	11,205,005	18,405,792	5,429,111	23,834,903
Dividend per ordinary share (Note 13)	Rs. 1.25 (2014/15 - Rs. 1.50)								

Figures in brackets indicate deductions

Company	Stated Capital Rs. '000	General Reserves Rs. '000	Revaluation Reserve Rs. '000	Retained Earnings Rs. '000	Total Equity Rs. '000
Balance as at 01st April 2014	3,554,587	20,840	639,210	4,105,833	8,320,470
Profit for the year	-	-	-	1,303,660	1,303,660
Other comprehensive income	-	-	-	(3,411)	(3,411)
Total comprehensive income for the year	-	-	-	1,300,249	1,300,249
Transfers	-	2,089	-	-	2,089
Dividends - 2013/14 (Note 13)	-	-	-	(519,285)	(519,285)
Balance as at 31st March, 2015 (as previously reported)	3,554,587	22,929	639,210	4,886,797	9,103,523
Super gain tax (Note 11.11)	-	-	-	(35,104)	(35,104)
Balance as at 01st April 2015	3,554,587	22,929	639,210	4,851,693	9,068,419
Profit for the year	-	-	-	712,475	712,475
Other comprehensive income	-	-	-	(791)	(791)
Total comprehensive income for the year	-	-	-	711,684	711,684
Dividends - 2014/15 (Note 13)	-	-	-	(519,285)	(519,285)
Balance as at 31st March, 2016	3,554,587	22,929	639,210	5,044,092	9,260,818

Dividend per ordinary share (Note 13) Rs. 1.25 (2014/15 - Rs. 1.50)

Figures in brackets indicate deductions

The notes on pages 188 to 271 form an integral part of these financial statements.



Statement of Cash Flow

For the year ended 31st March	Group		Company	
	2016 Rs.'000	2015 Rs.'000	2016 Rs.'000	2015 Rs.'000
Profit before taxation	2,520,651	3,920,116	724,289	1,316,615
Adjustments for				
Depreciation	983,567	740,443	95,860	95,798
Amortisation	71,497	66,812	174	269
Impairment/ (reversal of impairment) of trade receivable	5,006	1,024	343	(193)
Gain on loss of control of a subsidiary	-	(44,877)	-	-
Amortisation of government grant	(156)	(156)	-	-
Interest expense	347,314	185,491	2,737	13,702
Interest income	(149,972)	(261,798)	(41,204)	(84,382)
Loss on disposal of Investments	-	20,403	-	-
Loss on disposal of property, plant & equipment	(1,927)	(2,882)	249	(1,194)
Provision for retirement benefit obligations	21,650	19,040	5,615	5,443
Share of (profit)/loss of equity accounted investees (net of tax)	165,030	14,390	-	-
Effect of movement in exchange rates	(54,421)	(25,350)	(48,829)	(7,468)
Operating profit before working capital changes	3,908,239	4,632,656	739,234	1,338,590
(Increase)/decrease in inventories	(2,695)	(66,033)	552	72
(Increase)/decrease in trade and other receivables	(158,047)	157,682	(31,933)	68,180
(Increase)/decrease in amounts due from ultimate holding company	100,027	(113,850)	10,569	(5,005)
(Increase)/decrease in amount due from parent's group entities	351,518	(471,858)	(120,927)	(11,475)
(Increase)/ decrease deposits and prepayments	(274,014)	40,439	(683)	68
Increase/(decrease) in trade payables	131,380	15,433	10,679	(4,807)
Increase/(decrease) in other provisions and payables	412,296	562,386	13,869	(30,295)
Increase/(decrease) in amounts due to ultimate holding company	118,286	(54,797)	268	(20,014)
Increase/ (decrease) in amount due to parent's group entities	5,266	24,919	536,336	192,457
Cash generated from operations	4,592,256	4,726,977	1,157,964	1,527,771
Interest expense paid	(347,314)	(185,491)	(2,737)	(13,702)
Retirement benefit obligations paid	(20,177)	(7,020)	(6,930)	(2,335)
Income taxes paid	(744,996)	(548,237)	(42,537)	(34,545)
Net cash flow generated from operating activities	3,479,769	3,986,229	1,105,760	1,477,189
Cash flow from investing activities				
Investments made during the year	(2,049,921)	(877,713)	(2,049,921)	(877,995)
Acquisition of property, plant & equipment	(2,042,088)	(5,381,278)	(13,918)	(18,197)
Purchase of intangible assets	(3,351)	(2,078)	-	-
Assets/Liabilities acquired on business combination Note A	(5,476,675)	-	-	-
Purchase of prepaid operating leases	(668,500)	(464,842)	-	-
Proceeds from disposal of investments	-	76,821	-	-
Proceeds from disposal of property, plant & equipment	15,957	6,414	269	1,682
Interest received from deposits	178,263	323,154	52,464	127,199
Proceeds / (purchase) of term deposits	3,538,707	182,050	1,436,031	(117,278)
Net cash used in investing activities	(6,507,608)	(6,137,472)	(575,075)	(884,589)

For the year ended 31st March	Group		Company	
	2016	2015	2016	2015
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash flow from financing activities				
Proceeds from long term borrowings	4,355,415	4,790,601	-	-
Repayment of long- term borrowings	(2,188,504)	(1,503,800)	(16,442)	(177,600)
Dividends paid to equity holders of the parent	(519,285)	(519,285)	(519,285)	(519,285)
Share issue expenses of subsidiary companies	(19,874)	-	-	-
Dividend paid to shareholders of non controlling interest	(218,058)	(354,591)	-	-
Net cash generated / (used) in financing activities	1,409,694	2,412,925	(535,727)	(696,885)
Net increase/(decrease) in cash & cash equivalents	(1,618,145)	261,682	(5,042)	(104,285)
Cash & cash equivalents at the beginning of the year	1,739,699	967,007	102,907	158,363
Cash & cash equivalents at the end of the year	121,554	1,228,689	97,865	54,078
Analysis of cash & cash equivalents at the end of the year				
Cash at bank and in hand	286,178	433,913	28,113	55,274
Short term deposits	672,063	1,179,831	86,000	-
Short term bank borrowings	(836,687)	(385,055)	(16,248)	(1,196)
Cash & cash equivalent as previously reported	121,554	1,228,689	97,865	54,078
Effect of movement in exchange rates	-	511,010	-	48,829
Cash & cash equivalent as restated	121,554	1,739,699	97,865	102,907

Note A: Assets/Liabilities acquired on business combination

During the year the Group acquired 70% control of Aitken Spence Resorts (Middle East) LLC.

The fair value of assets acquired and liabilities assumed of the Company acquired during the year are as follows:

	Rs.'000
Land	2,528,039
Buildings	2,496,700
Plant, Machinery and Equipment	117,170
Motor Vehicles	2,333
Furniture and Fittings	10,420
Inventories	16,184
	5,170,846
Goodwill	376,190
Purchase Consideration made for acquisition of Subsidiary	5,547,036
Less: Cash received on liabilities assumed on business combination	(70,361)
Net cash outflow on acquisition of Subsidiary	5,476,675

Figures in brackets indicate deductions

The notes on pages 188 to 271 form an integral part of these financial statements.

Notes to the Financial Statements

1. REPORTING ENTITY

Aitken Spence Hotel Holdings PLC (the 'Company') is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The registered office of the Company is located at No. 315, Vauxhall Street, Colombo 02.

The consolidated financial statements of the Company as at and for the year ended 31st March 2016 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in equity-accounted investees.

The immediate and ultimate parent of Aitken Spence Hotel Holdings PLC is Aitken Spence PLC.

1.1 Principal activities and nature of operations

The group primarily is involved in Hoteliering.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The Consolidated financial statements of the Group and the separated financial statements of the Company which comprise of the Income Statement, Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flow and Notes thereto have been prepared in accordance with Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs) effective from 1st January 2012, laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirement of the Companies Act No. 07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

2.2 Responsibility for financial statements

The board of directors of the Company is responsible for preparation and fair presentation of these financial statements.

2.3 Reporting date

The financial statements of all companies in the group are prepared for a common financial year, which ends on 31st March.

2.4 Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2016 were authorised for issue by the Board of Directors on 28th May 2016.

2.5 Basis of measurement

The financial statements of the Group and the Company have been prepared on the historical cost basis, except for the measurement of following material items in the statement of financial position.

- Land under property, plant and equipment is measured at cost on initial recognition and subsequently at fair value
- Financial assets classified as available for sale financial assets are measured at fair value
- Retirement benefit obligations are measured at the present value of defined benefit obligations.

2.6 Functional and presentation currency

These financial statements are presented in Sri Lankan rupees, which is the Group's functional currency. All financial information presented has been rounded to the nearest thousand unless indicated otherwise.

2.7 Use of estimates and judgments

The preparation of the financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported values of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

- Note 3.1.1 – Business combinations
- Note 3.4.1.3 – Useful lives of depreciable assets
- Note 3.5.5.5 – Measurement of retirement benefit plans
- Note 3.9.2 – Deferred Tax

2.8 Going concern

The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future confirm that they do not intend either to liquidate or to cease operations of any business unit of the Group. The financial statements are prepared on the going concern basis.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in the financial statement of the Group and the Company.

3.1 Basis of consolidation

The group's financial statements comprise consolidation of the financial statements of the company its subsidiaries prepared in terms of Sri Lanka Accounting standard (SLFRS -10) - Consolidated Financial Statements and share of profit and loss and net assets of equity accounted investees prepared in terms of Sri Lanka Accounting standard (LKAS 28) - Investments in Associates and Joint Ventures.

3.1.1 Business combinations

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

As per the requirements of Sri Lanka Accounting Standard (SLFRS 3) - Business Combinations

when the Group acquires a business it assesses the financial assets and liabilities assumed under classifications or designations on the basis of the contractual terms, economic conditions, its operating or accounting policies and other pertinent conditions exist at the acquisition date as at the acquisition date, which is the date on which control is transferred to the Group. Control exists when the Company has the power, directly or indirectly to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that are currently exercisable and other contractual arrangements.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred plus the recognized amount of any non-controlling interests in the acquiree plus if the business combination achieved in stages, the fair value of the pre-existing interest in the acquiree less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.



Notes to the Financial Statements

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2 Non-controlling interests

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non – controlling interest" in the Consolidated Income Statement. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading "Non – controlling interest" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Adjustments to non-controlling interest arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.3 Subsidiaries

Subsidiaries are those entities that are controlled by the Group. Control is achieved when the Group is exposed, or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investees. The group controls an investee if only if, the Group has

- * Power over the investee (i.e.; existing rights that give it the current ability to direct the relevant activities of the investee)
- * Exposure or rights to variable returns from its involvement with the investee
- * The ability to use its power over the investee to affect the amount of the investor's returns

When assessing control of an investee, an investor shall consider the purpose and design of the investee in order to identify the relevant activities, how decision about the relevant activities are made, who has the current ability to direct those activities and who receives returns from those activities.

When an investee's purpose and design are considered, it may be clear that an investee is controlled by means of equity instruments that give the holder proportionate voting rights, such as ordinary shares in the investee. In this case in the absence of any additional arrangements that alter decision making, the assessment of control focuses on which party, if any, is able to exercise voting rights sufficient to determine the investee's operating and financing policies. The investor that holds a majority of those voting rights, in the absence of any other factors, controls the investee.

Therefore Group considers all relevant facts and circumstances in assessing whether it has power over an investee including:

- * The contractual arrangement with the other vote holders of the investee
- * Rights arising from other contractual arrangements
- * The Group's voting rights and potential voting rights

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control

until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company.

3.1.4 Loss of control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value as at the date that control is lost. Subsequently, it is accounted for as an equity accounted investee or as an available for sale financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5 Investments in equity accounted investees (investment in associates and Joint Venture)

Associates are those entities in which the Group has significant influence, but does not have control, over the financial and operating policies. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but does not have the control or joint control over those policies. Significant influence is presumed to exist when the Group holds between 20% - 50% of the voting rights of another entity.

Joint venture are those entities over whose activities the Group has joint control, established by contractual agreement and requiring unanimous consent for strategic financial and operating decisions.

The Group determines significant influence or joint control by taking into account similar considerations necessary to determine control over subsidiaries.

The Group's investment in associate and joint venture are treated as equity accounted investees and accounted for using the equity method and are recognised initially at cost. The carrying amount

of the investment is increased or decreased to recognise the investor's share of net assets of the investee after the date of acquisition. The investor's share of Investee's profit or loss is recognised in the investor's profit or loss. Distribution received from an investee reduces the carrying amount of the investment. Adjustment to the carrying amount may also be necessary for changes in the investor's proportionate interest in the investee arising from changes in investee's other comprehensive income. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and not tested for impairment individually.

The statement of profit or loss reflects the Group's share of the results of operations of the associates or joint venture. Any changes in OCI of those investees is presented as part of the Group's OCI. In addition when there has been a change recognised directly in equity of the associate or joint venture the Group recognises its share of any changes when applicable in the statement of changes in equity.

The aggregate of the Groups share of profit or loss of an associate and a joint venture is shown on the face of the statement of profit or loss outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate or joint venture.

At each reporting date the Group determines whether there is objective evidence that the investment in associate or joint venture is impaired. If there is such evidence that the investment in associate or joint venture is impaired, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and its carrying values and then recognises the loss as share of profit of an associate and joint venture in the income statement.

The Group discontinues the use of the equity method from the date it ceases to have significant influence over an associate or joint control over the joint venture and accounts for the investment in accordance with the Group's accounting policy for financial instruments. Any difference between the carrying amount of the associate or the joint venture upon loss of significant influence or joint

Notes to the Financial Statements

control and fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

3.1.6 Transactions eliminated on consolidation

Intra-group balances and transactions and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2 Foreign currency

3.2.1 Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of transactions. Monetary assets and liabilities denominated in foreign currency at the reporting date are retranslated to the functional currency at the exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between the amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and amortised cost in foreign currency translated at the exchange rate at the end of the reporting period.

Non-monetary assets and liabilities in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to reporting currency using the exchange rate that was prevailing on the date the fair value was determined.

Foreign currency differences arising on retranslation are recognized in income statement, except for differences arising on the retranslation of available for sale equity investments which was recognised in other comprehensive income. Foreign currency gains and losses are reported on a net basis in the income statement.

3.2.2 Foreign operations

Subsidiaries incorporated outside Sri Lanka are treated as foreign operations. The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated at the rate of exchange prevailing on the reporting date. Income and expenses of the foreign entities are translated at exchange rate approximating to the actual rate at the time of the transaction. For practical purposes this is presumed to be the average rate during each month.

Foreign currency differences are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity. When a foreign operation is disposed of such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant proportion of such cumulative amount is reattributed to non-controlling interest, in any other partial disposal of foreign operation, the relevant proportion is reclassified to profit or loss.

Foreign exchange gains or losses arising from a monetary item receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operation, are recognised in other comprehensive income in the foreign currency translation reserve.

3.3 Financial Instruments

Financial assets and financial liabilities are recognised when a Group company becomes a party to the contractual provisions of the instrument.

The classification of financial instruments at initial recognition is dependent on their purpose and characteristics and the management's intention in acquiring them.

Financial instruments are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets or

financial liabilities other than financial instruments recognised as fair value through profit and loss, are added to or deducted from the fair value of the financial instruments. Transaction costs, which are insignificant, expensed immediately to the income statement.

3.3.1 Non –derivative financial assets

Financial assets are classified as financial assets at fair value through profit or loss, loans and receivables, held-to-maturity financial assets and available-for-sale financial assets.

The Group initially recognises loans and receivables and deposits on the date that they are originated. All other financial assets (including assets designated at fair value through profit or loss) are recognized initially on the trade date at which the Group becomes a party to the contractual provisions of the instrument. The Group determines the classification of its financial assets at initial recognition.

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in transferred financial assets that is created or retained by the Group is recognized as a separate asset or liability.

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group has a legal right to offset the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

The Group classifies its non-derivative financial assets into following categories:

- Financial assets at fair value through profit or loss
- Held-to-maturity
- Loans and receivables
- Available for sale financial assets

Financial Assets at fair value through profit or loss

A financial asset is recognized at fair value through profit or loss if it is classified as held for trading or is

designated as such upon initial recognition. Financial assets are designated at fair value through profit or loss if the Group manages such investments and make purchases and sale decisions based on their fair value in accordance with the Group's documented risk management or investment strategy. Upon initial recognition attributable transaction costs are recognized in profit or loss as incurred. Financial assets at fair value through profit or loss are measured at fair value, and changes therein, which takes into account any dividend income, are recognised in income statement.

Attributable transaction costs of fair value through profit or loss financial assets are recognised in the income statement when incurred.

Financial assets at fair value through profit or loss comprise of its portfolio of investments in treasury bills and treasury bonds

The Group has not classified any financial assets as fair value through profit or loss as of the reporting date and during the reporting period.

Held –to- maturity financial assets

If the Group has the positive intent and ability to hold debt securities to mature, then such financial assets are classified as held-to –maturity. Held-to-maturity financial assets are recognised initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition held-to-maturity financial assets are measured at amortised cost using the effective interest method, less any impairment losses. Any sale or reclassification of a more than insignificant amount of held-to-maturity investment not closed to their maturity would result in the reclassification of all held-to maturity investments as available for sale, and prevent the Group from classifying investments securities as held-to-maturity for the current and the following two financial years.

The Group has not classified any financial assets as held to maturity of the reporting date and during the reporting period.

Loans and Receivables

Loans and receivables are financial assets with fixed or determinable payments that are not quoted in active market. Such assets are recognised initially

Notes to the Financial Statements

at fair value plus any directly attributable transaction costs. Subsequent to initial recognition loans and receivables are measured at amortised cost using the effective interest rate method (EIR) less any impairment losses.

Loans and receivables comprise cash and cash equivalents trade and other receivables.

Available for sale financial assets

Available for sale financial assets are non derivative financial assets that are designated as available for sale or are not classified in any of the previous categories. The Group investments in equity securities and certain debt securities are classified as available for sale financial assets.

Available for sale financial assets are recognised initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition, they are measured at fair value and changes therein, other than impairment losses and foreign currency differences on available for sale debt instruments are recognized in other comprehensive income and presented in the fair value reserve in equity. When an investment is derecognised the gain or loss accumulated in equity is reclassified to income statement.

The Group recognizes listed and unlisted equity investments that are not held for trading purposes as available for sale financial assets.

3.3.2 Impairment of financial assets

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that is impaired. A financial asset is impaired if, there is objective evidence as a result of one or more events that has occurred after the initial recognition of the financial asset (an incurred 'loss event') and the estimated future cash flows of the investment have been affected.

3.3.2.1 Loans & Receivables

The objective evidence of impairment could include significant financial difficulty of the issuer or counter party, breach of contract such as default in interest or principal payments, or it becomes probable that the borrower will enter bankruptcy or financial reorganisation.

The Group considers impairment of trade receivables at both a specific significant individual debtor level and collectively. Any Group company which has any individually significant debtors assesses them for specific impairment. All individually insignificant debtors that are not specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified by grouping together based on similar risk characteristics. In assessing collective impairment the Group uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred and adjusted for the management's judgment. The carrying amount of the trade receivables is reduced through the use of the bad debt provision account and the amount of the loss is recognised in the income statement. If there is no realistic prospect of future recovery of a debt, the amount is written off.

An impairment loss in respect of other financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the current market rate of return for a similar financial asset. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the income statement to the extent that the carrying amount of the financial asset at the date the impairment is reversed, does not exceed what the amortised cost would have been had the impairment not been recognised.

3.3.2.2 Available for sale

For equity instruments classified as available for sale financial assets a significant or prolonged decline in the fair value of the investment below its cost is considered to be objective evidence of impairment.

Impairment losses of an available-for-sale security investment are recognised by transferring the cumulative loss that has been recognised in other comprehensive income to the income statement as a reclassification adjustment. The cumulative loss that is reclassified from other comprehensive income to the income statement is the difference between the acquisition cost, net of any principal repayment and amortisation, and the current

fair value, less any impairment loss previously recognised in the income statement. Changes in impairment provisions attributable to time value are reflected as a component of interest income.

If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed, with the amount of the reversal recognised in the income statement. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised in other comprehensive income.

3.3.3 Derecognition of financial assets

The Group derecognises a financial asset when;

- The right to receive cash flows from the asset have expired or the entity has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a pass-through arrangement; and either
- The entity has transferred substantially all the risks and rewards of the asset, or
- The entity has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset or the carrying amount allocated to the portion of the asset transferred and the sum of the consideration received together with receivable and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in the income statement.

3.3.4 Non - derivative financial liabilities

Initial recognition and measurement

The Group initially recognizes debt securities issued and subordinated liabilities on the date that they are originated. All other financial liabilities (including liabilities designated at fair value through profit or loss) are recognized initially on the trade date at which the Group becomes a party to the contractual provisions of the instrument.

The Group classifies its non-derivative financial liabilities into following categories:

- Financial liabilities at fair value through profit or loss
- Other financial liabilities

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit loss.

Gains or losses on liabilities held for trading are recognized in the income statement.

The Group has not designated any financial liabilities upon initial recognition as at fair value through profit or loss

Other financial liabilities

All financial liabilities other than those at fair value through profit and loss are classified as other financial liabilities

All other financial liabilities are recognized initially at fair value plus directly attributable transaction costs. Subsequent to initial recognition these financial liabilities are measured at amortised cost using the effective interest rate method. The financial liabilities include trade and other payables, bank overdrafts, loans and borrowings and financial guarantee contracts.

3.3.5 Derecognition of financial assets and liabilities

The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expired.

3.3.6 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.



Notes to the Financial Statements

3.3.7 Derivative financial instruments

The Group holds derivative financial instruments to hedge its interest rate risk exposures and foreign exchange rate risks including foreign exchange forward contracts, interest rate swaps and cross currency swaps. Embedded derivatives are separated from the host contract and accounted for separately if the economic characteristics and risks of the host contract and the embedded derivative are not closely related, a separate instrument with same terms as the embedded derivative would meet the definition of a derivative, and the combined instrument is not measured at fair value through profit and loss.

Derivatives are recognized initially at fair value; attributable transaction costs are recognized in profit or loss as incurred. Subsequent to initial recognition, derivatives are measured at fair value, and changes in its fair value are recognized immediately in income statement.

3.3.8 Stated capital

Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

Preference Shares

Preference Share capital is classified as equity if it is non redeemable or redeemable only at the company's option and any dividends are discretionary. Dividends thereon are recognized as distributions within equity upon approval by the company's shareholders.

Preference share capital is classified as a financial liability if it is redeemable on a specific date or at the option of the shareholders, or if dividend payments are not discretionary. Dividends thereon are recognized as interest expense in income statement as accrued.

3.3.9 Determination of Fair Value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement assumes that the transaction to sell the asset or transfer the liability takes place either:

- * in the principal market for the asset or liability or
- * in the absence of a principal market in the most advantageous market for asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy described as follows, based on the lowest level input that is significant to the fair value measurement as a whole.

- Level 1 - Quoted market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observed.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

3.3.10 Impairment

Non financial assets

The carrying amounts of the Group's non financial assets, other than investment property, inventories and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. Goodwill and intangible assets that have indefinite useful lives or that are not yet available for use are tested annually for impairment.

The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the cash generating unit or CGU). For the purpose of goodwill impairment testing, goodwill acquired in a business combination is allocated to the group of CGU's that is expected to benefit from the synergies of the combination.

The allocation is subject to an operating segment ceiling test and reflects the lowest level at which that goodwill is amortised for internal reporting purposes.

An impairment loss is recognized if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognized in income statement. Impairment losses recognized in respect of CGU's are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimated used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amounts does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized. Reversal of impairment losses are recognized in the income statement. Goodwill that forms part of the carrying amount of an investment in an associate is not recognized separately, and therefore is not tested for impairment separately. Instead, the entire amount of the investment in an associate is tested for impairment as a single asset when there is objective evidence that the investment in an associate may be impaired.

3.4 Assets and bases of their valuation

3.4.1 Property, plant and equipment

3.4.1.1 Recognition and measurement

Items of property, plant and equipment other than land, are stated at costs less accumulated depreciation and accumulated impairment losses.

The cost of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working

condition of its intended use. This also includes costs of dismantling and removing the items and restoring the site on which they are located and borrowing costs on qualifying assets.

All items of property, plant and equipment are recognised initially at cost.

The Group recognizes land owned by them in the statement of financial position at their revalued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land does not change other than by an insignificant amount at each reporting period the Group will revalue such land every five years.

Any surplus arising on the revaluation is recognized in other comprehensive income except to the extent that the surplus reverses a previous revaluation deficit on the same asset recognized in income statement, in which case the credit to that extent is recognized in income statement. Any deficit on revaluation is recognized in income statement except to the extent that it reverses a previous revaluation surplus on the same asset, in which case the debit to that extent is recognized in other comprehensive income. Therefore, revaluation increases and decreases cannot be offset, even within a class of assets.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to accumulated profits and is not taken into account in arriving at the gain or loss on disposal. The details of land valuation are disclosed in note 14.3.1 to the financial statements.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property plant and equipment and depreciated separately based on their useful life.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal of with the carrying amount of property, plant and equipment and are recognized net within other income in income statement.

Notes to the Financial Statements

3.4.1.2 Subsequent costs

The cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied with the item will flow to the Group, and the cost of the item can be measured reliably. The costs of the day-to-day servicing and any other costs are recognised in the income statement as and when incurred.

3.4.1.3 Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant components of individual assets are assessed and if a component has a useful life that is different from the remainder of that asset, that component is depreciated separately.

Depreciation is recognised in the income statement on a straight line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation is provided proportionately in the year of purchase and in the year of disposal of the asset. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonable certain that Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

- Leasehold Premises over the remaining lease period
- Buildings 08- 50 years
- Plant & Equipment 10-20 years
- Kitchen Equipment 05 -15 years
- Office Equipment 03- 10 years
- Sports Equipment 05-10 years
- Motor Vehicles 04-06 years
- Boats 5 years
- Swimming Pool & Equipment 15- 30 years
- Furniture & Fittings 10- 20 years
- Crockery, Cutlery & Glassware 03-05 years
- Soft Furnishing 05-10 years

Depreciation is not provided on land and assets under construction.

The depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.4.2 Leased assets

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. The owner occupied property acquired by way of finance lease is stated at an amount equal to the lower of its fair value and the present value of the minimum lease payments at inception of the lease, less accumulated depreciation and impairment losses if any.

3.4.3 Leasehold property - land

Leasehold property comprising of land use rights and is amortised on a straight line basis over the period of the lease in accordance with the pattern of benefits expected to be derived from the lease. Leasehold property is tested for impairment annually. The impairment loss if any is recognised in the income statement.

3.4.4 Intangible assets

Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating

in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Subsequent Measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.4.5 Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets. The policy on measurement of goodwill is at initial recognition.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and impairment loss on such an investment is allocated to the carrying amount of the equity accounted investee.

3.4.6 Computer software

All computer software cost incurred, licensed for use by the Group, which does not form an integral part of related hardware and which can be clearly identified, reliably measured and it is probable that they will lead to future economic benefits are included under intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent measurement

Expenditure incurred on software is capitalized only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standards of performance and this expenditure can be measured and attributed to the asset reliably.

Amortisation

Amortisation is calculated over the cost of the asset, or other amount substituted for cost, less its residual value.

Amortisation is recognized in the income statement on a straight line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful lives for the current and comparative periods are three years.

Amortisation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.4.6.1 Website costs

Costs incurred on development of websites are capitalized when the entity is satisfied that the web site will generate probable economic benefits in the

Notes to the Financial Statements

future. The estimated useful lives for the current and comparative periods are three years.

3.4.7 Investment properties

Investment properties are land and buildings that are held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods and services or for administrative purposes. Investment property is measured at cost at initial recognition and subsequently at cost less aggregate depreciation. However, if there is impairment in value, other than of a temporary nature, the carrying amount is reduced to recognize the decline.

3.4.8 Investments

Investments in preference shares are treated as long term investments and measured at cost of the shares in the financial statements.

Investments in subsidiary companies are measured at cost less provision for fall in value of investments and treated as non current investments in the parent company's financial statements.

Investments in equity accounted investees are treated as long term assets and measured as explained in 3.1.5 above. In the parent company's financial statements, the investments are valued at cost.

All non quoted investments are treated as other investment and measured at cost less impairment and treated as other investments in the parent company's financial statement.

3.4.9 Inventories

Inventories are measured at the lower of cost and net releasable value. The cost of inventories is based on a weighted average principle and includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

3.4.10 Trade and other receivables

Trade and other receivables are stated at the amounts estimated to be realised after providing for impairment on trade and other receivables.

Other receivables and dues from related parties are recognised at cost, less provision for impairment.

3.4.11 Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and short term deposits with original maturity of three months or less. Bank overdrafts are shown within borrowings in current liabilities. For purpose of Cash flow Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as components of cash and cash equivalent.

3.4.12 Non-current assets held for sale

Non-current assets that are expected to be recovered primarily through a disposal rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, the assets (or components of a disposal group) are re-measured in accordance with the Group's accounting policies. Thereafter the assets (or disposal group) are measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on the above assets is first allocated to goodwill, and then to the remaining assets and liabilities on a pro rata basis, except that no loss is allocated to inventories, financial assets, deferred tax assets, employee benefit assets and investment property, which are continued to be measures in accordance with the Group's accounting policies. Impairment losses on initial classification as held for sale and subsequent gains or losses on re-measurement are recognised in profit or loss. Gains are not recognized in excess of any impairment loss.

3.5 Liabilities and Provisions

3.5.1 Liabilities

Liabilities classified as current liabilities on the statement of financial position are those which fall due for payment on demand or within one year from the reporting date. Non-current liabilities are those balances payable after one year from the reporting date.

All known liabilities are accounted for in the statement of financial position.

3.5.2 Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefit will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflect current market assessments of the time value of money and the risks specific to the liability. The unwinding of discount is recognised as finance cost.

3.5.3 Trade and other payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

3.5.4 Government grants

A government grant is recognised initially as deferred income at fair value when there is a reasonable assurance that it will be received and the Group will comply with the conditions associated with the grant.

Grants that compensate the Group for expenses incurred are recognised in income statement on a systematic basis in the periods in which the expenses are recognised. Grants that compensate the Group for the cost of an asset is recognised in income statement on a systematic basis over the useful life of the asset.

3.5.5 Employee benefits

3.5.5.1 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions to a separate entity and will have no legal or constructive obligations to pay further amounts. All employees of the Company are members of the Employees' Provident Fund and Employees' Trust Fund, to which their employers contribute 12% - 15% and 3% respectively of such employees' basic or consolidated wage or salary, cost of living and all other allowances. Obligations for contributions to defined benefit plans, EPF

& ETF, are recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.5.5.2 Contribution to Retirement Pension Scheme-Maldives

All Maldivian employees of the Group are members of the Retirement Pension Scheme established in the Maldives. Both employer and employee contributes 7% respectively to this scheme of such employees' pensionable wage. Employers' obligations for contributions to pension scheme is recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.5.5.3 Employee Provident Fund - India

Group companies in India contribute a sum of 12% of the basic salaries of all employees as provident fund benefits to the Employee Provident Organisation of India.

3.5.5.4 Defined contribution Fund - Oman

Group companies in Oman contribute a sum of 10.5% of the gross salary + 1% in respect of work related injuries and illness for Omani employees in accordance with Social Security Insurance Law. Whilst the employee is required to contribute 7% of the salary.

3.5.5.5 Defined Benefit Plans – retiring gratuities

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date. The defined benefit obligation is calculated annually using the Projected Unit Credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an

Notes to the Financial Statements

employee arises only after the completion of five years continued service.

The liability is not externally funded.

The Group recognizes all actuarial gains and losses arising from defined benefit plans in other comprehensive income and all expenses related to defined benefit plans in staff cost in income statement.

3.5.5.6 Defined Benefit Plans – Oman

Under the labour law of Oman gratuity is due to expatriate employees upon termination of employment. Gratuity is computed based on half month's basic salary for each year during the first three years of employment and a full month's basic salary for each year of employment thereafter. An employee who has been in employment for less than one year is not entitled to receive gratuity.

3.5.5.7 Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Company has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

3.6 Revenue

Group revenue represents sales to customers outside the Group and excludes value added tax. Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being received. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts, value added taxes and intra-group revenue. No revenue is recognised if there are significant uncertainties regarding recovery of the consideration due.

The following specific criteria are used for the purpose of recognition of revenue:

- Apartment revenue is recognised for the rooms occupied on a daily basis, whilst food and

beverage sales are accounted for at the time of sale. All revenues are recognised on an accrual basis and matched with the related expenditure.

- Dividend income is recognised in income statement when the right to receive dividends is established.
- Interest income is recognised as it accrues.
- The Group has a customer loyalty program whereby customers are awarded credits (reward points) known as "Diamond points," which allows customers to accumulate points when they occupy group hotels. These points can then be redeemed for future hotel accommodation.

The fair value of the consideration received or receivable in respect of initial sale is allocated between "diamond points" and the current sales. The fair value of the "diamond points" is based on a statistical analysis, adjusted to take into account the expected forfeiture rate. The fair value of the points issued is deferred and recognised as revenue when the points are redeemed.

3.7 Expenses

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to income statement in arriving at the profit for the year.

3.8 Financing Income /(Expenses)

Finance income comprises interest income on funds invested, including the income from investment categorized under available for sale financial assets. Gains on the disposal of interest generating investment classified under available for sale financial assets is recognised under finance income.

Interest income is recognised as it accrues in income statement, using the effective interest method

Finance expenses comprise interest expense on borrowings, preference dividends of preference shares classified as debt and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in income statement using the effective interest method.

3.9 Income tax expenses

Income tax expense comprises both current and deferred tax. Income tax expense is recognised in income statement except to the extent that it relates to items recognised directly in equity, in which case is recognised in the statement of comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

3.9.1 Current taxes

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.9.1.1 Companies incorporated in Sri Lanka

Provision for current tax for companies incorporated in Sri Lanka has been computed in accordance with the Inland Revenue Act No. 10 of 2006 and its amendments thereto.

3.9.1.2 Companies incorporated outside Sri Lanka

Provision for current tax for companies incorporated outside Sri Lanka have been computed in accordance to the relevant tax statutes as disclosed in note 11.3 to the financial statements.

3.9.2 Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable

profits and differences relating to investment in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group statement of financial position and are not offset against each other.

3.9.3 Economic Service Charge (ESC)

As per the provisions of the Economic Service Charge Act No 13 of 2006, ESC is payable on the liable turnover at specified rates. ESC is deductible from the income tax liability. Any unclaimed liability can be carried forward and set off against the income tax payable as per the relevant provisions in the Act.

3.10 Cash flow statement

The cash flow statement has been prepared using the "Indirect Method".

3.11 Capital commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non occurrence of uncertain future events, which are beyond the Group's control. Capital commitments and contingent liabilities of the Company are disclosed in Note No. 14.4 and 37 to the financial statements.

Notes to the Financial Statements

3.12 Events occurring after the reporting date.

All material post reporting date events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements.

3.13 Earnings per share (EPS)

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.14 Segmental Information

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's CEO to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

3.14.1 Primary and Secondary Segments

The Group in the hospitality industry and cannot segment its products and services. The Group manages hotels in two principal geographical areas, Sri Lanka and South Asian and Middle East sector. (including the results of Aitken Spence Resorts (Middle East) LLC) In presenting segmental information segment revenue and assets are based on the geographical locations of the assets. The primary segment is considered to be the geographical segments based on the Group's management and internal reporting structure.

ii) Segmental information analysed by geographical segments is disclosed in Notes 4 & 35 to the financial statements.

iii) All transfers made between the hotels in the Group are based on normal market price.

3.15 New Accounting Standards Issued but not Effective as at the reporting date

Certain new Accounting standards and amendments published by The Institute of Chartered Accountants of Sri Lanka and not mandatory for the year ended 31st March 2016 reporting period had not been adopted by the Group. The Group will be adopting these standards when they become effective.

SLFRS 9 – Financial Instruments – effective for annual periods beginning on or after 1st of January 2018 with early adoption permitted

SLFRS 15 - Revenue from contracts with customers effective for annual periods beginning on or after 1st of January 2018 with early adoption permitted.

SFRS 14 - Regulatory Deferral Accounts effective for annual periods beginning on or after 1st of January 2016

Amendments to SLFRS 10, SLFRS 12 and LKAS 28 - Investment Entities : Applying the consolidation Exception - effective for annual periods beginning on or after 1st of January 2016.

Amendments to LKAS 27 - Equity Method in Separate Financial Statement - effective for annual periods beginning on or after 1st of January 2016.

Amendments to SLFRS 10 and LKAS 28 - Sale or contribution of Assets between an Investor and its Associate or Joint Venture - effective for annual periods beginning on or after 1st of January 2016.

Amendments to SLFRS 11 - Accounting for Acquisition of Interest in Joint Operations - effective for annual periods beginning on or after 1st of January 2016.

4 OPERATING SEGMENTS

4.1 Analysis of Geographical Segmental Results - Revenue

	Group					
	External		Intra Group		Total Revenue	
	2015/2016 Rs. '000	2014/2015 Rs. '000	2015/2016 Rs. '000	2014/2015 Rs. '000	2015/2016 Rs. '000	2014/2015 Rs. '000
Sri Lankan Sector						
Resorts & Hotels	3,612,030	3,261,632	31,746	10,095	3,643,776	3,271,727
Others	94,397	106,428	401,392	449,874	495,789	556,302
Total Sri Lankan Sector	3,706,427	3,368,060	433,138	459,969	4,139,565	3,828,029
South Asian and Middle East Sector	9,671,644	9,902,858	133,775	139,473	9,805,419	10,042,331
	13,378,071	13,270,918	566,913	599,442	13,944,984	13,870,360
Intra group revenue					(566,913)	(599,442)
Total					13,378,071	13,270,918

4.2 Analysis of Geographical Segmental Results - Income Tax & Profits

	Group					
	Income Tax Expense		Profit/(Loss) from Operations		Profit/(Loss) before Taxation	
	2015/2016 Rs. '000	2014/2015 Rs. '000	2015/2016 Rs. '000	2014/2015 Rs. '000	2015/2016 Rs. '000	2014/2015 Rs. '000
Sri Lankan Sector						
Resorts & Hotels	77,988	78,816	667,883	634,816	671,504	698,437
Others	40,867	48,193	366,080	480,315	331,617	586,037
	118,855	127,009	1,033,963	1,115,131	1,003,121	1,284,474
Share of Profit/(Loss) of equity accounted investees (net of tax)	-	-	-	-	(165,030)	(14,390)
Total Sri Lankan Sector	118,855	127,009	1,033,963	1,115,131	838,091	1,270,084
South Asian and Middle East Sector	314,034	357,485	1,849,060	2,743,068	1,682,560	2,650,032
Total	432,889	484,494	2,883,023	3,858,199	2,520,651	3,920,116



Notes to the Financial Statements

4.3 Analysis of Geographical Segmental Results - Finance Income & Finance Expenses.

	Group			
	Finance Income		Finance Expenses	
	2015/2016 Rs. '000	2014/2015 Rs. '000	2015/2016 Rs. '000	2014/2015 Rs. '000
Sri Lankan Sector				
Resorts & Hotels	58,672	109,586	55,051	45,965
Others	57,112	105,721	91,575	-
Total Sri Lankan Sector	115,784	215,307	146,626	45,965
South Asian and Middle East Sector	34,188	46,491	200,688	139,526
Total	149,972	261,798	347,314	185,491

5 REVENUE

5.1 Revenue Breakdown

	Group		Company	
	2015/2016 Rs. '000	2014/2015 Rs. '000	2015/2016 Rs. '000	2014/2015 Rs. '000
Total revenue	13,944,984	13,870,360	814,923	776,340
Less: Intra group revenue	(566,913)	(599,442)	-	-
Revenue	13,378,071	13,270,918	814,923	776,340
Less: revenue tax	(210,310)	(316,701)	(18,168)	(17,217)
Net revenue	13,167,761	12,954,217	796,755	759,123

5.2 Categories of Revenue

	Group		Company	
	2015/2016 Rs. '000	2014/2015 Rs. '000	2015/2016 Rs. '000	2014/2015 Rs. '000
Rendering of hotel services	13,378,071	13,270,918	814,923	776,340
Total	13,378,071	13,270,918	814,923	776,340

5.3 Revenue generated from rendering of hotel services

	Group		Company	
	2015/2016	2014/2015	2015/2016	2014/2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Apartment	6,463,476	6,350,120	232,037	265,114
Restaurant	3,538,133	3,326,690	478,951	412,225
Bar	1,040,561	1,048,492	74,557	66,679
Spa related	182,203	200,758	16,393	18,571
Transfers & excursions	1,617,713	1,726,272	1,256	2,402
Rent and shop income	211,571	245,177	10,419	9,926
Telephone	22,221	7,028	194	260
Diving and windsurfing	196,765	208,833	-	-
Laundry	11,031	10,543	1,116	1,163
Management fees	94,397	147,005	-	-
Total	13,378,071	13,270,918	814,923	776,340

The group operates for Sri Lanka hotels a customer reward programme identified as “Diamond Club” as a value addition service to its customers. Reward points are granted to customers who utilises hotel services for more than a designated value. Points could be redeemed in Group Hotels in Sri Lanka.

6 OTHER INCOME

	Group		Company	
	2015/2016	2014/2015	2015/2016	2014/2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recreation	264	282	48	69
Dividends from group subsidiaries	-	-	563,870	1,189,463
Profit / (loss) on disposal of property, plant & equipment	1,927	2,882	(249)	1,194
Net foreign exchange gain	54,421	25,350	48,829	7,468
Loss on disposal of investments	-	(20,403)	-	-
Gain on loss of control of a subsidiary	-	44,877	-	-
Insurance income	421	351,214	421	-
Amortisation of government grant	156	156	-	-
Sundry income	12,652	13,448	1,988	3,136
Total	69,841	417,806	614,907	1,201,330



Notes to the Financial Statements

7 OTHER OPERATING EXPENSES - DIRECT

Direct Operating Expenses disclosed in the income statement refers to the cost of material and services other than staff costs, which are directly related to revenue.

8 OTHER OPERATING EXPENSES - INDIRECT

	Group		Company	
	2015/2016	2014/2015	2015/2016	2014/2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Administration & establishment	2,250,083	2,065,848	109,366	105,784
Repairs and maintenance	831,312	685,077	22,948	42,116
Energy	800,607	986,868	69,072	76,671
Selling & marketing	545,015	444,639	38,605	37,537
Management fees	204,587	173,897	39,817	36,701
Total	4,631,604	4,356,329	279,808	298,809

9 PROFIT FROM OPERATIONS

Profit from Operations is stated after charging all expenses including the following:

	Group		Company	
	2015/2016	2014/2015	2015/2016	2014/2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost of inventories & services	2,545,794	2,521,374	191,885	175,976
Directors fees and emoluments	10,521	9,821	7	7
Auditors' remuneration				
- KPMG	5,897	5,470	730	680
- Other auditors	1,673	1,022	-	-
Fees paid to auditors for non audit services				
- KPMG	598	571	503	243
- Other auditors	4,028	4,349	-	-
Impairment / (reversal of impairment) of trade receivables	5,006	1,024	343	(193)
Donations	372	264	70	50
Defined contribution plan cost - Provident Fund	56,731	48,447	15,499	14,152
Defined contribution plan cost - Trust Fund	11,391	9,569	2,625	2,409
Defined contribution plan cost - Maldives	21,732	19,067	-	-
Defined benefit plan cost - retirement benefit	21,650	19,040	5,615	5,443
Legal expenses	2,947	955	1,161	65
Operating lease rentals	353,861	334,238	-	-

10 NET FINANCING INCOME /(EXPENSE)

	Group		Company	
	2015/2016	2014/2015	2015/2016	2014/2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Finance income				
Finance income on loans and receivable	149,972	261,798	41,204	84,382
	149,972	261,798	41,204	84,382
Finance expense				
Interest expense on financial liabilities measured at amortised cost	334,189	172,366	2,737	13,702
Interest expense on preference shares	13,125	13,125	-	-
	347,314	185,491	2,737	13,702
Net finance income /(expense)	(197,342)	76,307	38,467	70,680

11 INCOME TAX EXPENSE

- 11.1 Aitken Spence Hotel Holdings PLC., being a Company involved in the promotion of tourism is liable to Income Tax at a concessionary rate of 12% on the Hotel's operating profits in terms of section 46 of the Inland Revenue Act. No. 10 of 2006.

The Taxation details of the other Companies in the Group are as follows:

11.2 Sri Lankan Sector

- 11.2.1 The business profits of Aitken Spence Hotel Management Asia (Pvt) Ltd., and Aitken Spence Hotels International (Pvt) Ltd. are exempt from tax in Sri Lanka, under Section 13 (b) of the Inland Revenue Act No. 10 of 2006. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Business Profit Tax Act of Republic of Maldives. Further profits earned by the Company in Oman is taxed at 12%.
- 11.2.2 The business profits and income of Hethersett Hotels Ltd., Aitken Spence Hotels Ltd., Kandalama Hotels (Pvt) Ltd., Turyaa (Pvt) Ltd. (formerly Golden Sun Resorts (Pvt) Ltd.) and MPS Hotels (Pvt) Ltd. being Companies involved in the promotion of tourism are liable to tax at a concessionary rate of 12% in terms of section 46 of the Inland Revenue Act No. 10 of 2006.
- 11.2.3 The business profits and income of Neptune Ayurvedic Village (Pvt) Ltd. arising from leasing out land, is liable for income tax at standard rate of 28% as per the Inland Revenue Act No. 10 of 2006.
- 11.2.4 The business profits of Turyaa Resorts (Pvt) Ltd. (formerly Aitken Spence Resorts (Pvt) Ltd) would be exempt from income tax under section 17A of Inland Revenue Act No. 10 of 2006 for a period of 10 years either from the first year the company makes profits or not later than two years from the commencement of commercial operations.
- 11.2.5 The profits and income earned in foreign currency (other than any commission, discount or similar receipt) from services rendered in or outside Sri Lanka to a party outside Sri Lanka for tax payment in foreign currency are exempt from income tax in terms of section 13(ddd) of the Inland Revenue Act No. 10 of 2006 and amendments thereto.
- 11.2.6 In addition, a maximum of 25% qualifying payment deduction is available for expansions under section 34 of the Inland Revenue Act No 10 of 2006, for investments not less than Rs.50 million in fixed assets made by any undertaking on investments specified in section 16C or 17A.

Notes to the Financial Statements

11.3 South Asian and Middle East Sector

- 11.3.1 The business profits of Jetan Travel Services Co. Pvt Ltd., Cowrie Investment Pvt Ltd., ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd. Ace Resorts (Pvt) Ltd., Crest Star Ltd., Crest Star (BVI) Ltd., P.R Holiday Homes (Pvt) Ltd, Aitken Spence Hotel Services Ltd. and Aitken Spence Hotel Managements South India (Pvt) Ltd. being non resident companies in Sri Lanka and not deriving Income from Sri Lanka are out of the Scope of Income Taxation in Sri Lanka.
- 11.3.2 The business profits of Jetan Travel Services Co. Pvt Ltd., Cowrie Investment Pvt Ltd., ADS Resorts (Pvt) Ltd., Ace Resorts (Pvt) Ltd. and Unique Resorts (Pvt) Ltd., Companies incorporated in the Republic of Maldives are liable for corporate tax in Maldives at a rate of 15% as per Business Profit Tax Act of Republic of Maldives.
- 11.3.3 Crest Star Ltd., a Company incorporated in Hong Kong is not liable for Income Tax. Crest Star (BVI) Ltd., a company incorporated in the British Virgin Islands is exempt from Income Tax. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Business Profit Tax Act of Republic of Maldives.
- 11.3.4 The business profits of P.R Holiday Homes (Pvt) Ltd., and Aitken Spence Hotel Services (Pvt) Ltd. being a Companies incorporated in India would be liable for tax at a rate of 30.9% in India, once the Companies commences commercial operations.
- 11.3.5 The business profits of Aitken Spence Hotel Managements South India (Pvt) Ltd., being a Company incorporated in India would be liable to an effective income tax rate of 34.61% as per the Indian tax law.
- 11.3.6 The business profits of Aitken Spence Resorts (Middle East) LLC., being a Company incorporated in Oman would be liable for corporate tax rate of 12% as per the Oman tax law.

11.4 Associate and Joint Venture Companies

- 11.4.1 The business profits and income of Browns Beach Hotels PLC. arising from leasing of land to Negombo Beach Resorts (Pvt) Ltd. to construct a Hotel is liable for income tax at a standard rate of 28% as per the Inland Revenue Act No. 10 of 2006.
- 11.4.2 The business profits of Negombo Beach Resorts (Pvt) Ltd, would be exempt from income tax under section 17 A of BOI Law No 04 of 1978 for a period of 12 years from either the first year the company makes profits or not later than two years from the commencement of commercial operations.
- 11.4.3 The business profits and income of Amethyst Leisure Ltd., is liable for income tax at standard rate of 28% as per the Inland Revenue Act No. 10 of 2006.
- 11.4.4 The business profits and income of Paradise Resorts Passikudah (Pvt) Ltd., being a Company involved in the promotion of tourism is liable to tax at a concessionary rate of 12% in terms of section 46 of the Inland Revenue Act No. 10 of 2006.
- 11.4.5 The business profits of Ahungalla Resorts Ltd., would be exempt from income tax under section 17A of Inland Revenue Act No. 10 of 2006 for a period of 12 years once the Company commences commercial operations.

11.5 Income Tax Expense

		Group		Company	
		2015/2016 Rs. '000	2014/2015 Rs. '000	2015/2016 Rs. '000	2014/2015 Rs. '000
Taxation on current year profits	(Note No 11.7)	433,302	486,536	14,200	17,500
(Over) / Under provision in previous years		-	(25,792)	-	(2,341)
Withholding Tax on dividends paid by subsidiaries		30,822	25,449	-	-
		464,124	486,193	14,200	15,159
Deferred tax expense	(Note No 11.8)	(31,235)	(1,699)	(2,386)	(2,204)
Total		432,889	484,494	11,814	12,955

Income tax expense excludes, the Group's share of tax expense of the Group's equity-accounted investees recognised in profit /(loss) of Rs. 3.4 million (2014/15 Rs. 1.7 million) which has been included in "Share of Profit /(Loss) of equity-accounted investees (net of tax)

11.6 Income Tax expense recognised in Other Comprehensive Income

	Group					
	2015/2016			2014/2015		
	Before Tax	Tax expense/ (income)	Net of Tax	Before Tax	Tax expense/ (income)	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Foreign Currency translation differences of foreign operations	(736,507)	-	(736,507)	22,306	-	22,306
Revaluation of property, plant & equipment	-	-	-	(90,961)	-	(90,961)
Share of other comprehensive income of equity accounted investees (net of tax)	177	-	177	(234)	-	(234)
Net change in fair value of available for sale financial assets	(22,204)	-	(22,204)	(78,840)	-	(78,840)
Actuarial gains / (losses) arising from retirement benefit obligations	2,896	(371)	2,525	9,858	(924)	8,934
Total	(755,638)	(371)	(756,009)	(137,871)	(924)	(138,795)

	Company					
	2015/2016			2014/2015		
	Before Tax	Tax expense/ (income)	Net of Tax	Before Tax	Tax expense/ (income)	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Actuarial gains / (losses) arising from retirement benefit obligations	899	(108)	791	3,876	(465)	3,411
Total	899	(108)	791	3,876	(465)	3,411



Notes to the Financial Statements

11.7 Reconciliation of Accounting Profit to Tax on current year.

	Group		Company	
	2015/2016	2014/2015	2015/2016	2014/2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit before tax	2,520,651	3,920,116	724,289	1,316,615
Consolidated adjustments	165,030	(30,487)	-	-
Profit after adjustments	2,685,681	3,889,629	724,289	1,316,615
Income not liable for income tax	(653,222)	(811,137)	(59,032)	(25,718)
* Effect of revenue taxed at source	537,043	628,448	-	-
Adjusted Profits	2,569,502	3,706,940	665,257	1,290,897
Non taxable receipts gains	-	-	(563,870)	(1,189,463)
Aggregate disallowed expenses	1,426,191	1,029,057	125,668	124,156
Capital allowances	(1,634,605)	(950,346)	(23,679)	(31,069)
Aggregate allowable expenses	(139,426)	(407,878)	(22,860)	(25,274)
Utilisation of tax losses	(68,547)	(60,985)	(63,181)	(59,236)
Qualifying payment deductions	(66,132)	(66,132)	-	-
Current year losses not utilised	1,096,390	157,070	-	-
Taxable Income	3,183,373	3,407,726	117,335	110,011
Income Tax charged at				
Standard rate of 28%	4,373	15,390	-	7,153
Concessionary rate of 12%	78,554	57,670	14,200	10,347
Varying rates on overseas company profits	350,375	413,476	-	-
Taxation on current year profits	433,302	486,536	14,200	17,500

11.8 Deferred Tax Expense

Origination / (reversal) of temporary differences arising from				
Property, plant and equipment	24,662	14,433	(8,718)	(7,868)
Defined benefit obligations	(191)	(1,167)	157	(372)
Tax losses carried forward	(55,706)	(14,965)	6,175	6,036
Total	(31,235)	(1,699)	(2,386)	(2,204)

11.9 Tax Losses Carried Forward

	Group		Company	
	2015/2016	2014/2015	2015/2016	2014/2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Tax Losses brought forward	1,491,377	1,388,515	825,080	875,379
Adjustments to prior year tax liability and tax losses arising during the year	1,108,438	163,847	11,729	8,937
Utilisation of tax losses	(68,547)	(60,985)	(63,181)	(59,236)
Total	2,531,268	1,491,377	773,628	825,080

Group tax expense is based on the taxable profit of individual companies within the group.

* Income derived from the provision of services by non resident companies operating in the Maldives is subject to withholding tax of 10%.

11.10 As specified in Note No. 11.9, the companies in the Group have carried forward tax losses which are available to be set off against the future tax profits of those companies. From these losses, companies in the Group have not accounted for deferred tax assets, amounts to Rs. 50,808,079/- (2014/15 - Rs. 2,183,416/-). For Aitken Spence Hotel Holdings PLC, there were no deferred tax assets unaccounted on losses as at 31.03.2016. (2014/15 - Nil)

11.11 Super Gain tax

As per the provisions of Part III of the Finance Act No. 10 of 2015, the Group and the Company was paid Super Gain Tax of Rs. 137 million and Rs. 35.1 million respectively. According to the Act, Super Gain Tax shall be deemed to be an expenditure in the financial statements relating to the year of assessment which commenced on 1st April 2013. The Act supersedes the requirements of the Sri Lanka Accounting Standards and hence the expense of Super Gain Tax was accounted in accordance with the requirements of the said Act as recommended by the Statement of Alternative Treatment (SoAT) on Accounting for Supper Gain Tax issued by the Institute of Chartered Accountants of Sri Lanka. This expenditure has been recorded as an adjustment to the opening retained earnings reported in the statement of changes in equity as at 1st April 2015.

12 EARNINGS PER ORDINARY SHARE

Basic earnings per share is calculated by dividing the profit for the year attributable to the ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

	Group		Company	
	2015/2016	2014/2015	2015/2016	2014/2015
	Rs.	Rs.	Rs.	Rs.
Amounts used as numerator				
Profit after taxation and non-controlling interest attributable to Aitken Spence Hotel Holdings PLC.	1,403,766,012	2,234,803,535	712,474,981	1,303,660,199
Preference dividend	(14,850,000)	(14,850,000)	(14,850,000)	(14,850,000)
	1,388,916,012	2,219,953,535	697,624,981	1,288,810,199
Number of ordinary shares used as the denominator				
Weighted Average No. of shares in issue applicable to basic earnings per share	336,290,010	336,290,010	336,290,010	336,290,010
Earnings per ordinary share - (Rs.)	4.13	6.60	2.07	3.83

Notes to the Financial Statements

13 DIVIDENDS

	Company	
	2015/2016 Rs. '000	2014/2015 Rs. '000
Preference Dividend		
Preference dividend paid for 2014/15	(14,850)	(14,850)
Ordinary Dividend		
Final ordinary dividend paid for 2014/15	(504,435)	(504,435)
Total	(519,285)	(519,285)
Final ordinary dividend proposed for 2015/16	420,363	504,435
Preference dividend proposed for 2015/16	14,850	14,850
Ordinary Dividend per Share - (Rs.)	1.25	1.50

The Directors have recommended a first and final dividend of Rs.1.25 per share (2014/15 - Rs. 1.50) and a 9% cumulative preference dividend for the year ended 31st March 2016. If approved at the Annual General Meeting on 30th June 2016 the preference dividends and cents 34 of the ordinary dividends will be paid out of taxable dividends received from Subsidiary Companies from which 10% withholding tax has been deducted and the balance ordinary dividend of cents 91 will be paid out of dividends received from companies incorporated outside Sri Lanka which is subject to 10% withholding tax.

In accordance with LKAS 10 - Events After the Reporting Period, the recommended final dividends has not been recognised as a liability as at 31st March 2016

However for the purpose of computing dividends per share, dividends to be approved has been taken into consideration.

14 PROPERTY PLANT AND EQUIPMENT 14.1 Group

	Land (Freehold)	Buildings (Freehold)	Plant Machinery & Equipment	Motor Vehicles	Furniture & Fittings	Furnishing, Cutlery, Crockery & Glassware	Capital work-in progress	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation								
Balance as at 01.04.2015	2,700,238	10,789,360	3,410,909	260,078	1,030,518	530,915	4,469,572	23,191,590
Additions	42,385	770,700	703,443	66,146	113,382	73,013	273,784	2,042,853
Assets acquired from business combinations	2,528,039	2,496,700	117,170	2,333	10,420	-	-	5,154,662
Transfer from operating leases and leasehold property	-	-	-	-	-	-	24,299	24,299
Transfers	-	3,323,015	772,102	411	105,554	(2,504)	(4,199,343)	(765)
Disposals	-	-	(86,557)	(22,676)	(6,050)	(25,425)	-	(140,708)
Effect of movement in exchange rates	(13,973)	615,920	144,079	13,319	35,384	29,178	37,313	861,220
Balance as at 31.03.2016	5,256,689	17,995,695	5,061,146	319,611	1,289,208	605,177	605,625	31,133,151
Accumulated Depreciation								
Balance as at 01.04.2015	-	3,530,478	1,840,424	194,454	749,720	474,023	-	6,789,099
Transfers	-	(33)	5,818	411	(6,196)	-	-	-
Charge for the year	-	431,512	329,443	22,269	94,962	105,381	-	983,567
Disposals	-	-	(77,075)	(20,080)	(5,274)	(24,249)	-	(126,678)
Effect of movement in exchange rates	-	230,155	92,632	12,138	25,871	25,007	-	385,803
Balance as at 31.03.2016	-	4,192,112	2,191,242	209,192	859,083	580,162	-	8,031,791
Carrying amount								
As at 31.03.2016	5,256,689	13,803,583	2,869,904	110,419	430,125	25,015	605,625	23,101,360
As at 31.03.2015	2,700,238	7,258,882	1,570,485	65,624	280,798	56,892	4,469,572	16,402,491

The gross carrying amount of fully depreciated property plant and equipment that is still in use for the Group as at 31st March 2016 was Rs. 1,311,715,711/- (Company Rs. 56,283,607/-)

The exchange difference has arisen as a result of the translation of property, plant and equipment of foreign entities which are accounted for in foreign currencies and translated to the reporting currency at the closing rate.

Assets pledged as security against borrowings are disclosed in Note No. 29.1.

Capital work in progress represents the amount of expenditure recognised under property, plant and equipment during the construction of a capital asset.

Notes to the Financial Statements

14.2 Company

	Land (Freehold)	Buildings (Freehold)	Plant Machinery & Equipment	Motor Vehicles	Furniture & Fittings	Furnishing, Cutlery, Crockery & Glassware	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation							
Balance as at 01.04.2015	570,207	957,687	430,393	647	221,616	98,271	2,278,821
Additions	-	-	3,631	-	1,080	9,207	13,918
Disposals	-	-	-	-	-	(1,515)	(1,515)
Balance as at 31.03.2016	570,207	957,687	434,024	647	222,696	105,963	2,291,224
Accumulated Depreciation							
Balance as at 01.04.2015	-	268,954	293,168	612	185,214	77,602	825,550
Charge for the year	-	25,650	36,139	23	22,200	11,848	95,860
Disposal	-	-	-	-	-	(997)	(997)
Balance as at 31.03.2016	-	294,604	329,307	635	207,414	88,453	920,413
Carrying amount							
As at 31.03.2016	570,207	663,083	104,717	12	15,282	17,510	1,370,811
As at 31.03.2015	570,207	688,733	137,225	35	36,402	20,669	1,453,271

During the year borrowing cost amounting to Rs 81,549,581/- was capitalised by the Group. The total interest cost capitalised to date under property plant and equipment amounts to Rs. 396,704,862/-.

14.3 Freehold Land

14.3.1 Land carried at revalued amounts

Company	Location	Last revaluation date	Land extent	Carrying amount as at 31.03.2016 Rs.'000	Revaluation Surplus Rs.'000	Carrying amount at cost Rs.'000
Aitken Spence Hotel Holdings PLC (i)	"Heritage Ahungalla" Galle Road, Ahungalla	31.03.2012	11A 3R 34.02P	565,000	546,798	18,202
Heritage (Pvt) Ltd. (i)	Moragalla, Beruwala	23.01.2014	5A 3R 6.80P	278,000	266,920	11,080
Meeraladuwa Resorts (Pvt) Ltd. (i)	Meeraladuwa Island Balapitiya	23.01.2014	29A 2R 09P	450,830	360,398	90,432
Kandalama Hotels (Pvt) Ltd. (i)	Kandalama , Dambulla	23.01.2014	169A 2R 22.00P	9,000	1,616	7,384
Neptune Ayurvedic Village (Pvt) Ltd. (i)	Ayurvedic Village, Moragalla, Beruwala	23.01.2014	0A 0R 19.30P	4,425	362	4,063
P.R. Holiday Homes (Pvt) Ltd. (ii)	Cochin - Kerala	31.03.2012	14A, 0R.752P	188,669	62,268	126,401
Turyaa (Pvt) Ltd. (i)	418, Parellel Road Kudawaskaduwa, Kalutara	20.10.2012	5A 1R 37.9P	280,500	260,735	19,765
	49, Sea Beach Road, Kalutara	20.10.2012	0A 1R 30.32P	21,000	19,512	1,488
Turyaa Resorts (Pvt) Ltd. (i)	Kudawaskaduwa, Kalutara	21.01.2014	1A 3R 33.20P	86,000	29,221	56,779
	Kudawaskaduwa, Kalutara	21.01.2014	0A 1R 34.30P	16,700	7,526	9,174
M P S Hotels (Pvt) Ltd. (i)	200/21, Peradeniya Road - Kandy	29.01.2014	3 A 3R 1.52P	300,500	59,324	241,176
Total				2,200,624	1,614,680	585,944

The above lands have been revalued by independent, qualified valuers on the basis of current market value.

(i) Valuation of the land was carried out by Mr.K.C.B Condegama, A.I.V (Sri Lanka)

(ii) Valuation of the land carried out by Mr. T.T Kripananda Singh B.S.C. (Eng.) Civil, MICA, FIE,FIV.C (Eng.) of Messers N. Raj Kumar and Associates (India)

Notes to the Financial Statements

14.3.2 Land carried at Cost

Company	Location	Acquisition date	Extent	Carrying amount as at 31.03.2016 Rs' 000
Aitken Spence Hotel Holdings PLC	"Heritage Ahungalla" Galle Road, Ahungalla	10.06.2013	39.26P	5,207
Aitken Spence Resorts (Middle East) LLC	Muscat, Oman	11.02.2016	20437 Square Meters	2,528,039
Aitken Spence Hotel Management (South India) Pvt Ltd	144/7, Kottivakkam, OMR Chennai	09.06.2014	0A. 3R. 15.14P	513,759
Perumbalam Resorts (Pvt) Ltd	Cochin - Kerala	30.04.2012	4A, 0R, 0.9P	9,060
Total				3,056,065

14.3.3 Total carrying amount of land

Land carried at revalued amounts	(Note 14.3.1)	2,200,624
Land carried at cost	(Note 14.3.2)	3,056,065
Total		5,256,689

14.4 Capital Expenditure Commitments

The following commitments for capital expenditure approved by the Directors as at 31st March, 2016 have not been provided for in the accounts.

	Group	
	31.03.2016 Rs. '000	31.03.2015 Rs. '000
Approximate amount approved but not contracted for	1,145,641	1,784,649
Approximate amount contracted for but not accounted	2,976,994	1,797,136
Total	4,122,635	3,581,785

15 LEASEHOLD PROPERTIES

	Group	
	31.03.2016	31.03.2015
	Rs. '000	Rs. '000
Acquisition Cost		
Balance brought forward	2,267,623	1,830,220
Effect of movement in exchange rates	193,391	(27,439)
Additions during the year	-	464,842
Balance carried forward	2,461,014	2,267,623
Accumulated Amortisation		
Balance brought forward	(361,096)	(369,120)
Effect of movement in exchange rates	(33,228)	60,681
Amortised during the year	(50,132)	(52,657)
Amortisation charged to property, plant and equipment	(9,830)	-
Balance carried forward	(454,286)	(361,096)
Unamortised leasehold properties as at 31st March	2,006,728	1,906,527

Leasehold properties represents the acquisition cost of leasehold rights of some of the hotel properties in the Maldives.

16 PREPAID OPERATING LEASES

	Group	
	31.03.2016	31.03.2015
	Rs. '000	Rs. '000
Cost		
Balance brought forward	1,101,563	1,081,621
Effect of movement in exchange rates	141,789	19,942
Additions during the year	668,500	-
Balance carried forward	1,911,852	1,101,563
Accumulated Amortisation		
Balance brought forward	(34,500)	(33,000)
Amortised during the year	(19,066)	(1,500)
Amortisation charged to property, plant and equipment	(14,469)	-
Balance carried forward	(68,035)	(34,500)
Unamortised prepaid operating leases as at 31st March	1,843,817	1,067,063
Current portion of unamortised operating leases	(32,746)	-
Non Current portion of unamortised operating leases as at 31st March	1,811,071	1,067,063

The amount paid of Rs. 668.5 million on the acquisition of land for operating lease relating to Raafushi Island (Ace Resorts (Pvt) Ltd.) is recognised under additions during the year.

Notes to the Financial Statements

16.1 Unexpired Lease periods of leasehold land:

Company Name	Location of the Property	unexpired lease period
Kandalama Hotels (Pvt) Ltd.	Dambulla	26 years
Hethersett Hotels Ltd.	Nuwara Eliya	78 years
Aitken Spence Hotels Ltd.	Beruwala	27 years
Jetan Travel Services Co. (Pvt) Ltd.	Maldives	25 years
Cowrie Investment (Pvt) Ltd. - (Meedhupparu island)	Maldives	32 years
- (A'arah island)	Maldives	49 years
ADS Resorts (Pvt) Ltd.	Maldives	10 years
Unique Resorts (Pvt) Ltd.	Maldives	29 years
Ace Resorts (Pvt) Ltd.	Maldives	49 years

16.2 Operating Lease Commitments

	Group	
	31.03.2016	31.03.2015
	Rs. '000	Rs. '000
Lease rentals payable within one year	367,191	338,447
Lease rentals payable within one to five years	1,890,203	1,746,403
Lease rentals payable after five years	5,897,118	5,775,110
	8,154,512	7,859,960

Operating lease commitments have been estimated based on remaining lease periods disclosed under Note 16.1 above.

US Dollar conversion rate prevailed as at the reporting date 31st March 2016 has been used to convert the future lease commitments of Maldives properties.

17 INTANGIBLE ASSETS

17.1 Group

	Goodwill	Computer Software	Total
	Rs. '000	Rs. '000	Rs. '000
Cost			
Balance as at 01st April 2015	-	58,164	58,164
Effect of movement in exchange rates	-	3,359	3,359
Additions	376,190	3,351	379,541
Balance as at 31st March 2016	376,190	64,874	441,064
Accumulated amortisation / impairment			
Balance as at 01st April 2015	-	(55,322)	(55,322)
Effect of movement in exchange rates	-	(3,277)	(3,277)
Amortisation		(2,299)	(2,299)
Balance as at 31st March 2016	-	(60,898)	(60,898)
Carrying amount as at 31st March 2016	376,190	3,976	380,166
Carrying amount as at 31st March 2015	-	2,842	2,842

Goodwill is arisen in respect of acquisition of 70% of equity in Aitken Spence Resorts (Middle East) LLC during the year.

The recoverable amount of goodwill is determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by management covering five year periods. The key assumptions used are given below;

- Business growth – Based on the long term average growth rate for each business unit.
The weighted average growth rate used is consistent with the forecast included in industry reports.
- Inflation – Based on current inflation rate.
- Discount rate – Risk free rate adjusted for the specific risk relating to the industry.
- Margin – Based on past performance and budgeted expectations

Notes to the Financial Statements

17.2 Company

	Computer Software Rs. '000	Total Rs. '000
Cost or Valuation		
Balance as at 01st April 2015	5,537	5,537
Additions	-	-
Balance as at 31st March 2016	5,537	5,537
Accumulated amortisation / impairment		
Balance as at 01st April 2015	(5,349)	(5,349)
Amortisation	(174)	(174)
Balance as at 31st March 2016	(5,523)	(5,523)
Carrying amount as at 31st March 2016	14	14
Carrying amount as at 31st March 2015	188	188

Intangible assets as at 31st March 2016 includes fully amortised assets of the group having a gross carrying amount of Rs. 49,762,180/- that is still in use (Company Rs. 5,523,612/-). There were no intangible assets pledged by the Group as security for facilities obtained from banks.

18 INVESTMENT IN SUBSIDIARIES

18.1 Investments in Subsidiaries – Unquoted

Company	Country of incorporation	Company				
		Number of Shares	Company Holding	Group Holding	31.03.2016 Rs. '000	31.03.2015 Rs. '000
a) Equity Shares						
Subsidiary Companies						
Aitken Spence Hotels Ltd.	Sri Lanka	14,701,204	98.00%	98.00%	149,736	149,736
Crest Star Ltd. (Ordinary Shares of HK\$ 1 each)	Hongkong	10,000	100.00%	100.00%	9,921	9,921
Crest Star (BVI) Ltd. (Ordinary Shares of US\$ 1 each)	British Virgin Island	3,415,000	100.00%	100.00%	185,628	185,628
Cowrie Investment (Pvt) Ltd. (Ordinary Shares of Mrf 1,000 each)	Maldives	52,740	60.00%	60.00%	321,733	321,733
Hethersett Hotels Ltd.	Sri Lanka	24,542,000	87.65%	87.65%	161,421	161,421
Neptune Ayurvedic Village (Pvt) Ltd.	Sri Lanka	500,000	100.00%	100.00%	5,000	5,000
Aitken Spence Hotels International (Pvt) Ltd.	Sri Lanka	10,744,582	51.00%	51.00%	181,024	181,024
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	Sri Lanka	5,125,500	51.00%	51.00%	51,255	51,255
Turyaa (Pvt) Ltd. (Formerly Golden Sun Resorts (Pvt) Ltd)	Sri Lanka	200,812,322	100.00%	100.00%	1,393,679	893,679
MPS Hotels (Pvt) Ltd	Sri Lanka	4,753,025	100.00%	100.00%	307,745	307,745
Turyaa Resorts (Pvt) Ltd. (Formerly Aitken Spence Resorts (Pvt) Ltd)	Sri Lanka	81,500,000	100.00%	100.00%	815,000	328,000
Meeraladuwa (Pvt) Ltd	Sri Lanka	20,227,801	100.00%	100.00%	202,278	-
					3,784,420	2,595,142
b) Preference Shares						
Hethersett Hotels Ltd.	Sri Lanka	5,000,000			50,000	50,000
Aitken Spence Hotels Ltd	Sri Lanka	40,000,000			400,000	400,000
Net Carrying Amount of Investments in subsidiaries – unquoted as at 31st March					4,234,420	3,045,142



Notes to the Financial Statements

18.2 Investments in Sub Subsidiaries

Company	Country of incorporation	Group				
		Number of Shares	Company Holding	Group Holding	31.03.2016 Rs. '000	31.03.2015 Rs. '000
a) Equity Shares						
Sub Subsidiary Companies						
Aitken Spence Hotels Ltd.						
- Kandalama Hotels (Pvt) Ltd	Sri Lanka	10,216,216	63.00%	61.74%	234,406	234,406
- Heritance (Pvt) Ltd.	Sri Lanka	2,125,627	100.00%	98.00%	35,751	14,751
					270,157	249,157
Crest Star (Bvi) Ltd						
- Jetan Travel Services Co. (Pvt) Ltd	Maldives	47,500	95.00%	95.00%	415,591	382,933
					415,591	382,933
Aitken Spence Hotels International (Pvt) Ltd						
- ADS Resorts (Pvt) Ltd	Maldives	1,275,000	100.00%	51.00%	103,970	103,970
- Unique Resorts (Pvt) Ltd	Maldives	6,375,000	100.00%	51.00%	562,663	562,663
- Aitken Spence Hotel Services (Pvt) Ltd	India	10,000	100.00%	51.00%	271	271
- Aitken Spence Hotel Managements (South India) Pvt Ltd	India	123,195,070	100.00%	51.00%	2,766,306	2,766,306
- Ace Resorts (Pvt) Ltd	Maldives	8,480,999	100.00%	51.00%	740,155	-
- Aitken Spence Resorts (Middle East) LLC	Oman	105,000	70.00%	35.70%	39,887	-
					4,213,252	3,433,210
Aitken Spence Hotel Managements Asia (Pvt) Ltd						
- PR Holiday Homes (Pvt) Ltd	India	621,310	84.57%	43.13%	174,949	174,949
					174,949	174,949
PR Holiday Homes (Pvt) Ltd						
- Perumbalam Resorts (Pvt) Ltd	India	10,000	100.00%	43.13%	217,956	212,957
					217,956	212,957

Kandalama Hotels (Pvt) Ltd., and Heritance (Pvt) Ltd., are Subsidiaries of Aitken Spence Hotels Ltd.

Jetan Travel Services Co. Pvt Ltd., is a Subsidiary of Crest Star (BVI) Ltd.

ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Aitken Spence Hotel Services (Pvt) Ltd, Aitken Spence Hotel Management (South India) Pvt Ltd., Ace Resorts (Pvt) Ltd. and Aitken Spence Resorts (Middle East) LLC are subsidiaries of Aitken Spence Hotels International (Pvt) Ltd.

PR Holiday Homes (Pvt) Ltd. is a subsidiary of Aitken Spence Hotel Managements Asia (Pvt) Ltd.

Perumbalam Resorts (Ltd)., is a subsidiary of PR Holiday Homes (Pvt) Ltd.

18.3 Non Controlling Interest - Subsidiaries

The following Subsidiaries have material NCI

Name	Principal place of Business / Country of incorporation	Operating Segment	Ownership interest held by NCI	
			As at 31st March 2016	As at 31st March 2015
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	Sri Lanka Sector - Others	49%	49%
Cowrie Investments (Pvt) Ltd	Republic of Maldives	South Asian Sector	40%	40%
ADS Resorts (Pvt) Ltd	Republic of Maldives	South Asian Sector	49%	49%
Unique Resorts (Pvt) Ltd	Republic of Maldives	South Asian Sector	49%	49%
Aitken Spence Hotel Management (South India) (Pvt) Ltd	India	South Asian Sector	49%	49%

Other than for Cowrie Investments (Pvt) Ltd., the non-controlling interest of rest of the subsidiaries are held with the ultimate holding Company, Aitken Spence PLC

Summarised financial information of Subsidiaries with material NCI - Cowrie Investments (Pvt) Ltd

	2016 Rs'000	2015 Rs'000
Revenue	3,230,559	3,333,705
Profit/(Loss)	777,168	903,520
Profit attributable to NCI	310,867	361,408
Other comprehensive income	267,350	60,663
Total comprehensive income	1,044,518	964,183
Total comprehensive income attributable to NCI	417,807	385,673
Current Assets	1,617,295	1,188,537
Non Current Assets	3,564,937	2,985,818
Current Liabilities	(959,575)	(814,483)
Non- Current liabilities	(266,138)	(311,455)
Net Assets	3,956,519	3,048,417
Net assets attributable to NCI	1,582,608	1,219,367
Cash flow from operating activities	750,234	986,521
Cash flow from investing activities	(461,876)	(592,335)
Cash flow from financing activities	(72,345)	(386,014)
Net increase in cash and cash equivalents	216,013	8,172
Dividends paid to NCI during the year	-	(197,478)

The above figures are before elimination of inter company transactions.



Notes to the Financial Statements

19 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

19.1 Investment in Associates

19.1.1 Investment in Associates - Quoted

	Group			Company		
	No. of Shares	Group Holding	31.03.2016 Rs. '000	31.03.2015 Rs. '000	No. of Shares	Company Holding
Browns Beach Hotels PLC (Consolidated with Negombo Beach Resorts (Pvt) Ltd)	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%
Investments made during the year	-	-	-	-	-	-
Net book value as at 31st March	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%
Share of movement in equity value			99,489	139,842		
Surplus on revaluation			263,525	263,525		
Equity value of investment as at 31st March			1,288,124	1,328,477		
Market value of quoted investment as at 31st March			1,576,005	1,212,311		

19.1.2 Investment in Associates - Unquoted

Amethyst Leisure Ltd

(Consolidated with Paradise Resorts Passikudah (Pvt) Ltd)

Investments made during the year	-	-	-	-	86,532,335	23.44%	191,409	191,409
Net book value as at 31st March		23.44%	191,409	191,409	-	-	191,409	191,409
Share of movement in equity value			(81,148)	(8,648)				
Equity value of investment as at 31st March			110,261	182,761			191,409	191,409
Total Equity Value of Investments - Quoted (19.1.1)			1,288,124	1,328,477			906,602	906,602
Total Equity Value of Investments - Unquoted (19.1.2)			110,261	182,761			191,409	191,409
Total Equity Value of Investments as at 31st March			1,398,385	1,511,238			1,098,011	1,098,011

19.2 Investment in Joint Ventures

	Group				Company			
	No. of Shares	Group Holding	31.03.2016 Rs. '000	31.03.2015 Rs. '000	No. of Shares	Company Holding	31.03.2016 Rs. '000	31.03.2015 Rs. '000
Ahungalla Resorts Ltd.								
Opening balance as at 1st April	33,846,957	60.00%	686,304	-	33,846,957	60.00%	876,404	-
Investments made during the year	44,522,067	60.00%	2,049,921	686,304	44,522,067	60.00%	2,049,921	876,404
Net book value as at 31st March	78,369,024	60.00%	2,736,225	686,304	78,369,024	60.00%	2,926,325	876,404
Share of movement in equity value			847,602	900,932				
Equity value of Investment as at 31st March			3,583,827	1,587,236			2,926,325	876,404
Total Equity Value of Investments in Associates (19.1)			1,398,385	1,511,238			1,098,011	1,098,011
Total Equity Value of Investments in Joint Ventures (19.2)			3,583,827	1,587,236			2,926,325	876,404
Total Equity Value of Investments in equity Accounted Investees as at 31st March			4,982,212	3,098,474			4,024,336	1,974,415

19.3 Equity Accounted Investees - Associates

Name	Principal place of Business / Country of incorporation	Nature of relationship with the Group	Ownership Interest %	Fair Value of ownership Interest (if listed) Rs.000
Browns Beach Hotels PLC	Sri Lanka	Owns Negombo Beach Resorts (Pvt) Ltd	37.42%	1,576,005
Negombo Beach Resorts (Pvt) Ltd (100% owned subsidiary of Browns Beach Hotels PLC)	Sri Lanka	Owns and Operates "Heritance Negombo"	37.42%	-
Amethyst Leisure Ltd	Sri Lanka	Owns Paradise Resorts Passikudah (Pvt) Ltd	23.44%	-
Paradise Resorts Passikudah (Pvt) Ltd (100% owned subsidiary of Amethyst Leisure Ltd)	Sri Lanka	Owns and Operates "Amethyst Resorts Passikudah"	23.44%	-



Notes to the Financial Statements

Summerised financial information of Associates with material NCI

	Browns Beach Hotels PLC [Consolidated with Negombo Beach Resorts (Pvt) Ltd.]	
	2016	2015
	Rs. '000	Rs. '000
Revenue	-	-
Profit /(Loss)	(105,019)	(15,710)
Other comprehensive income	(2,839)	(6,572)
Total comprehensive income	(107,858)	(22,282)
Attributable to NCI	(67,844)	(13,945)
Attributable to Investees Shareholders	(40,353)	(8,337)
Current Assets	19,566	87,119
Non Current Assets	5,635,322	4,255,994
Current Liabilities	(144,315)	(126,800)
Non- Current liabilities	(2,067,955)	(665,848)
Net Assets	3,442,618	3,550,465
Attributable to NCI	2,154,495	2,221,998
Attributable to Investees Shareholders	1,288,124	1,328,477
Group's interest in net assets of investee at the beginning of the year	1,328,477	1,336,814
Investments made during the year	-	-
Total comprehensive income attributable to the Group	(40,353)	(8,337)
Dividends received during the year	-	-
Group's interest in net assets of investee at the end of the year	1,288,124	1,328,477
Goodwill	-	-
Carrying amount of interest in investee at the end of the year	1,288,124	1,328,477

19.4 Equity Accounted Investees - Joint Ventures

Ahungalla Resorts Ltd. is a joint arrangement in which the Group has 60% ownership with RIU Hotels Spain to develop 501 room luxury Hotel in Ahungalla.

Summerised financial information of Ahungalla Resorts Ltd.

For the year ended 31st March	2016 Rs.'000	2015 Rs.'000
Revenue	-	-
Profit /(Loss)	(88,816)	705
Other comprehensive income	(67)	(67)
Total comprehensive income	(88,883)	638
Attributable to NCI	(35,553)	255
Attributable to Investees Shareholders	(53,330)	383
Current Assets	2,261,108	1,327,336
Non Current Assets	7,273,312	2,019,268
Current Liabilities	(317,220)	(752,428)
Non- Current liabilities	(3,297,400)	-
Net Assets	5,919,800	2,594,176
Attributable to NCI	2,367,920	1,037,670
Attributable to Investees Shareholders	3,551,880	1,556,506
Group's interest in net assets of investee at the beginning of the year	1,587,236	-
Investments made during the year	2,049,921	686,304
Total comprehensive income attributable to the Group	(53,330)	383
Share of movement in equity	-	900,549
Carrying amount of interest in investee at the end of the year	3,583,827	1,587,236



Notes to the Financial Statements

20 OTHER FINANCIAL ASSETS

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Barefoot Resort and Leisure (Pvt) Ltd.				
(25, 000 shares of INR 1312.50 each)	-	75,680	-	-
Disposal of Investment	-	(75,680)	-	-
	-	-	-	-
Floatels India (Pvt) Ltd.				
(988,764 shares at INR 55/- each)	180,191	121,798	-	-
Fair value adjustment	22,204	58,393	-	-
	202,395	180,191	-	-
Total	202,395	180,191	-	-

21 DEFERRED TAX ASSETS

21.1 Movement in deferred tax assets

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at the beginning of the year	119,017	115,977	2,855	186
Effect of movement in exchange rates	13,412	1,097	-	-
Reversal of temporary differences				
- Recognised in income statement	15,412	1,467	2,386	2,204
- Recognised in other comprehensive income	128	476	108	465
Balance as at the end of the year	147,969	119,017	5,349	2,855

21.2 Composition of deferred tax assets

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets attributable to;				
Defined benefit obligations	4,906	4,781	3,952	4,001
Tax losses carried forward	169,044	144,225	92,835	99,009
Other items	29,093	22,673	-	-
Property, plant and equipment	(55,074)	(52,662)	(91,438)	(100,155)
Net deferred tax assets	147,969	119,017	5,349	2,855

21.3 Movement in tax effect of temporary differences - Group

	2015/2016				Balance as at 31st March 2016 Rs.000
	Balance as at 01st April 2015 Rs.000	Recognised in profit & (loss) Rs.000	Recognised in other comprehensive income Rs.000	Exchange gain/(loss) Rs.000	
Deferred Tax Asset					
Defined benefit obligations	4,781	(3)	128	-	4,906
Tax losses carried forward	144,225	24,819	-	-	169,044
Other items	22,673	-	-	6,420	29,093
	171,679	24,816	128	6,420	203,043
Deferred Tax Liabilities					
Property, plant & equipment	(52,662)	(9,404)	-	6,992	(55,074)
	(52,662)	(9,404)	-	6,992	(55,074)
Net deferred tax assets	119,017	15,412	128	13,412	147,969

21.4 Movement in tax effect of temporary differences - Group

	2014/2015				Balance as at 31st March 2015 Rs.000
	Balance as at 01st April 2014 Rs.000	Recognised in profit & (loss) Rs.000	Recognised in other comprehensive income Rs.000	Exchange gain/(loss) Rs.000	
Deferred Tax Asset					
Defined benefit obligations	3,925	380	476	-	4,781
Tax losses carried forward	149,238	(5,013)	-	-	144,225
Other items	23,078	-	-	(405)	22,673
	176,241	(4,633)	476	(405)	171,679
Deferred Tax Liabilities					
Property, plant & equipment	(60,264)	6,100	-	1,502	(52,662)
	(60,264)	6,100	-	1,502	(52,662)
Net deferred tax assets	115,977	1,467	476	1,097	119,017

Notes to the Financial Statements

21.5 Movement in tax effect of temporary differences - Company

	2015/2016			
	Balance as at 01st April 2015	Recognised in profit & (loss)	Recognised in other comprehensive income	Balance as at 31st March 2016
	Rs.000	Rs.000	Rs.000	Rs.000
Deferred tax assets				
Defined benefit obligations	4,001	(157)	108	3,952
Tax losses carried forward	99,009	(6,174)	-	92,835
	103,010	(6,331)	108	96,787
Less: Deferred tax liabilities				
Property, plant & equipment	(100,155)	8,717	-	(91,438)
	(100,155)	8,717	-	(91,438)
Net deferred tax assets	2,855	2,386	108	5,349

21.6 Movement in tax effect of temporary differences - Company

	2014/2015			
	Balance as at 01st April 2014	Recognised in profit & (loss)	Recognised in other comprehensive income	Balance as at 31st March 2015
	Rs.000	Rs.000	Rs.000	Rs.000
Deferred tax assets				
Defined benefit obligations	3,164	372	465	4,001
Tax losses carried forward	105,045	(6,036)	-	99,009
	108,209	(5,664)	465	103,010
Less: Deferred tax liabilities				
Property, plant & equipment	(108,023)	7,868	-	(100,155)
	(108,023)	7,868	-	(100,155)
Net deferred tax assets	186	2,204	465	2,855

22 INVENTORIES

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Food	95,515	71,566	6,379	6,006
Beverage	50,475	42,595	3,762	3,798
Maintenance	69,585	91,967	4,949	4,445
Stationery	10,767	8,613	591	932
Housekeeping	32,338	19,661	1,130	1,435
Ayurveda Stocks	1,296	1,479	-	-
Fuel & Others	43,444	48,660	1,822	2,569
Total	303,420	284,541	18,633	19,185

There were no inventories pledged as security for overdraft facilities as at 31st March 2016. (as at 31st March 2015- nil)

23 TRADE AND OTHER RECEIVABLES

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables	1,121,027	801,622	125,039	94,564
Provision for impairment	(17,227)	(12,221)	(344)	(1)
	1,103,800	789,401	124,695	94,563
Interest income receivable	2,569	30,860	18	11,278
Insurance receivable	-	33,841	-	-
Non trade receivables	52,417	123,313	3,956	2,201
	1,158,786	977,415	128,669	108,042
Taxes receivable	16,918	27,038	-	-
Other receivables	92,236	138,737	194	491
Total	1,267,940	1,143,190	128,863	108,533

No loans were given to Employees over and above Rs. 20,000/-.

No loans have been given to Directors of the company.

24 AMOUNTS DUE FROM ULTIMATE HOLDING COMPANY

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term investments	33,823	133,850	14,436	25,005
Total	33,823	133,850	14,436	25,005

The above short term investments were made on normal market interest rates.



Notes to the Financial Statements

25 AMOUNTS DUE FROM PARENT'S GROUP ENTITIES

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Travels (Pvt) Ltd.	252,753	167,781	31,583	13,583
Aitken Spence Hotel Managements (Pvt) Ltd.	81,117	126,508	291	19,563
Aitken Spence Overseas Travel Services (Pvt) Ltd.	-	21	-	21
Aitken Spence Shipping Ltd.	-	24	-	24
Aitken Spence Cargo (Pvt) Ltd.	18	30	-	-
Ace International Express (Pvt) Ltd.	65	80	-	25
Aitken Spence Aviation (Pvt) Ltd	28	-	28	-
Elevators (Pvt) Ltd	23	-	23	-
Aitken Spence Printing and Packaging (Pvt) Ltd.	156	30	25	30
Aitken Spence Garments Ltd	139	-	-	-
Aitken Spence Property Developments Ltd	20	-	-	-
Aitken Spence Resources (Pvt) Ltd	122	-	-	-
Spence Logistics (Pvt) Ltd	-	64	-	-
Vauxhall Cargo Logistics (Pvt) Ltd	-	81	-	-
Ace Containers (Pvt) Ltd	-	25	-	-
Ace Exports (Pvt) Ltd	-	28	-	-
MMBL Money Transfer (Pvt) Ltd	58	-	58	-
Shipping and Cargo Logistics (Pvt) Ltd	25	28	-	28
Aitken Spence PLC	41	605	11	572
Negombo Beach Resorts (Pvt) Ltd	108	-	-	-
Ahungalla Resorts Ltd.	375	393,915	375	393,915
Aitken Spence Hotels Ltd.	-	-	-	25,597
Turyaa Resorts (Pvt) Ltd	-	-	28,018	97,683
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	-	-	55,080	127,396
Turyaa (Pvt) Ltd.	-	-	173,168	502,035
MPS Hotels (Pvt) Ltd	-	-	31,192	8,092
Kandalama Hotels (Pvt) Ltd	-	-	-	58
Meeraladuwa (Pvt) Ltd	-	-	12	202,247
Paradise Resorts Passikudah (Pvt) Ltd	39,242	36,588	39,242	36,588
Total	374,290	725,808	359,106	1,427,457

26 OTHER FINANCIAL ASSETS

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Fixed Deposits	2,151,263	5,689,970	-	1,436,031
Total	2,151,263	5,689,970	-	1,436,031

26.1 Cash and Cash Equivalents

Short term deposits less than 90 days	672,063	1,179,831	86,000	-
Cash at bank and in hand	286,178	433,913	28,113	55,274
Cash and cash equivalents	958,241	1,613,744	114,113	55,274
Less: Short term Bank Borrowings	(836,687)	(385,055)	(16,248)	(1,196)
Total cash and cash equivalents for cash flow statement	121,554	1,228,689	97,865	54,078
Effect of movement in exchange rates	-	511,010	-	48,829
Cash and cash equivalents - restated	121,554	1,739,699	97,865	102,907

27 STATED CAPITAL

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Issued & fully paid				
Ordinary Share Capital				
At the beginning of the year - 336,290,010 ordinary shares	3,389,587	3,389,587	3,389,587	3,389,587
Issued during the year	-	-	-	-
At the end of the year - 336,290,010 ordinary shares	3,389,587	3,389,587	3,389,587	3,389,587
Preference Share Capital - Redeemable Cumulative				
At the beginning of the year - 16,500,000 preference shares	165,000	165,000	165,000	165,000
Issued during the year	-	-	-	-
At the end of the year - 16,500,000 preference shares	165,000	165,000	165,000	165,000
Total	3,554,587	3,554,587	3,554,587	3,554,587

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at the meeting of shareholders or one vote per share in case of a poll.

Preference shares do not carry the right to vote. All shares rank equally with regard to residual assets, except that preference shareholder participate only to the extent of the face value of shares adjusted for dividends in arrears.

Preference shareholder is entitled to dividends at 9% annually.(Cents 90 per share)



Notes to the Financial Statements

28 RESERVES

		Group		Company	
		31.03.2016	31.03.2015	31.03.2016	31.03.2015
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revaluation reserve	(Note 28.1)	2,378,602	2,378,602	639,210	639,210
General reserve	(Note 28.2)	22,929	22,929	22,929	22,929
Available for sale reserve	(Note 28.3)	38,630	27,306	-	-
Foreign currency translation reserve	(Note 28.4)	1,206,039	804,529	-	-
Total		3,646,200	3,233,366	662,139	662,139
Transaction movement					
Balance as at 01st April		3,233,366	3,383,982	662,139	660,050
Transfers to / (from) foreign currency translation reserve during the year		401,510	4,403	-	-
Transfer to / (from) available for sale reserve		11,324	48,671	-	-
Transfers		-	(294,651)	-	2,089
Surplus on revaluation		-	90,961	-	-
Balance as at 31st March		3,646,200	3,233,366	662,139	662,139

28.1 Revaluation Reserves

The revaluation reserve relates to property plant and equipment which has been revalued by the Group.

28.2 General Reserves

The general reserve relates to retained earnings set aside by the Group.

28.3 Available for Sale Reserve

This represents the fair value movement of assets categorised as AFS in the statement of financial position.

28.4 Foreign Currency Translation Reserve

The foreign currency translation reserve comprise of all foreign exchange difference arising from the translation of the financial statements of foreign entities.

29 INTEREST BEARING BORROWINGS

29.1 Analysed by Lending Institutions

Lending Institution	Group		Company		Borrowing terms
	31.03.2016	31.03.2015	31.03.2016	31.03.2015	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Hongkong & Shanghai Banking Corporation Limited	8,857,463	6,198,036	-	-	Comprises of eleven USD loans and two INR loans
					Loan 1 (USD) -Repayable in 60 monthly instalments commencing from August 2012 for which Corporate Guarantee from Aitken Spence Hotel Holdings PLC and a mortgage over leasehold rights of the Maldives Property has been provided as security. Interest linked to LIBOR (Balance outstanding as at 31st March 2016 in Rs. 81.3 million)
					Loan 2 (USD) -Repayable in 60 monthly instalments commencing from October 2012 for which Corporate Guarantee from Aitken Spence Hotel Holdings PLC and mortgage over leasehold rights of the Maldives Hotel property has been provided as security. Interest linked to LIBOR (Balance outstanding as at 31st March 2016 in Rs.106.2 million)
					Loan 3 (USD) -Repayable in 60 monthly instalments commencing from December 2012 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC and a mortgage over leasehold rights of Maldives Hotel Property has been provided as security. Interest link to LIBOR (Balance outstanding as at 31st March 2016 in Rs. 651.1 million)
					Loan 4 (USD) -Repayable in 60 monthly instalments commencing from April 2015. Loan provided on clean basis. Interest link to LIBOR. (Balance outstanding as at 31st March 2016 in Rs. 192.9 million)



Notes to the Financial Statements

Lending Institution	Group		Company		Borrowing terms
	31.03.2016	31.03.2015	31.03.2016	31.03.2015	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
					Loan 5 (USD) - Repayable in 60 monthly instalments commencing from April 2014 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC and a mortgage over leasehold rights of Maldives Hotel Property has been provided as security. Interest link to LIBOR (Balance outstanding as at 31st March 2016 in Rs. 455.9 million)
					Loan 6 (USD) -Repayable in 24 monthly instalments commencing from February 2015 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC and a mortgage over leasehold rights of Maldives Hotel Property has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2016 in Rs. 61.4 million)
					Loan 7 (USD) -Repayable in 55 monthly instalments commencing from February 2015 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest link to LIBOR (Balance outstanding as at 31st March 2016 in Rs.247.1 million)
					Loan 8 (USD) -Repayable in 36 monthly instalments commencing from October 2016 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC and a mortgage over leasehold rights of Maldives Hotel Property has been provided as security. Interest linked to LIBOR. (Balance outstanding as at 31st March 2016 in Rs 434 million)
					Loan 9 (USD) -Repayable in 48 monthly instalments commencing from January 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest Linked to LIBOR (Balance outstanding as at 31st March 2016 in Rs 578.7 million)
					Loan 10 (USD) -Repayable in 72 monthly instalments commencing from June 2015 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2016 in Rs. 2,5 billion)

29 INTEREST BEARING BORROWINGS (CONTD.)

29.1 Analysed by Lending Institutions

Lending Institution	Group		Company		Borrowing terms
	31.03.2016	31.03.2015	31.03.2016	31.03.2015	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
					Loan 11 (USD) -Repayable in 49 monthly instalments commencing from January 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC. and mortgage over land and buildings of the Hotel Property has been provided as security. Interest link to LIBOR (Balance outstanding as at 31st March 2016 in Rs. 2.6 billion)
					Loan 12 (INR) -Repayable in 16 quarterly instalments commencing from February 2016 for which a Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd. has been provided as security. Interest link to LIBOR (Balance outstanding as at 31st March 2016 in Rs. 253.8 million)
					Loan 13 (INR) -Repayable in 16 quarterly instalments commencing from June 2016 for which a Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd. has been provided as security. (Balance outstanding as at 31st March 2016 in Rs.657 million)
Hatton National Bank PLC	105,000	191,756	-	16,442	Comprises of two loans (in LKR) Loan 1 (in LKR) - Repayable in 60 monthly instalments commencing from October 2012 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest Linked to AWDR. (Balance outstanding as at 31st March 2016 in Rs. 45 million)
					Loan 2 (in LKR) - Repayable in 60 monthly instalments commencing from October 2012 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest Linked to AWDR. (Balance outstanding as at 31st March 2016 in Rs.60 million)

Notes to the Financial Statements

Lending Institution	Group		Company		Borrowing terms
	31.03.2016	31.03.2015	31.03.2016	31.03.2015	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
DFCC Bank	875,523	800,523	-	-	(in LKR) - Repayable in 72 monthly instalments commencing from November 2016 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest linked to AWPLR. (Balance outstanding as at 31st March 2016 in Rs.875.5 million)
Total Loans	9,837,986	7,190,315	-	16,442	
Preference Shares					
17,500,0000 redeemable cumulative preference shares of Subsidiary Company	175,000	175,000	-	-	
Total borrowings	10,012,986	7,365,315	-	16,442	
Current portion of interest bearing borrowings	(1,826,509)	(2,001,690)	-	(16,442)	
Non Current portion of interest bearing borrowings	8,186,477	5,363,625	-	-	

29.2 Movement in Interest bearing borrowings

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	7,365,315	3,980,779	16,442	194,042
Effect of movement in exchange rates	480,760	97,735	-	-
Loans received during the year	4,355,415	4,790,601	-	-
	12,201,490	8,869,115	16,442	194,042
Loan repayments during the year	(2,188,504)	(1,503,800)	(16,442)	(177,600)
	10,012,986	7,365,315	-	16,442
Current portion of interest bearing borrowings	(1,826,509)	(2,001,690)	-	(16,442)
Non current portion of interest bearing borrowings	8,186,477	5,363,625	-	-

29.3 Currency Analysis of Interest Bearing Borrowings

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
SL Rupees	1,155,523	1,167,279	-	16,442
United States Dollars	7,946,642	5,346,652	-	-
Indian Rupees	910,821	851,384	-	-
Total	10,012,986	7,365,315	-	16,442

29.4 Analysed by repayment period

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Payable within one year	1,826,509	2,001,690	-	16,442
Payable between one and two years	2,113,022	1,444,225	-	-
Payable between two and five years	3,147,041	2,580,927	-	-
Payable after five years	2,926,414	1,338,473	-	-
Total	10,012,986	7,365,315	-	16,442



Notes to the Financial Statements

30 GOVERNMENT GRANTS

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Receipts				
Balance brought forward	1,560	1,560	-	-
Received during the year	-	-	-	-
Balance carried forward	1,560	1,560	-	-
Accumulated Amortisation				
Balance brought forward	(1,105)	(949)	-	-
Amortised during the year	(156)	(156)	-	-
Balance carried forward	(1,261)	(1,105)	-	-
Net balance	299	455	-	-

The Group has been awarded a government grants amounting to Rs. 1,560,000/- for the construction of an alternative fuel plant for Boiler operation at Heritage Tea factory - Kandapola Nuwaraeliya. The project has been in operation since December 2007 and the grant, recognised as deferred income, is being amortised over the useful life of the plant.

31 DEFERRED TAX LIABILITIES

31.1 Movement in deferred tax liabilities

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at the beginning of the year	243,817	242,491	-	-
Effect of movement of exchange rates	9,415	2,005	-	-
Origination of temporary differences	-	-	-	-
- recognised in income statement	(15,823)	(231)	-	-
- recognised in other comprehensive income	(243)	(448)	-	-
Balance as at the end of the year	237,166	243,817	-	-

31.2 Composition of deferred tax liabilities

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities attributable to;				
Property, plant & equipment	309,052	284,379	-	-
Defined benefit obligations	(6,125)	(5,688)	-	-
Carried forward tax losses	(65,761)	(34,874)	-	-
Net deferred tax liabilities	237,166	243,817	-	-

31.3 Movement in tax effect of temporary differences - Group

	2015/2016				
	Balance as at 01st April 2015	Recognised in profit & (loss)	Recognised in other comprehensive income	Exchange gain/(losses)	Balance as at 31st March 2016
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Deferred tax - liabilities					
Property, plant & equipment	284,379	15,258	-	9,415	309,052
Total liabilities	284,379	15,258	-	9,415	309,052
Deferred tax - assets					
Defined benefit obligations	(5,688)	(194)	(243)	-	(6,125)
Tax losses carried forward	(34,874)	(30,887)	-	-	(65,761)
Total assets	(40,562)	(31,081)	(243)	-	(71,886)
Net deferred tax liabilities	243,817	(15,823)	(243)	9,415	237,166

31.4 Movement in tax effect of temporary differences - Group

	2014/2015				
	Balance as at 01st April 2014	Recognised in profit & (loss)	Recognised in other comprehensive income	Exchange gain/(losses)	Balance as at 31st March 2015
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Deferred tax - liabilities					
Property, plant & equipment	261,840	20,534	-	2,005	284,379
Total liabilities	261,840	20,534	-	2,005	284,379
Deferred tax - assets					
Defined benefit obligations	(4,453)	(787)	(448)	-	(5,688)
Tax losses carried forward	(14,896)	(19,978)	-	-	(34,874)
Total assets	(19,349)	(20,765)	(448)	-	(40,562)
Net deferred tax liabilities	242,491	(231)	(448)	2,005	243,817



Notes to the Financial Statements

32 EMPLOYEE BENEFITS

32.1 Retirement benefit obligations

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Retirement benefit obligations				
Present value of unfunded obligations	174,333	99,924	32,935	33,351
Recognised liability for defined benefit obligations	174,333	99,924	32,935	33,351

32.2 Movement in present Value of the defined benefit obligations

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Defined benefit obligations at the beginning of the year	99,924	78,046	33,351	26,367
Expenses recognised in the income statement	21,650	19,040	5,615	5,443
Expenses recognised in other comprehensive income	2,896	9,858	899	3,876
Liabilities assumed from business combination	70,361	-	-	-
Benefits paid	(20,177)	(7,020)	(6,930)	(2,335)
Effect of movement in exchange rates	(321)	-	-	-
Defined benefit obligations at the end of the year	174,333	99,924	32,935	33,351

32.3 Expenses recognised in the income statement

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Expenses recognised in the income statement				
Current service cost	12,024	10,845	2,447	2,675
Interest cost	9,626	8,195	3,168	2,768
	21,650	19,040	5,615	5,443
Expenses recognised in other comprehensive income				
Net actuarial (gains) /losses	2,896	9,858	899	3,876
	2,896	9,858	899	3,876
Total	24,546	28,898	6,514	9,319

32.4 Sensitivity Analysis

The following table demonstrate the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement, in respect of the year 2015/16

The sensitivity of the Comprehensive Income and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss for the year and employment benefit obligations as at 31st March 2016.

	Effect on comprehensive income (reduction)/ increase Rs. '000	Effect on employment benefit liability (reduction)/ increase Rs. '000
Increase /(decrease) in discount rate		
-1 %	(9,279)	9,279
+1 %	8,151	(8,151)
Increase /(decrease) in salary escalation rate		
-1 %	8,745	(8,745)
+1 %	(9,826)	9,826

32.5 The principal actuarial assumptions used in determining the liability were:

- (i) Discount rate of 11 % (2014/15 - 9.5%)
- (ii) Salary increment will range between 7.5%-11 % per annum. (2014/15 - 7.5%-11 %)
- (iii) Retirement age of 55 years.
- (iv) The Company will continue in business as a going concern.

32.6 The actuarial valuation was made on 31st March 2016. It is proposed that a valuation is obtained every year.

32.7 The liability is not externally funded.

32.8 The actuarial valuation was carried out by professionally qualified actuaries, Mr. Poopalanathan of M/s Actuarial Management Consultants (Pvt) Ltd. using projected unit credit (PUC) method.



Notes to the Financial Statements

33 OTHER PROVISIONS AND PAYABLES

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Accrued payables	854,690	930,851	48,474	48,426
Advances received	947,179	731,893	10,015	-
	1,801,869	1,662,744	58,489	48,426
Unclaimed dividends	1,376	3,928	1,376	3,753
Taxes and other miscellaneous payables and provisions	548,203	272,480	41,925	35,742
Total	2,351,448	1,939,152	101,790	87,921

34 AMOUNTS DUE TO PARENT'S GROUP ENTITIES

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Exports Ltd.	21,215	23,170	20,354	20,367
Elevators (Pvt) Ltd.	932	774	-	-
Elpitiya Plantations PLC	176	20	68	-
Aitken Spence Printing and Packaging (Pvt) Ltd.	38	6	2	3
Aitken Spence Hotel Managements (Pvt) Ltd.	75,169	68,118	18,379	-
Aitken Spence Cargo (Pvt) Ltd	51	227	-	81
Kandalama Hotels (Pvt) Ltd.	-	-	586,229	159,800
Aitken Spence Hotels Ltd	-	-	26,504	-
Turyaa (Pvt) Ltd.	-	-	24	-
Hethersett Hotels Ltd	-	-	149,778	84,751
Total	97,581	92,315	801,338	265,002

35 SEGMENTAL INFORMATION

35.1 Assets

	Group			
	Total Assets		Net Assets	
	31.03.2016 Rs. '000	31.03.2015 Rs. '000	31.03.2016 Rs. '000	31.03.2015 Rs. '000
Sri Lanka Sector				
Resorts & Hotels				
Aitken Spence Hotel Holdings PLC. - Heritance Ahungalla	2,827,331	4,667,227	2,575,406	4,463,455
Aitken Spence Hotels Ltd. - Heritance Ayurveda Mahagedara	718,162	715,537	620,333	583,185
Heritance (Pvt) Ltd.	285,966	285,974	283,732	285,047
Meeraladuwa (Pvt) Ltd	450,964	451,040	450,669	450,921
Turyaa Resorts (Pvt) Ltd. - Turyaa Kalutara	1,827,017	1,340,340	899,866	455,492
Neptune Ayurvedic Village (Pvt) Ltd.	22,672	23,654	22,476	23,495
Kandalama Hotels (Pvt) Ltd. - Heritance Kandalama	1,145,373	1,330,417	577,260	845,797
Hethersett Hotels Ltd. - Heritance Tea Factory	653,012	610,251	545,565	524,156
MPS Hotels (Pvt) Ltd. - Hotel Hilltop	489,323	449,974	440,938	411,586
Turyaa (Pvt) Ltd. - Turyaa Kalutara	1,661,273	1,609,996	1,400,850	1,412,198
	10,081,093	11,484,410	7,817,095	9,455,332
Others				
Aitken Spence Hotels International (Pvt) Ltd	291,846	2,760,256	(2,805,388)	74,316
Aitken Spence Hotel Managements Asia (Pvt) Ltd	575,629	666,481	475,881	625,034
	867,475	3,426,737	(2,329,507)	699,350
Equity accounted investees	3,862,727	1,978,986	3,862,727	1,978,986
Total Sri Lanka Sector	14,811,295	16,890,133	9,350,315	12,133,668
South Asian and Middle East Sector				
Crest Star (BVI) Ltd.	226,842	174,507	186,963	125,987
Cowrie Investment (Pvt) Ltd. - Adaaran "Select" Meedhupparu	5,026,566	4,174,356	3,854,174	2,929,469
Jetan Travel Services Co. (Pvt) Ltd. - Adaaran "Club" Rannalhi	1,809,066	1,785,456	1,360,437	1,291,088
ADS Resorts (Pvt) Ltd. - Adaaran "Select " Huduranfushi	2,333,523	2,417,882	368,720	588,095
Unique Resorts (Pvt) Ltd. - Adaaran "Presitige" Vadoo	3,765,126	3,509,513	2,413,041	1,919,950
Aitken Spence Hotel Management South India (Pvt) Ltd	3,687,728	3,607,427	2,309,485	2,672,689
Ace Resorts (Pvt) Ltd	738,730	-	738,548	-
Aitken Spence Hotel Services (Pvt) Ltd	383	376	(8)	(8)
Perumbalam Resorts (Pvt) Ltd	9,060	8,852	8,941	8,736
P. R Holiday Homes (Pvt) Ltd	223,440	219,765	202,683	199,558
Aitken Spence Resorts (Middle East) LLC	5,816,455	-	3,041,604	-
Total South Asian and Middle East Sector	23,636,919	15,898,134	14,484,588	9,735,564
Total	38,448,214	32,788,267	23,834,903	21,869,232



Notes to the Financial Statements

35.2 Property, Plant & Equipment

	Group			
	Capital Expenditure		Depreciation & Amortisation	
	31.03.2016 Rs. '000	31.03.2015 Rs. '000	31.03.2016 Rs. '000	31.03.2015 Rs. '000
Sri Lanka Sector				
Resorts & Hotels				
Aitken Spence Hotel Holdings PLC. - Heritance Ahungalla	13,918	18,197	96,034	96,067
Aitken Spence Hotels Ltd. - Heritance Ayurveda Mahagedara	18,552	13,042	37,289	36,548
Ahungalla Resorts Ltd.	-	136,793	-	-
Meeraladuwa (Pvt) Ltd	-	9,830	-	-
Turyaa Resorts (Pvt) Ltd. - Turyaa Kalutara	354,747	567,457	33,098	-
Neptune Ayurvedic Village (Pvt) Ltd.	-	-	818	952
Kandalama Hotels (Pvt) Ltd. - Heritance Kandalama	25,098	42,942	81,964	81,953
Hethersett Hotels Ltd. - Heritance Tea Factory	14,009	18,146	20,031	19,942
MPS Hotels (Pvt) Ltd. - Hotel Hilltop	36,620	16,096	11,360	10,330
Turyaa (Pvt) Ltd. - Turyaa Kalutara	162,896	22,728	92,488	86,123
	625,840	845,231	373,082	331,915
Others				
Aitken Spence Hotels International (Pvt) Ltd	16,500	5,250	1,495	1,437
Aitken Spence Hotel Managements Asia (Pvt) Ltd	380	325	360	277
	16,880	5,575	1,855	1,714
Total Sri Lanka Sector	642,720	850,806	374,937	333,629
South Asian and Middle East Sector				
Cowrie Investment (Pvt) Ltd. - Adaaran "Select" Meedhupparu	471,366	134,114	139,017	122,722
Jetan Travel Services Co. (Pvt) Ltd. - Adaaran "Club" Rannalhi	72,915	48,287	72,579	67,288
ADS Resorts (Pvt) Ltd. - Adaaran "Select" Huduranfushi	226,386	769,000	227,673	141,005
Unique Resorts (Pvt) Ltd. - Adaaran "Presitige" Vadoo	312,754	87,800	154,037	139,641
Ace Resorts (Pvt) Ltd	13,604	-	-	-
Aitken Spence Hotel Managements (South India) Pvt Ltd	303,108	3,482,392	80,649	2,969
P.R Holiday Homes (Pvt) Ltd	-	27	23	-
Perumbalam Resorts (Pvt) Ltd	-	8,852	-	-
Aitken Spence Resorts (Middle East) LLC	-	-	6,149	-
Total South Asian and Middle East Sector	1,400,133	4,530,472	680,127	473,625
Total	2,042,853	5,381,278	1,055,064	807,254

35.3 Liabilities & Non-Cash Expenses

	Group			
	Total Liabilities		Non-Cash Expenses	
	31.03.2016 Rs. '000	31.03.2015 Rs. '000	31.03.2016 Rs. '000	31.03.2015 Rs. '000
Sri Lanka Sector				
Resorts & Hotels				
Aitken Spence Hotel Holdings PLC. - Heritance Ahungalla	251,925	203,772	6,266	7,882
Aitken Spence Hotels Ltd. - Heritance Ayurveda Mahagedara	97,829	132,353	802	3,328
Meeraladuwa (Pvt) Ltd.	295	119	-	-
Heritance (Pvt) Ltd.	2,234	927	-	-
Turyaa Resorts (Pvt) Ltd. - Turyaa Kalutara	927,151	884,848	925	(144)
Neptune Ayurvedic Village (Pvt) Ltd.	196	158	-	-
Kandalama Hotels (Pvt) Ltd. - Heritance Kandalama	568,113	484,620	6,283	9,114
Hethersett Hotels Ltd. - Heritance Tea Factory	107,447	86,095	3,157	3,250
MPS Hotels (Pvt) Ltd. - Hotel Hilltop	48,385	38,388	1,541	3,254
Turyaa (Pvt) Ltd. - Turyaa Kalutara	260,423	197,798	3,837	1,665
	2,263,998	2,029,078	22,811	28,349
Others				
Aitken Spence Hotels International (Pvt) Ltd	3,097,234	2,685,940	3,569	878
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	99,748	41,447	1,428	3,374
	3,196,982	2,727,387	4,997	4,252
Total Sri Lanka Sector	5,460,980	4,756,465	27,808	32,601
South Asian and Middle East Sector				
Crest Star (BVI) Ltd.	39,879	48,519	-	-
Cowrie Investment (Pvt) Ltd. - Adaaran "Select" Meedhupparu	1,172,392	1,244,887	171	-
Jetan Travel Services Co. (Pvt) Ltd. - Adaaran "Club" Rannalhi	448,629	494,369	1,931	(717)
ADS Resorts (Pvt) Ltd. - Adaaran "Select" Huduranfushi	1,964,803	1,829,788	-	-
Unique Resorts (Pvt) Ltd. - Adaaran "Presitige" Vadoo	1,352,085	1,589,563	(6,019)	(1,500)
Ace Resorts (Pvt) Ltd	181	-	-	-
Aitken Spence Hotel Managements (South India) Pvt Ltd	1,378,243	934,738	575	1,784
Aitken Spence Hotel Services (Pvt) Ltd	392	383	-	-
P R Holiday Homes (Pvt) Ltd.	20,757	20,207	-	-
Perumbalam Resorts (Pvt) Ltd	119	116	-	-
Aitken Spence Resorts (Middle East) LLC	2,774,851	-	730	-
Total South Asian and Middle East Sector	9,152,331	6,162,570	(2,612)	(433)
Total	14,613,311	10,919,035	25,196	32,168



Notes to the Financial Statements

36 FOREIGN CURRENCY TRANSLATION

The Principle exchange rates used for translation of assets and liabilities as at the Balance Sheet date are as follows:

	31.03.2016	31.03.2015
	Rs.	Rs.
US Dollar	144.69	133.32
Indian Rupee	2.19	2.13
Oman Riyal	376.19	346.63

37 CONTINGENT LIABILITIES

The contingent liability as at 31st March 2016 on guarantees given by Aitken Spence Hotel Holdings PLC. to third parties on facilities obtained by subsidiaries amounted to Rs 12,192,659,960 /- (31.03.2015 - Rs.8,830,593,960/-)
Liability as at 31st March 2016 on guarantees given by subsidiaries to third parties amounted to Rs. 910,821,000/- (31.03.2015 - Rs. 487,484,000/-)

38 FINANCIAL INSTRUMENTS

Financial assets and financial liabilities are measured on an ongoing basis at either fair value or amortised cost. The following table analyse the carrying amount of financial assets and liabilities by category as defined in LKAS 39- Financial Instruments : Recognition and measurement under headings reported in the Statement of Financial Position.

	Note	GROUP - 2015/2016			Total
		Financial Assets Available for Sale	Financial Assets Loans & Receivables	Financial Liabilities Other Financial Liabilities	
		Rs.000	Rs.000	Rs.000	Rs.000
Financial Assets					
Other financial assets - (Unquoted equity shares)	20	202,395			202,395
Trade and other receivables	23	-	1,158,786		1,158,786
Other financial assets	26	-	2,151,263		2,151,263
Cash and cash equivalents	26.1	-	958,241		958,241
Total financial Assets		202,395	4,268,290	-	4,470,685
- Total non current		202,395			202,395
- Total current			4,268,290		4,268,290
		202,395	4,268,290	-	4,470,685
Financial Liabilities					
Interest bearing borrowings	29			10,012,986	10,012,986
Trade payables				417,712	417,712
Provisions and other payables	33			1,801,869	1,801,869
Short term bank borrowings				836,687	836,687
Total financial Liabilities		-	-	13,069,254	13,069,254
- Total non current				8,186,477	8,186,477
- Total current				4,882,777	4,882,777
		-	-	13,069,254	13,069,254

	Note	GROUP - 2014/2015			Total
		Financial Assets	Financial Assets	Financial Liabilities	
		Available for Sale	Loans & Receivables	Other Financial Liabilities	
		Rs.000	Rs.000	Rs.000	
Financial Assets					
Other financial assets - (Unquoted equity shares)	20	180,191			180,191
Trade and other receivables	23		977,415		977,415
Other financial assets	26		5,689,970		5,689,970
Cash and cash equivalents	26.1	-	1,613,744		1,613,744
Total financial Assets		180,191	8,281,129	-	8,461,320
- Total non current		180,191			180,191
- Total current		-	8,281,129		8,281,129
		180,191	8,281,129	-	8,461,320
Financial Liabilities					
Interest bearing borrowings	29			7,365,315	7,365,315
Trade payables				286,332	286,332
Provisions and other payables	33			1,662,744	1,662,744
Short term bank borrowings				385,055	385,055
Total financial Liabilities		-	-	9,699,446	9,699,446
- Total non current				5,363,625	5,363,625
- Total current				4,335,821	4,335,821
		-	-	9,699,446	9,699,446

Notes to the Financial Statements

	Note	COMPANY - 2015/2016			Total
		Financial Assets	Financial Assets	Financial Liabilities	
		Available for Sale	Loans & Receivables	Other Financial Liabilities	
		Rs.000	Rs.000	Rs.000	
Financial Assets					
Trade and other receivables	23		128,669		128,669
Other financial assets	26		-		-
Cash and cash equivalents	26.1		114,113		114,113
Total financial Assets		-	242,782	-	242,782
- Total non current		-	-	-	-
- Total current		-	242,782	-	242,782
		-	242,782	-	242,782
Financial Liabilities					
Interest bearing borrowings	29			-	-
Trade payables				33,418	33,418
Provisions and other payables	33			58,488	58,488
Short term bank borrowings				16,248	16,248
Total financial Liabilities		-	-	108,154	108,154
- Total non current		-	-	-	-
- Total current		-	-	108,154	108,154
		-	-	108,154	108,154

	Note	COMPANY - 2014/2015			Total
		Financial Assets	Financial Assets	Financial Liabilities	
		Available for Sale	Loans & Receivables	Other Financial Liabilities	
		Rs.000	Rs.000	Rs.000	
Financial Assets					
Trade and other receivables	23		108,042		108,042
Other financial assets	26		1,436,031		1,436,031
Cash and cash equivalents	26.1		55,274		55,274
Total financial Assets		-	1,599,347	-	1,599,347
- Total non current		-	-	-	-
- Total current			1,599,347		1,599,347
		-	1,599,347	-	1,599,347
Financial Liabilities					
Interest bearing borrowings	29			16,442	16,442
Trade payables				22,739	22,739
Provisions and other payables	33			48,426	48,426
Short term bank borrowings				1,196	1,196
Total financial Liabilities		-	-	88,803	88,803
- Total non current				-	-
- Total current				88,803	88,803
		-	-	88,803	88,803



Notes to the Financial Statements

38.1 Fair value of assets and liabilities

The fair value of financial assets and liabilities, together with the carrying amounts shown in the statement of financial position as at the reporting dates are as follows:

	Group - 2015/2016		Company - 2015/2016	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets				
Other financial assets - (Unquoted equity shares)	202,395	202,395	-	-
Trade and other receivables	1,158,786	1,158,786	128,669	128,669
Other financial assets	2,151,263	2,151,263	-	-
Cash and cash equivalents	958,241	958,241	114,113	114,113
Total financial Assets	4,470,685	4,470,685	242,782	242,782
Financial Liabilities				
Interest bearing borrowings	10,012,986	10,012,986	-	-
Trade payables	417,712	417,712	33,418	33,418
Provisions and other payables	1,801,869	1,801,869	58,488	58,488
Short term bank borrowings	836,687	836,687	16,248	16,248
Total financial Liabilities	13,069,254	13,069,254	108,154	108,154
	Group - 2014/2015		Company - 2014/2015	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets				
Other financial assets - (Unquoted equity shares)	180,191	180,191	-	-
Trade and other receivables	977,415	977,415	108,042	108,042
Other financial assets	5,689,970	5,689,970	1,436,031	1,436,031
Cash and cash equivalents	1,613,744	1,613,744	55,274	55,274
Total financial Assets	8,461,320	8,461,320	1,599,347	1,599,347
Financial Liabilities				
Interest bearing borrowings	7,365,315	7,365,315	16,442	16,442
Trade payables	286,332	286,332	22,739	22,739
Provisions and other payables	1,662,744	1,662,744	48,426	48,426
Short term bank borrowings	385,055	385,055	1,196	1,196
Total financial Liabilities	9,699,446	9,699,446	88,803	88,803

A number of the Group's accounting policies and disclosures require the determination of fair value, for both financial and non financial assets and liabilities. Fair values have been determined for measurement and disclosure purposes based on the following methods.

Property plant and equipment

The fair value of freehold land is determined based on market values.

The market value of land is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. This involves evaluation of recent active market prices of similar assets making appropriate adjustments for difference in size, nature and location of the property.

Quoted and Unquoted equity Shares

The fair value investments in quoted equity shares for which there is an active share market is determined using the closing market prices. Investments in non quoted shares are determined based on present value of future cash flows discounted at the market interest rates at the reporting date.

Trade and other receivables

Fair value of trade receivables is determined at amount estimated to be realised after making provision for impairment which is computed based on a loss rate using past three years debtors data.

Fair value of other receivables are determined based on the amount estimated to be reasonably realised.

Financial Liabilities

Fair value of interest bearing borrowings, Trade and other payable and short term bank borrowings are determined based on the amount estimated to be reasonably incurred in the foreseeable future.

38.2 Determination of Fair Value Hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques: The different levels have been defined as follows:

- (i) Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- (ii) Directly or indirectly observable prices in active market for similar assets or liabilities (level 2)
- (iii) Inputs that are unobservable that reflect management own assumptions (level 3)

38.4 Reconciliation of fair value measurement of "Level 3" Financial Instruments

Freehold land

The reconciliation of property plant and equipment (land) is given in Note 14.1 and 14.2 to the financial statements.

Unquoted equity shares

	Group		Company	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01st April	180,191	197,478	-	-
Disposal of investment	-	(75,680)	-	-
Fair value adjustment	22,204	58,393	-	-
Balance as at 31st March	202,395	180,191	-	-

39 FINANCIAL RISK MANAGEMENT

39.1 Overview

The Group has exposure to the following risks from its use of financial instruments

- * Credit risk
- * Liquidity risk
- * Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital.

39.2 Risk management framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Board is supported by the Board of management and the Audit committee in managing all risks affecting the Group. The Group audit committee is assisted in its oversight role by Group's internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures the results of which is reported to the audit committee. Central Treasury Department of the Holding Company also implement and carries out specific risk management policies laid down and approved by the management. Central Treasury in close co-ordination with the Group's operating units identifies, evaluates and formulates principles for risk management covering specific areas such as foreign exchange risk and interest rate risk.

39.3 Credit risk

Credit risk is the risk of finance loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers and investments.

Credit risk exposure

The Group's maximum exposure to credit risk as at the year end based on the carrying value of financial assets in the statement of financial position is given below. There were no off balance sheet exposure as at the year end date.



Notes to the Financial Statements

39.4 Credit risk

As at 31st March	Group 2016 Rs.'000	% allocation Rs. '000	Company 2016 Rs.'000	% allocation Rs. '000
Financial Assets				
Available for sale investments				
Other financial assets - Unquoted equity shares	202,395	5%	-	-
Loans and receivables				
Trade and other receivables	1,158,786	26%	128,669	53%
Other financial assets	2,151,263	48%	-	-
Cash and cash equivalents	958,241	21%	114,113	47%
Total credit exposure	4,470,685	100%	242,782	100%

Credit exposure on receivables

Trade receivables

The Group's maximum exposure to credit risk on trade receivables as at the year end based on the carrying value in the statement of financial position is given below:

As at 31st March	Note	Group 2016 Rs.'000	Company 2016 Rs.'000
Trade receivables	23	1,121,027	125,039
Total		1,121,027	125,039

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers various statistics of the group's customer base, including the default risk, business relationships with due attention given to past performances, stability in the industry and creditworthiness, as these factors may have an influence on credit risk.

In monitoring customer credit risk customers are grouped according to their business volumes and consider separately for granting credit limits. Some customers are graded as "high risk" based on the credit worthiness established through past experience. Such customers are monitored carefully and future sales are made on a prepayment basis.

The group has established a credit policy under which each new customer is analysed individually for creditworthiness. The Group's review includes obtaining bank guarantees (collaterals) and references. As at the reporting date value of collaterals obtained from customers amounted to Rs.19 million. Credit limits are established for each customer and these limits are reviewed frequently. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

Maximum exposure to credit risk for trade receivables at the reporting date by type of counterparty

The below table gives a overview of the Group's credit exposure related to trade receivables by counterparty.

As at 31st March	Group	%	Company	%
	2016 Rs.'000	allocation Rs. '000	2016 Rs.'000	allocation Rs. '000
Operators - Local	237,831	21 %	46,118	37 %
Operators - Foreign	734,828	66%	64,124	51 %
Corporates	23,543	2%	706	1 %
Others	65,839	6%	13,564	11 %
Related - non group	58,986	5%	527	-
Total	1,121,027	100%	125,039	100%

As at 31st March 2016, 66% of the group's trade receivables are from revenue generated from reputed foreign tour operators

Impairment losses

The group establishes an allowance for impairment that represents its estimate of incur losses in respect of trade receivables. The main component of this allowance is a specific loss component that relates to individually significant exposures based on aging of the outstanding. A collective loss component established for groups of similar aging in respect of losses that have been incurred but not yet identified. The collective loss allowance is determined based on historical data for past three years.

The aging of trade receivables - outside the Group as at the reporting date was:

As at 31st March	Group	Company
	2016 Rs.'000	2016 Rs.'000
Less than 30 days	753,073	68,956
30-60 days	252,642	45,749
60-90 days	54,403	7,518
90-180 days	45,475	2,049
180-365 days	4,179	451
more than 365 days	16,409	343
Advances received	(5,154)	(27)
	1,121,027	125,039
Less: Impairment on trade receivables	(17,227)	(344)
Carrying value of trade receivables	1,103,800	124,695

Notes to the Financial Statements

The movement in the allowance for impairment in respect of trade receivables during the year was:

As at 31st March	Group 2016 Rs.'000	Company 2016 Rs.'000
Balance at the beginning of the year	(12,221)	(1)
Impairment provision recognised	(4,986)	(343)
Amounts written off	523	.
Effect of movement in exchange rate	(543)	-
Balance at the end of the year	(17,227)	(344)

Other financial assets - Short term deposits

The Group's maximum exposure to credit risk on term deposits as at the year end based on the carrying value in the statement of financial position is given below.

As at 31st March	Group 2016 Rs.'000	% allocation	Company 2016 Rs.'000	% allocation
Commercial Banks	2,151,263	100%	-	-
Total	2,151,263	100%	-	-

Commercial Banks

Investments made with Commercial Banks consist of fixed deposits and term deposits held with private commercial banks.

Credit exposure on available for sale assets

Cash and cash equivalents

The Group limits its exposure to credit risk by investing only in liquid instruments with reputed banking Institutions. The Group also use broad investment. portfolio and limit investments with a single counterparty.

39.4 Liquidity risk

Liquidity risk is the risk that the group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The group continuously prepare and monitors rolling cash flow forecasts and access the liquidity requirements of each operating unit to ensure it has sufficient cash to meet operational needs. Regular reviews are also carried out to check actual performance against budgeted targets.

Surplus cash held by the operating units over and above balance required for working capital management are invested in interest bearing time deposits or with group treasury. At the reporting date, the group held term deposits that are expected to readily generate cash inflows for managing liquidity risk.

The table below analyses the group's non-derivative financial liabilities into relevant maturity grouping based on the maturity of liabilities as at the reporting date.

	Group			
	Carrying Amount	Current	Non Current	Payable on demand
	2016			
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
As at 31st March				
Financial Liabilities				
Interest bearing borrowings	10,012,986	1,826,509	8,186,477	-
Trade payables	417,712	356,362	61,350	-
Other provisions and payables	1,801,869	1,561,820	240,049	-
Short term bank borrowings	836,687	-	-	836,687
Total	13,069,254	3,744,691	8,487,876	836,687
	Company			
	Carrying Amount	Current	Non Current	Payable on demand
	2016			
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
As at 31st March				
Financial Liabilities				
Interest bearing borrowings	33,418	29,892	3,526	-
Trade payables	58,488	26,754	31,734	-
Other provisions and payables	16,248	-	-	16,248
Short term bank borrowings				
Total	108,154	56,646	35,260	16,248

"Current" represents financial liabilities which are due to mature within one year

39.5 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimising the return.

39.5.1 Foreign exchange risk

The Group being involved in hoteliering operates internationally and is exposed to foreign exchange risk arising from various currency exposures primarily with respect of the US dollar. Certain room contracts are entered into in foreign currencies and invoiced in SLR using the conversion rates established by the industry. Purchases such as import of capital goods for hotel operations are also transacted in foreign currency.



Notes to the Financial Statements

The Group has investment in foreign operations, who's net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the group's foreign operations is managed, primarily through borrowings denominated in the relevant foreign currencies. The total interest bearing borrowings of the Group denominated in USD amounted to Rs. 7.9 billion. All overseas investments is mostly financed through USD denominated borrowings. The translation exposure resulting from USD borrowings has been minimised to a high degree through these investments.

However for purposes of disclosure the exposure for currency risk is only provided on Group's foreign currency denominated financial instruments.

The Group's exposure to foreign currency risk as at 31st March 2016 and sensitivity analysis to Profit & loss and Equity if exchange rate increased / (decrease) by Rs.1/=.

Profit / (loss)

	Group	Company
Foreign Currency exposure for 2015/16		
Foreign currency denominated income -USD	510,098	104,215
Foreign currency denominated expenses -USD	(645,705)	-
Net exposure - in foreign currency -USD	(135,607)	104,215
Avg conversion rate used for the year 2015/16	139.58	139.58
Net exposure - in Rs'000	(18,928)	14,546
Sensitivity Analysis		
Avg conversion rate with Rs. 1.00 increase	140.58	140.58
Avg conversion rate with Rs. 1.00 decrease	138.58	138.58
Net exposure - in SLR with Rs. 1.00 increase in the average conversion rate - in Rs'000	(19,064)	14,651
Net exposure - in SLR with Rs. 1.00 decrease in the average conversion rate - in Rs'000	(18,792)	14,442
Impact to Profit & Loss		
with Rs. 1.00 increase in the average conversion rate - in Rs'000	(136)	104
with Rs. 1.00 decrease in the average conversion rate - in Rs'000	136	(104)

Equity

	Group				Company		
	USD	GPB	EURO	OMR	USD	GPB	EURO
Foreign Currency denominated financial assets as at 31st March 2016							
Trade and other receivables	7,517	148,993	890,200	145,919	-	44,971	320,608
Other financial assets	520,338	-	-	-	-	-	-
Cash and cash equivalents	233,054	-	128,123	-	101,661	-	1,081
Interest bearing borrowings	(21,308,333)	-	-	-	-	-	-
Net exposure - in foreign currency	(20,547,424)	148,993	1,018,323	145,919	101,661	44,971	321,689
 Conversion rate used as at 31st March 2016	 144.69	 207.98	 164.87	 376.19	 144.69	 207.98	 164.87
 Net exposure - in Rs. 000	 (2,973,007)	 30,987	 167,895	 54,893	 14,709	 9,353	 53,038
Sensitivity Analysis							
Avg conversion rate with Rs. 1.00 increase	145.69	208.98	165.87	377.19	145.69	208.98	165.87
Avg conversion rate with Rs. 1.00 decrease	143.69	206.98	163.87	375.19	143.69	206.98	163.87
 Net exposure - in SLR with Rs. 1.00 increase in the average conversion rate -Rs'000	 (2,993,554)	 31,136	 168,914	 55,039	 14,811	 9,398	 53,360
Net exposure - in SLR with Rs. 1.00 decrease in the average conversion rate -Rs'000	(2,952,459)	30,838	166,877	54,747	14,608	9,308	52,717
Impact to Profit and Loss							
with Rs. 1.00 increase in the average conversion rate - Rs'000	(20,547)	149	1,018	146	102	45	322
with Rs. 1.00 decrease in the average conversion rate - Rs'000	20,547	(149)	(1,018)	(146)	(102)	(45)	(322)

The above table demonstrate the sensitivity to a reasonably possible change in the exchange rate by Rs. 1/- with all other variables held constant.

Notes to the Financial Statements

39.5.2 Interest rate risks

Interest rate risk is the risk of fluctuation of the value or cash flows of an instrument due to changes in the market interest rates.

The Group has borrowings with variable interest rates such as AWDR, AWPLR and LIBOR and would expose the Group to cash flow/ profits as the amount of interest paid would be changed depending on market interest rates.

The Group's exposure to interest rate risk as at 31st March 2016 and sensitivity analysis to Profit & loss if interest rate increased /(decrease) by 100 basis points for Rupee loans and 10 basis points for USD loans.

	Increase/decrease in basis points	Effect on Profit before Tax	
		Group Rs.000	Company Rs.000
Financial year - 2015/16			
Sri Lanka rupee loans	+100	11,555	-
USD loans	+10	8,857	-
Sri Lanka rupee loans	-100	(11,555)	-
USD loans	-10	(8,857)	-

The above table demonstrate the sensitivity to a reasonably possible change in interest rates on loans where floating rates are applicable by 100 basis points for Rupee loans and 10 basis points for USD loans with all other variables held constant.

Constant monitoring of market interest rates is carried out to ensure appropriate steps are taken to maximise the return on financial management and to minimise the cost of borrowings. Group strongly negotiate with banks and obtains best possible interest rates for the Group's borrowings. listed below are steps adopted by the group to minimise the effect of interest rate risks:

- 1 Entering into loans with interest rate caps and fixed rates.
- 2 Re negotiating with banks on interest rates when ever there is favourable fluctuations in the market rates.

39.5.3 Equity prices

The Group has adopted that its investments in joint ventures and associates are recorded at cost as per LKAS 27 and 28 and therefore scoped out from LKAS 32 and 39 - Financial Instruments.

The Group does not carry quoted investments other than investment in equity accounted investees in their Consolidated Statement of Financial Position which is scoped out as stated above. Equity investments carried in the Consolidated Statement of Financial Position as available for sale are non quoted and there is no risk of variations in the prices. Non quoted investments are fair valued as at each reporting date.

40 CAPITAL MANAGEMENT

The Groups objectives when managing capital are to safeguard the group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of the capital.

The capital of the company consist of the following:

Equity Capital

- Ordinary share capital
- Preference share capital

Debt

- Long term borrowings

The group monitors capital on the basis of the debt equity ratio. This ratio is calculated based on the long term interest bearing debt and preference shares divided by total equity capital. Total debt consist of total non current borrowings and total equity consist of total equity less preference shares capital. The following factors are also objectively taken into consideration in managing capital of the group.

1. Maintain sufficient capital to meet minimum regulatory requirements. (Companies Act)
2. Maintain strong equity base as opposed to debt capital
3. Group's future developments, investments and business strategies
4. Group cash flow projections and ability to pay higher returns to shareholders

41 DIRECTOR'S FEES

The Directors of the Company have received fees amounting to Rs. 28,800/- from subsidiaries for the year ended 31st March 2016

42 RELATED PARTY TRANSACTIONS

Aitken Spence Hotels Holdings Group carries out transactions in the ordinary course of business with parties who are defined as related parties as per Sri Lanka Accounting Standard LKAS 24 - Related Party Disclosures, which are transacted at normal business terms. The pricing policy applicable to such transactions are comparable with those that would have been charged from unrelated companies.

Mr. D.H.S. Jayawardena Chairman of the Company is also the Chairman of the Parent Company Aitken Spence PLC. and Aitken Spence Hotel Management Asia (Pvt) Ltd. He is also the Chairman of Browns Beach Hotels PLC, and Negombo Beach Resorts (Pvt) Ltd. which are associate companies of the Group and the Chairman, of Distilleries Company of Sri Lanka PLC, Stasson Exports (Pvt) Ltd., Lanka Milk Foods (CWE) PLC., Lanka Bell (Pvt) Ltd., Periceyl (Pvt) Ltd. Lanka Diaries (Pvt) Ltd. and Pattipola Live Stock Company Ltd. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note. No. 42.1.1, 42.1.2 and 42.1.5.

Mr. J.M.S. Brito, Managing Director of the Company is also the Managing Director of the Parent Company Aitken Spence PLC. He is also the Chairman, Deputy Chairman or a Director of Browns Beach Hotels PLC, Crest Star (BVI) Ltd., Cowrie Investments (Pvt) Ltd., Aitken Spence Travels (Pvt) Ltd, Ace Resorts (Pvt) Ltd., Aitken Spence Hotel Managements South India (Pvt) Ltd. Aitken Spence Hotels International (Pvt) Ltd., P.R Holiday Homes (Pvt) Ltd., Elevators (Pvt) Ltd. and Elpitiya Plantations PLC., which are Subsidiaries, joint ventures and equity-accounted investees of the Group and Parent company. Transactions carried out by the group with these companies in the ordinary course of business is disclosed in Note No. 42.1.1, 42.1.2 and 42.1.4.

Notes to the Financial Statements

Ms. D.S.T Jayawardena a Director of the Company is also the Chairperson of Aitken Spence Hotel Managements (Pvt) Ltd., Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., MPS Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritance (Pvt) Ltd, Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd. Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd., Aitken Spence Hotels International (Pvt) Ltd., and Aitken Spence Hotel Managements Asia (Pvt) Ltd., which are subsidiaries of the Group. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 42.1.2

Ms. D.S.T Jayawardena is also a Director of the parent Company Aitken Spence PLC. and a Director of Amethyst Leisure Ltd., Paradise Resorts Passikudah (Pvt) Ltd, Browns Beach Hotels PLC, Negombo Beach Resorts (Pvt) Ltd., and Ahungalla Resorts Ltd. which are equity accounted investees of the Group. She is also the Chairperson of Splendor Media (Pvt) Ltd. and a Director of Stassen Exports (Pvt) Ltd. Transactions carried out by the group with these companies in the ordinary course of business is disclosed in Note No. 42.1.1, 42.1.3 and 42.1.5.

Mr. C.H. Gomez a Director of the company is also a Director of the Parent Company Aitken Spence PLC.

R. N.J. De S Deva Adithya a Director of the company is also a Director of the Parent Company Aitken Spence PLC and Browns Beach Hotels PLC. He is also a Director of Distilleries Company of Sri Lanka PLC. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 42.1.1 and 42.1.5.

Mr. R. N. Asirwatham a Director of the company is also a Director of the Parent Company Aitken Spence PLC. He is also a Director of CIC Holdings PLC, Browns Beach Hotels PLC and Royal Ceramics PLC. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 42.1.1, and 42.1.5.

Mr. G.P.J Goonewardena a Director of the Company is also a Director of Aitken Spence Hotel Managements (Asia) Pvt Ltd. which is a subsidiary of the Group with which company, Group carried out transactions in the ordinary course of business as disclosed in Note No. 42.1.2

Mr. C.M.S Jayawickrama a Director of the Company is also the Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd., a Director of Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., MPS Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritance (Pvt) Ltd, Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Crest Star (BVI) Ltd, Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd. Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd., P R Holiday Homes (Pvt) Ltd., Aitken Spence Hotel Managements South India (Pvt) Ltd., and Aitken Spence Hotels International (Pvt) Ltd., which are subsidiaries of the Group. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 42.1.2

Mr. C.M.S Jayawickrama is also a Director of Negombo Beach Resorts (Pvt) Ltd., and Ahungalla Resorts Ltd., which are equity accounted investees of the Group.

Mr. R.E.V Casie Chetty a Director of the Company is also a Director of Aitken Spence Hotel Managements (Pvt) Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Aitken Spence Hotels Ltd., Kandalama Hotels (Pvt) Ltd., MPS Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritance (Pvt) Ltd., Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Crest Star (BVI) Ltd., and Aitken Spence Hotels International (Pvt) Ltd., which are subsidiaries of the Group. Transactions carried out by the Group with these companies in the ordinary course of business is disclosed in Note No. 42.1.2

Mr. R.E.V Casie Chetty is also a Director of Elevators (Pvt) Ltd. which is subsidiary of the Parent Company.

Details of transactions carried out by the Group with related parties and outstanding balances with the related parties are given in Note No. 42.1.1 to 42.1.5.

42.1 Details of transactions carried out with Related Companies

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value Rs. '000	Outstanding as at 31.03.2016 Rs. '000	Transaction Value Rs. '000	Outstanding as at 31.03.2016 Rs. '000
42.1.1. Transactions with Parent Company							
Aitken Spence PLC	Parent Company	Interest earned / paid (net)	Market terms	3,261		1,537	
		Lease Rent paid	Contractual Payment	1,500		-	
		Fees paid for services	Market terms	113,611	(155,804)	15,379	(24,326)
		Short term investments	Market terms		33,823		14,436
42.1.2 Transactions with Subsidiaries							
Aitken Spence Hotel Mgt (Asia) Pvt Ltd	Subsidiary	Management fees for managing hotels	Percentage of revenue and profits	248,598	-	-	-
		Settlement of short term advances	Short term	-	-	(72,316)	55,080
Aitken Spence Hotels Ltd Turyaa (Pvt) Ltd.	Subsidiary	Short term advances obtained	Short term	-	-	(52,101)	(26,504)
	Subsidiary	Issue of shares	Market terms	-	-	(500,000)	-
Turyaa Resorts (Pvt) Ltd	Subsidiary	Short term advances	Short term	-	-	171,133	173,144
		Issue of shares	Market terms	-	-	(487,000)	-
Kandalama Hotels (Pvt) Ltd	Subsidiary	Short term advances	Short term	-	-	417,335	28,018
		Short term advances obtained	Short term	-	-	(426,429)	(586,229)
Hethersett Hotels Ltd	Subsidiary	Short term advances obtained	Short term	-	-	(65,027)	(149,778)
MPS Hotels (Pvt) Ltd	Subsidiary	Temporary advances	Short term	-	-	23,100	31,192
Meerladuwa (Pvt) Ltd	Subsidiary	Issue of shares	Market Terms	-	-	(202,278)	12



Notes to the Financial Statements

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value Rs. '000	Outstanding as at 31.03.2016 Rs. '000	Transaction Value Rs. '000	Outstanding as at 31.03.2016 Rs. '000
42.1.3 Transactions with Equity Accounted Investees							
Ahungalla Resorts Ltd.	Joint Venture	Investment in Equity	Market terms	-	375	2,049,921	375
Paradise Resorts Passikudah (Pvt) Ltd	Associate	Transactions with Parent Company					
		Short term / loan advances	Short term	2,654	39,242	2,654	39,242
		Transactions with Parents Group Entities					
		Sale of Hotel Rooms	Market terms	6,998	682	-	-
		Printing of hotel promotional literature	Market terms	102	(2)	-	-
		Central Purchasing unit handling charges	Market terms	143	(143)	-	-
42.1.4 Transactions with Parent's Group Entities							
Aitken Spence Travels (Pvt) Ltd.	Joint Venture of the Parent Company	Sale of Hotel rooms in the ordinary course of business	Market terms	1,346,809	252,753	148,683	31,583
Aitken Spence Exports (Pvt) Ltd.	Subsidiary of the Parent Company	Purchase of Air Tickets for overseas travel	Market terms	9,837	-	2,648	-
		Purchase of mineral water	Market terms	12,879	(21,215)	3,734	(20,354)
Aitken Spence Printing & Packaging (Pvt) Ltd.	Subsidiary of the Parent Company	Printing & Typesetting hotel promotional literature and Annual Reports	Market terms	4,315	118	2,588	23

42.1 Details of transactions carried out with Related Companies (Contd.)

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value Rs. '000	Outstanding as at 31.03.2016 Rs. '000	Transaction Value Rs. '000	Outstanding as at 31.03.2016 Rs. '000
Aitken Spence Hotel Managements (Pvt) Ltd.	Subsidiary of the Parent Company	Management fees for managing the hotels	Percentage of revenue and profits	204,587	-	39,817	-
		Central Purchasing & Merchandising unit handling charges	Market terms	51,897	-	6,277	-
		Export of Hotel Supplies to Maldives	Market terms	300,351	5,948	-	(18,088)
		Repairs and Maintenance of Hotel Elevators	Market terms	7,637	(932)	910	-
Elpitiva Plantations PLC	Subsidiary of the Parent Company	Purchase of tea leaves	Market terms	2,663	(176)	581	(68)
Aitken Spence Cargo (Pvt) Ltd	Subsidiary of the Parent Company	Clearing of imported items	Market terms	839	(33)	123	-



Notes to the Financial Statements

Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value Rs. '000	Outstanding as at 31.03.2016 Rs. '000	Transaction Value Rs. '000	Outstanding as at 31.03.2016 Rs. '000
42.1.5 Transactions with Other Related Companies							
Distilleries Company of Sri Lanka PLC	Other related Company	Purchase of beverages	Market terms	13,795	(1,100)	3,807	(345)
Stassen Exports (Pvt) Limited	Other related Company	Purchase of food items	Market terms	367,090	(40,109)	28,659	(3,934)
Lanka Milk Foods (CWE) PLC	Other related Company	Purchase of milk powder	Market terms	9,415	(602)	2,385	(225)
Lanka Diaries (Pvt) ltd	Other related Company	Purchase of food items	Market terms	169	-	117	-
Lanka Bell Ltd.	Other related Company	Provision of telecommunication services.	Market terms	5,195	(315)	997	(88)
Periceyl (Pvt) Ltd	Other related Company	Purchase of beverages	Market terms	11,661	(2,314)	5,187	(835)
CIC Holdings PLC	Other related Company	Purchase of food items	Market terms	4,255	(1,212)	178	-
Pattipola Live Stock Company Ltd.	Other related Company	Purchase of food items	Market terms	1,164	(149)	-	-
Royal Ceramic PLC	Other related Company	Purchase of goods	Market terms	276	-	-	-
Splendor Media (Pvt) Ltd	Other related Company	Purchase of services	Market terms	3,140	-	-	-
42.1.6 The Company and the Subsidiaries in the ordinary course of business have for the sale of hotel rooms, contracted with certain Tour operators, for whom Aitken Spence Travels (Pvt) Ltd., has contracted with for provision of hotel services. The total revenue generated by such company and the balance outstanding as at 31st March 2016 is disclosed above.							

42.2 Transactions with Key Management Personnel.

Aitken Spence Hotel Holdings PLC, considers its Board of Directors as the key management personnel of the Company. The Board Directors, Vice Presidents and Assistant Vice Presidents of Subsidiary Companies are considered as key management personnel of Group Companies.

There were no transactions other than employment benefits disclosed below carried out during the year with Key management personnel and their close family members which require disclosure per LKAS - 24 - Related Party Disclosures.

	Group		Company	
	2016	2015	2016	2015
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term employment benefits	19,437	16,170	-	-
Post employment benefits	2,759	-	-	-
Total	22,196	16,170	-	-

43 ACQUISITION OF NON CONTROLLING SHARES

The Company made an offer to the Minority Shareholders of Aitken Spence Hotels Ltd. on 8th June, 1999 to purchase their shares at Rs. 31/-per share.(subsequently revised to Rs. 20/- per share) . During this financial year no shares were acquired . The Company as at 31 st March, 2016 held 98% of the equity share capital of Aitken Spence Hotels Ltd.

44 EVENTS AFTER REPORTING DATE

The Board resolved to recommend the payment of a first and final dividend of Rs. 1.25 per ordinary share for the financial year 2015/16 once approved by the shareholders at the Annual General Meeting.

There has been no other material events occurring after the reporting date that requires adjustment to or disclosure in the Financial Statements.

45 ULTIMATE HOLDING COMPANY

The Ultimate Holding Company of Aitken Spence Hotel Holdings PLC., is Aitken Spence PLC.

46 CAPITAL EXPENDITURE COMMITMENTS

There are no capital expenditure commitments other than those disclosed in Note No 14.4 to the financial Statements.

47 AVERAGE NUMBER OF EMPLOYEES

The average number of employees as at 31st March 2016 amounts to 2,566 (2014/2015 - 2,251)

48 COMPARATIVE INFORMATION

No comparative information were changed during the year which require disclosure or adjustments in the financial statements.

However the presentation and classification of financial statements of the comparative year has been amended where relevant to be comparable with those of the current year.

49 DIRECTORS RESPONSIBILITY.

The Board of Directors of the Company are responsible for the preparation of financial statements.



Quarterly Statistics

For the three months ended	30th June 2015 Rs.,000	30th September 2015 Rs.,000	31st December 2015 Rs.,000	31st March 2016 Rs.,000
Income Statement - Group				
Net Revenue	2,728,404	2,804,532	3,293,913	4,340,912
Other income	21,523	36,951	33,351	(21,984)
Staff Costs	(485,279)	(504,580)	(545,637)	(586,621)
Depreciation	(216,580)	(223,727)	(245,224)	(298,036)
Amortisation	(23,281)	(11,496)	(18,077)	(18,643)
Other Operating Expenses - Direct	(570,352)	(575,713)	(668,466)	(731,263)
Other Operating Expenses - Indirect	(998,010)	(1,085,102)	(1,167,666)	(1,380,826)
Profit/ (Loss) from operations	456,425	440,865	682,194	1,303,539
Finance Income	49,663	49,853	36,282	14,174
Finance Expenses	(64,041)	(72,700)	(96,490)	(114,083)
Share of Profit of equity accounted investees net of tax	(7,740)	(4,322)	(12,605)	(140,363)
Income Tax Expense	(126,416)	(118,506)	(44,868)	(143,099)
Net Profit /(Loss) for the period	307,891	295,190	564,513	920,168
Profit attributable Equity holders of the Parent	195,516	210,209	375,838	622,203
Non - controlling interests	112,375	84,981	188,675	297,965
	307,891	295,190	564,513	920,168
Statement of Financial Position - Group				
As at	30th June 2015	30th September 2015	31st December 2015	31st March 2016
Assets				
Non Current Assets	24,179,109	24,963,092	25,474,206	32,631,901
Current Assets	8,496,547	7,918,963	9,039,616	5,816,313
Total Assets	32,675,656	32,882,055	34,513,822	38,448,214
Equity and Liabilities				
Equity	16,901,064	17,302,388	17,773,449	18,405,792
Non - controlling interest	4,741,725	4,967,856	5,119,820	5,429,111
Total Equity	21,642,789	22,270,244	22,893,269	23,834,903
Non Current Liabilities	6,078,250	5,903,255	5,736,322	8,598,275
Current Liabilities	4,954,617	4,708,556	5,884,231	6,015,036
Total Equity & Liabilities	32,675,656	32,882,055	34,513,822	38,448,214
Share Information - Group				
Earnings Per Ordinary Share	(Rs.) 0.57	0.61	1.11	4.13
Net Asset Value Per Share	(Rs.) 49.77	50.96	52.36	54.24
Market Price Per Share	(Rs.)			
Highest	(Rs.) 83.90	82.00	74.00	68.00
Lowest	(Rs.) 66.00	73.50	65.00	50.00
Last Traded Price	(Rs.) 75.40	74.00	68.00	53.00

Indicative US Dollar Financial Statements

Consolidated Income Statement In US \$

For the year ended 31 st March	2016 US \$ '000	2015 US \$ '000
Revenue	92,461	99,542
Revenue Tax	(1,453)	(2,375)
Net Revenue	91,008	97,167
Other Income / (Expenses)	483	3,134
Staff Costs	(14,667)	(13,718)
Depreciation	(6,798)	(5,554)
Amortisation	(494)	(501)
Other Operating Expenses - Direct	(17,595)	(18,912)
Other Operating Expenses - Indirect	(32,011)	(32,677)
Profit from Operations	19,926	28,939
Finance Income	1,037	1,964
Finance Expenses	(2,401)	(1,391)
Net Finance Income / (Expenses)	(1,364)	573
	18,562	29,512
Share of Profit / (Loss) of equity accounted investees (net of tax)	(1,141)	(108)
Profit Before Income Tax	17,421	29,404
Income Tax Expenses	(2,992)	(3,634)
Profit for the Year	14,429	25,770
Attributable to:		
Equity Holders of the Parent	9,702	16,763
Non - controlling interest	4,727	9,007
	14,429	25,770
Earnings per Ordinary Share (US \$.)	0.03	0.05
Exchange Rate used for translation (One US \$) =	144.69	133.32

Statement of Profit or Loss and Other Comprehensive Income in US \$

For the year ended 31 st March	2016 US \$ '000	2015 US \$ '000
Profit for the year	14,429	25,770
Other Comprehensive Income		
Items that will never be reclassified to profit or loss		
Revaluation of property, plant and equipment	-	682
Share of other comprehensive income of equity accounted investees	(1)	2
Actuarial gains/ (losses) on defined benefit obligations	(20)	(74)
Income tax on actuarial gains / (losses) arising from retirement benefit obligations	2	7
	(19)	617
Items that are or may be reclassified to profit or Loss		
Foreign currency translation differences of foreign operations	5,091	(167)
Net change in fair value of available for sale financial assets	153	591
	5,244	424
Other comprehensive income for the year net of tax	5,225	1,041
Total comprehensive income for the year net of tax	19,654	26,811
Attributable to:		
Equity holders of the parent company	12,531	17,795
Non - controlling interests	7,123	9,016
	19,654	26,811
Exchange Rate used for translation (One US \$) =	144.69	133.32

Consolidated Statement of Financial Position in US \$

AS at 31st March	2016 US \$ '000	2015 US \$ '000
ASSETS		
Non-Current Assets		
Property, Plant & Equipment	159,661	123,031
Leasehold Property	13,869	14,300
Prepaid operating leases	12,517	8,004
Intangible Assets	2,627	21
Investment in equity accounted investees	34,434	23,241
Other financial assets	1,399	1,352
Deferred Tax Assets	1,023	893
	225,530	170,842
Current Assets		
Inventories	2,097	2,134
Trade and Other Receivables	8,763	8,575
Amounts due from Ultimate Holding Company	234	1,004
Amount due from Parent's Group Entities	2,587	5,444
Deposits & Prepayments	4,768	3,120
Prepaid operating leases	226	-
Current Tax Receivable	32	35
Other financial assets	14,868	42,679
Cash and Cash Equivalents	6,623	12,104
	40,198	75,095
TOTAL ASSETS	265,728	245,937
EQUITY AND LIABILITIES		
Equity Attributable to Equity Holders of the Company		
Stated Capital	24,567	26,662
Reserves	25,200	24,253
Retained Earnings	77,441	78,332
	127,208	129,247
Non -controlling Interests	37,523	34,789
Total Equity	164,731	164,036
Non-Current Liabilities		
Interest - Bearing Borrowings	56,579	40,231
Government Grants	2	3
Deferred Tax Liabilities	1,639	1,829
Employee Benefits	1,205	750
	59,425	42,813
Current Liabilities		
Trade Payables	2,887	2,148
Other Provisions and Payables	16,251	14,545
Amounts due to Ultimate Holding Company	1,077	281
Amounts due to Parent's Group Entities	674	692
Interest Bearing Borrowings	12,624	15,014
Current Tax Payable	2,276	3,519
Short term Bank Borrowings	5,783	2,889
	41,572	39,088
TOTAL LIABILITIES	100,997	81,901
TOTAL EQUITY AND LIABILITIES	265,728	245,937
Exchange Rate used for translation (One US \$) =	144.69	133.32



Decade at a Glance

Year ended 31st March	2016	2015	2014	2013	2012	2011	2010	2009	2008	2007
OPERATING RESULTS										
Revenue	13,378,071	13,270,918	12,947,076	12,035,870	9,614,828	8,059,152	7,137,672	6,611,893	6,412,699	4,299,987
Profit / (Loss) before Taxation	2,520,651	3,920,116	4,078,450	3,204,882	2,427,770	1,394,853	792,853	845,333	810,860	422,675
Taxation	(432,889)	(484,494)	(561,435)	(464,895)	(346,299)	(37,242)	(18,056)	(20,975)	(21,294)	(42,241)
Profit/(Loss) after Taxation	2,087,762	3,435,622	3,517,015	2,739,987	2,081,471	1,357,611	774,796	824,358	789,566	380,434
Profit/(Loss) attributable to Equity Holders of the parent	1,403,766	2,234,804	2,340,934	1,785,154	1,377,976	1,304,073	523,776	592,587	512,651	202,591
SHAREHOLDERS' FUNDS										
Stated Capital	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	1,056,433	1,056,433	1,055,810	1,055,810
Reserves and Retained Earnings	14,851,205	13,676,628	11,823,701	9,371,120	7,614,992	5,468,654	4,132,761	3,667,632	2,701,001	2,243,837
Shareholders' Funds	18,405,792	17,231,215	15,378,288	12,925,707	11,169,579	9,023,241	5,189,194	4,724,065	3,756,811	3,299,647
LIABILITIES										
Non-Current Interest bearing Borrowings	8,186,477	5,363,625	2,913,898	2,790,090	2,790,308	3,007,565	2,962,320	3,746,361	2,930,155	1,125,325
Current Liabilities	5,859,232	5,173,696	3,481,725	3,326,203	3,249,987	2,164,471	2,004,139	2,001,455	2,543,913	2,761,307
Amount due to ultimate Holding Company	155,804	37,518	92,315	109,340	204,779	59,861	646,434	779,109	-	615,000
Other Liabilities & Charges	411,798	344,196	321,148	304,726	287,278	147,925	163,131	114,317	117,401	116,683
Non-Controlling Interest	5,429,111	4,638,017	3,789,554	2,903,733	2,189,351	1,372,530	1,589,136	1,346,064	1,219,998	873,019
Total Equity And Liabilities	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282	15,775,593	12,554,354	12,711,371	10,568,278	8,790,981
ASSETS										
Property, Plant & Equipment	23,101,360	16,402,491	12,571,903	11,962,472	11,087,739	8,879,249	8,756,041	8,686,707	6,664,681	6,469,263
Leasehold Property	2,006,728	1,906,527	1,461,100	1,463,930	1,521,100	1,354,026	1,516,449	1,554,651	1,407,987	52,500
Prepaid operating Leases	1,811,071	1,067,063	1,048,621	1,020,553	1,067,800	46,500	-	-	-	-
Intangible Assets	380,166	2,842	13,390	26,929	26,862	-	-	1,524	3,048	3,048
Investments	4,982,212	3,098,474	1,336,814	1,302,694	1,227,371	960,878	192,915	185,118	188,358	183,015
Long-Term Investments	202,395	180,191	197,478	221,072	233,207	222,395	211,770	218,081	86,600	10
Deferred Tax Assets	147,969	119,017	115,977	132,722	130,018	48,399	2,713	-	-	-
Current Assets	5,816,313	10,011,662	9,231,645	6,229,427	4,597,185	4,254,320	1,874,466	2,065,290	2,217,604	2,083,145
Assets Held for sale	-	-	-	9,826.00	-	-	-	-	-	-
TOTAL ASSETS	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282	15,775,593	12,554,354	12,711,371	10,568,278	8,790,981
CASH FLOW										
From Operating activities	3,479,769	3,986,229	3,820,890	3,528,361	3,156,697	663,257	1,484,828	1,503,360	793,933	1,204,504
From Investing activities	(6,507,608)	(6,137,472)	(3,446,368)	(1,686,804)	(2,533,371)	(1,023,336)	(662,377)	(2,025,844)	(2,201,116)	(1,681,589)
From Financing activities	1,409,694	2,412,925	(607,312)	(389,776)	(765,864)	1,965,198	(638,280)	605,561	1,377,478	135,561
Net Cash Inflow/(Outflow)	(1,618,145)	261,682	(232,790)	1,451,781	(142,538)	1,605,119	184,171	83,077	(29,705)	(341,524)
KEY INDICATORS										
Earnings per ordinary share (Rs.)	4.13	6.60	6.92	5.26	4.05	3.03	1.77	15.03	12.95	4.88
Net Assets value per Ordinary share (Rs.)	54.24	50.75	45.24	37.95	32.72	26.34	14.93	118.62	93.46	81.56
Market value per share (Rs.)	53.00	67.00	70.00	74.00	70.00	98.00	385.00	90.00	93.00	70.00
Dividend per share (Rs.)	1.25	1.50	1.50	1.00	0.70	0.50	0.21	0.50	1.00	0.75
Dividend cover (Times)	3.30	4.40	4.61	5.26	5.79	6.06	8.42	30.06	12.95	6.51
Price to Earnings Ratio (Times)	12.83	10.15	10.12	14.07	17.28	32.33	29.08	5.99	7.18	14.34
Debt Equity Ratio	0.35	0.25	0.16	0.19	0.22	0.28	0.47	0.66	0.64	0.32
Interest cover (Times)	8.73	22.21	22.03	13.71	12.40	7.08	3.09	3.30	3.22	2.62
Return on Average Shareholders' funds (%)	7.87	13.75	16.63	14.90	13.73	14.68	10.57	13.97	14.53	6.63

Investor information

1. STOCK EXCHANGE LISTING

Aitken Spence Hotel Holdings PLC is a public quoted company, the issued ordinary shares of which have been listed with the Colombo Stock Exchange.

The Stock Exchange Code for Aitken Spence Hotel Holdings PLC shares is "AHUN-N-0000".

2. SHAREHOLDERS

There were 3,356 registered ordinary shareholders as at 31st March, 2016 distributed as follows:

Range	31.03.2016			31.03.2015		
	No. of Shareholders	No. of Shareholding	%	No. of Shareholders	No. of Shareholding	%
1 to 1,000 shares	1,880	654,763	0.19	1,769	641,903	0.19
1,001 to 10,000 shares	1,089	3,685,511	1.09	1,061	3,541,784	1.05
10,001 to 100,000 shares	305	8,655,354	2.58	310	8,914,863	2.65
100,001 to 1,000,000 shares	68	21,947,465	6.53	62	20,510,352	6.10
1,000,001 & Above	14	301,346,917	89.61	15	302,681,108	90.01
	3,356	336,290,010	100.00	3,217	336,290,010	100.00

3. ANALYSIS OF SHAREHOLDERS

Category	31.03.2016		31.03.2015	
	Shareholding	%	Shareholding	%
Nationals	331,773,451	98.66	330,224,527	98.20
Non - Nationals	4,516,559	1.34	6,065,483	1.80
	336,290,010	100.00	336,290,010	100.00

Category	Shareholding	%	Shareholding	%
Aitken Spence PLC, and subsidiaries	250,507,418	74.49	250,507,418	74.49
Other Institutions	63,616,301	18.92	62,989,577	18.73
Individuals	22,166,291	6.59	22,793,015	6.78
	336,290,010	100.00	336,290,010	100.00

* Percentage of shares held by the public as at 31st March, 2016 is 25.40% Number of public shareholders as at 31st March 2016 is 3,343.

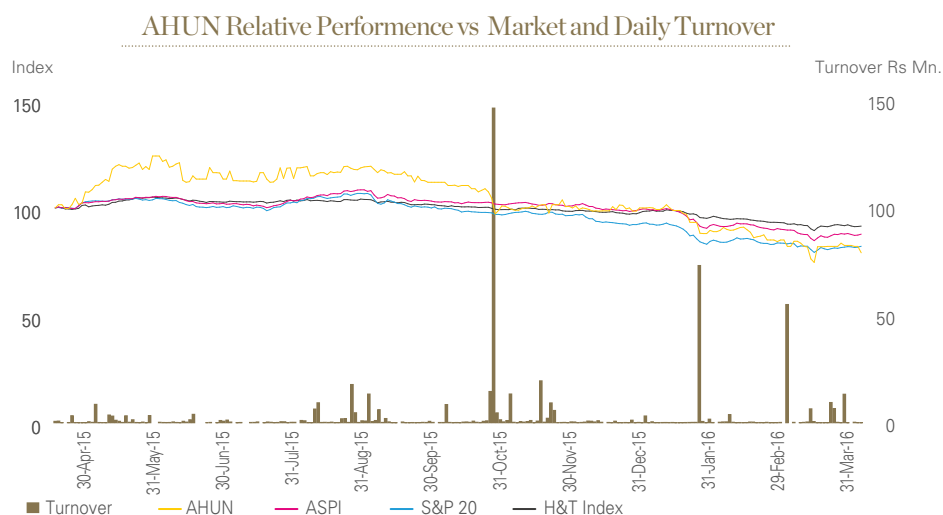
4. SHARE TRADING

	2015/16	2014/15	2013/14	2012/13	2011/12
Number of Shares traded during the year	8,188,438	14,623,056	5,879,926	7,101,727	31,060,541
Value of Shares traded during the year (Rs.)	530,954,107	1,171,857,188	418,255,629	511,061,713	2,369,608,281
Number of Transactions	2,335	3,395	2,404	2,980	5,960

Investor information

5. MARKET VALUE

Financial Year	Highest Rs.	Lowest Rs.	Year End Rs.
2011/12	102.00	55.00	70.00
2012/13	81.00	61.00	74.00
2013/14	81.00	62.10	70.00
2014/15	87.00	67.00	67.00
2015/16	83.90	50.00	53.00



6. RATIOS

	2015/16	2014/15	2013/14	2012/13	2011/12
Earnings per Share (Rs.)	4.13	6.60	6.92	5.26	4.05
Price Earnings Ratio (Times)	12.83	10.15	10.12	14.07	17.28
Net Asset per Share as at 31st March (Rs.)	54.24	50.75	45.24	37.95	32.72

7. DIVIDENDS

The Directors recommended a first and final dividend of Rs.1.25 per ordinary share for the financial year 2015/16.

Financial Year	Dividend per share Rs	Dividend Yield %
2011/12	0.70	1.00
2012/13	1.00	1.35
2013/14	1.50	2.14
2014/15	1.50	2.24
2015/16	1.25	2.36

8. MARKET CAPITALIZATION

Financial Year	Stated Capital & Reserves (Rs.'000)	Market Capitalization (Rs.'000)
As at 31st March		
2011/12	11,028,704	23,540,301
2012/13	12,925,707	24,885,461
2013/14	15,378,288	23,540,301
2014/15	17,231,215	22,531,431
2015/16	18,405,792	17,823,371

9. GROUP EFFECTIVE HOLDING IN SUBSIDIARY, JOINT VENTURES AND ASSOCIATE COMPANIES

As at 31st March		
Company	2016	2015
Aitken Spence Hotel Managements Asia (Pvt) Ltd.	51.00%	51.00%
Aitken Spence Hotels Ltd.	98.00%	98.00%
Crest Star (BVI) Ltd.	100.00%	100.00%
Cowrie Investment (Pvt) Ltd.	60.00%	60.00%
Aitken Spence Hotels (International) (Pvt)Ltd.	51.00%	51.00%
PR Holiday Homes (Pvt) Ltd. (India)	84.57%	84.57%
Floatels India (Pvt) Ltd.	11.00%	11.00%
Heritance (Pvt) Ltd.	100.00%	100.00%
Kandalama Hotels (Pvt) Ltd.	63.00%	63.00%
Jetan Travel Services Co. (Pvt) Ltd.	95.00%	95.00%
Ace Resorts (Pvt) Ltd. Raafushi Island	100.00%	-
ADS Resorts (Pvt) Ltd. Adaaran select Huduranfushi	100.00%	100.00%
Unique Resorts (Pvt) Ltd. Adaaran prestige Vadhoo Resort	100.00%	100.00%
Aitken Spence Hotel Services (Pvt) Ltd. India	100.00%	100.00%
Aitken Spence Hotel Management (South India) Pvt. Ltd.	100.00%	100.00%
Aitken Spence Resorts (Middle East) LLC	70.00%	-
Perumbalam Resorts (Pvt) Ltd. (India)	100.00%	100.00%
Amethyst Leisure (Pvt) Ltd.	23.44%	23.44%
Turyaa Resorts (Pvt) Ltd.	100.00%	-
Turyaa (Pvt) Ltd. (Formely Golden Sun Resorts (Pvt) Ltd.)	100.00%	100.00%
Browns Beach Hotels PLC	37.42%	37.42%
MPS Hotel (Pvt) Ltd.	100.00%	100.00%
Hethersett Hotels Ltd.	87.65%	87.65%
Ahungalla Resorts Ltd.	60.00%	60.00%
Neptune Ayurvedic Village (Pvt) Ltd.	100.00%	100.00%
Nilaveli Holidays (Pvt) Ltd.	100.00%	100.00%
Nilaveli Resorts (Pvt) Ltd.	100.00%	100.00%
Galle Heritage (Pvt) Ltd.	100.00%	100.00%
Meeraladuwa (Pvt) Ltd	100.00%	100.00%
Paradise Resorts Passikudah (Pvt) Ltd.	100.00%	100.00%
Negombo Beach Resorts (Pvt) Ltd.	100.00%	100.00%



Investor information

10. SHAREHOLDING OF DIRECTORS TOGETHER WITH THEIR SPOUSES IN AITKEN SPENCE HOTEL HOLDINGS PLC

As at 31st March	2016	2015
Deshamanya D H S Jayawardena	-	-
Mr. J M S Brito	106,596	106,596
Ms. D S T Jayawardena	16,000	16,000
Mr. R E V Casie Chetty	202,426	193,564
Mr C M S Jayawickrama	-	-
Mr. G P J Goonewardena	5,460	5,460
Mr. R N Asirwatham	1,000	1,000
Mr. N J de Silva Deva Aditya	-	-
Mr. C H Gomez	-	-
Total	331,482	322,620

11. TWENTY LARGEST SHAREHOLDERS

As at 31st March		2016		2015	
		No. of Shares	%	No. of Shares	%
1	Aitken Spence PLC - A/C No. 1	239,472,667	71.21	239,472,667	71.21
2	Employees Provident Fund	30,667,113	9.12	30,504,008	9.07
3	Sri Lanka Insurance Corporation Ltd. - Life Fund	5,518,727	1.64	5,518,727	1.64
4	Ace Cargo (Pvt) Ltd	4,423,601	1.32	4,423,601	1.32
5	Aitken Spence Hotel Managements (Pvt) Ltd	3,530,639	1.05	3,530,639	1.05
6	Aitken Spence Aviation (Private) Limited	2,604,140	0.77	2,604,140	0.77
7	Bank Of Ceylon No. 1 Account	2,547,422	0.76	2,407,422	0.72
8	Employees Trust Fund Board	2,370,705	0.70	2,370,705	0.71
9	The Ceylon Guardian Investment Trust PLC A/C # 02	2,245,982	0.67	1,044,480	0.31
10	National Savings Bank	2,102,133	0.63	2,102,133	0.63
11	G C Wickremasinghe	2,082,241	0.62	2,082,241	0.62
12	AIA Insurance Lanka PLC A/C No. 07	1,464,257	0.44	1,515,109	0.45
13	The Ceylon Investment PLC A/C # 02	1,283,675	0.38	-	-
14	Bank Of Ceylon A/C Ceybank Century Growth Fund	1,033,615	0.31	988,947	0.29
15	M J Fernando	1,000,000	0.30	1,000,000	0.30
16	K Fernando	991,149	0.29	991,149	0.29
17	Ceylon Investment PLC A/C # 01	985,900	0.29	985,900	0.29
18	F A A Mack	964,550	0.29	1,021,474	0.30
19	A T Wickremasinghe	860,004	0.26	1,245,004	0.37
20	Rubber Investment Trust Limited A/C # 01	792,093	0.24	-	-
		306,940,613	91.29	303,808,346	90.34

12. HISTORY OF MOVEMENT IN ORDINARY SHARE CAPITAL

Year	Issue	Number of Shares	Share Capital Rs.
	Shares in issue at the time of listing	1,281,612	12,816,120
1979/80	Initial Public Offer	500,000	5,000,000
1980/81	Private Placement	300,000	3,000,000
1980/81	Rights Issue	368,743	3,687,430
1981/82	Rights Issue	1,839,063	18,390,630
1982/83	Rights Issue	1,429,806	14,298,060
1983/84	Rights Issue	791,792	7,917,920
1984/85	Rights Issue	822,790	8,227,900
1994/95	Bonus Issue	2,444,602	24,446,020
1994/95	Share swap to acquire Aitken Spence Hotels Ltd.	9,699,199	96,991,990
1994/95	Share swap to acquire Brown's Beach Hotels Ltd.	638,020	6,380,200
1994/95	Share swap to acquire M. P. S. Hotels Ltd.	473,557	4,735,570
1999/00	Bonus Issue	3,431,531	34,315,310
1999/00	Rights Issue	14,412,429	144,124,290
2010/11	Rights Issue (1 for 4)	9,608,286	2,498,154,360
	Share Split (7 for 1)	288,248,580	-
Total as at 31st March, 2016		336,290,010	2,882,485,800

13. HISTORY OF MOVEMENT IN PREFERENCE SHARE CAPITAL

Year	Issue	Number of Shares	Share Capital Rs.
1981/82	12% Cum. Redeemable Preference Shares	200,000	2,000,000
1982/83	Redemption	(40,000)	(400,000)
1983/84	Redemption	(40,000)	(400,000)
1984/85	Redemption	(40,000)	(400,000)
1985/86	Redemption	(40,000)	(400,000)
1990/91	Redemption	(40,000)	(400,000)
1996/97	9% Cum Redeemable Preference Shares	16,500,000	165,000,000
Total as at 31st March, 2016		16,500,000	165,000,000

Real Estate Holdings of the Group

Description of the Property	No. of Rooms	Location	Building in Sq.Ft	Land Extent Acres		Net Book Value as at 31/03/2016 (Rs.'000)	
				Freehold	Leasehold	Land	Building
Aitken Spence Hotel Holdings PLC Heritage Ahungalla	152	Ahungalla	253,590	11.96	-	570,207	663,082
Meeraladuwa (Pvt) Ltd Meeraladuwa Island	-	Balapitiya	-	29.55	-	450,830	-
Kandalama Hotels (Pvt) Ltd Heritage Kandalama	152	Dambulla	426,553	169.64	50	9,000	475,065
Hethersett Hotels Ltd Heritage Tea Factory	54	Nuwara Eliya	50,999	-	25	-	129,530
Aitken Spence Hotels Ltd Heritage Ayurveda Mahagedara	64	Beruwala	125,349	-	6.44	-	395,532
Heritage (Pvt) Ltd.	-	Beruwala	-	5.79	-	278,000	-
Neptune Ayurvedic Village (Pvt) Ltd.	-	Beruwala	12,500	0.12	-	4,425	15,005
Turyaa (Pvt) Ltd	110	Kalutara	192,686	5.93	-	301,500	807,321
Turyaa Resorts (Pvt) Ltd	90	Kalutara	113,060	2.42	-	102,700	1,150,626
M P S Hotels (Pvt) Ltd Hotel Hilltop	73	Kandy	65,514	3.76	-	300,500	109,088
Jetan Travel Services Co. (Pvt) Ltd Adaaran Club Rannalhi	130	Maldives	105,553	-	11.69	-	562,420
Cowrie Investments (Pvt) Ltd Adaaran Select Meedhuparu	235	Maldives	299,989	-	44.45	-	2,026,548
Island of Aarah in Raa Atoll	-	Maldives	-	-	26.90	-	-
ADS Resorts (Pvt) Ltd Adaaran Select Hudhuranfushi	215	Maldives	181,779	-	78	-	970,577
Unique Resorts (Pvt) Ltd Adaaran Prestige Vadoo	50	Maldives	42,606	-	4.48	-	1,455,714
Ace Resorts (Pvt) Ltd Raafushi Island	-	Maldives	-	-	45.25	-	-
Aitken Spence Hotel Managements (South India) Pvt Ltd Turyaa Chennai	143	Chennai / India	126,825	0.84	-	513,759	2,563,617
Perumbalam Resorts (Pvt) Ltd	-	Cochin / India	-	4.05	-	9,060	-
P.R Holiday Homes (Pvt) Ltd	-	Cochin / India	-	14.04	-	188,669	-
Aitken Spence Resorts (Middle East) LLC - Al Falaj Hotel	150	Oman	16,408	5.05	-	2,528,039	2,496,700

Group Directory

Aitken Spence Hotel Holdings PLC*

The holding company of the Group's hotel interests. Owns and operates Heritance Ahungalla.

Directors : Deshamanya D.H.S. Jayawardena (*Chairman*)
J.M.S. Brito (*Managing Director*)
Ms. D.S.T. Jayawardena
R.E.V. Casie Chetty
C.M.S. Jayawickrama
G.P.J. Goonewardena
R.N. Asirwatham
C.H. Gomez
N.J. de Silva Deva Aditya
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)

Aitken Spence Hotels Limited *

Owns and operates Heritance Ayurveda Maha Gedera, Holding Company of Kandalama Hotels (Private) Limited and Heritance (Private) Limited.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
N. Ratwatte (Resigned w.e.f. 22.12.2015)
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
(Resigned w.e.f. 28.02.2016)

Heritance (Private) Limited *

Owns a land for a proposed hotel project.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
R.E.V. Casie Chetty
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
(Resigned w.e.f. 28.02.2016)

Kandalama Hotels (Private) Limited *

Owns and operates Heritance Kandalama.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
R.E.V. Casie Chetty
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
(Resigned w.e.f. 28.02.2016)

Hethersett Hotels Limited *

Owns and operates Heritance Tea Factory.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
R.E.V. Casie Chetty
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
(Resigned w.e.f. 28.02.2016)

Neptune Ayurvedic Village (Private) Limited *

Leases company owned land & buildings to Aitken Spence Hotels Ltd.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
R.E.V. Casie Chetty
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
(Resigned w.e.f. 28.02.2016)

Turyaa Resorts (Pvt) Limited (formally known as Aitken Spence Resorts (Pvt) Limited)

Owns and operates Turyaa Kalutara.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
R.E.V. Casie Chetty
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
(Resigned w.e.f. 28.02.2016)

Turyaa (Pvt) Limited (formally known as Golden Sun Resorts (Private) Limited) *

Owns and operates Turyaa Kalutara.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
R.E.V. Casie Chetty
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
(Resigned w.e.f. 28.02.2016)

Crest Star Limited

Directors: J.M.S. Brito (Appointed w.e.f. 01.07.2015)
C.M.S. Jayawickrama
R.E.V. Casie Chetty
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)

Crest Star (B.V.I.) Limited

The holding company and managing agents of Jetan Travel Services Company Private Ltd.

Directors: J.M.S. Brito (*Chairman*)
C.M.S. Jayawickrama
R.E.V. Casie Chetty (Appointed w.e.f. 01.07.2015)
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)

Jetan Travel Services Company Private Limited *

Owns and operates Adaaran Club Rannalhi - Maldives.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
(Appointed as Managing Director w.e.f. 01.07.2015)
A.K.M.P. Wijesekara (Appointed w.e.f. 01.07.2015)
H. Mohamed
M. Mahdy
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
T.D.U.D. Peiris (appointed w.e.f. 01.07.2015) (Resigned w.e.f. 01.02.2016)



Group Directory

Cowrie Investments (Private) Limited *

Owens and operates Adaaran Select Meedhupparu Island Resort - Maldives.

Directors: J.M.S. Brito (*Chairman/Managing Director*)
 Ms. D.S.T. Jayawardena (Appointed w.e.f. 01.07.2015)
 C.M.S. Jayawickrama
 I.M. Didi
 M. Salih
 S.M. Hapugoda (Resigned w.e.f. 30.06.2015)

A D S Resorts Private Limited *

Owens and operates Adaaran Select Hudhuranfushi – Maldives.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
 (Appointed w.e.f. 01.01.2016)
 C.M.S. Jayawickrama
 (Appointed as Managing Director w.e.f. 01.07.2015)
 A.K.M.P. Wijesekara (Appointed w.e.f. 01.07.2015)
 M. Mahdy
 S.M. Hapugoda (Resigned w.e.f. 30.06.2015)

Unique Resorts Private Limited *

Owens and operates Adaaran Prestige Vaadhoo Resort – Maldives.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
 (Appointed w.e.f. 01.01.2016)
 C.M.S. Jayawickrama
 (Appointed as Managing Director w.e.f. 01.07.2015)
 A.K.M.P. Wijesekara (Appointed w.e.f. 01.07.2015)
 M.D.B.J. Gunathilake (Appointed w.e.f. 14.03.2016)
 S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
 T.D.U.D. Peiris (Resigned w.e.f. 01.02.2016)
 M.S. Hassan (Resigned w.e.f. 25.06.2015)

PR Holiday Homes (Private) Limited

Owens a land in Cochin – India, for a proposed hotel project.

Directors: J.M.S. Brito (Appointed w.e.f. 30.06.2015)
 C.M.S. Jayawickrama
 A.K.M.P. Wijesekara (Appointed w.e.f. 28.02.2016)
 M.R. Narayanan
 K.K.M. Rawther
 S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
 K.A.A.C. Perera (Resigned w.e.f. 28.02.2016)

Perumbalam Resorts Private Limited

Owens a land in Cochin – India.

Directors: J.M.S. Brito
 C.M.S. Jayawickrama
 A.K.M.P. Wijesekara (Appointed w.e.f. 28.02.2016)
 M.R. Narayanan
 K.K.M. Rawther
 Mrs. Radha Narayanan
 S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
 K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
 (Resigned w.e.f. 28.02.2016)

Floatels India Private Limited

Owens and operates Poovar Island Resort

Directors: M.R. Narayanan
 K.K.M. Rawther
 Mrs. Zeenath Kabeer
 K.K. Kabeer
 C.M.S. Jayawickrama (Appointed w.e.f. 12.07.2015)
 S.M. Hapugoda (Resigned w.e.f. 12.07.2015)

Aitken Spence Hotel Services (Private) Limited

No operations at the moment.

Directors: R.S. Rajaratne
 A.K.M.P. Wijesekara

Aitken Spence Hotels International (Private) Limited *

Owens resorts in the Maldives and provides international marketing services to overseas resorts.

Directors: J.M.S. Brito (*Chairman*) (Appointed w.e.f. 30.11.2015)
 Ms. D.S.T. Jayawardena (Appointed w.e.f. 30.11.2015)
 C.M.S. Jayawickrama
 R.E.V. Casie Chetty
 S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
 V.M. Gunathilaka (Resigned w.e.f. 30.11.2015)

Aitken Spence Hotel Managements Asia (Private) Limited *

Manages resorts in India, Maldives and in Oman.

Directors: Deshamanya D. H. S. Jayawardena
 Ms. D.S.T. Jayawardena (Appointed w.e.f. 01.01.2016)
 Dr. R. M. Fernando
 Ms. N. Sivapragasam
 G.P.J. Goonawardene

Aitken Spence Hotel Managements (South India) Private Limited

Owens & Manage resorts in India.

Directors: J.M.S. Brito
 C.M.S. Jayawickrama
 S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
 K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
 (Resigned w.e.f. 28.02.2016)

Nilaveli Holidays (Private) Limited

To operate a future hotel project.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
 (Appointed w.e.f. 01.01.2016)
 C.M.S. Jayawickrama
 R.E.V. Casie Chetty
 S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
 K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
 (Resigned w.e.f. 28.02.2016)

Nilaveli Resorts (Private) Limited

To operate a future hotel project.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
 (Appointed w.e.f. 01.01.2016)
 C.M.S. Jayawickrama
 R.E.V. Casie Chetty
 S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
 K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
 (Resigned w.e.f. 28.02.2016)

M P S Hotels (Private) Limited *

Owens and operates Hotel Hilltop Kandy.

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
R.E.V. Casie Chetty
S.M. Hapugoda (Resigned w.e.f. 30.06.2015)
K.A.A.C. Perera (Appointed w.e.f. 01.07.2015)
(Resigned w.e.f. 28.02.2016)

The Galle Heritage (Private) Limited

To operate a future hotel project

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
R.E.V. Casie Chetty

Meeraladuwa (Private) Limited *

Owens a land for future hotel project

Directors: Ms. D.S.T. Jayawardena (*Chairperson*)
(Appointed w.e.f. 01.01.2016)
C.M.S. Jayawickrama
R.E.V. Casie Chetty

Associate Companies and Joint Ventures

Ahungalla Resorts Limited *

Construction of new five star hotel. (Joint Venture with RIU Hotels, Spain)

Browns Beach Hotels PLC *

Holding Company of Negombo Beach Resorts (Private) Limited.

Negombo Beach Resorts (Private) Limited *

Owens and operates Heritance Negombo

Amethyst Leisure Limited *

Holding Company of Paradise Resort Passikudah (Private) Limited

Paradise Resort Passikudah (Private) Limited *

Owens and operates Amethyst Resort - Passikudah

** The companies' financial statements are audited by M/S KPMG.
Chartered Accountants*

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THE GLOBAL REPORTING INITIATIVE (GRI) G4 CONTENT INDEX

This report contains Standard Disclosures from the Global Reporting Initiative (GRI) Sustainability Reporting Guidelines and is in accordance with the GRI G4 Core Option Guidelines.

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Glossary of Financial Terms

Accounting Policies

The specific principles, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

Accrual Basis

Recording revenue & expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Asset Held For Sale

The carrying amount of the asset value which will be recovered through a sale transaction rather than through continuing use.

Average Weighted Prime Lending Rate (AWPLR)

Reflects rates applicable on loans and advances granted by commercial banks to their most creditworthy customers.

Asset Turnover

Total revenue divided by average total asset.

Capital Employed

Total shareholders' funds plus debt and minority interest.

Cash Equivalents

High liquid investments that are readily convertible to know amounts of cash and which are subject to an insignificant risk of change in value.

Compound Annual Growth Rate (CAGR)

The year-over-year growth rate of an investment over a specified period of time.

Contingent Liabilities

A condition or situation at the Balance Sheet date of which the financial effect will be determined only on the occurrence, or non-occurrence of one or more uncertain future events.

Collateral

Monetary or non-monetary asset pledged or received as security in lieu of a loan or credit terms obtained or provided.

Current Ratio

Current assets divided by current liabilities.

Debt/Equity Ratio

Ratio between interest bearing borrowing and shareholder's equity.

Deferred Income Tax

The net tax effect on items which have been included in the Income Statement, which would only qualify for inclusion on a tax return at a future date.

Derivative

A security whose price is dependent upon or derived from one or more underlying assets.

Dividend Pay Out Ratio

The percentage of earnings paid to shareholders in dividends.

Dividend Yield Ratio

The yield a company pays out to its shareholders in the form of dividends.
(Ordinary dividend per share divided by market value per share)

Earnings Per Share (EPS)

Profit attributable to Equity Holders of the Company divided by weighted average number of ordinary shares in issue.

EBIT

Earnings before interest and tax.

EBITDA

Earnings before interest, taxes, depreciation and amortization.

Effective Rate of Taxation

Income tax over profit before tax.

EPS Growth

Percentage of increase in the EPS over the previous year.

Financial Leverage

Total average assets divided by total average equity.

Gearing

Borrowings to capital employed.

Impairment

This occurs when recoverable amount of an asset is less than its carrying amount.

Interest Cover

This indicates the ability of an entity to cover long-term and short-term interest expenses with EBIT.
(Profit before Interest & Taxation divided by total Interest charged for the year).

Market Capitalisation

The number of ordinary shares in issue multiplied by the market price per share as at the reported date.

Net Assets Per Share

Shareholders' funds divided by the number of ordinary shares in issue as at the end of the year.

Non-Controlling Interest

Part of the net results of operations and of net assets of a subsidiary attributable to interests which are not owned, directly or indirectly, through Subsidiaries, by the Parent company.

Price Earnings Ratio (PER)

Market price per share divided by the earnings per share.

Price To Book Value Ratio (PBV)

Market price per share divided by net assets per share.

Return on Capital Employed

Profit before Tax divided by total shareholder's funds, minority interest, non-current interest bearing borrowings and differed taxation.

Return on Equity

Profit attributable to shareholders as a percentage of average shareholders' funds.

Return on Shareholder's Funds.

Attributable profits divided by average Shareholders' funds.

Segmental Analysis

Analysis of financial information by segments of an entity specifically, the different geographical areas in which it operates.

Shareholder's Funds

The sum of Share capital, Capital Reserves and Revenue Reserves.

Value Added

The wealth created by the operation of the company.
The value is distributed among the stakeholders and the balance retained within the business.

Yield to Maturity

The discount rate that equals present value of all expected interest payment and the repayment of principal.



Corporate Information

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NAME

Aitken Spence Hotel Holdings PLC

LEGAL FORM

A Public Quoted Company with limited liability, incorporated in Sri Lanka on March 14, 1978

STOCK EXCHANGE LISTING

The ordinary shares of the company are listed with the Colombo Stock Exchange of Sri Lanka

COMPANY REGISTRATION NUMBER

PQ 97

ACCOUNTING YEAR

31st March

REGISTERED OFFICE

NO. 315, Vauxhall Street Colombo 2, Sri Lanka

DIRECTORS

Deshamanya D H S Jayawardena - *Chairman*
Mr. J M S Brito LLB, FCA, MBA - *Managing Director*
Ms. D S T Jayawardena
Mr. R E V Casie Chetty FCA, FCMA, M.C.M.I., J.Dip, MA
Mr. S M Hapugoda CIM UK - (*Resigned w.e.f. 30.06.2015*)
Mr. C M S Jayawickrama FCMA
Mr. G P J Goonewardena
Mr. R N Asirwatham FCA
Mr. N J de S Deva Aditya
Mr. C H Gomez

SECRETARIES

Aitken Spence Corporate Finance (Private) Limited
No. 315, Vauxhall Street Colombo 2, Sri Lanka

REGISTRARS

P W Corporate Secretarial (Private) Limited
3/17, Kynsey Road, Colombo 8, Sri Lanka
Tel : (94 11) 4640360-3
Fax: (94 11) 4740588

AUDITORS

Messrs. KPMG
Chartered Accountants.
32A, Sir Mohamad Macan Marker Mawatha,
PO Box 186, Colombo 03.

BANKERS

Hatton National Bank PLC
People's Bank
Bank of Ceylon

Hongkong and Shanghai Banking Corporation
Citibank N A
Union Bank
ICICI Bank
Nations Trust Bank
DFCC Bank
Deutsche Bank
Standard Chartered Bank
Commercial Bank

GROUP AUDIT COMMITTEE

Mr. R. N. Asirwatham - *Chairman*
Mr. G. C. Wickremasinghe
Mr. C. H. Gomez
Mr. N. J. de S. Deva Aditya

GROUP REMUNERATION COMMITTEE

Mr. G.C. Wickremasinghe - *Chairman*
Mr. R.N. Asirwatham
Mr. V.M. Fernando (Retired 30.06.2015)

GROUP NOMINATION COMMITTEE

Mr. G.C. Wickremasinghe - *Chairman*
Deshamanya D.H.S. Jayawardena
Mr. J.M.S. Brito
Mr. R.N. Asirwatham
Mr. V.M. Fernando (Retired 30.06.2015)

GROUP RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mr. R. N. Asirwatham - *Chairman*
Mr. G. C. Wickremasinghe
Mr. C. H. Gomez
Mr. N. J. de S. Deva Aditya

HOLDING COMPANY

Aitken Spence PLC

WEBSITE

www.aitkenspencehotels.com



CONTACT POINT FOR FURTHER INFORMATION

Aitken Spence Corporate Finance (Private) Limited.,
Secretaries
No. 315, Vauxhall Street Colombo 2, Sri Lanka.
Tel : (94 11) 2308308
Fax : (94 11) 2308099 / (94 11) 2445406
E-mail : comsec@aitkenspence.lk

Notice of Meeting

Notice is hereby given that the Thirty Ninth Annual General Meeting of Aitken Spence Hotel Holdings PLC will be held at the Auditorium of the Institute of Chartered Accountants of Sri Lanka, 30A, Malalasekera Mawatha, Colombo 7, at 10.30 a.m. on Thursday, June 30, 2016, for the following purposes :-

- To receive and consider the Annual Report of the Board of Directors together with the Financial Statements of the Company and the Report of the Auditors' thereon for the year ended 31st March 2016.
- To declare a dividend as recommended by the Directors.
- To re-elect Mr. N. J. de S. Deva Aditya who retires in terms of Article 83 of the Articles of Association, as a Director.
- To re-elect Mr. C. H. Gomez who retires in terms of Article 83 of the Articles of Association, as a Director.
- To re-elect Deshamanya D H S Jayawardena who is over the age of 70 years, as a Director by passing the following resolution.

"That the age limit stipulated in Section 210 of the Companies Act No 7 of 2007 shall not apply to Deshamanya D H S Jayawardena who has attained the age of 73 years and that he be re-elected a Director of the Company."

- To re-elect Mr. R N Asirwatham who is over the age of 70 years, as a Director by passing the following resolution.

"That the age limit stipulated in Section 210 of the Companies Act No 7 of 2007 shall not apply to Mr. R N Asirwatham who has attained the age of 73 years and that he be re-elected a Director of the Company."

- To authorise the Directors to determine contributions to charities.

- To re-appoint the retiring Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration.
- To consider any other business of which due notice has been given.

BY ORDER OF THE BOARD



R E V Casie Chetty

Director

AITKEN SPENCE CORPORATE FINANCE (PRIVATE) LIMITED
SECRETARIES

28 May, 2016

Note:

1. A member entitled to attend and vote at the meeting is entitled to appoint a Proxy to attend, speak and vote in his/her stead and a Form of Proxy is enclosed for this purpose. A Proxy need not be a member of the Company.
2. The completed Form of Proxy must be deposited at the Office of the Registrars P W Corporate Secretarial (Pvt) Ltd., at No.3/17, Kynsey Road, Colombo 8, not less than forty-eight hours before the time fixed for the meeting.
3. It is proposed to post the dividend warrants on 12th July 2016 provided the dividend recommended is approved. In accordance with the rules of the Colombo Stock Exchange, the shares of the Company will be quoted ex- dividend with effect from 1st July 2016.

Notes

Form of Proxy

G4-37

I/We.....
of
being a member/members of Aitken Spence Hotel Holdings PLC hereby appoint
.....of
..... (whom failing)

Don Harold Stassen Jayawardena of Colombo (whom failing)

Joseph Michael Suresh Brito of Colombo (whom failing)

Don Stasshani Therese Jayawardena of Colombo (whom failing)

Ranjan Emmanuel Victor Casie Chetty of Colombo (whom failing)

Chrisanthus Mohan Susith Jayawickrama of Colombo (whom failing)

Gemunu Prasanna Jayasundera Goonewardena of Colombo (whom failing)

Rajanayagam Nalliah Asirwatham of Colombo (whom failing)

Charles Humbert Gomez of Gibraltar (whom failing)

Niranjan Joseph de Silva Deva Aditya of the United Kingdom

as my/our Proxy to represent me/us, to speak and to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on the 30th day of June 2016, and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Signed this..... day of Two Thousand Sixteen

.....
Signature

Note : Instructions as to completion are noted on the reverse hereof

Form of Proxy

INSTRUCTIONS ASTO COMPLETION

1. Kindly perfect the form of proxy by filling in legibly your full name and address, signing in the space provided and filling in the date of signature.
2. If the proxy form is signed by an Attorney, the relative power of attorney should also accompany the proxy form for registration, if such power of attorney has not already been registered with the Company.
3. In the case of a Company/Corporation, the proxy must be executed in the manner prescribed by its Articles of Association.
4. The completed form of proxy should be deposited at the Office of the Registrars P W Corporate Secretarial (Pvt) Ltd., at No.3/17, Kynsey Road, Colombo 8, before 10.30 a.m. on June 28, 2016, being 48 hours before commencement of the meeting.

Investor Feedback Form

G4-53

To request information or submit a comment/query to the Company, please complete the following and return the page to -

Chief Financial Officer,
Aitken Spence Hotel Holdings PLC
No. 315, Vauxhall Street,
Colombo 02.
Sri Lanka

Name :

Permanent Mailing Address :

Contact Number - (Tel) :
Country Code Area Code Number

E-mail :

Name of Company (If Applicable) :

Designation (If Applicable) :

Company Address (If Applicable) :

Queries/Comments

Designed & produced by



Digital Plates & Printing by Aitken Spence Printing
& Packaging (Pvt) Ltd

